Advanced Enzyme (ADVENZYMES)

Conference call transcripts, oldest-first. 13 call(s). Generated 2026-06-08.

Call: May 2023

May 18
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To

Dear Sir
/Madam
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Sub:

Transcript of
Conference call
held on
May 15
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for

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F
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for the
quarter and
year
ended
March
31, 202
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In furtherance to our
intimation
letter dated
May 12
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please find enclosed the
Transcript of
the
Conference call held on
Monday
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May 15
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with
Analysts and Investors
for
the
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quarter

and
year
ended

March
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The aforesaid information is also being uploaded on the Company’s website.

Kindly take same on your records.

Thanking you,

Yours Faithfully,

For

Advanced Enzyme Technologies Limited

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Sanjay Basantani

Company Secretary

and Head
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Legal

Encl.: As above

BSE Limited

Department of Corporate Affairs

P. J. Towers, Dalal Street,

Mumbai
-

400 001

Scrip ID
-
540025

National Stock Exchange of India Ltd.

Exchange Plaza, Plot No.
C/1, G Block

Bandra
-
Kurla Complex, Bandra (E)

Mumbai

-

400 051

Scrip Code
-
ADVENZYMES

“Advanced Enzyme Technologies Limited
Q4 FY '23 Earnings Conference Call”
May 15, 2023

MANAGEMENT : MR. MUKUND KABRA – WHOLE -TIME DIRECTOR –
ADVANCED ENZYME TECHNOLOGIES LIMITED
MR. BENI RAUKA – GROUP CHIEF FINANCIAL
OFFICER – ADVANCED ENZYME TECHNOLOGIES
LIMITED
MR. RONAK SARAF – MANAGER , INVESTOR
RELATIONS – ADVANCED ENZYME TECHNOLOGIES
LIMITED

Moderator: Ladies and gentlemen , good day, and welcome to the Q4 FY '23 Earnings Conference Call of Advanced Enzyme Technologies Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ronak Saraf. Thank yo u, and over to you, sir.
Ronak Saraf : Good evening, everyone. Welcome to the Advanced Enzyme Technologies Q4 and FY '23 Earnings Conference Call. I am Ronak Saraf, the Manager of Investor Relations here at Advanced Enzymes. W e hope you all have gone throug h our financials press release and the presentation, which has been posted in the Investor Relations section of our website.
We have with us Mr. Mukund Kabra, Whole -Time Director; and Mr. Beni Rauka , Group CFO. Today, the management will discuss the perfor mance and business highlights, updates on strategies and respond to any questions that you may have. As is usual, for the ease of discussion, we will look at the consolidated financials.
Before we proceed, I would like to draw your attention to the forward -looking statements contained in the presentation. During our call, we may make forward -looking statements regarding our expectations or predictions about the future. Because these statements are based on current assumptions and factors that may involve ri sks and uncertainty, our actual performance and results may differ materially from our forward -looking statements.
So without any further ado, we shall commence this call. Over to you, sir.
Mukund Kabra: Thank you, Ronak. Good evening, everyone. I really a ppreciate you all for taking out your valuable time, and I welcome you all to the conference call for the quarter and year -ended 31st March 2023.
Starting with a quick brief on global conditions. Global conditions scenario continues to remain uncertain with cues of recession resulting in la yoffs a nd inflation remains elevated and the geographical political crisis remains fluctuant. But we see a pickup in continued demand and hopefully, it will further improve as we enter in the new financial year. The ra w mat erial prices are under control a nd the supply chain issues are also resolved to a great extent. We hope this scenario remains stable in the coming quarters.
Despite all the uncertainties, our quarter 4 financial results demonstrated an improved top li ne growth. The growth in the numbers are essentially driven by animal nutrition and bio -processing

segment. Now as far as the quarterly performance, our top line stood at is ■1,387 million, grew 5% on a year -on-year basis. And on a sequential basis, it has declined by around 2% in quarter 4. Our annual top line stood at ■5,406 million. That is 2% growth.
Our EBITDA stood at ■441 million, grew 9% on a year -on-year basis and 6% on a sequential basis, which saw a decline of 22% for financial year '23. We have experienced a significant

growth of 27% in the bottom line on year -on-year basis. While on a sequential basis, it grew 15%. Our full year PAT declined by 16%.
On the margin side, EBITDA margin stood at 32% and PAT margin stood at 23% during the quarter 4. For financial year '23, these margins stood at 29% and 19%, respectively. This decline in our margins is due to fluctuate in input material prices and elevated fuel costs, which resulted in a higher operating cost for the company during the year.
Talking a bout the segment -wise performance. Human nutrition, the human nutrition segment remained the highest contributor as is usual at 63% in the revenu

e. It grew by 1% on a year -on-
year basis while it declined by 6% on a sequential basis. For financial year '23, it has declined by 1%. Pharma API in domestic markets and nutrition in international markets primarily supported the numbers in human nutrition. There is softness in the probiotics business and demand remains subdued in the domestic as well as in the inte rnational markets.
Animal nutrition. Our animal nutrition business is performing really well and contributed 15% to the revenue in quarter 4. This segment has significantly and continuously improved during consecutive quarters. It grew by 36% on year -on-year basis and 17% on a sequential basis and 27% during financial year '23.
Bio-processing. During the quarter, bio -processing segment contributed 14% to the revenue. It grew by 2% on a year -on-year basis. It declined 15% on a sequential basis. For the full year, this segment grew by 19%. Food and non -food business grew by 15% and 31%, respectively, on a year-on-year basis. The specialized manufacturing segment contributed 8% and grew by 31% on a sequential basis while it remained flat on a year -on-year basis . For financial year '23, this segment declined by 26%.
A brief on key developments during the year. We invested with ■60 million or 50% stake in Saiganesh Enzytech Solutions and this company has further acquired a firm engaged in a similar business on the company in the slump sum sale basis for a contribution of ■9 million. We have also acquired an additional stake of 4.83% in our purchase with JC Biotech. Now our stake is 89.83%. O ur 2 U.S., step -down subsidiaries, AST Enzymes and Dynamic Enzymes, got approval from the state of California and formed a single entity named AST Enzymes.
I would say we are in our constant endeavour to keep introducing newer and commercially viable products and molecules. We will continue to focus on our priorities of customer retentio n, strengthening R&D, foraying business operations in new er geographies , expand solution s and product offerings, register more products across global regulatory bodies and to look for strategic inorganic opportunities. We'll bring more resilience in our business to enhance customer value proposition and deliver long -term sustainable growth going ahead .
With this, I will now hand over hand over this call to Raukaji, he will take you through the financial and key subsidiary numbers. Over to you, Raukaji. Thank you.

Beni Rauka: Thank you very much, Mukund. Good evening, everyone. I hope you all are in a good health.
FY '23 remains a roller -coaster ride for the company. Su bdued consumer demand across the globe, elevated input costs, coupled with lower international sales, in particular in the U.S. market, affected our overall margin during FY '23.
On the company's consolidated financials for the fourth quarter and fiscal ye ar 2023, let me give you year -on-year numbers. The revenue increased by ■70 million, about 5%, from ■1,317 million to ■1,387 million. EBITDA increased by ■38 million, 9%, from ■403 million, which is about 31% of our top line, to ■441 million, 32% of our re venue.
Profit before tax increased by ■81 million, which is 24% of our revenue, from ■340 million to ■421 million. And it's about 30% of our revenue. PAT has increased by ■68 million, about 27%

of our revenue, from ■253 million to ■321 million, which is ab out 23% of our revenue.
On a quarter -on-quarter basis, the sequential basis, the revenue is decreased by 2% from ■1,421 million to ■1,387 million. EBITDA increased by ■24 million from ■417 million to ■441 million, which constitutes about 32% of our top lin e. Profit before tax increased by about ■17 million from ■404 million to ■421 million a nd it's about 30% of our top line. Profit after tax has increased by ■42 million from ■279 million to ■321 million. So PAT is about

23% during this quarter.
Let me give you the financial year numbers -- annual number. So for FY '23 and FY '22, our revenue has increased by ■112 million, 2% of growth in our revenue, from ■5,294 million to ■5,406 million. EBITDA has decreased during this year. So the decrease is of about ■450 million from ■2,014 million, which was about 38% of our revenue, to ■1,564 million. So we have an EBITDA of 29% during this year.
Profit before tax decreased by ■307 million from ■1,711 million to ■1,404 million. Profit after tax has decrease d by ■199 million from ■1,238 million to ■1,039 million. So our PAT margin is about 19% during this financial year as compared to 23% during last year.
Now the EBITDA is down mainly because of a couple of reasons, which I would like to give you some summar y and some flavour on it. So during this FY '23, prices of various inputs have gone up substantially. So that has impacted our raw materials, power and fuel, stores & spares, consumables and, of course, other costs, where we're carrying out some repairs of machineries, buildings. So all these costs have gone up substantially during FY '23.
So this has resulted into lower gross contribution of about ■108 million and other expenses comprising of stores, spares, power and fuel, repair and additional cost of ab out ■234 million and in addition to that, the payroll cost has gone up mainly because of the annual increment given by the company and all its subsidiaries. And of course, there is another element of the FX fluctuation. Because rupee has depreciated by abo ut 8% during this year. So that also includes an element of FX fluctuation in FY '23.
In addition to that, we have fair value loss of about ■27 million in other expenses. This is mainly because of the valuation of mark -to-market valuation of investments of our U.S. subsidiary. And

we do have some losses on account of some of the impairment of assets, which we have done during this year, s o that is about ■15 million. So these are the main reason during this FY '23, our pr ofit after tax has gone down substantially as compared to FY '22.
Our B2C segment, overall basis, if I compare the revenue for FY '23 to FY '22 has gone down from ■412 million to ■383 million. Our top 10 customers contributed about 24% of our sales as compared to 28% during the corres ponding financial year FY '22. JCB has repor ted a loss and it is negative profit after tax, a loss of about ■10 million as against ■20 million during the previous quarter. The top line remains same in case of JCB of about ■107 million as compared to ■112 million.
Evoxx is EBITDA positive. And also the PAT has also increased from ■8 million to ■11 million and for the financial year FY '23, revenue has increased by about 10% in Evoxx and EBITDA has increased by about 127% from ■26 million to ■59 million. T he company has reported a positive profit after tax of ■21 million as compared to a loss of about ■16 million during FY '22.
And geography -wise, I mean, if I give the revenue of international sales and domestic sales, the domestic market is about 47% as compa red to 44% last year. We have spent about 9% of our stand -alone numbers of India on our research and development activities. And on a consolidated basis, our research and development expenditures are about 6% in FY '23 as compared to 5% during FY '22.
This is all from my side. We open the floor for the question -and-answer session. Thank you.
Moderator: Thank you very much. The first question is from the line of Jatinder Agarwal, an individual investor. Please go ahead.
Jatinder Agarwal : I have one question. And that is related to Slide 23 of your presentation. If I look at those numbers from your March '22 presentation also. Yes, so I'm referring to Slide 23 of your current year's presentation, where you give the opportunity size and w

hat is addressable by Advanced
Enzyme s.
And if I look at last year to this year, practically there is 0 improvement, except for animal nutrition. And even to that extent, whatever that has gone up by the rest have actually declined.
And what is raised in the last year's presentation, which is the March '22 presentation, you've written that this is the target for the next 5 years.

Again, this year's presentation says that this is our target for the next 5 years. Is this a rolling target? Or is this something th at ideally you should achieve and then report the progress as to what you have done within that segment during the current year? If you could give a sense out of that, I think that is more useful.
Mukund Kabra: Raukaji, do you have the Slide number 23? I d on't have it right now.

Beni Rauka: Yes, I have that slide, what he's talking about is human nutrition. Last year numbers were about $41 million. That is what we have reported. And I think, Jatinder, this is exact number. In terms of the USD, we have $40.5 million during this year. So we have only 2% of growth.
Jatinder Agarwal : Exactly. So what I am trying to say is in the previous column, what you reported is that there is an addressable market which is so mething like $200 million, right?
Beni Rauka: Yes, right.
Jatinder Agarwal : Right? So what I want to know as an investor or as an outsider is out of this 200 million, how much was captured during the current year, if you can give some idea in each of those segments? Because the numbers seem to remain stati c on a year -on-year basis. So if I -- as an outsider, if I look at those numbers, to me, it seems that there is 0 progress in terms of moving towards your addressable market. So is my assessment right? Or is it that there is some disclosure that you would wish to give which will help me understand this better?
Beni Rauka: Yes, there are some components of the entire human nutrition business that you're speaking. So one has to look at the entire composition of that. And then one can really make out where we have grown and where are like a couple of things which need to be addressed in due course.
Jatinder Agarwal: So out of the $200 million which was last year how much has been mined or whatever I am probably using the wrong word but how much of it has been monetized or been able to crack during the current year if you could give that number?
Mukund Kabra: Jatinder ji, the numbers are not there at this point of time. But I can say that we -- these human nutrition numbers are comprising of Indian pharma market as well as the nutraceutical market from the US. And numbers that we are addressing more into the addressable market is on the bio-catalysis side. And this year, the number looks same because human nutrition business in the US, there is a lot of slowdown.
You see that the US business in terms of dollars is down by 15%, when the -- overall, when we look at it, it's just down by 1%. There is some impact. And even though some business here, we could gain from the biocatalyst areas. But this is not reflected b ecause of the -- because of some business is under recession in the US. So if that can give you some idea probably , I think...
Jatinder Agarwal: I don't think that's exactly what my answer to my question is, sir.
Mukund Kabra: So I don't know the exact num bers but the biocatalyst area that's what I can say. Even though last year also, we said that the business will not come in the first two years or 1.5 years, we had certain breakthroughs in term of the biocatalyst area and some products are being there on the commercialized side. Like this year, clearly those numbers will be a little bit more effective.
Jatinder Agarwal: Okay. And I'm not sure if this is the right way to compare, but a lot of companies in that same industry seem to suggest that there i

s Chi na Plus One, which is technically a real opportunity.

Are there any tailwinds that you are able to see because of that, or does that -- or is that question not relevant?
Mukund Kabra: The way I see is , we have worked basically on two components of the busi ness. One component of the business is the USA, which is under really on the reces sion side. When we talk to the India side, clearly on the India side, we have grown almost about 14% this year. The tailwinds, what you're saying, you can see on the India si de. So there is a lot of growth which is coming up, which was not there earlier and...
Jatinder Agarwal: Can you just repeat the last one, sorry, sir?
Mukund Kabra: So the way we see that is the India business, there is a lot of growth. And you see that th e China Plus One statement, what we are talking about is working also at this point of time. US business, we see that this trend will continue for another one or two quarters. And then there should be impro vement. Because we launched f ew of the products in the last quarter, in the last year, I

guess.
And now we are in the mode of doing some long -term agreements in other business, but it will take another one or two quarters to really convert. So this recession will still continue for another one quarter or two quarters in the US business. In the China business, the China Plus One policy, you see that again in the second half of this year, we should have good business on the India side.
Jatinder Agarwal: Okay. That is helpful. Thank you sir.
Mukund Kabra: Thank you, Jatinder
Moderator: Thank you. The next question is from the line of Nikhil Mathur from HDFC Mutual Fund. Please go ahead.
Nikhil Mathur: Hi, good evening. Sir, I just wanted to understand something. So I believe in the opening remarks, you had mentioned that there was a lot of input cost pressure and ot her cost inflation issues that was faced in FY '22. So going forward, let's say, in FY '24 and FY '25, how do you see these costs rationalizing? And when your margins were sustainably above 40% pr ior to COVID, so when do you see that those 40% above margins can be reached? How soon and how far are we from that kind of a normalized environment?
Mukund Kabra: So Nikhil, the cost pressures and the fuel pressures, those were there in the last year. Cur rently we see that some of the commodities are coming back to the normal. Examples are , soya oil and soya flower are getting back to the normal. When we talk about the fuel, coal and ot her things, those are still on the higher side from what it used to be. It used to be around ■5 currently. It's running at around ■12 to ■13. It went up to ■17. So on the fuel side, yes, there is there. But the margins, I think the margins will come back once our US business starts growing or it will come to the, at least on par.

Wha t is happening right now is all the fixed expenses are on the same side, on the fixed side. And when there is the de-growth of 15% kind of remaining US because of the inflation, that just impacts on the margins. So probably the way we look at it is maybe in the, as we move on after the second quarter of this year, we should start improving on the margin fronts.
Nikhil Mathur: Okay. So if I break down the cost, the different defining costs, input costs, your energy cost, your freight cost, so raw mat erial cost is what we are seeing as kind of normal or so just getting normalized. The energy costs are still on the higher side, but freight costs will have normalized. Am I right in assuming these three things?
Mukund Kabra: So you are right. To a certain extent, yes, I can say that you are right, Nikhil.
Nikhil Mathur: Okay. Understood, but 40% and plus margins are doable again at some point in time?
Mukun

d Kabra: Yes. We are waiting for the US business to get normalized.
Nikhil Mathur: Okay, understood. Sir, my second question is slightly larger -picture question. If I look at the global enzyme’s market, Novozymes is the global leader with, I think, 50% market share. And please correct if I'm wrong in reading this. So essentially, if Advanced Enzymes were to grow more than the industry, and I think industry grows at 6% to 7% at a global level, you essentially have to take other market share from a player like Novozymes.
When I look at their disclosures and your disclosures, there seems to be a pretty stark difference in how the R&D pipeline is for that company, which is obviously a global pioneer versus what for Advanced Enzyme, only from the disclosures. What I'm not able to read, I can't kind of assume that you don't have anything in the pipeline. So am I again right in assuming that in order to grow in double digits, 12%, 13% or 10%, whatever, you have to question -- or take away market from Novozymes?
Mukund Kabra: To a certain extent, yes, but there are a lot of gray areas which are still there, right? A nd what is happening is that Novozymes there is a cost pressure. Novozymes, if you really go through that , there is a lot of cost – they have pass on the cost to the consumers. So that is one area where you can do it. But we are not competing with Novozyme s in all the areas.
The real competition with Novozymes is only in the food area. And that is the area where we are really competing with Novozymes. The rest of the areas, we do our own niche markets. I don't feel like you just need to take the Novo zymes share to grow. We are very small compared to Novozymes. Novozymes' share is more than $1 billion, a couple of billion dol lars. And we are selling in hardly $60 million -$70 million. So there is a lot of opportunity and a lot of gray areas are there which w e can take.
Nikhil Mathur: Okay. Sir, but if I look up -- I have looked up the numbers of the company. The company's margins are fairly healthy for a Europe -focused business model. And even the return on capital for this company is more than 20%. So for a global company, despite in such an environment

where they're able to do decent margins and the ROC is also pretty good, is it really the cost which can drive the market share movement towards your company?
It doesn't seem to be the case, right? I mean, tho se margins aren't reason -- those ROCs aren't reason enough for them to keep on operating and keep on going. So then what is it that you will bring to the table which will help you to gain market share?
Mukund Kabra: There are a lot of other factors which are there a nd which is right now is being s lowed down . What has happened in this war area or whatever is happening in Ukraine or other areas, people are looking for other alternatives. There is only one supplier in the global area for most of the products like Nov ozymes, as you are mentioning a nd people were happy in the earlier stage.
Now , Novozymes has suddenly increased their prices 10%, 20% in some of the products.
Because the energy costs in Europe has gone up. And this has pushed people to look for ot her alternatives, the sustainability. And we see a lot of traction which is coming out during the last quarter as well as this quarte r which we'll face sales is some of the people started lo oking for the alternative supplier . And they want to go with the second supplier as well And this is where our features and this is where we can grab some of the market share from the Novozymes, the area where we are competing in.
Nikhil Mathur: Understood. Sir, given this is a B2B business mod el, now we have closed FY '23 with a 5% in 4Q and 2% in full year FY '23, I mean, it's very difficult for us to kind of build out aggressive growth numbers, given what has

happened in FY '19, FY '20, FY '21, FY '22. Any guidance you might want to share for FY '24, FY '25?
Mukund Kabra: FY '24, FY '25, I mean, FY '23, FY '24, right?
Nikhil Mathur: Next year and the subsequent year, what kind of growth profile should we expect?
Mukund Kabra: Next year, we can see is a double -digit growth, mid -level of double -digit growth coming after like -- but most of the growth will come in the second half of this year.
Nikhil Mathur: You mean to say, the second half of FY '24?
Mukund Kabra: Yes.
Nikhil Mathur: And mid -level double -digit means somewhere around mid -teens, ri ght, that you're alluding to?
Mukund Kabra: Somewhere around 15% -plus.
Nikhil Mathur: 15%-plus.
Mukund Kabra: Yes.
Nikhil Mathur: Okay. And sir, I mean, what's the visibility on this number? I mean, are there orders that you already have in the bag which h ave to be executed or you are expecting that given the activity

has been so thin in the last few months, last few quarters that natural causes that this activity will come back?
Mukund Kabra: This is depending on whatever has been there in the pipeline, wh atever sales positions what we have based on the customers, what we have been mapping what we have done for this year.
Nikhil Mathur: Okay. Understood. And sir, how many launches are planned for the next 12 months, next 24 months? Can you give some idea on that as well?
Mukund Kabra: I can't comment on that. But honestly speaking, there are more than 25 products, which are under the pipeline at this point in time.
Nikhil Mathur: Sorry, there are more than 25 products which is under the pipeline?
Mukund Kabr a: Yes, those are under the pipeline. It always takes some time for the commercialization, right? There might be two, three, four enzyme s might be under the commercialization at this point.
Nikhil Mathur: Got it. And sir, can you share the R&D number for FY '23? What do you classify the R&D? And what is that number for FY '23, FY '22, last two years?
Mukund Kabra: You mean the spending on the R&D?
Nikhil Mathur: Yes. I mean, what is the R&D spend?
Mukund Kabra: So Rau ka ji has already mentioned it. I think that it's 9% of the AETL's number and 6% of the total revenue.
Beni Rauka: Yes, that is including the Evoxx
Nikhil Mathur: Understood. Okay. And what should this number look like going forward, R&D to sales?

Mukund Kabra: So, the numbers are going to be m ore or less same. Probably, we might spend 1% extra. We are developing our new R&D centres , right, as we mentioned last two, three times. So that is still under progress. Probably, the new building will be fi nished b y next year, maybe April May of next year, so yes. But the number will remain the same range in that time.
Beni Rauka: Let me give one clarification regarding the research and development expenditure. So what expenditure we are talking about, 6% on consoli dated numbers during FY '23 and 5% during FY '22. Evoxx, which is one of our subsidiaries, which is ma jorly into research and development, so whatever the receipts of this Evoxx is there from the research and development activities which they carry out. So when we plot our R&D expenditure, we include those expenditures as well. So that's how we are talking about the 6% and 5%.
Nikhil Mathur: Understood. Okay. And just one clarification then, so when we are talking on margin expansion going back to the 40%, that includes this 6% -plus 1% extra R&D spending?

Beni Rauka: Yes. Out of that, there are some kind of capital expenditures as well. So that, of course, depends upon every year how much capital expenditure are done that we need to definitely exclude from that overall, 9% or 6%, whatever we are saying. So capex k

eeps on spending. But recurring expenses, more or less, we see the growing trend.
Like last year, we have spent about ■245 million on our recurring expenses as compared to ■216 million on recurr ing e xpenditure during FY '22 a nd capex was about ■50 million during this year as compared to about ■16 million during the previous year. So those are kind of expenditures on stand -alone basis, which we have done from India.
Nikhil Mathur: Right. And sir, one final question, again going back to the larger picture, enzymes, I mean, when we read them theoretically, they tend to offer a lot of benefits, one of the key benefits being that in various applications, enzymes lead to better ESG compliance of your end cu stomers.
But somehow this trend doesn't seem to be getting reflected in the growth numbers for your company. So is the industry really that attractive, or is it a steady industry, where 6% to 8% growth is what the broader growth is without much pricing pow er?
Mukund Kabra: Well, most of our focus area s are the food are a, nutraceutical or the human nutraceutical area and the animal feed area. We are not rea lly focusing on other industrial side of the where we can say that you go on an environmental benefits on those areas. Those areas are not our focus areas at this point of time.
Nikhil Mathur: Got it sir. Thank you sir. Thanks for taking my question.
Mukund Kabra: Thank you. Nikhil ji.
Moderator: Thank you. The next question is from the line of Girish Shett y from Banyan Tree Advisors. Please go ahead.
Girish Shetty: Sir, first question is on your subsidiaries. So if I see JC Biotech, your Netherlands subsidiary, and SciTech, while they've been contributing in terms of sales, the contribution to tax has been negligible at the net profit. So how do we look at these three subsidiaries of yours going forward over the next two, three years?
And the sales of these three subsidiaries, they have been kind of flat over the last three, four years. So has it been due to -- I mean, because these have been acquired just before prior to the COVID period, or what has been the issue with these subsidiaries in terms of sales growth as well as negligible PAT contribution? That is my first question.
Mukund Kabra: You talked abou t JC Biotech, SciTech. And which one is the third?
Girish Shetty: Sir, Netherlands subsidiary as in which includes evoxx as well.
Mukund Kabra: So JC Biotech is more like supplying all the materials to Advanced. So I think we have increased the capacity in JC Biotech. And this year, we will have more sales from JC Biotech Advance.

So there is not real sale which is going directly to the customer side. So you don't see too much of a difference in the JC Biotech's number.
Similarly, this Netherlands subsidiar y is more like a research facility or research subsidiary , and we don't see the numbers are going to grow substantially. It gives us an added advantage on the research front and particularly on the protein protein engineering part .

The third one is this SciTech. We had a de -growth this year and quite a substantial degrowth
about ■13 crores we lost on the sales front this year. Going forward, next year, probably we see
good growth not coming to the original level, but at least around ■45 crores, from ■35 crores,
what is present level . And we see the business shoul d grow. We also launched the B2C products
this year in the Indian ma rket. Our brand is WELLFA a nd we will see how we can take the
SciTech sales with WELLFA as we move forward.
In SciTech, there was another one incident this quarter. And that was there was a fire in their
R&D facility. And because of that, we had to book around ■4 crores loss on our balance sheet.
Because even though that money is recoverable from the insurance, but still we haven't gotten it
later from the insurance com

pany. So that's the overall picture, Girish.
Girish Shetty: Okay. Sir, one more thing you mentioned about kind of 14%, 15% kind of growth for the coming
years. And you also mentioned that a lot of your costs have been fixed. And because you did not
get that growth this year, the margins were impacted. So suppose in a scenario where we are
able to do this 14%, 15% kind of a growth, how do we look at margin growth in your other
expenses? And eventual ly, how will your margins improve in that case if you do that kind of a
growth?
Mukund Kabra: The man power cost has to go up. The first target is go back to our original level s o, that is our
first t arget . Of course, on the fixed side of the cost, manpowe r costs will go up every year. But
most of the other expenses will remain flat.
Girish Shetty: Okay, will remain flat. I think the other expenses that you, like 138 crores, it will be same r ange
for the coming years as well?
Mukund Kabra: Raukaji , do you have anything on that, other expenses? Raukaji? Girish, the way I look at it,
those numbers should remain flat. They will grow with some percentage but not to those levels.
Girish Shetty: Okay. And so like 15% growth. And in terms of margins, you' re saying like we did around 28%,
29% EBITDA margin, right, this year? So your normal margins should be around 38%, 40%.
That is a fair assumption for your EBITDA margin?
Mukund Kabra: Those are the first steps. As you know, on quarter -on-quarter, we want to go back to those years,
meaning you can see where do you stand.
Girish Shetty: Okay. Understood. And sir, any update on the U.S. business, I wanted to know. So we were
growing quite well. If I exclude the loss of the top customer you had, you were still -- excluding

that, you were growing at a 14%, 15% rate, excluding the FY '23. So what should be the expected
growth from this business? And we had this flat year, right? Like I can see 9% degrowth in the
U.S. business. So how much can be attributed to cur rency fluctuations? And if I say like -for-
like, how much has the business grown or degrown for FY '23?
Mukund Kabra: So I think as we already mentioned, we've degrown by 15% in terms of dollars and 9% in terms
of rupees because of the currency we look at i n the U.S. Going forward, this year, we see about
10% of growth in the -- because of the second half numbers, what is going to come on. The next
1 or 2 quarters will remain flat.
Girish Shetty: Okay. And this 15% decline has been the market rate of decline as well, as in overall market has
declined at that rate, is it?
Mukund Kabra: I'm not tracking the overall market, Girishji. I can't comment on that. Th at is what we can see
on the reces sion front.
Girish Shetty: Okay. And sir, your India business has don e like 9% growth for the full year. So what has
contributed to this growth as in the segment which has done well in India geography?
Mukund Kabra: So Indian geography, we had grown by 14% on a year -on-year basis, roughly. And all of the
segments have contr ibuted. Yes, I think all our segments have contributed. The major
contributio n is coming from the human side as well as food business and bio -processing business
areas.
Moderator: The next question is from the line of Kunal Thanvi from Banyan Tree Advisors . Please go ahead.
Kunal Thanvi: So I had two questions. One was on as a business, when you see that Novozymes is there and
we are also kind of, our product is very niche with a lot of customer stickiness. How does the
pricing power plays in this industry. As you rightly mentioned that Novozymes took some 10%,
15% hike on all the products, what is our ability to take price hikes with our customers than in
times when we are seeing significant volatility in the raw material, freight and othe r stuff that
you m entioned? how does one look at pricing power for

us?
Mukund Kabra: The way we look at it is this is the opportunity that Novozym es or other people goes on and

increase their prices. What we need to give a message to our customers or the future customers that we are there. We are there to support you at this given time. And honestly, we haven't really gone to increase the prices. We kept the prices still.
Kunal Thanvi: And then does it mean that our margins would always be kind of cyclical depending upon our raw material prices?
Mukund Kabra: Honestly, the raw m aterial prices really don't make too much of a difference in the margin. There's been a couple of percentage here or there. But you can always compensate that with the increase in the sale. That is wha t our philosophy is.
Kunal Thanvi: So it's like more of volume over value approach that we have?

Mukund Kabra: Yes, we need to increase the volume. I just want you to understand what we need to have is more business rather than really looking for the incr easing the percentage of margins. And that is why you need to differentiate, give the message to the consumers that we have got.
Kunal Thanvi: Sure, makes sense. So now the second question is related to it. Then if I look at the U.S. business this year, that kind of came down. And you rightly mentioned about the currency. Sir, can you help me understand how the volumes have played out in the U.S. business? And what were the key reasons why we saw this kind of decline?
Like did we kind of lose traction in a particular product or a set of products? Because in your opening remarks, you had mentioned that you have launched two new products, which are expected to get executed in the second half of this year. So if you can give more color on the volume degrowth in the U.S. market, key reasons for it? And when you say like this year, we will see comeback of the U.S. market, what would be the levers for the same?
Mukund Kabra: As I mentioned that there is a recession and recessionary trends and there is a de -growth in the volume as well when we talk about the 15% de -growth in the U.S. market. What I said is we did launch two other segments in the U.S. market. And the few of the seg ments are in the weight area a nd the another area is in sugar management and weight loss area. And these two products, sugar management, weight loss products have really -- we see a lot of traction in this market. We are getting some long -term orders also and we see these new launch products should take us back on to the track that we want.
Kunal Thanvi: And when we say 15% growth that, of course, means the U.S. market will slightly grow at a faster rate. And with these new products contributing the growth in the U.S. market from the existing products also coming back would be higher. Like because -- then why should we not grow at a faster rate? Because the existing products should also at some point of time come back. And then these new products that you're talking about, how does one kind of...
Mukund Kabra: What we can map is just for a year or near future, right? We cannot map for a longer period. Longer period, there are always going to be variations. And at this point o f time, what we can map is for a y ear. And that is the mapping that we are doing there. The s ale at this point of time, the U.S. market should be 9% to 10% of the growth this year's number with last year's number. And taking those numbers forward will come up with about 15% of the growth t his year.
Kunal Thanvi: Sure. And another question that I had was on human nutrition as a business. Like if you see that segment as a whole has been kind of flattish this year. So this is largely to do with the U.S. market slowdown or the Indian business a lso had some headwinds in this segment?
Mukund Kabra: So human business has gone up as I mentioned, all the areas have gone u

p , right? When we talk about a major portion of the human nutrition business is coming from the U.S. and 15% in terms of dollars or 9% in terms of rupees, even there, they're flattish number in the human nutrition are okay a nd that just cont ribute because of the Indian market.

Kunal Thanvi: Sure. Got it. And when we talk about a large number of products in the pipeline, you mentioned some 25 products, which are the segments that are -- we are trying to focus more? Is it the animal nutrition or human nutrition? And the recent growth th at we are seeing in animal nutrition, is it driven by newer products or is this existing products that are getting more volumes?
Mukund Kabra: So the growth what we see with new products which we will launch, and even the human nutraceutical side, we are w orking on these two areas, in this area of sugar management and

weig ht loss areas. We are also working the R&D for our new products, how do we improve our quality g oing forward? So currently, product number one, going forward, how do we make product plus? And going forward again, how do we make product plus -plus?
So those are the focus areas for us on the human nutraceutical side on the R&D. We are working on a lot of enz ymes on the food area. Also we are working a lot of enzymes in the biocatalyst area and there are some different products and different ways how do we launch into the animal feed area. But major focus which is going on the new products side is on the human nutraceutical and foo d areas and Bio -catalysis .
Kunal Thanvi: Okay, got it. Sir, my fi nal question was on the margins. Like while we have already touched upon margins a couple of times in this call, but just to clarify, you mentioned that this year, we should be doing around 13%, 15% kind of growth. And a large part of that would come in th e second half of the year, given the product launches and the long -term contracts that you see. And you also mentioned that the margins would kind of -- we kind of want to go back to the historical number. So is it fair to assume that we aspire to close th is year with 40% margin, operating margins?
Mukund Kabra: We cannot comment on it at this point in time , Kunal . That should be our target in the long term to go back to the -- those levels. But yes, we should see some improvements from where we are at this point of time.
Moderator: The next question is from the line of Shreyans Gathani from SG Securities. Please go ahead.
Shreyans Gathani: So I had one question, which was around WELLFA . So I see that the products are launched on Amazon and your own website, too. So I wanted to know what is the strategy in terms of growing sales around that? Because if I see certain competitors who are selling on Amazon and look at their financials, so like revenues are pretty high.
But since it's a B2C model, they're spending heavily on advertisements, probably loss -making on that. So I just wanted to know what is the strategy on that? And what kind of margins are we looking at because of ad spend. So how do you balance growth and margins? Just one question on that.
Mukund Kabra: So WELLFA, we did launch. But we are not taking up the revenue numbe r when we're talking about overall projections what we have. We are conservative in terms of going into the B2C also. S o we will be spending about ■3 Crore this year on the WELLFA brand to develop and we

will see what progress we make. Most of the strategy is based on the internet based marketing as well as some store marketing. But we are not going very aggressively on spending the money.
Shreyans Gathani: Okay. So because a lot of these competitors, like a lot of private equity -backed dry powder to just spend on, so just wanted to understand. It's v

ery helpful.
Mukund Kabra: We will do this again as we get the sales and as we move on. So this is the initial number of what I was talking about this year. You will see every quarter, you will see that if there is no progress, we may reduce those numbers.
Moderator: The next question is from the line of Jana, an Individua l Investor. Please go ahead.
Jana: I think my question, already someone asked and got the answer.
Moderator: The next question is from the line of Gaurav Nigam from Tunga Investments. Please go ahead.
Gaurav Nigam: Sir, first, two book keeping questions. What is the revenue share of top 10 clients in FY '23? And what is the contribution of top product in the overall sales in FY '23?
Mukund Kabra: So Raukaji can answer that. First question, Raukaji already said it's 24% for the last one.
Beni Prasad Rauka: So top 10 customers is about 24% in FY '23.
Gaurav Nigam: And top products, sir?
Beni Prasad Rauka: And that is also 24%.
Gaurav Nigam: Okay. And sir, just one more question. You alluded to India pharmacies in your statement. Could you please help, sir, understand how much was the India pharma sales in FY '23?
Beni Prasad Rauka: Yes, India pharma sales?
Gaurav Nigam: Yes.
Beni Prasad Rauka: So for financial year '23, you are asking, right?
Gaurav Nigam: Yes.
Beni Prasad Rauka: I mean, I'm giving you the complete breakup. So that will be very helpful when we talk about human nutrition, pharma is one of the areas. So it is ■1,475 crores. This is abo ut 27% of my top line as compared to 23% in FY '22.
Beni Prasad Rauka: So I think one question that was regarding our fixed expenses and variable expenses, which we grow, say, for 15%, then how our expenses are going to go up? So I mean, the fixed expenses are generally about 45% to 50% and variables are between 50% to 55%. So as we grow our top

line, the variable expenses could be in that same kind of increase in expenses. But yes, the fixed expenses will not at all grow.

And there will be some components which may grow, as Mukund has already mentioned about it, which is the payroll costs, which may go up because that is generally every year, there's annual increment is given. So there could be an increase in overall expenses when we talk about the fixed ex penses side. But other than that, I mean, we are kind of FY '23 at the highest level of expenses in that sense because all the limited cost has already been absorbed. And going forward, we don't see any -- this kind of unprecedented inflation and increase in the expenses.
Power and fuel is a kind of cost which is semi-variable. So some component is kind of fixed and there are some expenses which every year keep s on increasing irrespective of like Mukund has shared about, the coal cost. But now coal cost has kind of stabilized. But yes, the power tariff is most likely to be increased because of the impact of the prices of the fuel.
I hope I have answered that question with regarding the fixed expenses and variable expenses. So as we grow, if the increase in t he sales number is, say, 1%, likely impact on our profits will be very positive. That's what I can say about it.
Moderator: We have the next question from Shreyans Gathani from SG Securities. Please go ahead.
Shreyans Gathani: Just one more question. So I wanted to understand what is the product differentiation that you have like in Europe and the Americas. So I see that -- witnessed a very different level of growth in Europe. And there's -- Americas has like a strong de -growth, whereas overall markets are pretty similar in terms of recessionary pressures. So just wanted to understand if the products are mutually exclusive. Or how are you selling in those two different markets?
Mukund Kabra: America is like more focused on the nutraceutical area, right? And it's more on the h

uman area .
While in Europe, w e don't sell much of a product in the human nutraceutical area. Our major sales is coming from the foo d area. And as I mentioned, about the gas prices and other things and the cost impact that these people a re facing and that is where they started looking for other alternatives. And that is where growth started coming in.
Shreyans Gathani: Okay. So are we looking at selling food -related products in the American market? Or are we going to stick to the same produ ct profile that we currently have?
Mukund Kabra: We starte d working on it. We started building the team in the U.S. market at this point of time. But it will take some more time.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Ronak Saraf for closing comments.
Ronak Saraf: Thank you, everyone, for taking your valuable time for attending our earnings con call. We will keep you all posted for any further updates. I request you all to kindly send in your questions that may remain unanswered. An audio recording and the transcript of this call will be uploaded on our website in due course. Looking forward to host you all in the next quarter. Until then, stay healthy, stay safe.

Moderator: Thank you. On behalf of Advanced Enzyme Technologies Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2023

Dear Sir/Madam,

Sub: Transcript of Conference call held on August 16, 2023 for Un-audited Financial Results for the quarter ended June 30, 2023

In furtherance to our intimation letter dated August 07, 2023, please find enclosed the Transcript of the Conference call held on Wednesday, August 16, 2023 with Analysts and Investors for the un-audited Financial Results of the Company for the quarter ended June 30, 2023.

The aforesaid information is also being uploaded on the Company's website.

Kindly take same on your records.

Thanking you,
Yours Faithfully,

For Advanced Enzyme Technologies Limited

____
Sanjay Basantani
Company Secretary and Head - Legal
Encl.: As above BSE Limited
Department of Corporate Affairs
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Email: info@advancedenzymes .com, www .advancedenzymes .com
August 23, 2023
To

"Advanced Enzyme Technologies Limited
Q1 FY '24 Earnings Conference Call"
August 16, 2023

MANAGEMENT: MR. MUKUND KABRA – WHOLE-TIME DIRECTOR – ADVANCED ENZYME TECHNOLOGIES LIMITED
MR. BENI PRASAD RAUKA – GROUP CHIEF FINANCIAL OFFICER – ADVANCED ENZYME TECHNOLOGIES LIMITED
MR. RONAK SARAF – MANAGER, INVESTOR RELATIONS – ADVANCED ENZYME TECHNOLOGIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Advanced Enzyme Technologies Limited Q1 FY'24 Earnings Conference Call. As a reminder, all participants are in a listen -only mode and there will be an opportunity for you to ask a question after the presentatio n concludes. Should you need assistance during the conference, please signal the operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand over the conference to Mr. Ronak Saraf. Thank you, over to you, sir.
Ronak Saraf: Good evening, everyone. Welcome to Advanced Enzyme Technologies Limited Q1 FY '24 Earnings Conference Call. I am Ronak Saraf, the Manager, Investor Relations here at Advanced Enzymes. We hope you all have gone through our fina ncial, press release and the presentation, which has been posted in the Investor Relations section of our website.
Today, we have with us Mr. Mukund Kabra, Whole -Time Director; Mr. Beni Prasad Rauka, Group CFO. Today, the management will discuss the performance and business highlights, update on strategies and respond to any questions that you may have. As is usual, for ease of discussion, we will look at the consolidated financials.
Before we proceed, I would like to draw your attention to the forwa rd-looking statement contained in the presentation . During our call, we may make forward -looking statements regarding our expectations or predictions about the future. Because these statements are based on current assumptions and the factors that may invol ve risk and uncertainty, our actual performance and results may differ materially from our forward -looking statements.
Now without any further ado, we shall commence this call. Over to you, sir.
Mukund Kabra: Thank you, Ronak. Good evening, everyone. I rea lly appreciate you all for taking out your valuable time, and I welcome you all to the conference call for the quarter ended 30 June 2023.
It i

s a good start to financial year '24, although the global business environment and geographical situation remaind sensitive.
The raw material prices are more or less stabilized, but we are still experiencing higher power and fuel cost. We hope this scenario to settle down in the coming quarters. The company's overall performance improved on a year -on-year basis. The growth in the numbers are essentially driven by human nutrition business and bio-processing business.
Now I will take you through the quarterly performances. Now as far as the quarterly performance, our top line stood at INR 1,473 million, grew 22% on a year-on-year basis and 6% on a sequential basis in qua rter 1. Our EBITDA stood at INR 440 million, grew by 42% on a year-on-year basis, while it remained flat on a sequential basis. We have witnessed a significant growth of 67% in the bottom line on a year -on-year basis, while on a sequential basis, it has declined by 8%.
On the margin side, EBITDA margin stood at 30% and PAT margin stood at 20% during the quarter 1. Now I will just h ighlight the different segments. The human nutrition segment outperformed during the quarter and remains highest contributor in the revenue by at 67%. It Advanced enzymesIVtiL'ful.X/YMl'lbLilt'

grew by 23% on year-on-year basis and 13% on a sequential basis. Pharma, API and biocatalyst in domestic markets and nutrition in the international markets prim arily supported the numbers in human nutrition.
Our animal nutrition business contributed 11% to the revenue in quarter 1. It grew by 1% on a year-on-year basis, while it declined by 23% on a sequential basis. Bio-Processing business, during this quarter performed really w ell and contributed 15% to the revenue. I t grew by 22% on a year-on-year basis and 17% on a sequential basis.
The specialized manufacturing segment contributed 7% and grew by 50% on a year -on-year basis while it declined by 14% on a sequential basis. We anticipate continued growth in coming times. We will continue our focus to enhance customer value propo sition and deliver long-term

sustainable growth going ahead.
With this, I will now hand over the call to Mr. Beni Prasad Rauka. He will walk you through th e financials and key subsidiary numbers.
Beni Prasad Rauka: Thank you very much, Mukund. Good evening, everyone. I hope you all are in good health. On the company's consolidated financials for the first quarter of fiscal year 2024 year -on-year basis, that is Q1 of FY'24 versus Q1 of FY '23, our revenue increased by INR262 million from INR1,211 million to INR 1,473 million. This is 22% of increase.
Our EBITDA has increased by INR 131 million from INR309 million to INR 440 million, registered an increase of 42%. Profit before tax increased by INR177 million from INR237 million to INR414 million. Our profit af ter tax has increased by INR118 million from INR176 million to INR294 million which about 20% of our revenue.
On Q-on-Q basis, which is sequential basis Q1 of FY'24 and Q4 of FY'23, our top line has increased by INR86 million from INR 1,387 million to INR1,473 million. The EBITDA is about INR440 million as compared to INR 441 million. Profit before tax is down by INR7 million from INR421 million to INR414 million. Profit after tax is down by INR27 million from INR321 million to INR294 million. We'll explain the reasons of slightly downtrend if we compare on sequential basis. We'll give you some more perspective as we go forward.
Our subsidiary numbers are as follo ws: JC Biotech, where we have about 90% o f holding. The top line was INR134 million, as compared to INR107 million in Q4 and INR 146 million in Q1 of last year. So, we have Q-on-Q 25% increase, year-on-year, it is down by 8%.
EBITDA of JC Biotech stood at I NR9 million in Q1 as compared to negative EBITDA of INR3 million in Q4 and INR19 mil lion positive in Q1.

PAT for this quarter was negative by INR1 million as compared to INR 10 million of negative PAT in Q4 and INR 7 million of positive PAT in Q1. So, JCB is showing positive trend in this quarter as compared to the previous quarter.
Evoxx, the topline stood at INR 64 million as compared to INR 68 million in Q4 and INR6 9 million in Q1. EBITDA in this q uarter is negative in Evoxx INR7 million as compared to INR 14 Advanced enzymesIVtiL'ful.X/YMl'lbLilt'

million in the previous quarter and INR 18 million in the first quarter of previous year. Evoxx profit after tax is negative this quarter, INR13 million as compared to INR 11 million of positive PAT in Q4 and INR8 million of profit after tax in Q1 of last y ear.
SciTech top line stood at INR97 million, and EBITDA is INR4 million, PAT is INR1 million as compared to INR117 million of revenue in quarter 4 and INR 24 million of EBITDA in quarter 4 of last year and PAT was negative in quarter 4 . Last year quarter 1 top line was INR66 million and EBITDA of INR2 million negative and PAT was negative of INR 14 million. So, SciTech is also going in a positive direction in this particular quarter.
The sale of our largest product, anti -inflammatory enzyme stood at about 24% of our top line consolidated basis. This was 24% in Q4 of last year and 23% of quarter 1 of last year. The top 10 customers contributed 26% of our t otal revenue in quarter 1 of FY '24 as compared to 30% in quarter 1 of FY'23 and this was about 26% in qu arter 4 and last year, for the full fi nancial year, it was about 24% of our top line.
Now we'll give you some numbers on R&D. On standalone basis, R&D spend in Q1 was about INR62 million. This is about 4.2% of our consolidated revenue as compared to INR79 million of R&D expenditure, which is about 5.7% of our consolidated revenue. And in Q1 of FY'23, we spent about INR76 million on R&D, about 6.3% of our consolidated revenue. Now when we look at the R&D spend after eliminating the expenses we have incurred in our subsidiary company, Evoxx, the consolidated R&D spend was INR 41 million, about 3% of our consolidated revenue as com pared to INR61 million in Q4 of FY '23, about 4% of our top line. And in Q1, we spent around INR 52 million, which is 4% of our top line. In FY'23, we spent about 4% on R&D on a consolidated basis as compared to 3% in FY '22.
So, this was from my side. Now we shall open the floor for question -and-answer session.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Shreyans Gathani from SG Securities. Please proceed.
Shreyans Gathani: I have a couple questions. So, the first one is related to the animal nutrition business. It seems like a pretty sharp fall from the last year's trend. So, I'm wondering if there's like a loss of customer or because we've seen a secular rise in the business and the current revenue goes -- at to what we had over a year ago. So , I just wanted to get some color on the revenue d rop in the animal health business?
Mukund Kabra: Shreyans, we don't think there is any loss of customer. But generally, it's a qua rter-on-quarter,

we cannot judge in the animal feed business or any other bu siness. On the quarter-on-quarter basis, basically in animal feed, there are a lot of like export shipment also happens. And if the delivery is not there, then there are these sales reversals as well. So , it's very difficult to judge animal feed business on a quarter-on-quarter basis. We haven't lost any of the customers, and we still expect the growth in this year in the animal feed business.

Shreyans Gathani: Got it. Okay. Okay. And for the geographical segment, so is there any new geography tha

t we've
added, like I see there's a huge jump in the r est of the world revenues. So, are we targeting other geographies and if you could include that obviously from the r est of the world because it seems like a significant jump from last quarter.
Mukund Kabra: It's again quarter-on-quarter. So, in some of the geographies, at some point, yo u will see the higher sales in some of these geographies you will see the lower sales. So , the geographies remain the same, wherever our focus is, but it's an increase in the business overall, that is what we expect.
Shreyans Gathani: Got it. Got it. And regarding the margins, so as of now, if I see the margins, so there's from the peak margins. We've lost some of the margins due to the gross -- on a gross margin level and then there's like power and fuel, which you mentioned. Besides that, we also I see that in the annual report is like higher legal fees, which I don't know if we are -- if this going to continue because of the spend on the dossiers that you're filing or how do we loo k at that going forward?
Beni Prasad Rauka: So, gross margin is like it all depends on many times on product mix issue also. Of course, earlier in FY'22 and FY'23, in particular, the raw material pri ces and input cost has inflated. S o, because of that, if you really look at the gross contribution, it was like slightly lower in FY'23 and that continues to be there, although we have seen some kind of softening of the input prices. So , that is not a big difference. Frankly speaking, it is about a 1% change in that sense from a gross margin of 76% to 75%, that is the kind of scenario.
So, not the big difference in that sense, but if you really compared with FY'22, FY '21, there is a lot of difference because of -- number one, it is inflationa ry impact on the input cost. Number two, it again depends on the sales mix.
Shreyans Gathani: Got it. Yes. So, I was mentioning like FY '21 -'22. So basically, is it correct to assume that our U.S. business contributes to the highest margins and then the other ones are lower margin or margin diluted on the U.S. business?
Mukund Kabra: You're right. Like if you even look into this quarter, our U.S. business is more or less flat on the first quarter -- from the last quarter, I guess, so first quarter, right? W e do expect -- and in the last call also we said that the first two quarters are going to be more or less flat, and we do expect the growth to come from the third, fourth quarter, somewhere. So , we still wait for the U.S. business to grow to really improve on the margins basically.
Shreyans Gathani: Got it. So, that just pretty much contribute to the current around 30% EBITDA margin is what slightly lower than the U.S. business is what I'm assuming?
Mukund Kabra: Yes. So, Indian business is more or less 30%, right?
Beni Prasad Rauka: Yes.
Mukund Kabra: Yes. So Indian business is around 30% on the EBITDA margin.

Shreyans Gathani: Got it. That’s it from my end. Thank you.
Moderator: Thank you. Our next question is from the line of Lakshminarayanan with Tunga Investments.
Please go ahead.
Lakshminarayanan: You mentioned the top product is 24% of the consolidated sales from this year, right -- for this quarter, right?
Mukund Kabra: That is right, Mr. Lakshminarayanan ji.
Lakshminarayanan: Okay. Second, in terms of the India pharma sales for us, can just give me the num bers of how much is that for FY'23 and also for the current quarter compared to the previous quarter of same -- of previous year -- I mean -- sorry, Q1 of FY'23 and Q1 of FY '24 of Indian pharma sales?
Mukund Kabra: One minute.
Beni Prasad Rauka: Yes. So, Lakshminarayanan ji Q1, it is INR539 million as compared to INR499 million in Q4

and INR378 million in Q1 of last year. And international sales is about INR 456 million in Q1,

INR378 million in Q4 and INR429 million in Q1.
Lakshminarayanan: Got it. This is with sales -- this is international sales?
Beni Prasad Rauka: Yes.
Lakshminarayanan: Got it. Got it. And what is U.S. nutraceutical sales?
Beni Prasad Rauka: It's about U.S. is INR404 million as compared to INR321 million and INR 348 million.
Lakshminarayanan: And when you started the year in terms of your plans for the full year, so far, what has actually given you positive surprise and what is actually not going as per your plans?
Mukund Kabra: I think Lakshminarayanan more or less, there is no surprise. These were like all factored in at this point of time.
Beni Prasad Rauka: Overall, Lakshminarayanan we can say this particular quarter is operationally better than quarter 4 because when we compar e some one-off items in quarter 4. And if I eliminate those one -offs, then we could see that the EBITDA margin, which appears to be lower in terms of percentage from 32% to 30%. This is at the sam e level number 1, rather it has increased by INR 34 million in absolute term and 8% increase in EBITDA margin as compared to 6% growth in my top line. And if I take the impact of all these one -offs on my profit before tax, so this is higher by about INR51 million in this quarter. So , there is an increase of about 1 8% in my profit before tax. And profit after tax also, there is a increase on overall basis after looking into the one -off items and taking out the tax thereof, so overall, I mean, the profitability is also increased by about INR 22 million, so 8% of increase in my profit after tax. So , when we look at operationally how efficient we were in this quarter, this is much better than our previous quarter. Advanced enzymesIVtiL’ful.X/YMl'lbLilt‘

Lakshminarayanan: Got it. And how seasonal business or how you think it is going to be for this year, Q1, Q2, Q3, Q4?
Beni Prasad Rauka: I don't think it had any seasonal impact as such except what happens in animal feed business sometime in Q4, there's a little bit of push in sales, probably in domestic market.
Mukund Kabra: Lakshminarayanan since we are present in the most of the different, different areas, somethi ng balances the other, right? Although like the fourth quarter is generally the best in terms of -- because there is some push is always there in the fourth quarter.
Lakshminarayanan: Got it. Got it. Okay and sir, in terms of our -- we had some pricing pressure in our top product, right? And how is that -- has panned out -- as the competitive intensity in that segment has levered off or you still see that prices are on the check?
Mukund Kabra: We will continue our strategy. And if you really look at it, our sale has increased. I think the increase is significant, right? Even like if you compare with the last quarter, it's more than -- 26%, right? So, we'll continue with our strategy Mr. Lakshminarayanan.
Beni Prasad Rauka: On Q-on-Q, also, there's a 8% increase in the top product.
Lakshminarayanan: Okay. Okay. What is the comfortable band of margin or return on equity you'd like to operate in for the next couple of years, which is very comfortabl e to you in terms of the margin band or the return on equity, whichever way you look at it?
Beni Prasad Rauka: I mean our efforts are always to maximize our return. But then as you have also observed from the numbers that our equity has gone up substantial ly and of late, we have accumulated a lot of cash on the books. So, getting the same kind of profit from investment is a little bit challenging. So, we are looking for some other possibilities where we can earn more and maximize our return on equity and all our return ratios.
Lakshminarayanan: Got it. And what has been our people intake for the last financial year, what is the planned intake of scientists as a percentage of your base? And has it increased over the

last year, number of new people you're actually boarding on?
Mukund Kabra: R&D strength you're talking about Mr. Lakshminarayanan.
Lakshminarayanan: Yes, yes, yes R&D, yes.
Mukund Kabra: So, the -- in terms of number of people last 1 year, we have increased the people almost 20%, 25%.
Lakshminarayanan: And how do you think in y our attrition in the R&D space 20% is the gross number or the net number, sir? Advanced enzymesIVtiL’ful.X/YMl'lbLilt‘

Mukund Kabra: Gross number I'm talking about, 25% and there is an attrition also is there -- significant amount of attrition was also there in the last year. And this year, we really notice like we have come up with the ESOP plan as well in this quarter in this last Board meeting.
Lakshminarayanan: So, the net addition would be around 10% or it would be lower than that adjusting the attr ition?
Mukund Kabra: It was on a higher side last year and this year it is on the lower side from what we are doing, and we expect somewhere around 10% this year.
Lakshminarayanan: Got it. Sir, and any client wins you have on an annual basis, how many new clients you actually had either in the U.S. or in Europe a nd how do you think it would happen for thi s year in terms of the absolute number of clients increase?
Mukund Kabra: We don't track the number of clients, honestly. It's very difficult for me to say how many clients we have added or not, right? I mean some of the like when we talk about animal feed business, some of the -- most of the business also happen through the distributors level. So , it's very difficult to talk about on the number of clients. We help distributors to get the client, but we don't track them.
Lakshminarayanan: All right. Thank you so much. I will get back in queue.
Moderator: Thank you. Our next question is from Abhishek Sinha with Bodh Capital. Please go ahead.
Abhishek Sinha: I just wanted to ask a broad question to really understand what has been happening in the industry over the last 4 years, 5 years. I mean in terms of competitive intensity, have you witnes sed any significant competitors, gaining strength or market share, in any particular segment that you operate in, not specifically in the top product?
Mukund Kabra: So yes, you are right, Abhishek, we did replace some of the competitors, particularly into the food areas, in the animal feed areas. The biocatalyst is the are a like where we are developing the solutions. So, I want say that it's a replacement, it's a market creation, a new market creation. Yes, we have replaced some of the competition in the -- even into the pharma segment, whichever is there. So, it's always there. So, intensity of the competitors defer geographically and segment-wise. So, there is no one single competitor. And I can't just map it exactly what is -- and I can't give it right away, what is happening in which segment because it's a big question, right?
Abhishek Sinha: Yes, sir. Sir, my question was particularly from a domestic point of view because in India, we don't see a lot of competitors gaining strength. So , is it that Novozymes and the other players DSM -- some of them are participating in t he Indian market. I mean I wanted to understand what are their strategies and what are their growth trajectories as compared to us?
Mukund Kabra: So Novozymes like strategy is more into the detergent areas, more into the textile areas, more into the starch industry, more into the what I can say -- so these are the basic focus areas. Our focus areas are animal feed. We are getting into the food area, a different field -- I won't say that Advanced enzymesIVtiL'ful.X/YMl'lbLilt'

we are replacing Novozymes here in India. We are developing a new appli cations out here. In the animal feed like it really like there are a lot o

f different competitions are there and different small, small players are also there. I won't say that we are replacing exactly the competitor. In the pharma sector, there were like some of the traders, which we replaced in this quarter also.
Abhishek Sinha: Okay. Got it, sir. And sir, how are things progressing on the food enzymes in Europe, we have already filed for some dossiers and got positive response?
Mukund Kabra: So, I think like this quarter was good, but I won't want to comment just because of one quarter because there are certain businesses which are like -- on some quarters, they make come quarters they won't. But overall, we expect good growth this year in the fo od business.
Abhishek Sinha: All right. And sir, in terms of India's consumption, especially food enzymes, how -- I know it's a very difficult question to answer, but I just want to get a sense of where India stands against the developed economies in terms of enzyme consumption is it going to be 5 years or 10 years trend that will -- India will take to catch up?
Mukund Kabra: I think India has a lot of potential, and our food enzymes consumption is on a really lower side. Honestly, like I feel there is a big potential as we grow, and the earning power of the people will grow and probably that will be the time when this market will really grow. If you ask me at this point of time, Indian market is very, very minimum, and it's growing, but not to that level.
Abhishek Sinha: Got it, sir. Okay, thank you sir.
Moderator: Thank you. Our next question is from the line of Punit Patni with CRED PMS. Please go ahead.

Punit Patni: Sir, how much revenue we would generate from the biocatalysis segment?
Mukund Kabra: For this quarter Punit ji?
Punit Patni: Yes, this quarter.
Beni Prasad Rauka: About 6% of our revenue has come from this particular.
Mukund Kabra: About INR8.6 crores, roughly.
Punit Patni: Okay. And what is your long -term strategy for this segment and how much growth do we expect in the long term?
Mukund Kabra: We expect a good growth in this ar ea. As we already mentioning that a lot of our research is going into this area. We are developing a lot of good enzymes into these areas. Some of the enzymes are on a trial scale probably of the business may start into the end of this year, maybe about third or fourth quarter. Over a longer period, we feel this area should grow and a lot of research focuses into this area. That's what I can say. Advanced enzymesIVtiL'ful.X/YMl'lbLilt'

Punit Patni: Okay. And my next question is regarding the proposed merging of Novozymes and Chr. Hansen. So, do you expect any impact of the merger? Any competitive intensity increasing because of the margin?
Mukund Kabra: We don't expect anything on us in real sense because -- and the changes what you're looking into Novozymes as well right now is , they are withdrawing from the most of the enzyme business and some of the enzyme business and they are focusing more on to the protein areas, fermentation protein basically maybe because of the cost structure and the other structure s that is what we are looking at it, at this point of time, more picture will be clear as we move in maybe in the next two quarters, three quarters. So, it's interesting, but I don't feel like there is a much of an impact because of the merger.
Punit Patni: Okay. Just one last question if you permit. So , any competitive intensity from the Chinese players increasing or do you actually faced some competition from the Chinese players because there isn't much information about the Chinese enzyme market?
Mukund Kabra: So, some of the areas, China is strong in few of the enz ymes and where they produce bulk, but most of those areas, we are not selling. So , we don't see a lot of competition into these areas. Some of the competition come in the API area, particularly in

to the biocatalyst area wh ere they supply the finance API into the Indian market, and our enzymes has to be cost effective to really compete with their API prices. But on the enzymes front , we are not really directly competing with China.
Punit Patni: Okay that’s from my side. Thank you.
Mukund Kabra: Thank you Punit ji.
Moderator: Thank you. Our next question is from the line of Shreyans Gathani from SG Securities. Please go ahead.
Shreyans Gathani: Thanks for the follow-up. Just a couple of questions. So just wanted to know what is the update on the R&D center that you are building in Nas ik. It seems going on for a while. So , I just wanted to know when you would complete and start hiring for that -- for the R&D center?
Mukund Kabra: At this point of time, we're building a huge first building, which is about 10 0,000 square feet, which is a 5-floor building. At this point of time, we expect the first slab to go on the 15 September. We expect this buildi ng to complete by the next December, s omewhere around that. So, it's quite a while to really -- to induct the people in the R&D center.
Shreyans Gathani: Got it. Okay. So, this would consolidate all the R&D -- like facilities or every R&D projects that will get under one roof for the company?
Mukund Kabra: I won't say that it will consolidate all the R&D into one roof, but most of the back -end R&D will happen out there. Advanced enzymesIVtiL'ful.X/YMl'lbLilt'

Shreyans Gathani: Got it. Okay. Okay. And just 1 question on WELLFA. So , just if you give how that's progressing? What's the response on that and what's the strategy from here?
Mukund Kabra: So, WELLFA is as you know B2C business takes longer term. At this point of time, we don't expect any revenue this year as well, in the initial also we said that probably it will take couple of years to get into the revenue mode. At this point of time, we are focusing on Amazon and

some other website selling, so we will see in the further times how does it pan out.
Shreyans Gathani: Got it. Okay. Just one thing like could you just give some color on what kind of product launches are you looking at for this year and like in the pipeline that you have right n ow in which areas specifically, I know you mentioned about the biocatalyst area, and if you could just give more detail I hereby would be helpful?
Mukund Kabra: So, I won't be able to give you exact APIs where we are targeting at this point of time because of the competitive nature, but yes a few products in those areas and few products in the nutraceuticals areas. Some of them are already there and some of them are under the trial.
Shreyans Gathani: Okay. Thank you.
Moderator: Thank you. Our next question is from Lakshminarayanan Tunga Investments. Please go ahead.
Lakshminarayanan: Couple of things, what is your outlook for the freight expenses as well as the raw material expenses for the year. And there are fluctuations on both the fronts in terms of transportation, freight expenses and raw material expenses earlier?
Mukund Kabra: Raw material is softening. Some of the raw material is softening, although they didn't come to the original level, but we think that more or less, it will stabilize. In terms of freight expenses, they also came down from the top. And still, they are on a little bit on a higher side, but still, it's okay kind of thing.
Lakshminarayanan: Got it. And given that we had gone through the big fluctuation in both the fronts, how have you thought through this from derisk view, you now contracted raw materials, how are you hedging risks these which may again emerged in the future o r is it -- that it's always like this, it would be fluctuating and we don't -- we cannot hedge?
Mukund Kabra: No, we don't hedge it, Lakshminarayanji honestly, because a lot of raw materials are agriculture based,

but when we really look at it in terms of the sale value to this. This is about 24%, 25%, and we just don't want to do all the hedging from the -- let's say, from the commodity exchanges basically. So, we don't hedge it, most o f that time.
Lakshminarayanan: Honestly, the type of hedging you talked about, the other is to buy more and stock more, right? So, have you changed your procurement policies as well as freight booking policies?
Mukund Kabra: We don't import too much. Most of them comes from the domestic. So, the freight really affect when we sell, because many of the sales are CFS instead of procuring. And there is always a restrictions in the -- on how much material you can store basically and since it's most of them Advanced enzymesIVtiL'ful.X/YMl'lbLilt'

are commodity based as well, like they also get, for example, so it will make it rancidity. So, you don't want to -- big inventory on those fronts. We don't have too many big godowns where you can really just store them. So , we don't really look into the hedgi ng all of those kind of things. We can stock inventory for two months , three months but not beyond that.
Lakshminarayanan: Sorry!
Beni Prasad Rauka: So, two months to three months of inventory is okay, but not more than that, because that impacts again, your ultimately the finished goods because you need to use it for various purposes for fermentation and all that. If there is any issue with regard to that, then the impact is on overall profitability in that sense. So , how much we can keep is something like we have some kind of timelines that is what we stick to it. And of late, as already mentioned, now the r aw material prices are softening and, I mean, now we don't see any kind of adverse impact provided the situation continues to be the way it is now.
And freight prices also, to a great extent, have stabilized. So , the issue where we used to pay 3x of what we have been paying earlier that time is also kind of gone. I mean many of the input costs now stabilized, except power and fuel cost, this is not -- this is something not in control of anyone. It's like market driven. Other than that, we see that most the costs are now kind of stabilizing.
Mukund Kabra: And even with the power cost in the longer runs, we're planning for some kind of alt ernate energies by that way we can cut down the power cost as we move on.
Lakshminarayanan: And in terms of probiotics, there was some kind of destocking that was taking place earlier. Now what is the -- what is our sales in the probiotics for the quarter a nd how does it compare sequentially compared to the Q1 of last year?
Beni Prasad Rauka: I think now the probiotics sale is still and not so much as compared to the sales, which we had in FY'22 or so.
Mukund Kabra: But probably this year, we might have a better sales, but we haven't really factored that as of now. But will be a positive surprise if that happens.
Lakshminarayanan: So annually, what is your probiotics sales?

Beni Prasad Rauka: I'll give you those numbe rs. Lakshminarayanan, any other question? I'll just give you those numbers.
Lakshminarayanan: Got it sir. And last question is that in -- we are generating sufficient amount of cash . And what is our plan in general? Do you intend to keep high cash reserves or do you intend to use it for any mergers and acquisitions. How are you thinking about the excess cash? What is the policy?
Mukund Kabra: We do intend to keep some cash, some threshold by which we can do the acquisitions. Unfortunately, we really didn't come up with a really good acquisition in the last -- I mean, I would say like we did acquire a company, but that was a very small one, a significant one. Excess Advanced enzymesIVtiL'ful.X/YMl'lbLilt'

cash receivable also like we gave

a dividend, which we tho ught should we be given, and we'll continue to do that.
Lakshminarayanan: Got it. Sir, and as we start ed this year and you clearly mentioned that all your cost item visibility is very high for you that both raw material and the freight expenses you can actually basically see that it is either softening or stabilizing. From a revenue point of view, what kind of visibility you have? Has our visibility increased when compared to last year for the forthcoming year?
Mukund Kabra: So, we -- in the last time, we said that we stick to those growth forecast, wha t we last time mentioned.
Lakshminarayanan: Got it. Okay. Okay.
Beni Prasad Rauka: And Lakshminarayanan last year in FY'23, the probiotics was about INR200 million as compared to INR240 million in FY'22 and for this quarter, it is about INR 31 million.
Lakshminarayanan: Got it. And do you expect it to at le ast go -- do something like INR200 million for the year o r do you expect there is an uptick there?
Beni Prasad Rauka: So, expectation is definitely higher.
Mukund Kabra: Expectation is there, but not factored too much of the number in this projection, whatever will come up will be the positive surprise.
Lakshminarayanan: Okay. And this is predominantly India. I mean is it also any export of probiotics?
Mukund Kabra: And we are not mentioning about the blends, which are going through the probiotics.
Lakshminarayanan: Sorry, sir, I didn't hear it.
Mukund Kabra: We are not talking about in these numbers the blends, which are -- which contains probiotics.
Lakshminarayanan: Okay. So, this is -- this INR200 million last year of probiotics, this is completely India sold, right, it's not exported?
Mukund Kabra: No, it is exported as well, but not in terms of blends. I think there are a lot of products which contains 3 probiotics, 5 probi otics plus your enzymes. So, it's very difficult to categorize them under probiotics.
Lakshminarayanan: Okay. This standalone probiotic…
Mukund Kabra: Most of them comes from the stand alone.
Lakshminarayanan: Thank you so much sir. I will come back in queue.
Moderator: Thank you. As there are no further questions, I would now like to hand over the conference to Mr. Ronak Saraf for closing comments. Advanced enzymesIVtiL'ful.X/YMl'lbLilt'

Ronak Saraf: Thank you, everyone, for taking valuable time for attending our earnings conference call. We will keep you posted for any fur ther updates. I request you all, to kindly send in your questions that may remain unanswered. And audio recording and the transcript of this call will be uploaded on our website in due course. Looking forward to ho st you all in the next quarter, t ill then, stay healthy, stay safe.
Mukund Kabra: Thank you, everyone.
Beni Prasad Rauka: Thank you, everyone.
Moderator: Thank you. On behalf of Advanced Enzyme Technologies Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Disclaimer:

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Call: Nov 2023

November 17, 2023

To

Dear Sir/Madam,

Sub: Transcript of Conference call held on November 10, 2023 for Un-audited Financial Results for the quarter and half year ended September 30, 2023

In furtherance to our intimation letter dated November 01, 2023, please find enclosed the Transcript of the Conference call held on Friday, November 10, 2023 with Analysts and Investors for the un-audited Financial Results of the Company for the quarter and half year ended September 30, 2023.

The aforesaid information is also being uploaded on the Company’s website.

Kindly take same on your records.

Thanking you,
Yours Faithfully,

For Advanced Enzyme Technologies Limited

____
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“Advanced Enzyme Technologies Limited
Q2 FY '24 Earnings Conference Call”
November 10, 2023

MANAGEMENT: MR. MUKUND KABRA – WHOLE-TIME DIRECTOR – ADVANCED ENZYME TECHNOLOGIES LIMITED
MR. BENI PRASAD RAUKA – GROUP CHIEF FINANCIAL OFFICER – ADVANCED ENZYME TECHNOLOGIES LIMITED
MR. PARAG KATARIYA – GENERAL MANAGER, ACCOUNTS – ADVANCED ENZYME TECHNOLOGIES LIMITED

MR. RONAK SARAF – MANAGER, INVESTOR
RELATIONS – ADVANCED ENZYME TECHNOLOGIES
LIMITED
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Moderator: Ladies and gentlemen, good day, and welcome to the Advanced Enzyme Technologies Limited Q2 FY'24 Earnings Conference Call. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing sta r then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Ronak Saraf from Advanced Enzyme. Thank you, and over to you, sir.
Ronak Saraf: Thank you. Good evening, everyone. Welcome to Adv anced Enzyme Technologies Q2 and H1 FY'24 Earnings Conference Call. I am Ronak Saraf, the Manager of Investor Relations here at Advanced Enzyme. We hope you all have gone through our financial s, press release and presentstion, which has been posted in the Investor Relations section of our website.
We have with us Mr. Mukund Kabra, Whole Time Director; Mr. Beni Prasad Rauka, Chief Financial Officer; and Mr. Parag Katariya, GM Accounts. Today, the management will discuss the performance and business highlight s, updates on strategies and respond to any questions that you may have. As is usual, for ease of discussion, we will look at the consolidated financials.
Before we proceed, I would like to draw your attention to the forward -looking statement contained in the presentation. During our call, we may make forward -looking statements regarding our expectations or predictions about the future. Because these statements are based on current assumptions and factors that may involve risk and uncertainty, our actual pe rformance and results may differ materially from our forward -looking statements.
So without any further ado, we shall commence this call. Over to you, sir.

Mukund Kabra: Thank you, Ronak. First of all, let me wish everyone, happy Dhanteras and happy Diwali . I really appreciate you all for taking out your valuable time on this Dhanteras, and I welcome you all to the conference call for the second quarter and half year ended 30th September 2023.
I would like to begin the discussion with a quick brief on macro economic scenario that are likely to have intended or unintended impact on the business. The economic landscape remain volatile, plus the inflation across the globe continues to challenge economic stability in various parts of the globe. The geopolitical s ituation also could have some impact on crude prices, increased interest rates and cautious spending by customers amidst global geopolitical stations. Specialty chemical industry is experiencing a slowdown on account of the sluggish export demand in some of the geographies like U.S., Europe and L ATAM.
Despite all of these uncertainties, the company's overall performance improved on a year -on-year basis as well as on a sequential basis. The growth is essentially driven by demand in the domestic market and rest of the world market.
Now as far as the quarterly performance is concerned, we have achieved top line of INR1,578 million, growth of 14% on a year -on-year basis and 7% on a sequential basis in quarter two. Our Advanced enzymesIVtiL'ful.X/YMl'lbLilt'

EBITDA stood at INR513 million, grew by 29% on a year-on-year basis and 17% on a sequential basis. We have witnessed a stellar growth of 34% in the bottom line on a year -on-year basis, while on a sequential basis, it grew by 20%.
There is improvement on margin side , EBITDA margin stood at 33% and PA T margin stood at 22% during the quarter two. Due to top line improvement and input cost stabilization margin has shown some improvement and is expected to be better going forward.
Talking about the segment -wise performance. The Human Nutrition segment outperformed during the quarter and remained a huge contributor in the revenue pie at 67%. It grew at 13% on

a year-on-year basis and 7% on a sequential basis. Pharma, API and biocatalyst in domestic markets and nutrition in inte rnational markets primarily supported the numbers in the human nutrition.
Our Animal Nutrition business contributed 11% to the revenue in quarter two. This segment remained flat on year-on-year basis, while it grew by 9% on a sequential basis.
Bio-Processing segment is continuing the growth trajectory with around 26% on a year -on-year basis and 8% on a sequential basis, contributing 1 5% of the revenue. The part of Food business grew by 43%, and we have seen a 21% decline on non-food business on a year-on-year basis.
The Specialized Manufacturing segment contributed 7%, and grew by 24% on a year -on-year basis and 6% on a sequential basis.
We have recently got approval for street food this year filed with EFSA somewhere around in 2040. With this, I conclude my remarks, and now hand over the call to Raukaji and he will walk you through the financial and key subsidiary numbers. Over to you, Raukaji. Thank you.
Beni Prasad Rauka: Thank you very much, Mukund. Good evening, everyone. I hope you all are in good health and wishing you all a very happy Dhanteras and a happy Diwali and prosperous new year. I am not keeping well so I have my colleague Parag., He will take you through the financials and key numbers of our subsidiary as well as the consolidated numbers . Thank you. Parag, over to you.
Parag Katariya: Thank you, sir. Good evening, everyone. I will take you through the consolidated financials of our company for the second quarter ended 30th September and for the first half year of year 2024. I will first speak about the year-on-year basis, that is Q2 FY'24 vis -a-vis Q2 FY'23.
Revenue increased by INR191 million, that is 14%, from INR1,578 million to INR1,473 millio

n.
Our EBITDA increased by INR116 million, that is an increase of 29%, from INR397 million to INR513 million. Our EBITDA was contributing 29% in the last quarter, The previous year quarter, and now it is contributing to 33% to our company. Our profit before tax has increased by INR137 million, an increase of 40% from INR342 million to INR479 million. Our profit after tax has increased by INR89 million, that is a 34% growth, from INR263 million to INR352 million. Advanced enzymesIVtiL’ful.X/YMl'lbLilt‘

Now, I'll speak out about the quarter-on-quarter performance,that is a sequential basis. Our revenue increased by INR105 million. That is a growth of 7% from INR1,473 million to INR1,578 million. EBITDA increased by INR73 million, that is an increase of 17%, from INR440 million to INR513 million in the current quarter. Our profit before tax has increased by INR65 million, that is a growth of 16%, from INR414 million to INR479 million in the current quarter. Our profit after tax has increased by INR58 million, a jump of 20%, from INR294 million to INR352 million in the current quarter.
I will now speak about the performance of our few subsidiaries. One of our subsidiaries, JC Biotech, its half year numbers were -- it had a sale of INR308 million as compared to last year's half year of INR283 million, a 9% growth. Our EBITDA has de -grew over there by 21%. And in the current half year, the EBITDA stands at INR26 million as compared to INR33 million in the previous year. PAT has come down significantly. It has come down by 89%. And it is INR12 million -- it was INR1 million in the current ha lf year as compared to INR12 million in the previous year.
Talking about another subsidiary, that is SciTech Specialties. Our half year contributed revenue of INR200 million in this current half year as compared to INR148 million in the previous year's first half. Our EBITDA is INR22 million in the current half year as compared to a loss or a negative EBITDA of INR5 million in the previous half year. Our profit after tax stood at INR8 million in this first half year as compared to a loss that was prevalent in the previous year's half year, that is INR22 million.
Now I will throw some light on our performance at Evoxx. Our revenue at Evoxx stood constant. It was INR117 million in the first half year of the previous year. And it is same at the current half year, that is INR117 million. EBITDA, we are -- this time we are having a negative EBITDA in Evoxx of minus INR4 million as compared to a positive EBITDA of INR22 million in the previous first half year. Our profit after tax stood at minus INR16 million as compared to INR2 million in the last year's first half year.
Now I will speak about our largest product, that is anti-inflammatory enzyme. In this period, we sold INR365 million worth of this product in this current quarter as compared to previous quarter, that is Q1 of FY'24, where we had sold INR352 million worth of material. On a year -on-year basis, we had again sold INR352 million worth of materials of this product in the last year September quarter. When we put across a picture for half year, in this half year, we have

sold INR716 million worth of product. And in the previous year, it was INR631 million. From
a percentage contribution to the entire revenue, it cont ributed to 23% in the current half year,
whereas the contribution was 24% in the last year's first half.
Now I will give you some highlights about our top 10 customers. The top 10 customers have
contributed 27% to our total revenue in this current year -- current first half year, and it was
almost similar, standing at 27%, in the last year's first half year. The top 10 product has
contributed 48% in the first half year, and it has contributed 45% in the last year's first half year. Advanced
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Now about the B2C segment . The B2C segment has contributed $1.14 million as compared to
$1.11 million during the same period in the previous year.
Now I'll throw some light on the research and development expenditure that we have spent
during the half year. During the first half o f the year, we have spent INR121 million in the current
half year as compared to the INR121 million that we spent in the last year. Whereas the capex
in this current half year is INR5 million. And in the last year's first half year, we had spent INR28
million as capex.
So on a totality basis, when we see including the revenue expenditure and the capex, in the first
half year of this year, we have spent INR126 million as compared to INR148 million in the
previous years, first half year. On a percentage basis , when we look at the total capex or total
R&D spend that we have done as a percentage of our revenue, it stands at 3% during the period
and it was 4% during the last year.
Now I shall keep the Q&A session open for everyone. Thank you.
Moderator: Thank you very much, sir. We take our first question from the line of Jainam Ghelani from Svan
Investments. Please go ahead.
Jainam Ghelani: Wishing you and the whole team a happy Dhanteras and happy Diwali. So I just have a few
questions. So what was our capacity utilization for this quarter?
Mukund Kabra: Ghelani ji, It's like very difficult to say the capacity utilization, but capacity utilization has
increased from the earlier. And we are seeing more capacity utilization as we are moving
forward. So probably by coming quarter end, we should be reaching about 70%.
Jainam Ghelani: Okay. And sir, basically, like since I just -- I'm a bit new to the company, so please pardon me.
But I just heard that we haven't spent a lot on capex this first half of FY'24. So what i s the peak
revenue that we can achieve from the current capacities? And what are our plans going forward
as to which segment is going to be the focus area?
Mukund Kabra: As far as the capacity equation is concerned, whenever we will reach to around 80%, we will
start building up further capacity, and that's where we stand all the time. Because establishing
the capacity also requires about 1.5 years , time. So that time, we will have to utilize for that. As
far as the first half is concerned, like we are alwa ys very low on the capex. The capex, what like
Parag has mentioned, is more on the R&D front, basically. And we expect about INR10 crores
to INR15 crores, which is a maintenance capex every year, which we are expecting for the last
few years.
Jainam Ghelani: And sir, what can be the peak revenue from the current capacities?
Mukund Kabra: It's difficult to say, but I would say maybe INR800 crores, INR900 crores, somewhere around
that. Because it depends on the product mix, how it moves on. Advanced enzymesIVtiL'ful.X/YMl'lbLilt'

Jainam Ghelani: Got it, sir. And sir, because chemical market, like the overall macroeconomic demand is low,
but when do we see that our -- we can return to our older margins of 40-plus? Because I see that
we've been -- like we were in that range for quite a few years .
Mukund Kabra: We expect the margins to improve further as we move on into the coming quarters, but it's
difficult to go above 40% as of now in the newer features that is what we can pursue right now.
But we expect to improve it further as we move on into the next and next quarter.
Moderator: Thank you, sir. The next question is from the line of Mr. Abhishek from Nirmal Bang Equities.
Please go ahead.
Abhishek: Just first one from my end is basically, sir, can you elaborate more on the approval for two

dossiers that we have received actually which you guys have filed in 2014 on the food front? Can you elaborate on the market opportunity there? And

what sort of revenue should we expect then from each year? Can you please throw some light on that?
Mukund Kabra: We filed somewhere around 14 dossiers years in 2013, '14 and onwards. It's always like a long time for their approval. Just recently, we've got the two products. And I think those are the two different lipases. I need to go through that. There is somewhat demand is there, but then to really look into it. I can't give you the quick answer right now.
Abhishek: Sure, sure. Okay. So in terms of the products that got approved, I mean, the approval products, do you know any ballpark number in terms of ma rket size currently in Europe for those products, similar products, let's say, from an industry perspective?
Mukund Kabra: There are different areas, and those areas are very difficult to talk about. Some of them bill user, some of them are in the biocatal yst areas. Some of them are in the food area directly. But to achieve the absolute dossier ac tual itself is a bigger achievement, had in mind we can -- going forward, we can have even make this as a business close to get the other people as per dossier as well get them approved. So achieving the approval itself is a big step. How much is the market? And what is the market is very difficult to say at this point of time.
Abhishek: Sure, sure. Okay. But considering the approval and also, you said that by end of 3Q we'll be nearing to almost 70% utilization. So is there any change in terms of capex for maybe, if not '24, but for FY'25, '26, do you see any acceleration in capex as compared to our old level?
Mukund Kabra: We won't be needing a very high capex, even though we decided to go for the expansion. Generally, we expect like somewhere around whenever we plan to do it, maybe INR40 crores, INR50 crores.
Abhishek: Per year, right?
Mukund Kabra: No, not per year. For one or two years.
Abhishek: One or two years, okay. Okay. And last one from my end, sir, can you share more light in terms of the demand outlook, especially on the Human Nutrition side? I mean, I believe that we are Advanced enzymesIVtiL’ful.X/YMl'lbLilt‘

doing well in terms of Animal Nutrition consistently on a quarterly basis. But the kind of quarterly run rate we are at in terms of the nutrition segment in international markets, so can you throw more light? I mean, how we should look at the segment from next one or two year's perspective both on the revenue growth perspective? And also, is there any challenges that we are facing in terms of pricing because of the competitive intensity and stuff like that?
Mukund Kabra: So as you said, like our domestic from the nutraceuticals side has increased. Of course, you've been domestic, there are a lot of different parts, which is pharma -- API, the biocatalysis segment, and the probiotic segments. All the segments started contributing somew hat. The first half was as we were talking from the last two, three quarters, that the international Human Nutrition, particularly U.S., will slow down and this is the same case this quarter.
But as we move on, from the coming quarters, we expect years to start also contributing and they should come back. And we're talking from last two, three quarters that we expected the second half of this year has to pick up. We can see those signs at this point of time. Bu t again, there is a lot of global war and all of those things are moving r ight now, and we don't know how it will impact or what it will impact. Given the normal circumstances, we expect better growth in the international market as we move on.
Abhishek: Okay, okay. And sorry, one last one. We have deferred some improvement on a sequential basis as far as margins are concerned, and you have highlighted this earlier as well. But just one question considering all these near -term challenges, do we see any further upside to this 32%, 33% n

umber? Or do you think it will take some more time to get back to our old levels, let's say, the 35% to 40% range, maybe in '25, '26?
Mukund Kabra: We expect that we should improve from here onward as we move on the next quarter. As I was in the last few investors conference calls I already mentioned that as look, the U.S. starts contributing to this, we should have a better margin. And we expect this should happen from this quarter onwards. So we expect sequentially we should get back to those levels, but it will take some time.
Moderator: We take the next question from the line of Aditya Shah from Vikram Advisory Services.
Aditya Shah: So my first question is about the market share that we currently have in the products we do in India. And what is the vision that we have to have a particular market sh are in five years from

now? That's my first question.
Mukund Kabra: First of all, we command a good market size, and particularly the product segment where we are in India, we maintain more than 80% of the market share and we will continue to do that. As far as this is concerned, but th e growth areas, as we were talking from the earlier, it is going to come from the biocatalyst area, from the food area, from the animal food area, probiotics areas. If we're really looking to the -- all of these areas, those are growing. Particularly the food area, it has contributed more than 43% in this quarter. And we are improving on all the segments. Advanced enzymesIVtiL'ful.X/YMl'lbLilt'

Aditya Shah: So broadly, if I -- am I right in assuming that wherever the market of enzymes, market or probiotics market reaches in five years from now in India, we would at least come out of the market share of more than 50%, 60%. In most of the areas we operate?
Mukund Kabra: Yes. Most of the areas where we operate, difficult to say on the probiotics side because probiotics side, we are very late and there are a lot of players right now, so I won't comment on the probiotics side. On the enzymatic side, yes.
Aditya Shah: Okay. Sir, my next question is that today, we see a lot of global majors who are already large in size merging themselves, like, for example, Hansen and Novozymes, DSM already merged with Firmenich. So -- and there's obviously AB E nzymes, which is Associated British foods. So how do we see competing with these global majors on a global level? Because today, we have 50% of revenue coming -- more than 50% revenue coming from rest of the world, right? So how do we see ourselves competing with them? And do we have a cost advantage versus them? Or do we have a product quality advantage versus them?
Mukund Kabra: In the context with all of these people on the globa l layer, where we feel our strength, the areas which we don't feel we are on the strength, we don't go and conquer. So the strength comes from a lot of different areas, from some of the product security, rig ht, comparative. We are not cheap producers, right? We have -- we are a quality producers, right? And we can compete with these guys on the global levels. We are present, and we compete with them only in the areas where we've feel comfortable.
Aditya Shah: Right. So the mergers between these majors one is not really of much i mportance you feel today for us?
Mukund Kabra: As of now, I don't feel like that is much of an importance to us. In fact, we really look at it in the their side, Their cost struc ture has gone out and they tried to get into these kind of mergers to take some advantage. But as of now, we are confirming we are okay.
Aditya Shah: Right. So regarding that, let's say, for growth in the coming years, let's say, five, 10 years or whatever, do you see this business area as enzymes and probiotics as a whole. For growth, Is it more possible towards organic growth? Or is it more via acquisitions?
Mukund Kabra: So acquisition is goi

ng to be one of the strategy. But our major focus is al ways under organic, and we always focus more on the organic.
Moderator: Thank you,sir. We take the next question from the line of Gaurav Nigam from Tunga Investments. Please go ahead.
Gaurav Nigam: Sir, first question on -- can you just -- in the Human Nutrition segment, can you share the numbers of India Pharma business and U.S. nutraceuticals business for the Q2 and first half on a Y-o-Y basis, sir? Advanced enzymesIVtiL'ful.X/YMl'lbLilt'

Parag Katariya: Sure. I'll do that. The pharma sales in India is INR593 million in the current quarter. And on a year-on-year basis, it was INR440 million in the previous year. There is international sales is INR466 million in the current quarter. It was INR499 million in the previous year -on-year basis. On a totality basis, our revenues increa sed at INR1,060 million in current quarter and it was INR939 million in the previous year September quarter. That is how it is standing.
Now at the probiotic levels, in India, it is INR69 million sale in the current quarter. It was INR5 million on a year-on-year basis. Biocatalysis sale is INR77 million domestic. In the current quarter, it was INR65 million in -- on year-on-year basis on September '22. Our pharma sales is at INR447 million in domestic in the current quarter. It was INR370 million on a year-on-year

basis in September '22.
And with respect to the international sales, our pharma sale was INR447 million in the current quarter, and it was INR459 million in the previous quarter, that is September '22. Probiotic sales on international was INR11 million in the current quarter. It was INR40 million in September '22 quarter. And biocatalysis international sale is at INR8 million in this quarter, whereas there was no significant sales in the last year's September quarter.
Gaurav Nigam: Got it, sir. Got it, sir. This is really helpful. Sir, one more question on the U.S. nutraceutical business. I think in the past few quarters, you have been alluding to it coming back up. I understand it is still taking time. I just wanted to understand what are the main reasons which are still taking some time for this segment to see the growth?
Mukund Kabra: Last time we mentioned overall, there is a slowdown into the demand, which is there. We are going with some innovative ideas and innovative products, and those took some time. So as y ou look -- the gestation time was about five to seven months. And as I was telling fr om the earlier also, we should start seeing this from this quarter onwards. It should -- gradually it should start building up.
Gaurav Nigam: Got it. Just a follow-up on this, sir. When you think about growth, is it end market growth which is causing the problem? Or we -- from a market share perspective, is there a decline in our market share in this U.S. nutraceutical? Or it's only the end market, which is causing this gro wth issue?
Mukund Kabra: I think it's the end market issue which is more there. On the demand side, basically, the demand has gone down to some level. But as I was telling from the earlier also, that we are improving with the new segments which we launch a nd with the emerging segments today that I was saying from this quarter onwards, we should have that back on track in the international market.
Gaurav Nigam: Got it, got it, sir. Sir, one more question on the Animal Nutrition segment. We started seeing some spurt of growth in that market. But I think from last quarter and this quarter, this has been kind of started muting. So is this, like, because Animal Nutrition is segment, which is both India and non-India segment, right? So where is this market we a re seeing this kind of pressure? And what is our plan for that segment, sir? Advanced enzymesIVtiL'ful.X/YMl'lbLilt'

Mukund Kabra: Our focus on the growth is mainly going to come from the international market, which is there, and that growth is still there. The domestic market is a little bit mo re under the pressure because there's a lot of different players and different things which are there. So we are working on the domestic market as well because there is a price pressure in the domestic ma rket. International market is doing fine that there are like its own challenges which are there. For example, you're going to the African market, Egypt, and all of those areas, you see there are a lot of payment problems are going on.
So you go to the Argentina and those areas, and you will find that there is no dollars available to supply. So we don't want to like deal into those areas at this point of time. That is all that growth we cannot really see right now, which we are expecting to see because we cannot supply the material and than wait for the payments or we don't want to create the baggage. So those are the challenges at this point of time. And we'll see how the macroeconomics in the other areas looking as we move on.
Gaurav Nigam: Got it, got it, sir. And just a final question from my side, sir. Wh en I look at the Asia ex India business, which segment do we operate here, sir? And which -- is it more like Southeast Asia? What is the segment which has certainly started performing for us? Just wanted to get some flavor on this Asia ex India business.
Mukund Kabra: So it takes all the registration in othe r areas, right? So we were trying to get the registration. It's a long process. And there are a lot of different players as well. So once you get registrations and other things in those areas, which we are working from the last few years, you start getting some of the business and some of the market shares from the Asian areas.
Gaurav Nigam: Got it, sir. But which segment it would be? This would be Human Nutrition, Animal Nutrit ion or like industrial, which segment?
Mukund Kabra: I was talking about the Animal Nutrition. I think your question was more on the Animal Nutrition on that side, right?
Gaurav Nigam: No, I was more looking at the geographical segments, so the entire Asia , that segment that you report. In that segment, that we can see our growth coming this quarter. So I was just wondering like within that Asia geography that we talk about, what is the underlying business composition? Is it Human Nutrition, Animal Nutritio n or Industrials, which segment is this largely catering to?
Beni Prasad Rauka: For bioprocess food.

Gaurav Nigam: That bakery segment, sir.
Beni Prasad Rauka: Yes.
Moderator: Thank you. We take the next question from the line of Yash Tana from I Thought PMA. Please go ahead, sir. Advanced enzymesIVtiL'ful.X/YMl'lbLilt'

Yash Tana: I'm slightly new to the company, so pardon me the questions have been answered, So my first question is, if I look at the long -term trend, probably a three or five year CAGR, on the U.S. front, we have been relatively flat. And I believe there were reasons for that, probably a loss of customer and then this slowdown. But U.S. being probably one of the bigger markets globally and one of the bigger markets for us as well how do we see growth in this segment coming in? And I think you have mentioned that, that's a high profitably, high realization business as well. So from medium- to long-term perspective, probably a three to five year perspective, what are the new segments or what are the current existing segments? And how are we seeing growth in this side of the business?
Mukund Kabra: As we were mentioning from the last one, like we've launched some of the new products, some of the innovative areas, some of the innovative areas today, nutraceutical areas and we see that those products should be able to grow as we are moving into this qua

rter. So we can feel like some of the options that -- you need to wait and see to come out what will be the growth and what will be the percentage. As of now, it's very premature for me to comment on that.
Yash Tana: Right, sir. Probably, I mean, I'm just wondering that the sort of growth that we have shown in other areas, probably India and Asia or something, are we thinking that we can replicate that sort of growth in U.S. as well?
Mukund Kabra: See, the U.S. market is different and Indian markets are different. In the Indian markets, we have not operating exactly into the blend area, but more into the API areas or the people you are making into the API segments, where we are supplying enzy me. So those are typically little bit different businesses and different dynamics plays into those areas, right? But we expect a better growth as we move forward into the U.S. market. That's what I can say right now.
Yash Tana: Got your point. And on the o ther one, I think you answered to another participant on the merger between global players, and they are talking about cross -selling opportunities probably somewhere -- even lower times they stay in business -- and not doing business and vice versa. So if we see where they can cross -sell between their clients, how are we planning to sort of combat this, the merge of company that they will make after the merger.
Mukund Kabra: I don't feel like there is any problem into the areas because those areas -- our presence was very negligible where the Novozymes and Chr. Hansen work. The major competition, which was there from the Novozyme was in the food areas. Patient answers, we really don't compete to many of the places at this point of time. So it really doesn't matter like whether their businesses are merging or not merging.
Yash Tana: Sure, sir. Got it. Very helpful. And one final question on the margins. I believe you mentioned that it might be a little difficult to go above the 40% now. Whereas in the previous few years, we have said that our business is a business which can make margins above 40%. And you are given a range of 40% to 48% in the previous call. So I'm trying to understand what has changed there? Is it the pricing pressure from our clients? Or is it something on the cost side that we are saying that now going above the 40% markup seems a little difficult? Advanced enzymesIVtiL'ful.X/YMl'lbLilt'

Mukund Kabra: There are a lot of factors whi ch are -- a few of them are we already mentioned, look, the nutraceutical has to do be tter as we go on. There are certain other businesses which were being added up into the main comp osition, which were there earlier, like the specialty business or the other businesses which are very low margin side. So overall, the compromise is some kind of margins when you talk about the EBITDA versus like your top line. It is visible in a sense , as of now, we just want to hold. But you'll be able to go -- then we well be able to grow above 40% or something of that nature.
Yash Tana: Sir, you're essentially saying that the business mix has changed to a sort of lower -margin products, the overall businesses?

Mukund Kabra: Some of them are on the lower side, yes. You're right. Yes, SciTech, for example. And it takes some time for the core business to really take care of tho se areas as well.
Yash Tana: And one final question, if I may. So we said we didn't mention our capacity utilization. But we said that in the next probably coming few quarters or years, I didn't catch that correctly, we'll reach about 70%. So what sort of cost advantage -- I mean, what sort of a costs are fixed in nature versus variable in nature where we'll be able to see some sort of operating leverage play out as our capacity utilization increase?
Mukund Kabra: I don't feel too much of a difference it's going to make as our capacity is going to

increase. Some
of them will always be good. As you always see that if our top line grows by one, then our bottom line goes up by 2.5x. So those ratios are always there and those -- when the capacity equation goes up, those ratios are always there. But those are the coverage that I can see.
Moderator: We take the next question from the line of Umang Shah from Banyan Tree Advisors PMS Advisors. Please go ahead, sir.
Umang Shah: Sir, the largest product that we have which is pharma serratiopeptidase, right? That's sold only in the Indian market. And any reason why we do not export this product?
Mukund Kabra: We do export this product.
Umang Shah: What would be the breakup between exports and domestic?
Mukund Kabra: But the majority still comes from the Indian market, We have also filed this product for the novel food, and we are expecting some clearance. Earlier, we used to add some credit to the Europe as well, but the Europe sale has gone down because of the people a re waiting for the novel food, there is requirement of novel food. So we did file this product for the novel food as well as we are filing this product into the -- some of the bigger Asian markets. As of now, the export market sale is somewhat into the U.S. in the neutraceutical areas and other areas, which is on a lower side when we talk about in relation to the domestic sales.
Umang Shah: And is this product sold in the U.S. market also?
Mukund Kabra: Not directly at the API, but mostly like into the nutr aceuticals, in some other areas. Advanced enzymesIVtiL'ful.X/YMl'lbLilt'

Umang Shah: Right, right, right sir. And sir, second question was, sir, the number of products that we have in our -- total number of products have more or less remained consistent over the years, right? Sir, I just wanted to understand how frequently do these products -- like what type of these products, do they -- what is the rejection rate when you're trying to launch a new product in the market? If you could give some insight on the same, it would be really useful.
Mukund Kabra: Can you please repeat, Umangji? I couldn't hear you.
Umang Shah: The number of products that we have are more or less consistent for many years now. So I just wanted to understand, are there -- are we introducing new products in the market? A nd if yes, do they get rejected? So I just wanted to understand the new product turnover that you have in the market.
Mukund Kabra: So there are two types of new products, which were going to the market, a few of them at the plants and a few of them are in the specialized enzymes, which you make. The list, what we mentioned, I haven't seen recently that I think like it was 68 plus or something like wh ich we mentioned. And probably that is constant from some time. But it is not a constant. Actually, when we talk about plans, we think that it's taken care. We haven't really updated the numbers. We did come up with the new products. Every quarter, there i s a lot of R&D and a lot of work is always going on. And every year like we are improving the product every quarter.
Umang Shah: Right, sir. And one final question was we own 60% of Advanced Bioagro. And who owns the remaining 40%?
Mukund Kabra: 40% is owned by Mr. O.P Singh.
Umang Shah: Okay. And how -- is that person the founder? Or how does this work?
Mukund Kabra: So on the Indian market, all the sales that is being up monitored by Mr. O .P Singh, who was a veteran into the animal food areas.
Umang Shah: Okay, okay. So does he also participate in our business? Or is he the owner? I mean, is it someone does not participant?
Mukund Kabra: I didn't get you.
Umang Shah: I'm saying is Mr. O.P Singh actively involved in the business?
Beni Prasad Rauka: Yes. He Is the managing director of the company and he therefore takes care of day to day affairs of the company, and his more focus i

s on sales and marketing.
Moderator: We take the next question from the line of Mr. Rohit Ohri from Progressive Shares. Please go ahead.

Rohit Ohri: A couple of questions. The first one, while we're expanding the enzyme li braries, what sort of opportunity do we see in biomass processing, scarification and bioethanol production? If you can take us through the opportunity in te rms of million.
Mukund Kabra: Honestly, our major area of focus, we make a food, biocatalysis and probiotic. Of course, if we are working in the sacrification areas, we developed with some of the events right now. We are looking into the market size, marke t share, how do we take this into some of the geographies, if we can.
And we are working in all of these areas. Bioethanol is still for a longer distance as of now. Like we are developing some of the components which may require. We are talking to the fuel bio components companies, but I cannot talk about what can be the business or not. If the business will come, they will be additio nal and that will be a good supply.
Rohit Ohri: That's great to hear, sir. So we spoke about probiotics. And I know that this is still an untapped business for us, and they seem to be a lot of opportunities take us to what role can AETL play in this, if you can share some numbers on that?
Mukund Kabra: Most of the probiotics like what we focus is related to the competition -- combination of probiotics and Advanced can be get advantage. So a lot of nutraceutical product s that you develop is more in a combination of that probiotics with some of the areas that really work very well to go hand to hand.
And that is going to our major focus areas. We may not be able to see into the to give a number. Because here, when we talk about the probiotics number, those spe nds only into -- those spends only manages a kind of a single product sale, which is there. But we see that there is a lot of opportunity in the combination of this and developing the new probiotics, which we can use it for our nutraceutical areas as well .
Rohit Ohri: Okay. Sir, how many of these combination molecules or enzymes or probiotics are currently in the pipeline, if you can share that?
Mukund Kabra: There are a lot of products which we sell into the nutraceutical product, maybe more than 50%, 60% of the products are with the combination.
Rohit Ohri: Okay. Sir, if we see the global probiotics is growing at around 7.5% CAGR. And if you see the global enzyme market, it is growing at something like 3.5% to 5% CAGR growth. Do you think that we will be growing slightly better than the industry rate? Or do you think that we can grow at a rate much fast or maybe double the rate of the industry level?
Mukund Kabra: What I can say is we will do it significantly better. Is it like what the numbers you are givi ng, 7.5% or 3% to 5%. That's what I can say right now.
Rohit Ohri: Okay, sir. And my last question is, if you observe the return ratios they have been declining from around 24%, 25% ROCE to somewhere around 11% now. And the ROE has also declined from

18% to somewhere like 9%, 10% So what sort of efforts are we putting to kind of revert back to these ranges of 23%, 24% ROE and maybe like around 16%, 18% ROE?
Mukund Kabra: Rauka ji is the right person to answer this. Right, Rauka ji?
Beni Prasad Rauka: So the efforts are like one thing, as Mukund has already mentioned, you might have seen on quarter-on-quarter, we are progressing. We are improving our EBITDA margin. That is one.
And apart from that, we are sitting on a large cash. So those funds, we have t o use over a period of time to see that we can get the kind of returns, which -- I mean, you are comparing with the

previous year numbers.
So far, we are not able to get any kind of opportunity where we can invest th at money. So we can expand our business, maybe it is a kind of inorganic growth. So we are working on that, and we are exploring a lot of such opportunities. Meanwhile, you might have also noticed that this year, the company has given a very handsome dividend, We also understand this point. So accordingly, we are addressing all such issues. And hopefully, in maybe if not in a couple of

quarters, it may be taking a year or so, where you will see a lot of improvement going forward.
Rohit Ohri: So sir, if you are looking at some sort of also diversification, will it be in the same core domain as us? Or will you be looking at something that's outside?
Beni Prasad Rauka: It's in the same domain only It's our core business. So we will be always working on our core areas, which Mukund has already mentioned, it's like expanding our animal feed business, nutraceuticals, probiotics, biocatalyst business. So whenever we see any kind of opportunity where we could definitely add a lot of value to our stakeholders, so we will definitely work on it. And we are already working on such issues.
Moderator: We take the next question from the line of Shreyans Gathani from SG Securities. Please go ahead.
Shreyans Gathani: Happy Dhanteras, happy Diwali. I had a couple of questions. The first one was on the R&D spend. Sir, in the last few quarters, we've been mentioning that you want to up the R&D spend as a percentage of revenue. So as revenues go up, we're seeing like pretty much stagnation in terms of R&D spend even in terms of -- in rupee terms. So the percentage has been going down. So just wanted to know if we should expect an increase in that area? Or are you just looking at a similar level as the current spend.
Mukund Kabra: Shreyansji, happy Diwali and happy Dhanteras. Yes. So when we tal k about R&D spend to go up, we are expanding, we are coming up to the R&D center which you are building up in Nashik. And the construction and the capital work is going on. So kind of some of the R&D spend is getting into the capital work right now, which we are spending.
One those R&D centers will be operating probably, in ter ms of rupees or in terms of absolute number, the R&D spend s hould go up. You are right, when we talk about the growth numbers to any of this percentage may remain flat, but we need to see. Advanced enzymesIVtiL’ful.X/YMl'lbLilt‘

Shreyans Gathani: Okay, okay. Because the R&D center that you mentioned in Na shik, in the last con call, you said it's just starting construction. So that will take time to improve, right?
Mukund Kabra: Have probably 1.5 years down the line, it should start like operatio nal, the first phase of it. And it will take -- its little longer project, maybe four, five years, when we will develop the completement. But we should see some expenses will start going up from the 1.5 years, somewhere around that.
Shreyans Gathani: Okay. So until 1.5 years, there'll be more capitalization than income -- the expenditure side of it, right?
Mukund Kabra: Yes.
Shreyans Gathani: Okay. And my second question was on the capital -- capex for capacity expansion. So when you mentioned that it is around INR40 crores, INR50 crores. So how much in terms of percentage capacity would that -- how should we look at that in terms of like current capacity is certain amount? Like how much would that contribute to in terms of additional capacity?
Mukund Kabra: So maybe, look, if we can look into 25%, 30% increase ?
Shreyans Gathani: Okay, okay. And last question, sir, if you could just give a small update on how the WELLFA brand is doing in India?
Mukund Kabra: So WELLFA brand is -- we haven't looked as we were mentioning, we don't expect too much of the sale in the fir

st one or two years, and we will see how it works. At this point of time, it took -- some of the demand has picked up. I don't know the exact number in fro nt of me. But those numbers are not really significant. When we're talking in the percentage terms, clearly, it is better 200%, 300%. But in terms of reflecting numbers, those are not really significant.
Shreyans Gathani: Okay, okay. Sir, just if I may ask one more question. So that's on JC Biotec h. So you see the performance has degraded over the last -- in this quarter versus the previous year. So do we expect a certain improvement back on that front?
Mukund Kabra: We expect that as we move on into the further quarters, we'll let you know too. Th ere are some kind of, I would say, repair and maintenance expenses which are on the higher side into the last two quarters, which comes out four, five years later. So we expect as we move on, it should improve.
Shreyans Gathani: Okay, okay. So the main margin deterioration, mainly because of the repair and maintenance cost, is what you say.
Mukund Kabra: Yes, in the last two quarters.
Shreyans Gathani: Okay, okay. So that is done now? Or is it good?
Mukund Kabra: I think more or less it's done. Advanced enzymesIVtiL’ful.X/YMl'lbLilt‘

Moderator: We take the next question from the line of Mr. Adit ya Shah from Vikram Advisory Services. Please go ahead.
Aditya Shah: My first question in the follow -up is regarding the sales growth that we expect ourselves to achieve CAGR in the next five years. And the second question is regarding the ROE point that the previous participant pointed out. How do you view the goodwill that we carry, about around INR320 crores, INR330 crores on our books? And what is your view of getting it versus writing it off? And what is the ideal fixed asset turnover that we expect ourselves to achieve before we move some more organic growth?
Beni Prasad Rauka: Yes. I think the question, whatever I have understood so far, first thing I would like to address regarding the goodwill part of it. So goodwill as of now, I mean, there is no impairment. And going forward, because every year, the goodwill is to be tested. So whatever like investment we have done in our subsidiaries, so we have to do the fair valuation of that.
And if there are some such indicators, so that will be like second year going forward when we carry out that detailed exercise of impairment. So as of now, there's no challenge as far as goodwill is concerned. And another question, I might have missed.
Aditya Shah: Asset turnover. What is the ideal asset turnover that we expect ourselves to maintain or achieve? And once we -- what is the targeted ratio before which we have to go for further capex?
Beni Prasad Rauka: So I mean, it is not turn -- I mean, it's not directly linked with the kind of a turnover and fix. As Mukund has mentioned, when we raised to a capacity level of, say, about 80%, that is the time we have to think about it. Yes, we might have to add some more capacity. So right now, I mean, it is likely that whatever he has mentioned, it will be reviewed in the next year. As of now, the capacity utilisation is not so much.
And another point, I think I would like to draw to your attention is when we improve our productivity. So it definitely again adds to our c apacity. So as we go forward, I think we will be able to see. As such, there are no basically that the turnover is b ased on some kind of investment in the fixed assets. But generally, I have said it is slightly about 2x or -- unless until you do a lot of trading. Because it is capital -intensive, I mean, project as such.
Aditya Shah: Right. But, sir, in my observation, just a suggestion, that we have observed is that usually when then there are 100% subsidiaries of the parent company, it makes absolutely no s ense to carry on having the goodwill bec

ause it always drags the ROE. So is there any value that we see in continuing with the goodwill on our books? Because I think the major goodwill that comes from is Advanced Enzymes USA, which is our 100% subsidiary.
Beni Prasad Rauka: Correct. Absolutely right.
Aditya Shah: So what is the thought process behind carrying it? Because it is just dragging our ROE. If you break it down by INR300 crores, do you just imagine the ROE just goes up to 14%. Advanced enzymesIVtiL’ful.X/YMl'lbLilt‘

Beni Prasad Rauka: I agree with you. But then this is the requirement of accounting standards. So whenever we have acquired these companies, whatever value we have paid to acquire those businesses, we have allocated certain amount. So after -- in that allocation, whatever is l eft out, that is to be booked as goodwill. So I mean, if you write it off...
Aditya Shah: Sir, usually in my experience, I'm just giving you a suggestion, you can have board level discussion. But you see when acquisition happens, obviously there is a goodw ill part. But usually, management write it off because it makes no sense carrying it.
It just dragged down the ROE. it is our 100% subsidiary. So yes, while acquiring it, you have a goodwill, fair. But after acquiring it and having the goodwill on the book s sitting over there and dragging our ROE, this makes no sense.
Beni Prasad Rauka: I mean, you might be saying from your perspective. But we right now see it...
Aditya Shah: You can have a Board level discussion on this topic, sir, that's all I'm suggesting.
Beni Prasad Rauka: Yes, I know. But then we have to also look at whether as the accounting standards can we do such things, so that will be definitely another way of looking at it. So as of now, we don't see any kind of impairment. So impairmen t, if indicators are there, then that is the right time one can take that call.
Aditya Shah: Sure. sir, no problem, sir. You can think about it, what I'm saying.
Beni Prasad Rauka: And any other -- whatever you...

Aditya Shah: Yes. The first question, sorr y, I forgot, was the sales growth that we expect ourselves to achieve in the next five years CAGR.
Beni Prasad Rauka: CAGR.
Aditya Shah: CAGR, yes, five years sales growth.
Beni Prasad Rauka: That I think Mukund will be able to guide you.
Mukund Kabra: So We will be expecting a double digit. I won't be able to give you the exact number as of now.
Moderator: Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to Mr. Ronak Saraf for closing comments.
Ronak Saraf: Thank you, everyone, for taking your valuable time for attending our earnings call. We will keep you posted for any further updates. I request you all to kindly send in your questions that may remain unanswered. An audio recording and the transcri pt of this call will be uploaded on our website in due course. Looking forward to host you all in the next quarter. Till then, stay healthy, stay safe. Happy Diwali. Safe Diwali to all.
Mukund Kabra: Thank you so much. Advanced enzymesIVtiL'ful.X/YMl'lbLilt'

Beni Prasad Rauka: Thank you.
Mukund Kabra: Thank you. Happy Diwali.
Moderator: Thank you. On behalf of Advanced Enzyme Technologies Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2024

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Dear Sir
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Transcript of
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Conference call held on
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The aforesaid information is also being uploaded on the website

of the Company
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Kindly take same on your records.

Thanking you,

Yours Faithfully,

For

Advanced Enzyme Technologies Limited

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Sanjay Basantani

Company Secretary and Head
-

Legal

Encl.: As above

BSE Limited

Department of Corporate Affairs

P. J. Towers, Dalal Street,

Mumbai
-

400 001

Scrip ID
-
540025

National Stock Exchange of India Ltd.

Exchange Plaza, Plot
No. C/1, G Block

Bandra

-
Kurla Complex, Bandra (E)

Mumbai
-

400 051

Scrip Code
-
ADVENZYMES

"Advanced Enzyme Technologies Limited
Q3 FY24 & 9M FY24 Earnings Conference Call"

February 16 , 2024

MANAGEMENT : MR. VASANT LAXMINARAYAN RATHI – CHAIRMAN & NON-EXECUTIVE DIRECTOR , ADVANCED ENZYME TECHNOLOGIES LIMITED
MR. BENI PRASAD RAUKA – GROUP CHIEF FINANCIAL OFFICER , ADVANCED ENZYME TECHNOLOGIES LIMITED
MR. RONAK SARAF – MANAGER , INVESTOR RELATIONS , ADVANCED ENZYME TECHNOLOGIES LIMITED

Moderator: Ladies and gentlemen , good day and welcome to the Advanced Enzyme Technologies Limited Q3 FY'24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation conclud es. Should you need assistance during this conference, please signal the operator by pressing "*" and then "0" on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Mr. Ronak Saraf. Thank you and ove r to you, sir.

Ronak Saraf: Thank you. Good evening, everyone. Welcome to the Advanced Enzyme Technologies Q3 and Nine Months FY'24 Earnings Conference Call. I am Ronak Saraf, the Manager, Investor Relations here at Advanced Enzyme s.

We hope you all have gone through our Financials, Press Release and the Presentation which has been posted in the Investor Relations section of our website.

We have with us Mr. Vasant Rathi, Chairman and Non -Executive Director and Mr. Beni Prasad Rauka, Group CFO.

Today, the "Management will Discuss the Performance and Business Highlights, Update on Strategies and respond to any Questions that you may have. " As is usual, for the ease of discussion, we will look at the consolidated financials.

Before we proceed, I would like to draw your attention to the forward -looking statement contained in the presentation . During our call, we may make forward -looking statements regarding our expectation or prediction about the future. Because these statements are based on current assumptions and factors that involve risk and uncertainty, our actual performance and results may differ materially from our forward -looking statements.

So, without any further ado, we shall commence this call. Over to you, sir.

Vasant L. Rathi: Thank you, Ronak. Good evening everyone.

I really appreciate you all for taking your very valuable time and I welcome you all to the conference call for the 3rd Quarter and nine months ended 31st December 2023.

I'd like by giving a brief summary of macro -economic conditions that could affect the Company .

In the US , things have sta rted to improve. Geopolitical tensions are i mpending the flow, which might affect commodities, interest rates and consumer spending. As we all know, yesterday, UK, Japan, those countries are going into recession.

The domestic economy is also doing well. So, we see an adequate demand overall. The trade due to ongoing red sea issues could have an effect mostly on freight, which could lead t o a longer supply chains. And we all know what happens with the longer supply chain during the COVID.

During the quarter, we have recorded growth and in last nine months we have witnessed top line growth of 16%. And our profitability has also improved on a sequential basis for nine months by 49%.

Now to this “Quarterly Performance. ” We have achieved top line of Rs.1,609 million, the growth of 13% on a year -on-year basis and 2% on sequential basis in Q3. Our EBITDA stood at 538 million, grew by 29% on a year -on-year basis and 5% on a sequential basis. We have witnessed a good growth of 52% in bottom line on a year -on-year bas is while sequential basis it grew by 21%.

There is an improvement on the margin side as well. EBITDA margin stood at 33% and PAT margin stood at 26% during the Q3 as compared to 29% and 20% respectively for Q3 of last year.

Double digit growth in the bottom line is because of our improved top line change in product mix and higher other income. The overall trend across our business has rema ined upbeat.

Talking about some segment wise performance, Human Nutrition, which is our main engine of the growth, this segment as usual remains the highest contributor in the revenue pie of 69%. I

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grew by 19% on year -on-year basis and 5% on sequential ba sis. The international market, primarily in USA supported the numbers in human nutrition.

Our animal nutrition business contributed 10% to the revenue in Q3. This segment is a little lacking and de-grew by 8% on year -on-year basis and 6% on sequential basi s.

Bio-Processing segment grew by around 5% on year -on-year basis, while we have witnessed a slight decline in 2% on sequential basis. This segment contributed 15% to the revenue.

The food business grew by 21% while non -food business reported a decline of 36% on year -on-year basis.

The Specialized Manufacturing segment contributed 6% and grew by 20% on year -on-year basis and 1% on sequential basis.

As you can see, overall, our confidence in the business remains very high and we are moving ahead with the cle ar focus on our target segments.

During the quarter, we have also acquired an additional stake of 5.89% in J .C Biotech (JCB) for the total cash consideration of Rs.56.07 million. Post completion of this acquisition, the shareholding of the Advanced Enzyme s in JCB will increase to 95.72%.

With this, let me conclude my remarks and now hand over the call to Mr. Rauka. He will walk you through the “Financials and Key Subsidiary Numbers. ” Thank you.

Beni P Rauka: Thank you very much sir. Good evening, everyone. I hope you all are in good health.

Let me brief you about the financials of the Company during the quarter gone by. On the Company 's consolidated financial for the 3rd Quarter and nine months of the Fiscal Year 2024 :

On a year -on-year basis, our top line g rew to 1,609 million as compared to 1,421 million of last year. Q3, an increase of 13%. EBITDA has increased from 417 million to 538 million, this is 33% of our revenue as compared to 29% last year. Profit before tax increased to 589 million from 404 milli on last year Q3, 37% of our revenue. Profit after tax increased to 425 million and the increase is from 279 million. So, this works out to be 26% of our revenue. Quarter -on-quarter basis sequential, revenue increased by 31 million from 1,578 million to 1,609 million, an increase of 2%. And EBITDA increase is 5% from 513 million to 538 million. Profit before tax

increased fro m 479 million to 589 million. This works out to be 37% of our revenue. Profit after tax has increased to 425 million, 26% of our revenue as compared to 22% in last year Q3.
Nine months performance, the revenue has increased by 16% as Vic sir has already me ntioned from 4,019 million to 4,660 million and the profit before tax has increased by 51%, profit after tax has increased by 49% from 718 million to 1,071 million, this is 23% of our top line as compared to 18% in nine months of previous year. So, EBITDA increased from 1,123 million to 1,491 million, which works out to be 32% of our top line as compared to 28% last year.
Let me give you some numbers of our subsidiaries. JC Biotech continues to be positive. During the quarter, top line of 176 million, EBITD A of 33 million and PA T of 14 million. So, for nine months we have seen a 22% of growth in top line of the JC and EBITDA has increased from 16 million to 59 million and last year it has a loss of about 8 million, it is now in profit of 1 6 million.
Evoxx co ntinues to be EBITDA -negative for the nine months and overall the top line also degrew by 9%, the Company is in loss of about 26 million for nine months as compared to 10 million of profit during last year nine months.
SciTech has performed well. Overall, this quarter top line of 104 million, EBITDA of 17 million and PAT of 4 million. For nine months, it has recorded a sale of 304 million as compared to 236 million, the top line growth of 29% and EBITDA of 38 million as compared to negative EBITDA of 30 mil lion last year, PAT during nine months is about 12 million as comp

ared to 50 million.
last year nine months.
Our R&D spend is about 202 million as compared to 290 million last year. That works out to be 7% of our top line on a standalone basis. On a consol . basis, we continue to spend about 3% to 4% of our revenue on research and development activities. This year is slightly down because the CAPEX is lower, that will be capitalized over a period of time. The capital work -in progress of our R&D lab is still going on.

The largest selling product conti nues to be in the range of 22% to 23% top 10 customer sale is about 26% to 27%, B2C segment has contributed a growth of about 4.4%. So, this year it is 3.79 million as compared to 3.63 million last year.
So, this is all from my side. Now, we open the floor for question -answer session.
Moderator: We will now begin the question -and-answer session. The first question is from the line of Abhishek Navalgund from Nirmal Bang Equities. Please go ahead.
A Navalgund: So, my first question is on the nutrition segment in the international human nutrition pie. So, after I think the multiple quarters of similar kind of run rate that you're maintaining on quarterly basis, I think we have seen some good growth coming in and you ha ve mentioned in the opening remarks also that it's largely led by US. So, could you please give some more color on this segment and how do you see coming quarters as far as this particular segment is concerned?
Vasant L. Rathi: Thank you, Abhishek. You can see that our major segment is human nutrition and US market plays a very vital role in this area. We see that the market is doing well right now we forecast that it will continue to do so.
A Navalgund: My only question is till last quarter we were mentioning that there have been some competitive challenges also in the market. So, do you see this is like there is some one -off order which has led to this kind of growth, or do you see this kind of run rate maintaining or even improving from the current level?
Vasant L. Rathi: Yes, challenges remain . Challenges don't go away because the market is now changing and it is becoming as you know more of a global nature, right, and lot of regulatory challenges are t here in this industry. However, for the last couple of years we are working on it to address those issues systematically and we have introduced some new products, we have brought some new customers, and it is a continuous ongoing process. So, we feel that there will be little up and down here and there, but the growth will continue.
A Navalgund: My second question is on the probiotic segment. So, while the international probiotics I think could be in the flattish trajectory, but domestic, I think from secon d quarter also we have shown some improvement and this time around also I think that is also a big driver as far as domestic human nutrition is concerned. So, again, I mean this is related to some channel restocking happening or how do you see this growth actually going forward?
Vasant L. Rathi: I think what happens is that certain brands are developing. We have so many studies related to probiotics applications. So, people now are warming up very nicely with our probiotics segment and even though the marke t is a little bit flattish for us, we see that it will continue to grow for us.
A Navalgund: And my last question is on the two dossiers for which we have got the approval last quarter. Any update on that, I mean, would you be in a position to tell us what could be the total addressable

market and when should we start seeing revenue from those products, if at all you're trying to sell in developed markets?

Vasant L. Rathi: Abhishek, which one you're asking for, I mean -?

A Navalgund: I think in the last qua rter we have mentioned that

we have got two food dossiers got approved I think from Europe, if I am not mistaken.

Vasant L. Rathi: See, the approvals are there, there are always some queries comes out from the from the EFSA and other kind of agencies and y ou have to spend a lot of time to answer them and we are doing so, Then the final approval comes in. It is an ongoing continuous process. Because we patiently are working so hard on these things … you see that whatever we have filed will get approved finall y and then we are always going after new approvals.

Moderator: The next question is from the line of Nikhil from SIMPL. Please go ahead.

Nikhil : One is you mentioned on the US side, but specifically on the probiotic and nutrition which we had seen a big drop post -COVID, are you seeing that market returning for us in US? And secondly, a connected question was that in our previous call we had mentioned that if US grows then we should be able to come back to that 40% kind of EBITDA margin which was our histo rical range. So, at what level you believe the US business has to come for us to improve on our margin profile?

Vasant L. Rathi: It's a very competitive market, Nikhil, right. So, there are always challenges to improve the margins after the certain tick ma rk. I don't want it to tell you that it will never come 40% and 50% margins as you used to see it before, but we are constantly working on improving our margins and as you can see the effects are already showing in this quarter, all three quarters it is improving gradually and you will see the improvement continuing.

Nikhil : The first question is on the growth on the US, because if we look at the last three, four quarters, our average run rate in US was around 45, 50 crores, which has jumped to 60, 62 crore s this quarter. So, are we seeing a trend on the probiotic side, which has had a big impact for us in the last two years on the US market or what has helped this?

Vasant L. Rathi: There are too many different factors. It is always a product mix, as you know, and I know it. That's the first thing. The second part is some new products developments happening and that also gives us some advantages in the marketplace. And third is as we progress and develop further and further, we see that improvement because as you go into higher revenue and more sales, your cost structure goes down relatively in percentage wise?

Nikhil : Just two more questions. Sir, on Serratiopeptidase, we've been increasing our share in JC Biotech every quarter. And if you look at the molecul e size, it's moved. So, when we acquired it was around 100, 110 crores, today on a run rate basis, it's something in the range of 150, 160 crores. How do you see the opportunity in this molecule? I know we've not filed in US and Europe. But

are you plannin g to file there? And if we file, do you see there is a big opportunity size in this molecule because on one hand we are also increasing our share continuously in this Company . So, what's the overall idea and thought process behind this?

Vasant L. Rathi: Unique molecule, we have a big advantage on it. So, we will press our advantages wherever and everywhere we can do so. It requires a lot of research work on our part and we are doing. So, our R&D is really helping us in so ma ny different ways to utilize th is molecules in a different, different way.

Nikhil : If we look at our position in 2016 -17 when we had come post the IPO, we had talked about going into industrial and on the palm oil side and the biofuel side and all. But what I understand is that there we re existing large players like Novozymes and Hans en on the dairy and on the industrial side where they have been present for the last 50 -60 years. If you look at today on the human nutrition segment, which we've also talked about as a core area, how is our positioning versus ou

r competitors? Because when we read through their capital markets, they are also talking about that we have to become big. They are also working to build molecule base here. So, would we say, we are on an even position versus competit ion in this segment? How do you see our competitive positioning here?

Vasant L. Rathi: Nikhil, it's a good question, right. Obviously, when you see very lucrative markets or expanding markets, competition is going to come from the big and small. But the in dustrial market is a very different market segment versus nutritional market. More and more people try to go with a healthy lifestyle, nutritional market will keep on expanding and there is room for everybody, but we have a good advantage vis -à-vis our pre sence in the market for a very long time and we don't see that it will affect us tremendously.

Moderator: The next question is from the line of Rohan from Turtle Capital. Please go ahead.
Rohan: I have a couple of questions. We haven't seen any growth in A merica sales since FY'19, but in the couple of quarters we have registered higher growth. So, will this trend continue, and can we expect going forward as America share increase in our revenue, we can get back to around 40% margin? And what has led to this growth -- is it the product mix have changed?
Vasant L. Rathi: I told you that it is always a very difficult proposition to go over 40% margins. Competition is always there, like Nikhil asked a few minutes ago, there are lot of other small and major playe rs coming into the marketplace. So, we have to create our own niches in the marketplace, which we are continuously doing. We see that it's a continuous growth for us and the margin is always going to be competition. But we will do nicely as you see this quarter, we have improved our margins considerably.
Rohan: The question is, what are the challenges you are facing in animal nutrition as well as specialized manufacturing because your quarterly run rates have not scaled up lately?

Vasant L. Rathi: Yes, animal nutrition is a different animal altogether. It's very competitive and you can see that it is logistics, deliveries, the walls doesn't help, cost keeps on increasing and you have to really compete cost wise and price wise in various di fferent markets.
Rohan: And how are the margins between these segments like margins of product profiles of human nutrition, animal nutrition as well as bio -processing and specialized manufacturing, if you can just give a rough idea how the margins are?
Beni P Rauka : As far as the gross margin segment wise, we cannot track like that gross margins for human nutrition and animal nutrition, industrial bio -processing, I mean that's not the way like. We just classify it for the sake of better understanding of our business, our customers and the product. So, for every product you will not have that kind of a margin as such.
Moderator: We have the next question from the line of Aditya Padhi from Girik Capital. Please go ahead.
Aditya Padhi: I just have two questions . Just wanted to understand the first question is, you mentioned about improvement of margins when your US business would pick up like in the previous quarter. So, US has seen decent growth after some time. So, how do you see the visibility in the near ter m to midterm like, how do you see the margin growth in this business?
Vasant L. Rathi: We will continue on that path.
Aditya Padhi: So, similarly like this quarter?
Vasant L. Rathi: Every quarter is different. It is not quarter -to-quarter we care; we look at really because sometimes how the inventories go. Somebody orders by the end of the month may not require it right away till one quarter, so what can you do?
Aditya Padhi: My next question is on the margins. If I see like versus the long-term margin, the re have been major increases

in like employee spend in the last 4 -5 years. So, where do you see like margin improvement coming from like would it be gross margins or employee expenses going down or other expenses like whichever gone up post -COVID?
Vasant L . Rathi: Employee expense is going to continuously grow up because there is a lot of pressure on the salaries as you know very well. Logistic cost is kind of came down after COVID, but now it is again under pressure. So, carrying inventory will be with a h igher cost. So, there are a lot of challenges as I explained before also ahead of time. In spite of that, we are constantly trying to improve the margins, keeping our costs down as much as possible in various other areas and also other income is increasing for us because of the higher interest rates.
Beni P Rauka: So, we have a lot of investments as Rathi sir has mentioned. So, from that we are getting good returns. So, other income has increased substantially if we compare our nine months of this year numb er versus the nine months of last year. So, that has also contributed in overall increase in our profitability. But yes, the margin has improved, you rightly said, I mean as Rathi sir has also

mentioned. So, U.S. business as it grows, we have a better marg in, better profitability, that's what you can see from this last quarter number.
Moderator: The next question is from the line of Umang Shah from Banyan Tree Advisors. Please go ahead.
Umang Shah: First question was, could you tell us the Evoxx loss number for nine months?
Beni P Rauka: Evoxx nine months number is top line 116 million as compared to 182 million of last year and EBITDA is negative for this nine months, 12 million, as compared to 39 million positive. During this nine months, we have a loss of about 26 million as compared to 10 million of profit in nine months of last year.
Umang Shah: So, sir, what we understand is that this Company was acquired for better research in marketing function in Europe. So, going forward, will it have its own profit ability, or will it continue

supporting the consolidated entity and report losses?
Vasant L. Rathi: This is an R&D Company , okay, and we have to look at that way because it's not like regular commercial operation, right? And European conditions, as you kno w, in Germany, lot of pressure on the salaries and other cost, cost increases versus slowdown in the businesses.
Umang Shah: Sir, the second question was, we have launched two new pharma products in JC Biotech which have come after a long time. So, how is the market that you see, would they be India -focused, or would they be outside India also, if you could some give some clarity there? The products I am referring to is Invertase and Alpha Galactosidase.
Vasant L. Rathi: Yes, they're very interestingly new products are added to the production side of it and we see very good opportunities in the industrial sector.
Umang Shah: So, any rough number on what the market size is like and how much are we targeting of that market?
Vasant L. Rathi: It's a huge size, i ndustrial area you know it's a very big market. These products takes a little bit time to just introduce and get approvals, but we see a good prospect.
Umang Shah: For the last two quarters, you've been giving out numbers for human nutrition revenues from India. If you could just give that number for this quarter, it would be very useful?
Beni P Rauka: It's 519 million. And what was it for same quarter last year
Umang Shah: And what was this for Q3 last year?
Beni P Rauka: It’s 393 million

Umang Shah: For the nine months, could you speak out about WELLFA performance and how are we looking at our B2C foray?
Beni P Rauka: No, I think WELLFA number is still negligible. As we mentioned to you, it's like we are still working on it, it will take a lot of time to build
Vasant L. Rathi: B2C is a very different animal as you all know. It takes time.
Umang Shah: Are we changing anything on the product front or on the management front?
Vasant L. Rathi: Working good. Right now, we are satisfied with the progress wit h what's happening with it and there will be a constant addition of the product and we are very mindful of how we want to take this forward.
Moderator: The next question is from the line of Gaurav Nigam from Tunga Investments. Please go ahead.
Gaurav Nigam : Have you given the revenue for this quarter from our top products?
Beni P Rauka: I am giving you for nine months it is 22% of our top line and last year it was 24%, quarter is I think 20%.
Gaurav Nigam: Can you provide bifurcation of the human nutrition revenue between India, international and the sub-segment, sir?
Beni P Rauka: So, I think I have just given that. So, India human nutrition is about 519 million and international it is 588 million. So, the total is about 1,107 million in Q3 of this year.
Gaurav Nigam: And would you able to give the pharma probiotics and biocatalyst numbers within the three segments we operate in?
Beni P Rauka: So, pharma is about 386, probiotic is about 100 and biocatalyst is about 33. This is India I am talking about. Int ernational human nutrition is 562, probiotics 20 and biocatalysis is about 5 million.
Gaurav Nigam: I just wanted to get your outlook on the end customers in the US Nutra segment because I think till last quarter we were not very sure about the end market performance. So, how is it now and how are the customers looking at the growth going forward, any sense of the US Nutra market would be helpful?
Vasant L. Rathi: Right now, we can see a stable market and a lot of new customer additions.
Gaurav Nigam: Sir, the inventory issues, which were there in the last few quarters, is that over?
Vasant L. Rathi: We have taken care most of it. It's a gradual process.

Gaurav Nigam: So, just continuing on a previous participant on the animal nutrition segment, so we have seen almost a stagnation in the last three quarters. Just wondering whether this is because of the India business or international business and what are the reasons behind it?
Vasant L. Rathi: It’s a very competitive business, and a lot of pressures on the logistics, inventories and cost.
Gaurav Nigam: But majority in the India business these competitive pressures are coming or is it -?
Vasant L. Rathi: International business. India is also not an exception to the rule in this matter.
Moderator: The next qu estion is from the line of Harini Dedhia from Tamohara Investment Managers. Please go ahead.
Harini Dedhia: My first question was on B2B sales. A couple of years back, we had appointed a distributor on

the India side, Anshul and then as well as on South As ia. How has that experience been with
these distributors, what has the traction been like? And are we also appointing more on the
ground sales people to do direct sales, if you can just help us understand how is our sales team
shaping up for B2B sales?
Vasant L. Rathi: B2B sales shaping up fairly decent. We're satisfied with that. The acquisition of the new market
is always a challenge and takes some time. But a requirement is you have to be present and keep
on knocking on the doors explaining our better si de of the products and the services.
Harini Dedhia: Do we have a preference on whether we go via distributor in a particular market for a particular
product or the direct route or do we try to do both, how do we approach it?
Vasant L. Rathi: We try to do b oth.
Harini Dedhia: On the B2C front for WELLFA , like you yourself mentioned, it's a whole other base, I mean,
there is no limit to how much money you can spend o

n it. Do we have a call on both capital and
time allocation how much money are we okay burning on this, how much time are we okay
spending on this to get it to break even?
Vasant L. Rathi: We are not burning lot of money. Let's put it this way. That is not a full focus on it. However,
there are people who are given the full attention, and they are continuously working. I think
looking at various different challenges in B2C, we are doing fairly decent.
Moderator: The next question is from the line of Rohit Ohri from Progressive shares. Please go ahead.
Rohit Ohri: A couple of questions. First, relate d to probiotics . There is an immense potential over there
untapped, which is to the tune of USD48 billion to USD50 billion. Sir, what would the AETL be
interested in, whether you'd be interested in the animal feed segment, dietary sup plements or the
functi onal F&B ?

Vasant L. Rathi: Obviously, we're interested in all these three markets. That's why we're there.
Rohit Ohri: In the initial phase, what sort of market do you intend to capture for maybe the next two years
or maybe three years ’ time?
Vasant L. Rat hi: Continuous growth in this area. Now, there are always some areas where we will perform better
than others as the condition changes, but we see good opportunities in all these areas where we
are.
Rohit Ohri: In terms of catalysis, if there are any new p roducts in pipeline which you think are nearing their
launch dates, if you'd like to specify?
Vasant L. Rathi: We will see next year it will start paying off.
Rohit Ohri: How many, if you would like to just put a number to that?
Vasant L. Rathi: I don't kn ow, but I think two to three products to begin with.
Rohit Ohri: So, there is a lot of emphasis being put on bio -energy, clean green energy by the Hon'ble Prime
Minister and his entire team. So, what sort of efforts have we taken forward for the domain of
biomass processing scarification and bioethanol production?
Vasant L. Rathi: Hon'ble Prime Minister in this country is looking into bio -green area. It's a very challenging
area. Hon'ble Minister Nitin Gadkari is always speaking about various different fuel projects
produced and all that. The issue is always what are the processes you develop and what the
government is willing to do. We are capable of working on it, but requires a lot of government
support, and here we don't hear much of it, to be honest.
Rohit Ohri: I may think that you'll be able to add the fifth division to the basket of the entire of AETL, maybe
grain and tech processing. By when do you think you can add the fifth element or the fifth
segment?
Vasant L. Rathi: As you said, there is a lo t of push. And if that push comes through with the proper government
support, we are capable of doing it.
Rohit Ohri: Are there any molecule you're already working on it, like to share some details on that?
Vasant L. Rathi: No, I cannot share at this point in time.
Rohit Ohri: So, my last question is related to the overall pie. If we see the pie of the revenue is gradually
moving more towards the animal healthcare and the bio -processing, do you think that from the
current 10% to 13% or maybe 13% to 15% of a nimal HC and bio -processing pie for these two
segments will improve or increase going forward?

Vasant L. Rathi: It will improve.
Rohit Ohri: Any ambitious target that you have to kind of have?
Vasant L. Rathi: You pointed the right finger at it. As our pie increases, that means keeping that percentage
improves the sale numbers also .
Rohit Ohri: Is there any thoughts on entering pyrethroid or insecticides business or any antiparasitic or insect

repellents?
Vasant L. Rathi: No, we are not looking at that righ t now. There is enzyme applications but we are

not working
on research on that.
Rohit Ohri: And the R&D team intends to work on those going forward, maybe two years down the line?
Vasant L. Rathi: Maybe.
Rohit Ohri: If there is anything on the improvement or the mitigation of the issues that we have with ROC, which was raised in the last quarter as well, which was related to the goodwill that is lying in the balance sheet, if any concrete steps have been taken on that?
Beni P Rauka: No, no. Are you talking about return on capital, right?
Rohit Ohri: Yes, sir.
Beni P Rauka: Correct. So, I mean return on capital I think we have already mentioned that we are taking care to the extent, it is good for all the stakeholders. That's what you might have observed that last time we have declared a very handsome dividend as well. So, you improve that way your return on capital employed because you distribute some money to the shareholders. But other than that, whatever money is with us, we have been using that money for our investments where we are getting a good return and in addition to that, there is again you see the benefit of the money being invested in USD. So, you get at least 4% to 4.5% every year because of the rupee depreciation. And in addition to that, there will be of course some return from the investment which have been made in the government bonds and other investments. So, capital employed per se in percentage, maybe lower due to a lot of money we have with us. But yes, overall, if you see the Company is growing, so we keep that money , Vic sir is also with us and we have discussed in past also. We are scouting for some opportunities as well. So, we are keeping that cash. So, as and when there are good opportunities where there is a lot of synergy in the business, probably that money will be used for that purpose, and otherwise the management will take care of that how to deploy that funds.
Moderator: The next question is from the line of Ravi Purohit from Securities Investment Management Private Limited. Please go ahead.

Ravi Purohit: Just wanted to touch base upon on the work that Evoxx been doing. Evoxx is essentially an industrial enzyme research Company . So, if you could share some of the areas that they've been working, they had done a strategic partn ership with Symrise cosmetic Company about a year and a half, two years back. So, anything on that or anything on generally on industrial side because we see a lot of opportunities on the industrial side from our perspective, so if you could just share som e insights or some part of the work that we've been kind of looking at on the industrial enzyme side?
Vasant L. Rathi: Ravi, as you rightly pointed out, it is a R&D Company, and it is working with various different companies as some names you probably gave , and they are all confidential documents with them. So, we cannot reveal all the names as they're working on their R&D projects. But I can only tell you that various different products are not only R&D, they work on research projects and also various diff erent, different molecules in industrial as well as in other segments, human and animal nutrition. So, you don't see those in the balance sheets directly, but they are very big contributors. The market is a changing market. It is a very information and res earch -driven market now. Evoxx has a lot of role to play in that.
Ravi Purohit: And so, in FY'22, I think we had announced a strategic partnership with Symrise, a very large Company , highly profitable Company , very, very strong in cosmetics, right. So, I was just wondering if something happened, it's been about a year and a half. Does it throw open opportunities for us on the business side or it's more like a core development of products or core research, so if you could just share some insights into that?
Vasant L. Rathi: Unfort

unately, I cannot because I have confidential agreements with them.
Ravi Purohit: If you could just share on the industrial side again, because we read a lot of articles and a lot of material which says that for hydrogen production a nd all enzymes are like the pre -catalyst agents, right. So, there is a lot of activity going on, on that side. So, is this something that we have the capabilities to participate, is there something that throws open opportunities for us on the industrial si de, if you could share anything on that side?
Vasant L. Rathi: I honestly don't know what to tell you about it, but we are working on those enzymes very diligently at this point in time and progress is made considerably but it takes little time to get through all this regulatory development and becomes a competitive marketplace. We never cannot compete with the hydrogen peroxide. Enzymes are not that cheap.
Moderator: The next question is from the line of Rohan from Turtle Capital. Please go ahead.
Rohan: One question. I just wanted to get an idea what is driving the domestic sales as well as rest of

the world sales, what segment is playing a role in this growth?
Vasant L. Rathi: Human nutrition and food.
Rohan: And in true size is it playing any key role?

Beni P Rauka: So, baking is part of our food segment.
Moderator: The next question is from the line of Laxmi Narayan from Tunga Investments. Please go ahead.
Laxmi Narayan: A couple of questions. First is, when you set out this year, at the start of the year, you would aspire what do you think, just wanted to understand that we draw the year to the close, which are the areas which has actually exceeded your expectations -- there could be people, product, sales or margins or whatever, and which are the are as which disappointed you?
Vasant L. Rathi: Very nice and a general question Laxmi Narayan ji. We are very excited with our people. The research group is doing phenomenally well for us. It's also that a lot of papers and a lot of publications are happening which are giving us a lot of advantage in the marketplace, and we are finding market is responding also very nicely because of our long association, long presence in the market, our reputation, etc., So, that is all positive. Negative is somewhat disappoi nting with this macroeconomics of what's going on and that is putting the unnecessarily pressure on us, and also more of we can see a challenge, not separation, a lot of challenges of further expansion and growth.
Laxmi Narayan: Can you just drill a bit de eper on the second thing, when you say macro, what is it leading to us as a Company for us?
Vasant L. Rathi: The macroeconomics like the wars doesn't help anybody in the economies as you know. So, delivery challenges are pretty disappointing, cost always k eeps on going on that, and challenges are also acquiring good talent when you are expanding the Company and pressing wages in other things on it.
Laxmi Narayan: Any segment or geography or a product that actually did very well beyond your expectations in the last financial year?
Vasant L. Rathi: I cannot give you any specific numbers or specific product names, but overall we are doing very well in the entire segments.
Laxmi Narayan: And if you just roll back and look at the last three years, I mean, the rea son I am asking is that, you always mentioned that don't look at my Company on a quarterly basis, look at in a slightly longer. So, if you look at it in the last three years, which are the areas which have actually surprised you positively and which are th e ones which have disappointed you, and what are you doing to address those areas which have disappointed you?
Vasant L. Rathi: Our R&D, there is only one solution in our marketplace. Expanding the R&D and making sure that our products are really addressin g the

issues. So, a lot of change happens in the last three to four years.

Laxmi Narayan: How do you quantify that R&D has actually improved -- is it by the number of scientists who work with you or the kind of output on a near term or a long term, how do you parameterize it when you say you're happy?
Vasant L. Rathi: Output is always very important, and talent is always part of the entire game. So, we have excellent talents, and we are very proud of our wonderful group of people. They are willing to take any challenges.
Moderator: The next question is from the line of Manoj N Muthiyan , an individual investor. Please go ahead.
Manoj N Muthiyan : I just want to know how many new molecules are being developed in the R&D and what is the timeline of the commercialization? I am asking this because business growth is expected to come only from the existing molecules and then from the new molecules. There is always limitation to the ex isting molecule and the new molecule will only play a major role in business development and business growth.
Vasant L. Rathi: Very true, Manoj, and it's a very good question. Thank you. We have developed several new molecules, but these molecules when you develop, goes through very thorough testing, like it has to go through with the toxicology, with the various different approvals and it takes really long time, and there are lot of challenges on those. So, as I said, our R&D is doing very phenomenal job a long with our documents, department and other supporting areas. We have filed some patents also. So, there is excellent movements. We will only say that these molecule developments are useful when we complete all these requirements. Does that make sense?
Manoj N Muthiyan : I definitely know about that. I just wanted to know how many number of products being developed and what is the calendar for their commercialization?
Vasant L. Rathi: As I said, commercialization takes some time. A few products are develop ed. I cannot give you

exact numbers, but quite a few.
Manoj N Muthiyan : Then second question is, since our R&D development cost in European countries is too high. Then do you have any plan to ship development to Indian sites?
Vasant L. Rathi: That is also a very good question. We just invested I think about Rs.50 crores in our new R&D facility, which is happening on 15 acres of land and there is a huge park development is going on. We will be one of the top most R&D companies in this area. So, we have a ver y big plans for the research and development.
Manoj N Muthiyan : And my third question is, there are seven molecules filed with the US FDA according to the annual report, and for five there is no questions from the FDA and for remaining two, there were some questions. Whether those questions have been addressed and molecules have been commercialized in U.S. market?

Vasant L. Rathi: Manoj, FDA ask a lot of questions. And we filed many of those already. And some of them approved, some of them are in the proces s.
Moderator: The next question is from the line of Nikhil from SIMPL. Please go ahead.
Nikhil: Just two questions. Sir, this question point which the earlier participant raised, just wanted to understand, see, in traditional pharma what we see is that com panies have a tie up with the customer and then they file the DMF or whatever and once the approval is received, their commercialization starts. But if I go through our calls, even in Europe and US where we said that there are products where there are no q uestions and in a way there are approvals which are being achieved, how does the sales process happen -- so, is it like first we file, then we scout for partners, how does the overall process happen? I know it will take some time, but i

f you can just
educa te us how this process works versus traditional pharma?
Vasant L. Rathi: First of all, traditional pharma takes a lot of money in long time, but they also get patents and they can make a lot of claims. We cannot make any specific claims of anything cured or anything which you can call it, cure and what other word is there? Treat cure, any diseases or anything. So, it has to be related to health and nutrition and that's all we can claim. So, it has a lot of difficulties. Doctors may recommend or may not reco mmend because in US, most of the doctors will go for the Medical they need to have a n FDA approval for drugs. So, different, different ways to deal with it, and we are only strictly into human nutrition of well -being and not in the disease or cure business. Your second part was whether we look for partners before or after. Once we get appr oval, then we have to find appropriate partners who have different needs, and the molecule will fit for their application.
Nikhil: This is from our Slide #28 where we talk about the addressable market for ETL over the next five years and ETL's current shar e of revenue. If we have to understand, say, just taking an example of, say, baking, where we say $30 million is the addressable market. If we have to understand five years back based on our capabilities and molecules, how would these sizes have changed, t he addressable markets would have changed. And this is in relation to the R&D question. I know you can't say how many molecules we launch and all, but if you can just spend some time five years back, what was this addressable market for some of these segme nts which today we are talking of say 200 or 30 million. And as an investor externally, how should we measure how we are increasing our addressable market opportunity?
Vasant L. Rathi: The market has changed. Now, let's say for baking, the need and the foo d industry changing to not just food, but healthy food, less sugary food or whatever. Those are the kind of market needs have changed before we used to have all the coca colas in the market, now the drinks are more healthier drinks. You can see that human nutrition is a very dynamic subject and they are constantly changing. As the research comes out of it, people want to have address different things at a time. So, as you know, like January 1st, everybody wants to have a resolution to lose weight . And after three months, they lose that interest and go back to again same old, same old. Human nutrition is something of that nature. It is changing, and obviously some market is increasing as

expenditure and income changes, people start thinking about healthy food or spending some money on the right food. It has changed in five years; it has expanded in my opinion.
Moderator: The next question is from the line of Jeshit Ladhani, an individual investor. Please go ahead.
Jeshit Ladhani: I have been an investor since quite long time in Advanced Enzyme Technologies because I believe in the philosophy of the Company about making everyone healthy.
Moderator: Sorry to interrupt, but you do sound a little muffled. I request you to please use the handset mode.
Jeshit Ladhani: So, I've been an individual investor in Advanced Enzyme Technologies since quite some long

time because I believe in the basic philosophy of the Company making everyone healthier. So, a couple of questions which I am noticing since long time that earlier we used to have operating margins in the 40 s range, now which is in 30 -ish percentage, slightly increasing since couple of quarters. So, is it going to be in the same range for a longer period of time, or are you going back to the 40s range?

Vasant L. Rathi: I just want to thank you for investing in the Company for a long time. We really greatly appreciate that. I also answered that question s

ome time ago, is that it's a very competitive market business marketplace and keeping very high margins are not always that kind of high margins and not always feasible because you have to compete. But we are trying to improve our margins all the time. It is always a combination of product mix which really reflects how margins will shape up at the bottom, but it will be healthy, that's all I can tell you.

Jeshit Ladhani: So, this 30ish range is the new normal, right?

Beni P Rauka: 30-33, yes.

Jeshit Ladhani: And the top line growth which you are seeing is around 20ish now, is it going to be a sustainable growth l ike are we going to see that number quarter -over-quarter or year -over-year?

Vasant L. Rathi: We don't say every quarter, but as you can see these last three quarters this year, they're constantly increasing, not necessarily that will continue the trend nec essarily. However, we see 15% to 20% growth as we guided before also for some time.

Jeshit Ladhani: The geographical bifurcation like 80% of business comes from India and America. So, is this going to be the same or like are we seeing any new growth opport unities elsewhere?

Vasant L. Rathi: A lot of other opportunities are there. So, it will change.

Jeshit Ladhani: I think around 13 patents we have. So, any new patents filed in this year out of those 13?

Vasant L. Rathi: Yes, we did.

Moderator: Ladies and g entlemen, we have no further questions. I would now like to hand the conference over to Mr. Ronak Saraf for closing comments. Over to you sir.

Ronak Saraf: Thank you everyone for taking your valuable time for attending our earnings call. We will keep you a ll posted for any further updates. I request you all to kindly send in your questions that may remain unanswered, and audio recording and the transcript of this call will be uploaded on our website in due course. Looking forward to hosting you all in the n ext quarter. Till then, stay healthy, stay safe.

Beni P Rauka: Thank you very much

Vasant L. Rathi: Thank you, everybody.

Moderator: On behalf of Advanced Enzyme Technologies Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: May 2024

May 21, 2024

To

Dear Sir/Madam,

Sub: Transcript of Conference call held on May 15, 2024 for the audited Financial Results for the quarter and year ended March 31, 2024

In furtherance to our intimation letter dated May 07, 2024, please find enclosed the Transcript of the Conference call held on Wednesday, May 15, 2024 with Analysts and Investors for the audited Financial Results of the Company for the quarter and year ended March 31, 2024.

The aforesaid information is also being uploaded on the website of the Company.

Kindly take same on your records.

Thanking you,
Yours Faithfully,

For Advanced Enzyme Technologies Limited

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“Advanced Enzyme Technologies Limited
Q4 FY24 & FY ’24 Earnings Conference Call”

May 15, 2024

MANAGEMENT: MR. MUKUND KABRA – WHOLE-TIME DIRECTOR,
ADV ANCED ENZYME TECHNOLOGIES LIMITED
MR. BENI PRASAD RAUKA – GROUP CHIEF FINANCIAL

OFFICER, ADVANCED ENZYME TECHNOLOGIES
LIMITED
MR. PARAG KATARIYA – GENERAL MANAGER,
ACCOUNTS, ADVANCED ENZYME TECHNOLOGIES
LIMITED
MR. RONAK SARAF – MANAGER, INVESTOR
RELATIONS, ADV ANCED ENZYME TECHNOLOGIES
LIMITED

Moderator: Ladies and Gentlemen, Good Day and Welcome to Q4 FY24 & FY'24 Earnings Conference Call of Advanced Enzyme Technologies Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Ronak Saraf – Investor Relations Manager. Thank you and over to you.
Ronak Saraf: Good evening, everyone. Welcome to the Advanced Enzyme Technologies Q4 FY24 & FY'24 Earnings Conference Call . We hope you all have received our "Financials," "Press Release" and the "Presentation" which has been posted in the Investor Relations section of our website.
We have with us Mr. Mukund Kabra – Whole-time Director and Mr. Beni Prasad R auka – Group CFO.
Today, the Management will Discuss the Performance and Business Highlights, Update on Strategies and Respond to any Questions that you may have.
As is usual, for ease of discussion, we will look at the consolidated financials.
Before we proceed, I would like to draw your attention to the forward -looking statement contained in the Presentation. During our call, we may make forward-looking statements regarding our expectation or prediction about the future. Because these statements are based on our current assumptions and factors that may involve risk and uncertainty , our actual performance and results may differ materially from our forward -looking statements.
So, without any further ado, we shall commence this call. Over to you, sir.
Mukund Kabra: Thank you, Ronak. Good evening, everyone. I really appreciate you all for taking out your valuable time and I extend t he heartiest welcome to everyo

ne joining us today on this Conference
Call for the Quarter and Year-Ended 31st March 2024.
Our business demonstrated resilient performance in Financial Year '24, backed by our robust R&D pipeline and efficacious competitive product mix. The business development activities remain healthy during the year across all our divisions and geographies .
During the year, we have posted our highest ever consolidated revenue. We have recorded a top line growth of 15% and botto m line growth of 32%. The margin has also improved. EBITDA margin improved by 400 basis points while PAT margins by 300 basis points.

During Q4, there is one-time impact of ■151 million on profitability due to adverse judgment of the court in lawsuit in one of our US subsidiary, AST Enzymes.
Now, I will take you through the "Quarterly Performance." We have achieved top line of ■1,578 million, growth of 14% on a year -on-year basis and 2% decline on sequential basis in Q4. Our EBITDA stood at ■554 million, grew by 26% on a year-on-year basis and 3% on sequential basis. We have seen a decline of 7% in the bottom line on year -on-year basis and 30% on sequential basis. There is further improvement witness ed in EBITDA margin at 35% as compared to 29% for Q4 of last year, while PAT margins declined to 19% during the Q4 as compared to 23% for Q4 of last year.
Double-digit growth in the bottom line is because of our improved top line , change in product mix and higher other income. The overall trend across our business has remained up beat.
Now, I will take you through the "Segment Wise Performance ." The Human Nutrition segment as usual driven the highest contributor in the revenue at 65% in Q4. It grew by 17% on year-on-year basis, while it declined by 7% on sequential basis . During Financial Year '24, we have witnessed a growth of 18% on year -on-year basis.
Contribution of domestic and international markets remain equal. API and Probiotic mainly

supported the growth in human nutrition business.
Our animal nutrition business contributed 12% to the revenue in Q4. This segment degrew by 10% on year-on-year basis, while grew 14% on sequential basis. This business declined by 5% during Financial Year ‘24.
During the quarter, Bioprocessing segment contributed 16% to the revenue. It grew by 35% on year-on-year basis and 9% on sequential basis. For full year, this segment grew by 21%. Food business grew by 30% and non -food business degrew by 6% respectively on year-on-year basis.
The specialized manufacturing segment contributed 7% in Q4 and degrew by 2% on year-on-year basis and grew 7% on sequential basis in Q4. During Financial Year ‘24, this business reported a year-on-year growth of 19%.
A brief on “Key Developments” during this year. We have received approval of two food enzyme dossiers from EFSA. Over and above, we also received no-question letter for our two GRAS filings with USFDA. All of these enzymes will be used as a food processing aid for different food products. During the year, we have also acquired an additional stake of 5.89% in JC Biotech for the total cash consideration of ■56.07 million. Now, the shareholding of Advanced Enzymes, in JCB has increased to 95.72%.
We have initiated small step towards clean energy as our one of the ESG initiatives. We have installed and made operational 160 k W solar power plant in Financial Year ‘24, another 350 kW solar plant installation is under progress and will be operational by November 2024.

As we entered the new financial year with strong foundation, our focus will continue to remain on improving margins, prioritizing customer retention, strengthen R&D, foraying business opportunities in new geography, expand solutions and product offer ing, register more products across global regulatory

bodies and to look for strategic inorganic opportunities . We will bring more resilience in our business to enhance customer value proposition and deliver long -term sustainable growth going ahead.
With this, I conclude my remarks and now hand over this call to Mr. R auka. He will take you through the financials and key subsidiary numbers.
Beni P Rauka: Thank you very much, Muku nd. Good evening, everyone. I hope you all are in good health.
Let me brief you about the Financials of the Company during the Q4 and Fiscal Year 2024:
On year-on-year basis, the revenue grew by about 191 million, 14% growth from ■1,387 million to ■1,578 million. EBITDA has increased by ■113 million from ■441 million to ■554 million.
Profit before tax but after exceptional items , as mentioned by Mukund, we had an exceptional item of about ■151 million due to the adverse impact of the claim. So, our profit before taxes decreased by ■24 million from ■421 million to ■397 million. Profit after tax decreased by ■22 million from ■321 million to ■299 million.
On sequential basis, the revenue decreased by ■31 million from ■1,609 million to ■1,578 million.
EBITDA has increased by ■15 million from ■538 million to ■554 million. Profit before tax and after exceptional item decreased by ■192 million from ■589 million to ■397 million. If I remove the impact of exceptional item, the profit before tax stood at ■547 million as compared to ■462 million. Profit after tax decreased by ■126 million from ■425 million to ■299 million. Again, here the impact of this exceptional item.
On year-on-year basis, our revenue grew by 15% from ■5,406 million to ■6,239 million.
EBITDA increased by ■481 million from ■1,564 million to ■2,045 million. Now EBITDA for FY'24 stood at 33% as compared to 29% in FY '23. Profit before tax but after exceptional item increased by ■475 million from ■1,404 million to ■1,879 million. Profit after tax increased by ■331 million from ■1,039 million to ■1,370 million. The PAT is 22% of our revenue as compared to 19% in FY'23.
I would like to give some of the numbers of our subsidiary companies :
J C Biotech sales in Q4 stood at ■143 million with EBITDA of ■18 million and PAT of ■3 million as compared to Q4 of last year, ■107 million of sale negative EBITDA of ■3 million and a loss of ■10 million.
J C Biotech during FY'24 revenue is ■626 million as compared to ■502 million, top line growth of 25%, EBITDA ■77 million as compared to ■14 million in FY'23 and PAT at ■18 million as compared to negative ■18 million in FY'23.

evoxx revenue stood at ■64 million with EBITDA of ■4 million and profit of ■5 million in Q4 as compared to ■58 million, ■20 million and ■11 million respectively during Q4 of FY '23. So evoxx during fiscal year '24, the top line is ■230 million and FY'23 was ■241 million, Negative EBITDA of ■8 million during FY'24 as compared to ■59 million positive in FY'23 and PAT is negative, loss of about ■21 million as compared to profit of ■21 million in FY'23.

SciTech sales stood at ■114 million during Q4 of FY '24 with ■20 million of EBITDA and PAT of ■25 million as compared to ■117 million of sales and ■24 million of EBITDA and ■12 million of PAT during Q4 of FY'23.
On fiscal year basis, SciTech top line stood at ■418 million as compared to ■353 million, 18% of growth in top line, EBITDA at ■58 million as compared to ■6 million negative and PAT of ■37 million as compared to ■62 million of loss during FY'23.
The sale of the largest product during the quarter stood at ■279 million and for the year, it is about ■1,310 million as compared to ■1,290 million in FY'23.
Top 10 customers sale is about 26% as compared to 24% in FY '23. B2C segment contributed about $1 million as compared to $1.21 million in FY'23.
Our R&D expenditure during the year is about ■274 million as compared to ■290 million in FY'23. Percentage

of R&D expenditure on consolidated basis, we spend about 4.58% as compared to 5.06%. This is without eliminating the intercompany transactions and during the year there was some lower CAPEX. On consolidated basis, R&D spend is about 3.2% as compared to 4.22%, it is after elimination.
That is all from my side. We shall open the floor for question -answer.
Moderator: We will now begin the question -and-answer session. We'll take our first question from the line of Nikhil Mathur from HDFC Mutual Fund. Please go ahead.
Nikhil Mathur: Sir, my first question is on the growth that you have registered in the human nutrition business of 14% in FY'24. Is it possible to give som e broad sense as to how this growth is split between volume, pricing and new products?
Mukund Kabra: Good afternoon, Nikhil. But it's difficult to give the breakup because we don't track with volume and this, it's a mix of products, it's a new product as well as our existing product. But I can't give you the bifurcation in terms of volume and other things we don't track.
Nikhil Mathur: Qualitatively, what has been the pricing behavior in your products in FY '24? Has it still been deflationary, or have you been able to pass on some bit of high input c osts that we have seen in the last couple of years, so any broad sense on that?
Mukund Kabra: It is more stationary, Nikhil. codEnzymesWhore ENZYME isLife

Nikhil Mathur: So, from FY'2024, not much changes happen on the pricing front ?
Mukund Kabra: Yes.
Nikhil Mathur: And how is the input cost behaving now for you as a company , I mean do you see any positive or negative surprises on the input cost run or it is quite stable and also the outlook for the coming year in terms of input cost, how do y ou see that?
Mukund Kabra: Input cost more or less is stable in terms of raw material prices and other prices, and we expect the same to continue.
Nikhil Mathur: Next is on the mix in the coming 2 -3 years. Human nutrition pre-COVID was at 85% total business mix, it is now at around 78%. Where do you see the human nutrition contribution in the coming 2-3 years and why I ask this is because I believe this is the most highest gross margin business across all the businesses. So , I think this mix has a br oad implication of how gross margin will progress in the coming 2 -3 years. So, any sense on where the human nutrition business contribution will stay in, let's say in '25, '26, '27.
Mukund Kabra: So, we expect it to grow, but in terms of percentage probabl y it will be between 65% to 70% because there are some other businesses as well. It should be between the same range what we are continuing.
Nikhil Mathur: So does that mean that the gross margins which you have currently at the consol level, that kind of remain stable in the coming years, there's a limitedly available for that to improve?
Mukund Kabra: It will always improve as we grow. This should improve and we expect it to improve further because we expect like somewhat growth has to come back even from the US now and that will really improve.
Nikhil Mathur: This question has been asked previously, but I'll just attempt it again in a different way. So your gross margins today are roughly 3 to 4 percentage points lower than what it used to be on pre - COVID levels, but your EBITDA margin today is around 11 %, 12% lower than what it was pre - COVID. So that means there are significant OPEX buildups that has happened in the P&L, which is obviously not getting properly absorbed. Can you talk about what exactly has happened on the OPEX front in the last four, five years due to which you are at a margin profile, which is much lower than what you should be at, and how this will change in the coming years?
Beni P. Rauka: So, Nikhil, I think the EBITDA margin has gone down basically because of a couple of things. One is the sale mix has changed. And another is my

revenue from the US . So, the impact of both that creates that kind of gap in the EBITDA margin. But of course, if you see last year if we compare the EBITDA 29% to 33% this year, so there is of course some improvement, but yes, one particular impact which is like as in the first question , whether the increase in the sale prices has happened. So that cost, whatever input cost has already elevated, that elevated cost it is very difficult to pass on to the customers. So because of that overall there is a pressure on the margins ,

and in addition to that, if you have observed the power and fuel cost because of the overall pricing has gone up. So, because of that, what has happened, the EBITDA margin is under pressure in that sense. But yes, it has stabilized as we mentioned that input cost now appears to be at a stationary level. We are not seeing any substantial increase and significant increase in that. So OPEX overall I think still is under control to the extent, and yes, the impact because you are not able to pass on the higher cost to the customer and then of course there is a change in the product mix, so that has created this issue. And in addition to that, the US business, it has to grow. So, because you have a better margin over there.

Nikhil Mathur: So, any visibility emerging around the US business , is it on the cusp of a turnaround or there can be some time before you start seeing the order book building on the US front?

Beni P. Rauka: It has improved this year if you have seen, US business has improved this year and we see that kind of continued growth now.

Nikhil Mathur: Again, sticking on the OPEX front, I think FY'24 has been a year of optimization on the cost front as well because the SG&A is up only 6% YoY and your employee cost is up 12% YoY, whereas revenues of 15%. So, does that mean that there's a need to invest into manpower and admin and overheads in FY'25? And unless the growth is, let's say in mid -teens, high-teens wouldn't it be difficult to grow margins from where your current situation is?

Mukund Kabra: We expect the margins to grow. We expect growth should be somewhere around in doubl e digits as you mentioned, but that should not be a problem because the coming year we expect a little more growth from the US side as well.

Nikhil Mathur: Any guidance on the EBITDA margin, what should we expect in '25-26?

Mukund Kabra: I can't talk on the EBITDA margin at this point of time, but the top line as you said, between 13% to 16% somewhere around there.

Moderator: We'll take our next question from the line of Nitish from Chrys Capital. Please go ahead.

Nitish: Just a bookkeeping question. You mentioned 13% to 16% top line growth outlook for FY '25?

Mukund Kabra: Yes, that's right.

Nitish: So, one more question specifically on the USA side. So USA has grown 32% y ear-on-year in fourth quarter and 9% in FY'24. So, what is your outlook for the USA business in FY'25 and what will be our drivers for growth in this business?

Mukund Kabra: So, we mentioned like last time also like we introduced a couple of segments like on the weight management and other areas and the sugar management and those are the products which are going to drive the growth for this year as well.

Nitish: EU also performed well in FY '24. So what would be our growth outlook in EU? You mentioned that there are some enzymes we've got regulatory approval in your opening comments. So, what kind of revenue potential do those en zymes have?

Mukund Kabra: So, it's not exactly like converging. I can't give you the revenue potential in te rms of approvals, but those approvals were like pending from last 2013 , 2014 and still EU has not completed the list. During that time like we applied about somewhere around '13-14 and we

are still waiting
for the approval but as of now it is not stopped unless and until they come out with the positive list. So I cannot just say that there will be a substantial growth right now, but that will allow us to continue our sales after also the guidelines will come up. So that's how it is, but it's really difficult to convert into the revenue or sales . In terms of EU and other business, particularly on the food area that is growi ng and we expect next year to have a decent growth in those areas as well.

Nitish: Our EBITDA margin has increased to 35% in Q4. Is this s ustainable and what would be the steady state margin going into FY'25?

Beni P. Rauka: What we have mentioned is if you really look at a quarter, it's difficult to comment on that. But yes, if you look at on annual numbers from 29 % to 33%, this is what we can expect.

Nitish: And my final question is on capital allocation. So, we have around ■500 crores of cash on the balance sheet, and we generate around ■100 crores of cash every year. So, any thoughts on the capital allocation strategy?

Beni P. Rauka: I think as far as the allocation is concerned, if you have observed that, last year we have declared interim dividend, this year we are continuing with the interim dividend , and apart from that, we are keeping the cash with us to make sure that whenever we have some opportunity , we use that money and to expand our business , and apart from that the normal capital expenditures and -

Mukund Kabra: Even like our R&D setup which we are building up. We are continuingly investing also in that.
Nitish: You mentioned EBITDA margin would be in the 33% range, right , annual level going ahead also?
Beni P. Rauka: So right now, that's what we are saying, because this is what it is as of now. But of course, going forward, we see improvement . If you might have observed from our financial numbers , so if our top line grow by say 1% point, then EBITDA margin is increasing by 2%. So that will give you some indication as you progress.
Moderator: We'll take our next question from the line of Gaurav Nigam from Tunga Investments. Please go ahead.

Gaurav Nigam: One question is on this human nutrition. I think you used to give this breakup between India and international and between the subsegments of pharma , probiotic and biocatalyst . It would be great if you can provide that for this quarter also?
Beni P. Rauka: I can say human nutrition business during Q4 is about ■513 million in India and the international sales is about ■511 million, so total is about ■1,024 million. Do you want more g ranular numbers or -?
Gaurav Nigam: Within India, the pharma business, the probiotics and the biocatalysis.
Beni P. Rauka: Pharma is ■402 million, probiotics about ■63 million and biocatalysis about ■48 million within India.
Gaurav Nigam: And for the international market, sir?
Beni P. Rauka: Mainly it comes from the human nutrition. So about ■488 million has come from the human nutrition and probiotics is roughly about 18 million , balance biocatalysis is about ■5 million.
Gaurav Nigam: In the US market, I think in the last con call, you had indicated that there was a sequential improvement in demand last quarter. Just wanted to understand the thing from the market on the overall demand scenario in the US?
Beni P. Rauka: The overall demand situation is as such I think Q4 there was some pressure on that. But apart from that, the visibility is better.
Gaurav Nigam: One more thing on this Serratio, our largest product side, there has been two quarters of continuous decline. Is there something to read into that, what is happening there and what are the reasons for that?
Beni P. Rauka: Are you talking about the numbers , the revenue from the particular product?
Gaurav Nigam: Yes, I was talking about the Serratio revenue, which has declined 16% this qu

arter and 8% last
quarter.
Beni P. Rauka: This depends on the stock position of our customers, and we do have some distributors. So, it varies from quarter-to-quarter, but overall basis, if you look at the annual number, you see some kind of a growth, which is of c ourse 2% only. But yes, there is a growth in that.
Gaurav Nigam: There is nothing like we are not losing market share on this particular product , right, sir, to confirm?
Mukund Kabra: Not really, but there is always a competition which always will be there, and we are talking about the competition from last 2 -3 years and it will always be there in this segment.

Gaurav Nigam: On the rest of the world, which is that geography that we declare every quarter, there has been sequential like two quarters of d ecline there as well. What is the business we are doing there and is there something that you can highlight on what is the reason for the decline?
Beni P. Rauka: Are you talking about human nutrition?
Gaurav Nigam: No, rest of the world segment which you declare within the geos , India, America, Europe, Asia, and rest of the world, right that you declare. So in that the rest of the world there has been a continuous two quarters of decline almost 40% and 30%. So, wanted to understand what is happening there if you can help understand?
Beni P. Rauka: I think if we really look at on fiscal year basis , maybe of about 3% from ■106 million to ■189 million which is about 78%. So generally always I mentioned that it is very diffi cult on when you compare the quarterly performance of our company.
Gaurav Nigam: Better to look at from annual basis .
Moderator: We'll take a next question from the line of Harini D edhia from Tamohara Investment Managers. Please go ahead.
Harini Dedhia: My question was on the product that you mentioned regarding sugar and weight management. One, is this going to be a America geography only product or is this something that's going to be across the board like across all geographies?
Mukund Kabra: At this point of time, we are focusing on American geography and with the few clients.
Harini Dedhia: So, we'll be manufacturing for other brands, right , and this would be an OTC product ?
Mukund Kabra: Yes, it will be OTC. We will not be manufacturing for others, but we will be supplying what we

can call it as a raw material supplier , not the capsule suppliers.
Harini Dedhia: What would sort of be the opportunity size of this versus the prescription medicine form of GLP one that we've seen which has obviously blown up, but what would be the size of such an opportunity?
Mukund Kabra: Difficult to comment, but at this point of time we see a good traction. We are like very careful at this point of time. I can't comment too much o n these products, but we see a decent growth as we move on into these areas.
Harini Dedhia: What is the nature of our customers for these products? Would they be large nutraceutical companies in the US or who would the buyers be?
Mukund Kabra: The nutraceutical companies and mainly like MLM kind of market at this point of time.

Moderator: We'll take our next question from the line of Sajal Kapoor , an individual investor. Please go ahead.
Sajal Kapoor: I have three questions. And with your permission, I woul d like to ask them one-by-one please. And on industrial bioprocessing and only last 5 -6 years, this area has outpaced both our human and animal nutrition. And given the global sustainability trend, do you believe that 20% growth rate of this segment is lik ely to sustain?
Mukund Kabra: I can't comment on that, but if you remember like last 3 -4 years like we were always saying that this is one of our focus areas , we are really focusing on it , lot of like research is also going into these areas, and

we are coming up with the new , new product pipeline. So , there will be some risks and there will be some bumps going ahead, but yes, more or less we see like because our base is also not very big, we should have a decent growth into this area.
Sajal Kapoor: Second is on the B2B probiotics and biocatalysis area . So both these sort of sub-segments have a large untapped potential today but the product approval process perhaps is taking longer than what you might have anticipated. Is that a fair assumption, because I understand that it's a sticky business and difficult to get a product approval on the customer end, but is it taking longer than what you might have expected originally?
Mukund Kabra: Yes, there are a few more reasons. One is it, it is sticky little longer as well. There are a lot of like price variation and fluctuation also happens internationally and globally and that affect s. At the same time, it's like all the research-driven. Lot of products are under the research, but you cannot be like sure what will be the timeline when they will come out. You see a lot of positivity, but it took little longer, and in the last time also I said like it took a little longer than what we expected, and I still feel it should have a good potential to go ahead.
Sajal Kapoor: And then the third question is on evoxx. So, this business has reported losses this fiscal both at the EBITDA and the net level. So, can you shed some light on the underlying reasons and more importantly the longer-term prospects here and how do you see the contract research and development opportunity in evoxx?
Mukund Kabra: evoxx is always our R&D arm. Lot of biocatalyst development is also happening at evoxx. We were doing like some contract business as well at evoxx contract research kind of things and we did had a contract but somehow they didn't materialize last year and we don't expect too much of a growth on the evoxx on a revenue front, but we expect generally like it should be revenue - neutral. Last year, we couldn't do that because of like our contract research was little on a lower side, some of the contracts didn't materialize and that is where like we have taken an impairment as well this year into our balance sheets , impairment of about 18, 19 crores on the Advanced Enzymes balance sheet, if you look at it, we have taken impairment loss as well. Going forward, we see that it should be revenue -neutral. I won't see like too much of revenue expansion on that front, but it is a good R&D arm for us.

Sajal Kapoor: Like so see evoxx more as a captive in-house R&D rather than extending the capabilities out for other customers on a B2B model ?
Mukund Kabra: Generally, the half of the revenue comes from the inside and half of th at comes from the outside and the outside revenues were a little bit on a lower side last year.
Moderator: We'll take our next question from the line of Ja inam Ghelani from Svan Investments. Please go ahead.
Jainam Ghelani: Since there is so much untapped opportunity in probiotics, are we planning to acquire any company so that we can gain customers?
Mukund Kabra: Well, we are always in search, but if you come across any good company, please let us know.
Jainam Ghelani: Usually, what is our contract length and is it possible to give us any form of o rder book?
Mukund Kabra: So, in our business, there is no contract as such or the order book kind of things , generally order-to-order which you know the customers and you know the pains and that is where it's always

difficult to predict exact numbers of re venue what it will be and exactly how it will be and
quarter-and-quarter how they will move .
Moderator: Our next question is from the line of Lakshmi narayanan K G from Tunga Investments. Please go ahead.
Lakshminarayanan K G: A couple of questions. Last year, you have grown US cl

ose to 9 %, 10%. So what kind of growth
you expect for the next couple of years?
Mukund Kabra: We should at least maintain a 10%.
Lakshminarayanan K G: And on the Europe food business, just want to understand how the growth has com e in the last one year. If I just break Europe into Europe food and non -food, what has been the growth in the food business of Europe and non -food business?
Mukund Kabra: So, food is mostly like we are focusing on the baking side, and we are like focusing more in the India as well like on these areas particularly baking and other businesses as well . So, I don't have the exact number to break it up how much is the food and how much is the other in terms of particular Europe or other area s.
Lakshminarayanan K G: The reason I'm asking this is , I think maybe two years back or so, we were getting some dossiers confirmed and which helped us to mak e inroads into the Europe food industry and we were seeing a lot of potential. I just want to understand how that is pa nning out? codEnzymesWhore ENZYME isLife

Mukund Kabra: The potential is still there, like it's always in Europe difficult to crack since you are like Indian companies, which you get some success and it's continued. I won't say that we got the success to I mean the way we expected, but still, it is going very well.
Lakshminarayanan K G: If you look at maybe the next year, the next couple of years, which are the levers that actually will pull the company in terms of revenue growth, for example , within India whether it will be the animal food or the SciTech or Probiotics, bow are you thinking, US, you mentioned, Europe also you clarified, so from the India which segments will actually pull the growth for the company?
Mukund Kabra: It will be food; it will be biocatalyst and it should come up somewhat even through the animal feed areas.
Lakshminarayanan K G: SciTech, what kind of growth you expect?
Mukund Kabra: We are like launching a different new products. We just got one of our like product, we got just first one like effervescent pharma approval. We see a good growth this year going forward next year as well. I can't talk about 2 -3 years down the line as of now , because the business mix always changes, but we see a decent growth going forward at least for the next two years I can say that.
Lakshminarayanan K G: My last question is related to raw material as well as logistics cost and difficulty in logistics. A year back we were having issues on both the fr onts. So, have things normalized both in terms of the raw material as well as logist ics or how are you thinking , what do you see on the ground ?
Mukund Kabra: Some areas, the logistic cost is still on a higher side because of all this r ed sea conflict, which is going on, but still it is okay, manageable, it's not really impacting to a very great level the way it used to be during the COVID time and other time.
Moderator: We have our next question from the line of Afzal Sh aikh from MS Investment. Please go ahead.
Afzal Shaikh: What is the percentage of revenue from top -one customer?
Beni P. Rauka: It's about 4% to 5%.
Afzal Shaikh: What is our percentage of market share and in India as well ?
Beni P. Rauka: As a percentage of market share , we operate in different verticals . So, I mean getting that kind of information is very difficult. It's no t readily available in the market.
Afzal Shaikh: Do we have any pricing pressure from our main product s?
Mukund Kabra: Little bit is always there on this side. When there is a competition, pricing pressures are always there. Some areas you enjoy monopoly, some areas where it's going to be the pricing pressure codEnzymesWhore ENZYME isLife

and you need to evolve with the new ideas and new thoughts and with the R&D you need to
improve your productivity. So these are the on

ly solutions, right.
Moderator: We have our next question from the line of Shrinjana Mittal from Ratnatraya Capital. Please go ahead.
Shrinjana Mittal: I have three questions. First question is on the other ex penses side. So, in this quarter, your other expenses have come down. So, if you can give some color on which majo r expense head has facilitated this moderation and has your power and fuel cost started coming down or is it still on a higher side?

Beni P. Rauka: You are talking about other expenses. The increase is because of the stores and spares
Shrinjana Mittal: No, sir. Actually, my question was like this quarter on a run rate basis, it has come down, right. So which expense heads has helped in this reduction of your other expenses?
Parag Katariya: On a quarter-on-quarter basis, there is some reduction in the tot al other expenses mainly because of low legal and professional expenses and some sales and other administration expenses, which is basically we had attended some conferences and exhibitions during the last quarter. So that is where basically there was a hi gher expenditure than last quarter, which is not there in the current quarter. This is led to some lower expense in the current quarter.
Shrinjana Mittal: And on the power and fuel cost side, like has it started tapering off or is it still on the higher side?
Mukund Kabra: Like more or less new normal now , it's stable.
Shrinjana Mittal: My second question is that you mentioned that on a longer term basis if we see one reason why the EBITDA margins have come down is also because of the US business. So , can you give some directional sense of what would be broadly your delta between your EBITDA margins in the US and the non-US business?
Beni P. Rauka: So, we have EBITDA margin of 37% in USA and in India it is about 29%.
Shrinjana Mittal: Can you just throw some light on the process of a new molecule development? So, does it happen on a pre-order basis, or do we develop it and then we have a sales team who then find a relevant customer for it, how does that happen, if you can help me understand that?
Mukund Kabra: So new product development is always a longer process. It takes more than a year, in some cases, two years. So, you design a product, you design the thought process, and you design the molecules, sometimes you need to do the applicatio n trials, then you have to go back to the proteining side, you need to modify the protein and that is how it takes very long time and then it has to have a productivity which should match the industrial scale and all of that. And because of all of these cycles, you choose the molecule very carefully depending on the market size ,

depending on the demand and sometimes, with the future expectations somewhat, how it will come up. But as far as the new product development is concerned, it takes lon ger time and that is where we always work with the multiple products at a given time.
Shrinjana Mittal: It is not like a co-development with a customer based on their requirement , it is -
Mukund Kabra: We do have that model as well, we do work in the evoxx, as I mentioned like contractual research. That means like they develop the product for the other custom ers and doing all the protein engineering in the other areas as well. But that is a very small portion of our business.
Shrinjana Mittal: When you mentioned the focus segments in India, you highlighted animal feed area i f I am not wrong food and biocatalyst. So in in the human nutrition side , pharma and probiotics don't we see that those segments to be growing from here?
Mukund Kabra: They will be growing, but the y will be growing normal like as what the pharma industry grows. But these are the areas we should give us the additional growth.
Moderator: We'll take our next question from the line of Rohit O hri from Progressive Shares.

Please go ahead.
Rohit Ohri: I have a couple of questions. First one being, are we looking at setting up some R&D facilities? If yes, then how many of these over the next three years?
Mukund Kabra: As we like discussed last time also , we have already taken a 15 -acre land during the COVID time in Nasik, in Pathardi areas, we are coming up with a new R&D center , right now we are building up about 120,000 sq uare feet building. I think it should be around three times of our current R&Ds what we are doing. So yes, in the next two years, we will be spending a chunk of money, maybe about somewhere around ■30-40 crores developing this R&D centers.
Rohit Ohri: So, ■30-40 crores per year or just for the two years?
Mukund Kabra: Next two years.
Rohit Ohri: Next question is related to the market share. I was trying to understand the reason as to why there's a slight bit of decline in the animal nutrition business. Is it because we are losing market share or is it because the competitors are doing well or is it tha t there is something entirely different that is happening in the industry, and everybody is losing market share?
Mukund Kabra: This is a challenging industry. There are a lot of comp etitors are always there, there are always the small players, big players. At the same time, there are like some diseases which sometimes pop up and sometimes you lose some of the expected revenues or sales what you expect , for example, last year. I think there was a mad cow or some kind of a disease in Malaysia region and we lost like some of the like expected business because of that . There was no farming, and

these things continues into these areas. But , at the same time, we are coming out with the new products and new areas, and we expect it to grow.
Rohit Ohri: And sir, on the US side, is it possible to give the market share as per your estimates that what you think is your market share in the US?
Mukund Kabra: It's difficult, but I guess somewhere around 15% when we talk about nutraceutical areas , and the other areas, it may be very , very small.
Rohit Ohri: Of these subsidiaries and the e set-down subsidiaries, do you think that there are certain more non-performing assets which can either be merged or which can be dissolved because we saw two of such cases, one in Malaysia and one in the US , so do you think that these kind of events or NPS can help reduce the admin cost or admin time also?
Mukund Kabra: I think Malaysia was pending from last many years, we're trying to merge it, we finally closed it. And also in US, we did a lot of restructuring as well, right.
Rohit Ohri: Any more such events in future if we can expect or something like that ?
Mukund Kabra: As of now, I don't see anything which is pending, or which is on our radar.
Rohit Ohri: Anything on the one-off or the contingency that we see in the consolidated numbers, do you think there are any more such cases which can put a dent in the consol profits?
Mukund Kabra: Business is always full of risk. I can't comment on that, but as of now, like I don't see any other thing which is there in like but it's always a risk and what will pop up tomorrow, you never know , right.
Rohit Ohri: But any such cases that we're already fighting with or something that can pop up?
Mukund Kabra: No, we are not fighting anymore in any other cases like.
Rohit Ohri: Do you think that you'll be a ■1,000 crores top line company by '28-29 with approximately gross margins of some 77%, 78% kind of a range?
Beni P. Rauka: Are you talking about gross contribution?
Rohit Ohri: The range is also fine over the next five years or so. Is it that you'll have scribbled some ambitious target of reaching ■1,000 crores top line?
Mukund Kabra: Here that target is always there. We need to grow about 14 % to 16% to reach to that target. We are like trying o

ur own. That's our ma th. Let's see how the thing progresses.
Moderator: We'll take our next question from the line of Alisha Maha wla from Envision Capital. Please go ahead.

Alisha Mahawla: Sir, I know this was already asked earlier, but the growth in the human nutrition that we've seen, I agree is on a low base. But can we understand is this a particular geography that has probably come back for us or is this just new products, but the lead time of which is probably now at the end of the runway?
Mukund Kabra: Human nutrition is not on a lower base. I was talking about on the food business d uring that time. But here, human nutrition we're talking some growth has to come up from the US going forward and some has to come up from the biocatalyst area in the coming few years.
Alisha Mahawla: No, I'm saying for the existing year, we grew at 18%. Just trying to understand is this because growth has come back in the US market?
Beni P. Rauka: US is about 9% and balance it is from the domestic market.
Alisha Mahawla: And going forward, like you were mentioning that US will come back and probably some new products also. This should aid in margin improvement , right, because earlier in the call we did mention that we're expecting margins to stay at the existing levels , but there can be increase in margins going forward because contribution from US increases and some of the supply chain issues we're facing because of that red sea also cool off probably in the next year , so can we work with a similar kind of margin expansion in '25 as we witnessed in '24?
Mukund Kabra: Well, we always expect like a margin expansion as we move on. At the same time, how much percentage, it is very difficult to say. On an average when we talk a bout we should grow, sometimes some other businesses will grow, and some businesses will take a back seat like the way like this year it was animal feed. But that is how it will always happen and it's very difficult to say and that is where we have a range of the products and range of the focus areas as well.
Moderator: We'll take the next question from the line of R uzmik Oza from 9Rays Equiresearch. Please go ahead.
Rusmik Oza: So, my question was on probiotics only . Referring to the slide 25 in the presentation, the market size is around $48 billion as per the presentation and our revenue is around ■30 crores, which is 5% of the revenue. What kind of opportunity getting in terms of revenue we are targeting for probiotics business in the next three to five years? And is the probiotics business margins at par with the level of 33% or are there any difference in that?
Mukund Kabra: So, we don't see the probiotic s business very separately. It's very difficult for us to trac k because most of our formulation in U S is a mix of enzymes and probiotics and that is where we don't separate it out and probiotics what we report is just a pure probiotic s sales. So, it's always difficult, but this area, which is growing, it helps us to grow into many of our solutions as well.

Rusmik Oza: What could be your current capacity utilization to achieve this 15% CAGR kind of a target that we are looking for? What kind of capital expenditure we'll have to do to maintain with this run rate of 14%, 15% growth? codEnzymesWhore ENZYME isLife
Advanced Enzyme Technologies Limited
May 15, 2024

Mukund Kabra: The capacity should be about 65% utilization, difficult to say because it's always a cat and mouse game, at the same time when there will be the 80% utilization, probably we will go for it for the expansion, we will build up slowly, slowly small areas so that we can build it up with very fast. So, it's a continuous process and we will work on that. The moment we reach to 80%, we will place the orders.
Rusmik Oza: So, is it fair to say maybe that this utilizat ion would peak out in FY'26 or somet

hing?
Mukund Kabra: Depends on the product mix. So , it's very difficult for me to predict as of now like how the capacity utilizations will happen.
Moderator: As there are no further questions, I would now like to hand t he conference over to Mr. Ronak Saraf for closing comments. Over to you.
Ronak Saraf: Thank you, everyone for taking your valuable time for attending our earnings conference call. We will keep you posted for any further updates. I request you all to kindly send in your questions that may remain unanswered today. An audio recording and the transcript of this call will be uploaded on our website in due course. Looking forward to host you in the next quarter. Till then, stay healthy, stay safe.
Moderator: On behalf of Advanced Enzyme Technologies Limited, that concludes this conference. Thank you for joining us and you may now disconnect your line s.

Call: Aug 2024

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Dear Sir
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Transcript of
Conference call
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August 13
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In furtherance to our
intimation
letter dated
August 06
, 2024
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please find enclosed the
Transcript of
the
Conference call held on
Tuesday
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August 13
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with
Analysts and
Investors
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The aforesaid information is also being uploaded on the website

of the Company
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Kindly take same on your records.

Thanking you,

Yours Faithfully,

For

Advanced Enzyme Technologies Limited

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Sanjay Basantani

Company Secretary
and Head
-

Legal

Encl.: As above

BSE Limited

Department of Corporate Affairs

P. J. Towers, Dalal Street,

Mumbai
-

400 001

Scrip ID
-
540025

National Stock Exchange of India Ltd.

Exchange Plaza, Plot
No. C/1, G Block

Bandra
-

Kurla Complex, Bandra (E)

Mumbai
-

400 051

Scrip Code
-
ADVENZYMES

"Advanced Enzyme Technologies Limited
Q1 FY25 Earnings Conference Call "
August 13 , 202 4

MANAGEMENT : MR. MUKUND KABRA – WHOLE TIME DIRECTOR – ADVANCED ENZYME TECHNOLOGIES LIMITED
MR. BENI RAUKA – GROUP CHIEF FINANCIAL OFFICER – ADVANCED ENZYME TECHNOLOGIES LIMITED
MR. RONAK SARAF – MANAGER , INVESTOR RELATIONS – ADVANCED ENZYME TECHNOLOGIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Advanced Enzyme Technologies Limited Q1 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask qu estions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference ov er to Mr. Ronak Saraf , Investor Relations. Thank you and over to you, sir.
Ronak Saraf: Good evening, everyone. We lcome to Advanced Enzymes Q1 FY '25 Earnings Conference Call. I'm Ronak Saraf the Manager Investor Relations here at Advanced Enzymes. We hope you all have gone through our financials, press release and the presentat ion which has been posted in the Investor Relations section on our website.
We have with us Mr. Mukund Kabra, Whole Time Director; Mr. Beni Rauka, Group CFO.
Today the management will discuss the performance and business highlights, update on strategies and respond to any questions that you may have. As is usual for ease of discussion, we will look at the consolidated financials. Before we proceed, I would like to draw your attenti on to the forward -looking statement contained in the presentation.
During our call, we may make forward -looking statements regarding our expectations or predictions about the future. Because these statements are based on current assumptions and factors that may involve risk and uncertainty, our actual performance and results may differ materially from our forward -looking statements. So without any further ado, we shall commence this call. Over to you, sir.
Mukund Kabra : Thank you, Ronak. Good evening, ev eryone. I really appreciate you all for taking out your valuable time. And I extend the heartiest welcome to everyone joining us today on the conference call for the quarter ended 30th June 2024. Coming on to the performance, the company's overall performa nce improved on a year -on-year basis.
Now as far as the quarterly performance our top line stood at INR 1,545 million grew 5% on a year-on-year basis and it has de grew by 2% on a sequential basis in qua rter 1. Our EBITDA stood at INR 512 million grew by 16% on a year -on-year basis while it has declined by 8% on sequential basis. We have witnessed growth of 19% in the bottom line on a year -on-year basis and 17% on sequential basis. On the margin front, EBITDA margin stood at 33% and PAT margin stood at 23% du ring the quarter 1.
Now talking about the segment -wise performance. I will first go through Human Nutrition. The human n utrition segment more or less remained unchanged during the quarter contributing 65%

in the revenue. It grew by 2% on a year -on-year ba sis while a slight decline of 1% is registered on sequential basis. Nutrition business prim arily supported the numbers in h uman business. Overall, the demand in the pharma business remained subdued.

On animal Nutrition, our animal n utrition business contributed 11% to the revenue in quarter 1. It grew by 9% on a year -on-year basis while it has declined by 7% on sequential basis.
Bio p rocessing. During the quarter bio p rocessing segment contributed 16% to the revenue. It grew by 12% on year -on-year ba sis and de -grew by 3% on sequential basis.
The food business grew by 6% on year -on-year basis and de -grew by 1% on quarter -on-quarter basis. The n on-food business grew by 4 3% on year -on-year basis and de grew by 9% on quarter -on-quarter basis.
The s pecial ized manufacturing segment contributed 7% and grew by 13% on year -on-year basis while it remained unchanged on sequential basis.
Our principal focus is on

improving our product offering, keep introducing newer and commercially viable products and consiste ntly meet t he ever changing demands of our clients.
We anticipate a robust growth trajectory in all our segments in the second half of this year. We'll bring more resilience in our business to enhance customer value proposition and deliver long -term sustai nable growth going forward.
With this, I will hand over the call to Rauka ji, and he will walk you through the financials and key subsidiary numbers. Thank you.
Beni Rauka: Thank you very much, Mukund. Good evening everyone. I hope you all are in good hea lth. On the company's consolidated financials for the first quarter of Fiscal Year 2025 o n year -on-year basis Q1 '25 versus Q1 '24. O ur revenue increased by INR72 million, 5% of increase from INR1,473 million to INR1,545 million. EBITDA increased by INR72 million, 16% from INR440 million to INR512 million. This is about 33% EBITDA in Q1 of FY '25.
Profit before tax increased by INR73 million, 18% increase from INR414 million which is 28% of our revenue to INR487 million, 31% of our revenue for the quarter 1 of FY '25. Profit after tax has increased by INR56 million a 19% increase from INR294 million to INR350 million.
PAT is about 23% of our revenue. On sequential basis, the revenue is decreased by about 2% from 1,578 million to 1,545 million.
EBITDA decreased by INR42 million from 544 million to 512 million. Profit before tax increased by INR90 million from INR397 million to INR487 million. Profit after tax on sequential basis increased by INR51 million from INR299 million to INR350 million.
On our financial performance of some of the subsidiaries. JC Biotech for Q1 FY '25, revenue stood at INR159 million; EBITDA of INR24 million and PAT of INR7 million as compared to INR134 million of revenue and INR9 millio n of EBITDA and negative profit of INR1 million in FY '24 quarter 1.
Evoxx revenue stood at INR47 million as compared to INR54 million in Q1 '24. EBITDA is negative INR7 million and INR7 million was in Q1 of FY '24. So no change. Profit after tax,

Evoxx continues to be in loss. It's about INR15 million of loss during this quarter as compared to INR13 million in last year's Q1. The sales of SciTech stood at INR111 million as compared to INR97 million and EBITDA of INR22 million as compared to INR4 mil lion. Profit after tax, INR10 million as compared to INR1 million.
The sale of our largest product, which is anti -inflammatory enzyme, stood at INR280 million for the first quarter of FY '25 as compared to INR352 million in Q1 of FY '24, so there's a de -growth of about 20%. And it constitutes about 18% of our total revenue. The top 10 customers contributed 23% in the total revenue in Q1 FY '25 in comparison with 26% in Q1 of FY '24. The B2C segment contributed about USD 950,000 as compared to INR1.28 milli on during the same period in the previous year.
The Human Healthc are segment where we provide generally more granule numbers. So I'm giving you those numbers now. Pharma India INR375 million as compared to INR447 million. Probiotics INR39 million as compared to INR5 million. Biocatalys is is INR74 million as

compared to INR86 million. India sale is about INR488 million in Q1 as compared to INR538
million in the corresponding first quarter of FY '24. International sales, Human Nutrition is about
INR523 million as compared to INR456 million in Q1 of FY '24. The major contribution has
come from the U.S.A., INR494 million as compared to INR422 million last year Q1.
R&D spending during this first quarter, we have spent about INR76 million on R&D as
compared to INR62 million in quarter 1 of FY '24. And if we see that in te rms of the percentage,
on stand alone basis, it is about 9% as compared to 7%, and consolidated basis R&D spend is
about 3% in Q1 as compa

red to 3% in Q1 of last year. This is after intercompany eliminations.
And if we do not remove this elimination, then on consolidated basis, R&D spending is about
4% in both the quarters. That was from my side. Now we shall open the floor for question -and-
answer session.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is
from the line of Shubham Sehgal from SIMPL. Please go ahead.
Shubham Sehgal : So my first question is, so like in the previous calls, w e have been hearing that you are working
on the sugar management and the weight loss products. But could you actually really provide a
concrete essence as of now which stage of development have we reached? When you'll be able
to launch these products? And what kind of revenues can we expect, like any ballpark figure
would work? And will we only be distributed to the U.S. market or we would expand to other
regions as well?
Mukund Kabra: Shubham, as you see some of the nutraceutical business in the U.S. is growing in the first quarter.
On a quarter -on-quarter basis as well as on base basis, some of the sale is started, but it is still
under the trial. So just -- I won't be able to give the exact revenue numbers for that. And as of
now, like we are targeting the U.S. market for these kind of products.
Shubham Sehgal : When do we expect to launch because we have been hearing since 3, 4 quarters like in here.

Mukund Kabra: We've already launched, but it's on a pilot basis as of now.
Shubham Sehgal : So my next que stion is that, over the next 2, 3 years, what would be our key priorities and key
gaps in the business, which we want to cover up or even if come to terms with the competitors?
So what are the key gaps you want to fill in the next upcoming 2 to 3 years?
Mukund Kabra: So the priorities are going to be all the 3 segments. As we always mentioned, our growth is going
to be driven by the nutraceutical as well as on the food side of the business, biocatalyst of the
business and the animal feed. So these are going to be our key focus areas. Those are going to
drive the growth. We will be introducing new products as we move on into all of these areas,
and we are working on all of those areas. So that's going to be our key strategy .
Moderator: Thank you. Th e next que stion is from the line of Harini Dedhia from Tamohara Investment
Managers. Please go ahead.
Harini Dedhia : I had a couple of questions around growth. So if you can help us understand what the Indian
geography where we saw a flat quar ter, because even in biocatalysi s, we've seen a de -growth,
which is supposed to be one of our growth engines. Just trying to understand -- is it just a quarter
phenomenon or what is going on over here?
Mukund Kabra: Generally, the first quarter is always a little bit subdued, but we shouldn't really look into it as a
quarter -on-quarter basis.
Harini Dedhia : But even year -on-year, it's been flat -- the India business. So which piece in the India business
has sort of not worked out for us?
Mukund Kabra: India business is supposed to be under pressure this year, particularly on the h uman side. Most
of the growth is supposed to come into the second half of this year.
Harini Dedhia : Okay. An d that will also come from the h uman side itself?
Mukund Kabra: Yes o n to some of the biocatal yst areas.
Harini Dedhia : Got it. And on Serratiopeptidase this has been another quarter of de growth. So what is exactly
happening in this market? Why are we seeing de -growth over here?
Beni Rauka: Last quarter in FY '24, probably pharma companies have pic ked up more stock, so some impact
in the Q1.
Harini Dedhia : Got it. And in the Asia market, again, we were expecting growth driven by Animal Nutrition,
that was the conversation in the Q4 call. So should we read something

into this quarter's number
or that will resume again in Q2, Q3 onwards?
Mukund Kabra: We shouldn't really look into it quarter -on-quarter basis as of now. I would say that the quarter -
on-quarter numbers on Animal Feed or any area cannot give you the story.

Harini Dedhia : Okay. Got it, sir. So sir, when I look at the overall growth of the business, we've seen a lot of growth to come from U.S., which is typically a high -margin business, especially in Q1. So do margins still have room to expand from here on? Or with the U.S. growth also we're doing these margins, so we pretty much see similar 33%, 34% margins going forward?
Beni Rauka: I think 33%, 34% is what probably one should look at it now as of now.
Harini Dedhia : Got it. So only when we see rest of the geographies contributing a little more, will we see some expansion here?
Beni Rauka: Right. As international sales go up, probably you will see some better margins. And for that, I think we will have to wait a couple of more quarters.
Harini Dedhia : Okay, sir. But for the whole year, we wo uld still expect that 12% to 14% kind of growth on the whole year basis to come through?
Beni Rauka: Yes. Right.
Moderator: Thank you. Th e next question is from the line of Abhishek Navalgund from Nirmal Bang Equities. Please go ahead.
Abhishek Navalgund : So some of the questions related to growth have been already answered. But just wanted to understand, sir, while you talked about some sort of destocking maybe this quarter in Serra , what sort of underlying growth we should assume going forward considering you're already a domestic leader here?
Mukund Kabra: So if you talk about Serra business we don't expect a lot of growth to come. It should be a more or less flat business or maybe like 5% here and there, the growth has to come from the other segments, wh at we're working on.
Abhishek Navalgund : Right. So since Serra still is the largest product in te rms of overall size so if Serra is expected to grow at, let's say, 5%, 6%. I mean, the large part of the heavy lifting has to be done by the International Human Nutrition. So on that side in terms of quarterly run rate...
Mukund Kabra: Biocatalyst areas in the Indian side.
Abhishek Nava lgund : Biocatalyst on the Indian side. But honestly the run rate on the biocatalyst hasn't picked up on a consistent basis. So what sort of growth do you expect from the biocatalyst? Are we in a position to launch some new molecules on the biocatalyst side in India?
Mukund Kabra: Yes. So we are really working on those, and we expect like some of the thing has to come up in the second half of this year.
Abhishek Navalgund : And the margins on the biocatalyst and maybe the International Nutrition business are more or less similar? Or international are much higher as compared to the biocatalyst? Even the gross margin, just an indication, yes.

Beni Rauka: I think as far as comparing the margin is concerned, it all depends. Even in International market now, like a couple of new products are being introduced. So initially, the margin there is different. But yes, I mean, international business, we get better margins.
Abhishek Navalgund : Sure, sure. And on the cost side, while on the other expenses, if I see on a sequ ential basis, there is no increase as such, but any comments on freight cost or it gets netted off against revenue? Just more clarity considering the Red Sea issue, ongoing Red Sea issue?
Beni Rauka: Freight cost is slightly elevated.
Abhishek Navalgund : Sir, possible to give the number? I mean, is there any major increase or not major increase that at this time?
Beni Rauka: It's not essential because freight -- like what happens once you realize that the issue is now with the logistics

. So you always insis t that freight is something the customer has to bear.
Abhishek Navalgund : Right. So the reason I'm asking is, during COVID year also, we have seen supply disruption. So both in terms of RM pricing as well as freight. So some part of it we could not pass it on entirely. So from that angle I'm asking whether it is a complete pass through with a lag or there could be some burden on us in coming quarters?
Beni Rauka: Yes some burden is there. If I compare on year -on-year basis, probably the freight cost is up b y about INR5 million.
Abhishek Navalgund : Sure, sir. And last question, just to refresh my memory. I mean that R&D facility, which is going

to come up, any commissioning or time line we have shared earlier? I'm not aware of that.
Mukund Kabra: No, we haven't shared. But as of now, like we feel in the -- after the June of next year, it should be in a working condition.
Abhishek Navalgund : June of nex t year, right? So no major capex , so like INR25 crore s, INR30 crore s capex this year and next year is wha t we should be doing?
Mukund Kabra: Roughly same amount.
Abhishek Navalgund : Okay. Last question, sorry. Anything on the potential M&A that you're looking at? Any development there?
Beni Rauka: No. I mean, as of now, I don't think any development. But yes, we keep on working on that.
Mukund Kabra: Nothing is concrete as of now, which we can...
Moderator: Thank you. The next question is from the line of Shrinjana Mittal from Ratnatraya capital . Please go ahead.
Shrinjana Mittal : I have two questions. One is on the product side. So like you mentioned that our biggest product, the anti -inflammatory product. So that is degrowing, and that's expected to be like that. So can

you just help me understand that is it the nature of the busi ness that once we introduce a molecule, after a certain period, either there are many other players which come in, because of which the sales become flattish and then we try to add more products to cover up for the growth? Or like what is it? And the seco nd part of the question is, so currently from our product basket point of view, how many new products do we have in line? What is the stage in terms of application approvals and everything? So just some colour on that.
Mukund Kabra: So here, like we always have to work on the two areas. One is, always improve the productivity. That is a constant feature in our business, and the second one is the new product. There are a lot of different new products, which are under the pipeline. And that is how you grow.
Now if we talk about anti -inflammatory product. That is a very old product. In terms of product cycle, we started it somewhere around 1999, 2000, and it's still there. So it will not die as such but, yes, at some point of time, there is always -- when you are always leading 90%, 95% of the share when you command into that, there is going to be some problem.
Shrinjana Mittal : Understood. And when you talk about the new products, which are into pipeline, what would be the duration of that pipeline, like in te rms of the application approval and then finally, commercialization? And how many such products would be there in the pipeline?
Mukund Kabra: If you ask me, there are about 50 products which are there in different areas, into different molecules as of now into the pipeline. But generally, the cycle is at least 1.5 years to 3 years, right? So some of them are like getting into the final stages now.
Shrinjana Mittal : And just one more question on the employee cost. So is this quarter is supposed to be the ann ual increment cycle for us? Because the employee cost has sequentially increased a bit, and it seems like that's generally the case. Is that the reason?
Beni Rauka: So I think first quarter, the incremental cost has come. But yes, for a couple of subsidiar ies, probably that will happen in the second quarter, that happens from 1st of September also. But major -- I can say 80% incremental cost has already been absorbed. So you can go -- considering this particular quarter as the basis for annualization of you r overall payroll cost.
Moderator: Thank you. The next question is from the line of Nitish from ChrysCapital . Please go ahead.
Nitish: My question is actually a follow -up to a question asked by an earlier participant. We said that we are confident of doing 12% to 14% revenue growth in this year. So that means we'll have to do around INR185 crores to INR190 crores quarter in Q2, Q3. So I j ust wanted to ask, do we have any visibility on Q2 since we're halfway there already?
Mukund Kabra: So in the beginning of the year, we do the exercise of the sales and from which part it will come up, and we map the sales with all the customer wise and gr owth area wise. And even though we don't have a very long -term visibility with the customers, but we can always see how it is going

to pan out in a year. Based on that, as of now, we feel that we should be able to do it because most of the sales have to co me into the second half of this year.
Nitish: Okay. And on the margin outlook, considering we're already at 33% in first quarter, which is

typically a low -margin quarter for us. So should we expect Q2, Q3 to be having a better margin?
Beni Rauka: So I mean -- the numbers will improve going forward. There will be certainly some kind of incremental margins. But as of now, I think 33%, 34% is what we are saying is something one should look at it.
Nitish: But it's right to assume that we could be closer to the 34% of this band.
Beni Rauka: Yes.
Moderator: Thank you. The next question is from the line of Kiran from Table Trick Capital . Please go ahead.
Kiran B: A couple of questions from my side. Sir, apart from the anti -inflammatory enzyme product that we have, it's about INR100 crores sales year -on-year. Do we have a start to -- the next 2, 3 products, which have a potential to go to INR100 crores revenue ? Or is it more like a segment like a biocatalysis or Animal Bio -Processing or something -- a segment as suc h goes to INR100 crores. How do you look at it? Are there any -- the next Serra kind of products -- 1 or 3 products which can go to INR100 crores by themselves or is there a segment?
Mukund Kabra: So our business has to be seen with the different way s. One of them is like API, where Serra is there, which is more than INR100 crores as a product as of now. But there are a lot of formulations which we are launching, and we are focusing on them, and probably those should be more than INR100 crores going fo rward.
Kiran B: Got it. Got it. And most of these formulations are primarily in the U.S., if I'm not wrong?
Mukund Kabra: That is true. We are working a lot on to those formulations and improving those formulations going forward.
Kiran B: Got it. Second qu estion, sir, our B2C segment, the Wellfa brand. I just want a clarification and then a foll owed by question, which is Wellfa brand is under SciTech, which is our 50% subsidiary. And then, how is it growing? And can it become a potential INR100 crores , INR150 crores in the next 1 to 3 years as you see it right now, of course, there can be changes, but as you see it right now?
Mukund Kabra: So W ellfa brand is under the Advance Enzymes right now, not under the SciTech. But as of now, I don't want to comment how it is going to pan out into 2 to 3 years down the line, but we feel that this year, we should be having about INR2 crores to INR3 crores sales coming from the Welllfa brand.

Kiran B: INR2 crores to INR3 crores. Got it. Got it. Got it. Okay. Si

r, then the commentary from some of the U.S. and European players in the segment that we are in, they have had a lot of commentary that U.S. and Europe cons umer slowdown is significant and even ou r Nutraceutical segment or the human n utrition segment, they're talking about other segments as well where we are not there.
They're seeing a severe slowdown in terms of consumption and buying patterns in the U.S. and European markets. So from where you are sitting as a vantage poi nt, have you seen the slowdown or are you seeing the slowdown in terms of buying and purchasing patterns in the U.S. and European markets?
Mukund Kabra: European is a little bit slowed dow n as of now. That is what we can see. In terms of U.S., probably we are growing into these areas, because our sale was very low on the consumption side.
Kiran B : Sorry, sir. I didn't understand the U.S. market comment.
Beni Rauka: So U.S. market, we have s een growth if look at our number for the Q1 as compared to Q4 as well as Q1 of t he last year. And based on whatever understanding we have from our U.S., we see that this year we are going to have a better growth from the U.S. business. This is the scenario as of now. Now when you are talking about the spending, probably what is happening is, it is on a different part of it -- on the consumer side of it.
Nutraceutical segment, again, there are different issues. So I mean, our business where we are catching to primarily on B2B first and then B2C is very small business. So here, still we see that there is an opportunity and growth is there in this market. So unless really we see the impact from those who are on the field and selling the products, which are for mulated or finished goods from our formulations. So that impact so far, we have not seen.
Kiran B: Perfect. Understood. My last question, sir, Mr. Vasant Rathi in the AGM mentioned that somebody asked a question in the AGM, and he said, we probably will re ach INR1,000 crores in sales very soon and all that stuff. So is there any definite pathway that you can tailor that Human Nutrition will be INR300 crores or Bio -Processing will be INR300 crores, whenever that we reach the INR1,000 crores sales. Right, may be 3 years, maybe 5 years?

Beni Rauka: Of course, I mean, that has been really mapped and we have done a lot of work on that area, and that is that the Chairman has commented that, in down the line 4 to 5 years, we target to achieve INR1,000 crores of reve nue.
Kiran B: Got it, sir. And which segment do you think will contribute the most to that growth from INR600 crores to INR1,000 crores. Because that's a delta of 400. In our area, it's quite a large number. That's the reason why I'm asking.
Mukund Kabra: You need to work on to the 3, 4 different horses, right? When we talk about INR1,000 crores, you need to work on the INR1,100 crores, INR1,200 crores, and then you can reach the

INR1,000 crores, because 1 or 2 will falter. As of now, like -- because it's m ore like on our R&D side and R&D driven. As I was telling, like most of the enzymes when you do it, the research is for 1.5 years to 3 years.
So it takes some time. It's very difficult in our areas like to exactly predict the number, it will come from this area or this area. Some may not work out. So it's difficult for me to say that the INR300 crores will come from this segment or for example, from this product.
Kiran B: Got it. My last question is a clarifying question, bookkeeping. Last year, we had a one -off of INR18 crores expense due to a legal settlement with one of our U.S. competitors. Is there any other legal expense or legal settlement that we are expecting in whatever, this year, next year, next 2, 3 years? Is there any particular conflict that we have as of today?
Mukund Kabra: No. As of today, there is no conflict. But you

never know.
Beni Rauka: As of now, there's nothing.
Moderator : Thank you. The next question is from the line of Pawan Kothari an Individual Investor. Please go ahead.
Pawan Kothari: Yes. Sir , I would like to -- this is Paw an Kothari, I would like to ask you if we are having any export thrust to Europe also? And what capacity are still underutilized as of now, like how much of operating capacity are we currently working at?
Beni Rauka: So current capacity utilization is around 60% to 65%. And if you really look at the numbers -- so our export sale is now generally in the range of 50% comes from the international market, 50% comes from the domestic market. It keeps on changing. Sometime it is 48% to 52%, sometimes it is 50% -50%. That's how it is on a quarter -on-quarter basis.
Pawan Kothari: With the incremental sales, s uppose our capacity has been utilized from 50% to 75%. How much of the cost benefit are we getting with the more capacity utilization?
Beni Rauka: Yes, Pa wan ji, that will -- as you speak and you might have done a proper study. If you really look at when o ur sales, I mean, the revenue increased by 1%. Generally, I have seen that the EBITDA increase is 2x to 3x of increase in the top line, and that adds substantially to our PAT also. So definitely, expenses increased -- the more revenue you generate, the pro fitability definitely will change, it will improve substantially. In terms of numbers, I mean, when you look at 1% increase in revenue, 3% in EBITDA, 3% in PAT . So that is how gene rally we have observed in our profitability
Pawan Kothari: Right. And a ver y small question, sir. Are we selling online also, like on Amazon and other online big portals or are you just selling it like on the...
Beni Rauka: Yes. So there is the W ellfa brand basically. So we are expecting some kind of -- now good numbers in that s ense. The last, I think, 1 year -- 2 years back, we have launched this. Now this is second year in succession. So we are getting good numbers in that sense.

Pawan Kothari: Thank you sir. I congratulate you once again on the good set of numbers this quarter .
Moderator: Thank you. Th e next question is from the line of Shubham Sehgal from SIMPL. Please go ahead.
Shubham Sehgal : Sir, we've always been an R&D -focused company. And as you mentioned, R&D is quite important for us. So this 3% to 4%, which we are maintaining as an R&D expense, how exactly do we allocate our resources? And what are our key focus areas and priorities? Like, if you could help me understand, how exactly are we spending our R&D budget and maintaining a 3%, 4% and which segments do we gi ve priority or which are the key focus areas we are giving priority?
Beni Rauka: So it is always on the 3 and 4 segments where we have our strength and where we see that the

potential is really excellent going forward. And so these are areas where we spend our money on R&D. So we continue to work on that .

Shubham Sehgal : But so I mean those segments where exactly do we scoop it or I mean how do we discover from the mix or where do we invest largely ?

Beni Rauka: I mean, if you really see enzyme -- enzymes a re very unique. So when you are developing the enzymes, it is not for a particular application, okay? So those are kind of -- the development takes place and thereafter, once you reach to a particular threshold, then you look at whether I can also develop application in, say, human n utrition, in animal nutrition, can I use for nutraceutical segment.

So that happens subsequently. So you need to really spend on core research where you don't have that kind of understanding that, yes, I'm going to work only on this animal nutrition area. You work on your core strength basically.

Mukund Kabra: Only the enzymes which are only in the area of biocatalysts are more specific.

Shubham Sehgal : Okay. Got it. And so last question means that, what exactly i s our edge or a dvantage in the human n utrition space as in the last 4 years, we have narrowed down our focus on the human nutrition?

Beni Rauka: So this is the business which we have started long back. I think if you really look at the -- you might have read the biograph y of our Chairman also. He is in U.S. So we started long time this particular journey where human n utrition what kind of initially we begin. And over a period of time, we developed so many enzymes around that, and that is because of his expertise in that particular space.

So we are very strong on h uman nutrition side. And ove r a period of time, of course, human nutrition -- when you are talking about human health. So Animal Health is another area which is kind of coexists in that sense. So that is another area. And then now when you look at the food, the Bio -Processing is another segment because again now everything is going around -- a novel application of the enzymes in the food areas. So this is completely a subject which is very

close to us. And we have spent a lot of -- I can say last 25 years, a lot of R&D has been carrie d out on human nutrition, food areas and animal nutrition.

So we know we are very strong in that, and we have kind of in past some of like clients have been added over a period of tim e. So that speaks about that, yes, it is a sustained growth in the client portfolio with us.

Moderator: Thank you. The next question is from the line of Shreyans Gathani from SG Securities. Please go ahead.

Shreyans Gathani : So my question is mainly on the R&D front. So historically, we've mentioned we want to have R&D as 7% of the sales as such. But like on a consolidated level, we typically have been doing around 4%. So is that something that we should be expecting to go up in the future? Or should we jus t look at this number as is currently.

Beni Rauka: So Mr. Gathani, the capex is not much if you really look at in this area because now whatever capex we are doing is on our research and development center at Nashik. It is in CIB currently, not added to th e expenses side of it, capital expenditure as such. So it is kind of a work in process, which is going on.

So once we add that amount, probably the spending is about 5% to 6% in any case. But yes, I mean, when you really prepare a sort of model, you can l ook at about 6% as our total R&D spend on a consolidated basis.

Shreyans Gathani : Got it. Okay. So what would be the expenditure already incurred on the center up to now?

Beni Rauka: I think we have roughly spent about INR15 crores.

Shreyans Gathani : Okay. Got it.

Beni Rauka: INR35 crores is something, sorry, I have not added the land. Land, this is about INR35 crores we have spent. And another INR15 crores is kind of another expenses on civil construction which is under progress.

Shreyans Gathani : Okay. So that's INR50 crores. So I thought that was the total spend that we've envisaged earlier for the same period.

Beni Rauka: Sorry, the land was acquired 3 years ago I think.

Mukund Kabra: It's somewhere around in COVID period 2017, '18.

Shreyans Gath ani: Okay. Got it. Okay. So my next question is around Evoxx. So we mentioned that as an R&D arm of the company as such, so do we consider that portion into R&D o r does that Evoxx sales come into like actual consider mentioned this in the expenditure numbe rs or not yet?

And second question on that is like we initially -- Evoxx had some partnerships with certain companies for some product developmen t. Is there any update on that o r that's pretty much was on a low key for a while. Just trying to understand i f ther e was

any movement on that side?

Mukund Kabra: So Evoxx -- since it's 100% owned company, the numbers get eliminated on the consolidated basis. So they don't come up in terms of R&D numbers. In terms of partnerships, there will be 2 types of models. One model is some of the Evoxx products sale. Some of them is like our R&D and some of them is CRO kind of customer -related R&D to sustain the expenses side of it. So there are certain customers which we are talking and that is what you are r eferring to. As of now, there is one big order is under the discussion, negotiation th at is yet to be finalized. So can't comment on that.

Shreyans Gathani : Got it. So there's one order under sales. So when do we expect that to close by if it is successful?

Mukund Kabra: Over the next 15 days, but we'll come to know once it's done.

Shreyans Gathani : Okay. And could you quantify the size if that's possible or not yet?

Mukund Kabra: It will be n ot very big, but it will be about EUR 1.4 million to EU R 1.5 million.

Shreyans Gathani : Okay. That will be executed over a period of 1 year or so or...

Mukund Kabra: Yes. One year or so.

Moderator: Thank you. Th e next question is from the line of Kiran B from Table Trick Capital. Please go ahead.

Kiran B: So just trying to clarify, we've always committed on 15% growth CAGR over a number of years. But just for thi s year, I missed the last two concalls. What is the outlook or visibility that you've given?

Mukund Kabra : So this year we should be somewhere around 2 digits, somewhere between 12% to 15%, something of that nature. This year it is going to be a little tougher for us, b ut this is what like we feel we should be able to get.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today' s conference call. I would now like to hand the conference over to Mr. Ronak Saraf for the closing comments.

Ronak Saraf: Thank you everyone for taking your valuable time for attending our earnings con ference call. We will keep you posted for any further u pdates. I request you all to kindly send in your questions that may remain unanswered. An audio recording and a transcript of this call will be uploaded on our website in due course. Looking forward to host you in the next quarter, till then stay healthy, stay safe. Thank you.

Moderator: On behalf of Advanced Enzyme Technologies Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Nov 2024

November 19, 2024

To

Dear Sir/Madam,

Sub: Transcript of Conference call held on November 13, 2024 for the Un-audited Financial Results for the quarter and half year ended September 30, 2024

In furtherance to our intimation letter dated November 04, 2024, please find enclosed the Transcript of the Conference call held on Wednesday, November 13, 2024 with Analysts and Investors for the un-audited Financial Results of the Company for the quarter and half year ended September 30, 2024.

The aforesaid information is also being uploaded on the website of the Company.

Kindly take same on your records.

Thanking you,
Yours Faithfully,

For Advanced Enzyme Technologies Limited

____
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“Advanced Enzyme Technologies Limited
Q2 FY '25 Earnings Conference Call ”
November 13 , 2024

MANAGEMENT: MR. MUKUND KABRA – WHOLE TIME DIRECTOR –
ADVANCED ENZYME TECHNOLOGIES LIMITED
MR. BENI PRASAD RAUKA – GROUP CHIEF FINANCIAL
OFFICER – ADVANCED ENZYME TECHNOLOGIES
LIMITED
MR. RONAK SARAF – MANAGER INVESTOR
RELATIONS – ADVANCED ENZYME TECHNOLOGIES

Moderator: Ladies and gentlemen, good day, and welcome to Advanced Enzyme Technologies Limited Q2 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star , then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Ronak Saraf. Thank you, and over to you, sir.
Ronak Saraf: Thank you. Good evening, everyone, and welcome to the Advanced Enzyme Technologies Q2 and H1 FY '25 Earnings Conference Call. I'm Ronak Saraf, the Manager Investor Relations here at Advanced Enzymes. We sincerely hope you have gone through all our finan cials, press release and the presentation which has been posted in the Investor Relations section on our website.
We have with us Mr. Mukund Kabra, Whole -Time Director; Mr. Beni Prasad Rauka, Group CFO. Today, the management will discuss the performance and business highlights, update on strategies and respond to any questions that you may have. As is usual, for ease of discussion, we will look at the consolidated financials. So before we proceed, I would like to draw your attention to the forward-looking statement contained in the PPT.
During our call, we may make forward -looking statements regarding our expectations or predictions about the future. Because these statements are based on current assumptions and factors that may involve risks and uncertainties, our actual performance and results may differ materially from our forward -looking statements.
So without any further ado, we shall commence this call. Over to you, Mukund, sir.
Mukund Kabra: Thank you, Ronak. Good evening, everyone. I really appreciate you all for taking out your valu

able time, and I welcome you all to the conference call for the second quarter and half year ended 30th September, 2024. This quarter 2 turned out to be the lowest quarter in fina ncial year '25 for us. But I want to assure you that our long -term business potential remains robust. We are confident that the second half of the year will outperform the first half.
Now as far as the quarterly performance is concer ned, we have achieved top line of INR1,461 million, degrowth of 7% on a year -on-year basis and 5% on a sequential basis in quarter 2. Our EBITDA stood at INR42 4 million, degrew by 17% on a year -on-year basis as well as on a sequential basis. We have witnes sed degrowth of 5% in the bottom line on a year -on-year basis and on a sequential basis.
Talking about the margin profile. EBITDA margin stood at 29% and PAT margin stood at 23% during the quarter 2. There are a few factors that ha d impacted our quarter 2, and I will throw Advanced enzymesIVtiL’ful.X/YMl'lbLilt‘

some light on these factors as well as we proceed in this call. During the quarter, the company had a higher revenue reversal of INR83 million compared to the previous quarter since revenue recognition criteria was not made as per the acc ounting standard. The revenue and margin towards these sales are deferred to quarter 3. Rauka ji will elaborate this point further.
A slowdown in our export sales lead to decline in international sales, excluding the US , and some of this is because of the sales reversal as well. Our EBITDA margin is subdued majorly due to the lower top line, but we expect this to improve as we progress into the second half of this fiscal year.
Talking about the segment -wise performance. As projected at the start of the fisc al 2025, we do

not anticipate growth in domestic sales for this year. However, our US business is expected to perform stronger in financial year '25, with US sales having already increased by 24% on a year -to-date basis.
The Human Nutrition segment declined during the quarter and contributed 68% in the re venue pie. It degrew by 6% on a year -on-year basis and 2% on a sequential basis. This decline in Human Nutrition is on account of low revenue realization in Pharma API business. As we mentioned in our earlier calls as well, there is certain competition in our anti -inflammatory market. In the international markets, Probiotic and Nutrition business performed well.
Our Animal Nutrition business contributed 12% to the revenue in quarter 2. This segment grew by 5% on a year-on-year basis, while it grew by 6% on a sequential basis.
Our Bioprocess business contributed 12% to the remaining quarter 2. This segment underperformed during the quarter by around 31% on a yea r-on-year basis and 33% on a sequential basis. The Food business degrew by 42%, while Non -Food business reported a growth of 24% on a year-on-year basis. The major Food business comes from export markets, and sales reversals have impacted this. The Specia lized Manufacturing business contributed 8% and grew by 17% on a year-on-year basis and 9% on a sequential basis.
While the current quarter appears to be stronger, the previous quarter presented challenges based on the prevailing trends. Consequently, the anticipated growth for financial year '25 is expected to be in the single-digit range.
Despite the influx of new competitors in our sector in recent years, we continue to observe increasing demand for our inventive probiotics in the US market. This is largely due to the strength of our brand. At the halfway point of the year, request to feature our formulated ingredient brand names on finished consumer products have already risen by 58% compared to last year. This indicates that our customers see our brand ed ingredients as a key selling point, reflecting the strength of our brands.
We remain focused on our ongoing str

ategies and are also working on developing new
biocatalyst molecules. In the last quarter, we introduced 2 new solutions and are collaborating with customers to finalize the optics. A significant challenge for our US customer is the lack of Advanced enzymesIVtiL'ful.X/YMl'lbLilt'

familiarity with enzyme and probiotic testing, compounded by a fragmented and under -educated market for third-party testing services. This often leads to was ted resources as customers struggle with basic quality control requirements, which in turn places undue pressure on sales.
To address this, we are establishing a full independent Level 3 for enzyme and probiotic testing. This will allow us to leverage our testing expertise to support our customers in growing their brands, ultimately benefiting our ingredient sales as well. We also recognize that certain investments, particularly in the area of R&D, is essential for long -term growth.
As reflected in our financials, significant resources are being allocated to these areas, actually exploring new opportunities and developing new products and molecular biofertilizers and bio pesticides within our agriculture portfolio. These offerings are expected to generate a n additional couple of millions in revenues in the near future.
With this, I conclude my remarks. I now hand over the call to Rauka ji. He will walk you through the financials and key subsidiary numbers. Over to you, Rauka ji.
Beni Prasad Rauka: Good evening, everyone. I hope you all are in good health and wishing you all happy f estivities.
On the company's consolidated financial for the second quarter and half year fiscal year 2025.
On a year-on-year basis, our revenue has decreased from INR1,578 million to INR1,461 million, 7% decrease.
Our EBITDA has decreased from INR513 million to INR424 million, and it stood at 29% as compared to 33% of our revenue. Profit before taxes decreased by INR57 million from INR479 million to INR422 million. Profit after tax. PAT decreased by INR18 million from INR352 million to INR334 million. And this is 23% of our revenue as compared to 22% in the corresponding quarter.
On Q-on-Q basis, our revenues decreased by INR84 million, which is about 2% decrease from INR1,545 million to INR1,461 million. EBITDA also decreased by INR88 million from INR512 million to INR424 million. And this is, again, as I mentioned, 33% in the previous quarter as compared to 29% this quarter. Profit before tax decreased by INR65 million from INR487 million to INR422 million, and PAT has decreased by INR16 million from INR350 million to INR334 million.
On 6 monthly -- I mean, half yearly performance of the company, the revenues decreased by

INR45 million from INR3,051 billion to INR3,006 million. EBITDA decreased by INR17 million from INR953 million to INR936 million. And this is 31% of our revenue as compared to 31% in the previous year half year and 6 months ' performance. Profit before taxes increased by INR16 million from INR893 million to INR909 million. PAT has increased by INR38 million from INR646 million to INR684 million.

As Mukund has mentioned, our Q2 is affected because of a couple of things. One is the higher -- this is incremental higher revenue reversal of about IN R83 million as compared to the previous quarter. Since this is the requirement of Ind AS revenue recognition because if the significant

risk and reward has not passed on to the customer before the cut -off date, this is 30th September '24, then to that extent, the revenue cannot be recognized during that period.

And generally, we have about INR80 million to INR85 million of reversal. But this quarter, this reversal is higher by INR83 million. So this has impacted, in a way, the revenue. So to that extent, if you see the revenue has decreased. Otherwise, this quarter is flat as compared to the previous quarter.

And if this revenue reversal would not have happened, then of course, because of the gross contribution of about 77% to 78% and gross profit margin o f about 60% to 61%, our profits would have been higher. And as you know, the PAT is also about 23%. So to that extent, the PAT would have been higher in this quarter.

But yes, this is the impact, and the revenue to that extent is deferred from quarter 2 to quarter 3. So in spite of lower sales of 1% on YTD basis, if you see our profitability for the 6 months is improved. And the contribution is also on account of the higher income from other sources.

Now some of the numbers of our major subsidiary. JC Biote ch during this quarter stood at revenue of INR158 million, EBITDA of INR20 million and PAT of about INR5 million as compared to INR174 million of revenue and INR17 million of EBITDA and INR3 million of PAT. So it is showing continuous improvement. And for half yearly, JC Biotech top line is INR317 million as compared to INR308 million of first half of FY '2 5. And EBITDA of INR44 million as compared to INR26 million. And PAT is INR13 million as compared to INR1 million during last 6 months.

Evoxx revenue stood at INR49 million. But still, the EBITDA is negative INR12 million. And PAT, because of depreciation and amortization, is about INR19 million negative as compared to Q2 of FY '24 top line of INR64 million and INR3 million of positive EBITDA and PAT of INR3 million negative. For 6 months, Evoxx top line is INR96 million as compared to INR117 million. And EBITDA of INR19 million negative as compared to INR4 million last year. And PAT is INR35 million as compared to INR16 million negative last year.

SciTech, which is a specialty man ufacturing company for us -- the top line stood at INR120 million as compared to INR103 million last year. And EBITDA is about INR14 million as compared to INR18 million. PAT is INR3 million as compared to INR7 million last Q1. For 6 months, SciTech has posted a growth of 15% in the top line from INR200 million to INR232 million. And EBITDA has increased from INR22 million to INR36 million. And PAT is increased from INR8 million to INR13 million. So this is also continuously showing the upward trend.

Sale of our largest product, which is anti -inflammatory enzyme, stood at INR275 million. And I think last quarter, it was same, INR275 million. And for 6 months, the product sold off is, about INR555 million as compared to INR716 million last year first half. So it has like decreased significant, and the revenue is about 18% of total as compared to 23% last year -- 6 months. Top

customers contributed about 25% in Q2. And if we take 6 months, the contribution of top 10 customers is about 22% as compared to 27% last year.

B2C segment has contributed about USD1.14 million as compared to USD1.1 million in the previous quarter. And health care breakups, Pharma India is about INR366 million as compared

to INR375 million in the last quar ter. Probiotics and Biocatalysts together constitute about INR52 million as compared to INR113 million. So India sales from INR488 million to INR419 million during this quarter.
International sales in Human Health Care is up from INR466 million in Q2 of last year to -- if we compare with the Q1 of last -- this year, it was INR523 million. Now during this Q2, the revenues from international market is up to INR573 million. So this is continuously staying above trend.
In international business, the major cont ribution, as you all are aware, is from our USA company. So there, we see a continuously upward trend. In Q2 of last year, it was INR403 million, to Q1 of this year, it was INR494 million. And Q2 of current year, it stood at INR532 million.

So I think our R&D expenditure, as we generally mentioned about our spending on R&D during Q2, we have spent about INR72 million as compared to INR62 million last year. And our capex is about INR13 million as compared to INR2 million last year. So total R&D expenditure in 6 months is INR151 million as compared to INR126 million last year.
The R&D constituted about 6% of our top line as compared to the 4% in Q2 of last year. This is without considering the intercompany elimin ation. If you eliminate our Evoxx spending, then R&D expenditure is about 5% in Q2 as compared to 3% in Q2. That was all from my side.
Now we shall open the floor for question -and-answer session.
Moderator: The first question is from the line of Harini De dhia from Tamohara Investment Managers.
Harini Dedhia: Right. My question was on serratiopeptidase. We had called it out specifically as a reason for degrowth in India in Q1. And you had said that there's some inventory that's not being run down at the customer end, which is taking longer than expected. Is this still the problem in India , or is the problem a little more structural in nature or is it a temporary issue? Just wanted to understand that.
Mukund Kabra: Harini, serra sales is down but it is not do wn to the extent what these numbers are showing. Last year, the serra sale was there in the first half and it was down into the next half. So on an overall basis, if you ask me, it is down somewhere around 7%, 8%. We expect that will be down by 7%, 8% on the volume basis.
Harini Dedhia: Got it. And so are we expecting then some sort of normalization in the sales in Q3, Q4? Or like in general, in the second half , or this is continue -- the run rate has come off? Advanced enzymesIVtiL’ful.X/YMl'lbLilt‘

Mukund Kabra: So we were already saying that there is going to be some competition, which we do expect in the serra area and this area part icularly. And that is where we are coming at it, we've forecasted this year as well our sales in this area will be down somewhere around 7% to 8%.
Harini Dedhia: Got it. But given that in H1, we are down much more, we are expecting that H2, we won't be down double digits in serra.
Mukund Kabra: That is correct.
Harini Dedhia: Okay. And my second question was in the start of the year, we were very clear in our communication and stating that India is unlikely to grow this year. I'm guessing because of serra, predominantly. And then in US, we were confident to grow ahead of the rest of the geographies. And we are still confident of a double -digit growth playing out for the full year. So what has not panned out according to our plan? So is it that India de -growth is steeper than our expectations? Or is it that something has gone up in the rest of the world that is really hurting us?
Mukund Kabra: So Harini, let me correct you, like earlier, we were expecting a double -digit growth, but this time, we feel that we will have a single -digit growth, and that is what I've made it clear in my initial remarks. We were thinking was some of the sales from the other areas which we are expecting to come out, they are slightly delayed. And that is where we s ee that this year probably on the Indian front probably we will not have any growth, right? And that will impact on our -- and that is where it's difficult for us to get into the double -digit growth here. We do feel that the next half will be better. At the same time, we may not be able to achieve double -digit growth.
Harini Dedhia: Got it. But even to achieve a single -digit growth number, the ne xt 2 quarters, we will have to do about INR350 crores or right of 170...
Mukund Kabra: Yes. So if you really look at it, like as Rauka ji explained you, we had some sales reversal, which is already if it wouldn't have been there , it probably would have been flat. And these are

the
accounting practices -- even though the invoices are there, the material has not reached to the customer. Some of the delays are because of the shipping delays and orders, the other airlines' delays or whatever we can ca ll it. But that is not in our hand. Right? So those sales will be --

those sales will be realized in the next quarter.
Harini Dedhia: Got it. So that will actually add to the growth number in Q3 then?
Mukund Kabra: Yes.
Harini Dedhia: Got it, sir. Sir, just 1 sort of feedback from our end. If this could have been cited in the presentation or we could have done the call on Saturday or Monday itself, that might have just helped calm some nerves around this. But thank you so much for answering my questions.
Moderator: Thank you. The next question is from the line of Sandeep Dixit from Arjav Partners.
Sandeep Dixit: Sir, earlier, you had guided that your EBITDA growth will be 2x of the revenue growth. Are we -- does that equation still hold given that -- given the revision in the guidance? Advanced enzymesIVtiL'ful.X/YMl'lbLilt'

Mukund Kabra: Can you repeat? I didn't get your question.
Sandeep Dixit: Yes. In last quarter call, you said that the EBITDA growth will be 2x to 3x of revenue growth.
Mukund Kabra: Right.
Sandeep Dixit: So does that equation hold even now? So if you are saying that revenue growth for full year '25 will be single digit, will the EBITDA growth still be 2x that?
Beni Prasad Rauka: So if you really look at -- let me answer your question. If you really look at the de -growth. So if the equation if you are talking about, if sales is, say, down by 5% on Q -o-Q, the EBITDA is down by 17%. So that's how you can see the equation in that sense. On YTD basis, if you really see the sale number is down, say, about 1% but EBITDA is down by 2%. So the equation is, in that sense, when you have the incremental sales, your EBITDA always keeps on increasing by at least 2x to 2.5x or 3x. That's how it is. So you can see the impact in that sense.
Moderator: The next question is from the line of Umang Shah from Banyan Tree Advisors.
Umang Shah: Sir, first question was what is the reason for the higher competition in our serratiopeptidase portfolio? Is it on account of a new product which is coming in the market or something else? Because we tend to have a very high market share in that product category anyways. So what was the reason for higher competition?
Mukund Kabra: So when you have a very high percentage of market share, it's always we are bound to lose some of it. Because whatever you try to do, at some point, some people will come up with the same product, right? So the competition is for the same product and not with the other molecule. So the molecule is still intact.
Umang Shah: Sure, sir. That is 1 question. Second is, sir, every quarter, you b reak down the Human Nutrition revenues between India and international. Can you give that number, please?
Mukund Kabra: Rauka ji, can you give those numbers?
Beni Prasad Rauka: So Human Nutrition pharma sales has been INR419 million in current quarter as c ompared to INR593 million in the quarter 2 last year. Our international sales has been INR573 million in the current quarter compared to INR466 million in last year's September quarter.
Umang Shah: Sure. Rauka ji, what would be the revenue, R&D expenditure for the 6 months as compared to last half?
Beni Prasad Rauka: But I will give you the number. Yes, so in these 6 months, we have spent INR143 million in revenue expenditure in R&D compared to INR121 million in last year's 6 months. Okay. We have already explained capex, right? INR18 million and INR5 million. This year, it was INR18 million. Last year, it was INR5 million. Advanced enzymesIVtiL'ful.X/YMl'lbLilt'

Umang Sha

h: Sure, sir. And sir, any news on how the new launches are doing in the current year, both in pharma and nutraceutical in US?
Mukund Kabra: In biocatalyst areas, we have just come out with a couple of solutions, as I mentioned. In the US, there are no new launches. It's th e same products but we are focusing more right now.
Umang Shah: Sure. Okay. And any traction on the launches that you have made last year?
Mukund Kabra: So those are -- we were talking about on the Pet food. And I think we are talking about the sugar one, right? So those areas are growing, and probably those are the ones which are driving the sales at this point of time. We expect it to grow further as we move on.
Umang Shah: Sure, sir. And sir, biocatalysis, segment pharma driven. We were thinking that this year would be the year where the segment sales ramped up significantly. Can we expect a positive surprise

in the second half?
Mukund Kabra: We're expecting in third and fourth quarter, but probably what we feel is, which is a little bit delayed. We do have the molecules ready, but to commercialize it and take to the sales on a higher level, probably, this may not happen in this year, but maybe the next year. But yes, the fourth quarter will be a little better than what we had on all the 2 or 3 quarters, what we can say.
Moderator: The next question is from the line of Sagar Tanna from Alchemie Ventures.
Sagar Tanna: Sir, we've been in existence for such a long time, more than 15 years. Even today, we are a INR600 crores company in terms of top line. What do you think will it take for us to grow at 25% consistently considering the size of the market and the addressable TAM that we have? Do you think we are lacking on products, R&D? Or is it our sales engine?
Mukund Kabra: It takes time. Even though I feel 25% growth is a little impossible or a little difficult to do it, not impossible, but difficult to do it. But what we need is more R&D support and more products to come out as we move on. And we are focusing on many of these areas, particularly into the R&D areas. We are trying to increase our R&D capacity. Probably, it will take some more time. Till that time, probably, we will not see the 25% kind of growth, which is a little difficult to achieve.
Sagar Tanna: Sir, which are the Indian companies who are our competitors, both in India and overseas? And what would be their size?
Mukund Kabra: So in India, I won't say like there is much of a competition, but a lot of the competition comes from the global players, where their R&Ds are much stronger. And probably, it will take some more time for us to reach to those levels.
Moderator: The next question is from the line of Navya Gautam from Sicomoro Advisors. The line for the current participant has been disconnected. Movin g on to the next question. The next question is from the line of Lakshminarayanan K.G. from Tunga Investments.

Lakshminarayanan K.G.: In the August conference call, you had mentioned that you would actually grow somewhere between 12% to 15%. And part of the year, you mentione d that you'll actually grow in a particular range. Now, were you surprised in terms of the difficulties which you are facing now? And how do you think you will end the year at? And what actually changed in the last 7 to 8 weeks?
Mukund Kabra: What we see is some of the sales which we are expecting from the biocatalyst area to come into the next 1 or 2 quarters, those are going to be deferred, right? From the very beginning, we were anticipating that the Indian sales will be more or less muted this yea r because we were anticipating the growth to come from the US. For India side, we are expecting the growth to come from the biocatalyst and other areas. Which is deferred, and that is where we feel that double-digit growth i

s a little difficult, but we wil l be having single-digit growth at this point of time. That is what we feel. That is what we are communicating.
Lakshminarayanan K.G.: That's for India, right? Or for the entire company?
Mukund Kabra: For the entire company.
Lakshminarayanan K.G.: Entire company. Okay. Okay. So in terms of -- within India. And last year, I think serra was almost like INR131 crores or so. So this year, at this trend rate, what will be in that for serra?
Mukund Kabra: We will be expecting about INR115 to INR120 Crores for the year.
Lakshminarayanan K.G.: And the SciTech business, right, I mean, have we seen growth in SciTech? Because I think in FY '24, they're growing pretty healthy there. Yes. So how do you anticipate growth in that part of the India business?
Mukund Kabra: This year, we expect a good growth to come from the SciTech.
Lakshminarayanan K.G.: Okay. And overall, India would grow at what rate this year?
Mukund Kabra: Single digits, probably. If you consolidate everything.
Lakshminarayanan K.G.: Okay, okay. And how is Euro pe shaping up? Because we see a decline in the first half I mean, in this quarter. But how do you think about Europe?
Mukund Kabra: Evoxx revenue is on the lower side in the first hal f, but we expect that it showed smaller growth in the last year at the end of the year because as we were talking and I think we might have talked last time, probably, we were expecting some of the contracts in the Evoxx , which has been signed. So we expect a positive this year, particularly at the end of the year. The next half will be better from the Evoxx side.
Lakshminarayanan K.G.: Yes. I mean, I believe we had some approvals in the food side in Europe. And I think not recently, but even several quarters back, you had mentioned that you're getting some approvals and that would actually open up a lot of opportunities in Europe. So on the food part in Europe,

what are we tracking? Is it -- is it the gestation period is longer? Can you just help me understand that?
Mukund Kabra: Yes, there is a gestation period, whi ch is a little bit longer. A t the same time, there are certain issues, some of the issues are coming with the freight and all of those areas, the freight cost is also on a higher side. Some of the other areas are also affecting some credits and some other areas, and we are working on how do we resolve those problems?
Lakshminarayanan K.G.: Got it. Just one last question related to the rest of the world. And if you look at the rest of the world in animal feed and non -animal feed, where do you see growth? Is the growth coming from animal feed business or the non -animal feed business?
Mukund Kabra: Animal Feed, like we will be expanding into some other areas, particularly and we are working on those. At this point of time, this year, I don't see much of the growth to come from the animal feed, but we are trying to explore some other areas like the ruminant areas and solutions for aquaculture, and all of those other areas, we are trying to explore at this point of time. Non - animal or non-food bioprocessing area is looking very decent for this year, particularly.
Lakshminarayanan K.G.: That profitability, when compared to last year, this year, would we end at a better picture than last year in terms of our operating profit or the net profit ?
Beni Prasad Rauka: Yes, I think we should look at the kind of numbers we had last year, at least we are likely to outperform once we get a single -digit growth.
Lakshminarayanan K.G.: Got it. Is there any surprise that actually came in the last few months? Has actually changed...
Beni Prasad Rauka: Some of the sales, as Mukund has mentioned, has not picked up. Like customers, they are taking their own time there. Initially, when as you mentioned in the month of Aug

ust, where we could see some kind of visibility. But then there are several things which I think customers are also looking at it. And therefore, the Indian sales is not picking up. In the USA, if you really see -- the growth is there and now they are working that most of the nutrace utical customers. So they use our branded formulated product name in their product.
So instead of using any kind of specific ingredient, now we are trying to convince our customers that look, this is our brand name and which we are supplying. So you use o n your nutraceutical, the name of our product. So it becomes more, in that sense, customer -centric as well as the kind of brand visibility we create over a period of time. So a couple of such issues are there, which I think are taking some time to shape up .
Moderator: The next question is from the line of Nikhil from SIMPL.
Nikhil: Just continuing with the question Lakshmi asked. See, how does -- because -- and sorry to harp on this, but -- just to understand your business better, when you say we have some visibility, but that -- so that visibility in most companies, we see is based on the POs which they get from the Advanced enzymesIVtiL'ful.X/YMl'lbLilt'

customers. And this is the schedule with which they will supply the product. So how does your business work?
Beni Prasad Rauka: Sometime, you know, trials are going on like on biocatalysts. And customers also making trials. So getting an order for a big, you can say, commercial order takes time. So initially, you gave it, yes, I think a couple of trials are going successful. Hopefully, now next q uarter, we shall be getting the big order. But then customers, they may take their time because they have to also reschedule various -- internally, many processes also. So for that, sometime, it takes time.
Mukund Kabra: But Nikhil, to answer your question , our business doesn't go with the PO basis. We hardly always have any POs. The number of POs at any given time is not more than 10, 12 Crores.
Nikhil: Okay. So sir, just 2 questions here, 2 follow -ups. One is when you say the customer is undergoing trials or validations. In that sense -- and it could be naive to say, but does it mean that the business which we were expecting gets deferred over time? Or do you think that the business is lost completely? Because if he is taking some time and validation and that time line has shifted, then probably it will come in FY '26, what we were thinking of growth in this year. Would that be right assumption? Or is it like the project gets scrapped completely?
Mukund Kabra: No, it's most of the time, this is a novel solutions, what you come out. And basically, it takes time because a lot of times, they need to file the DMF, they need to file many other areas. And

there can be multiple possibilities which are not in your hands, how long it can take. You can only always estimate based on the feedback and other areas, but sometimes, it always differ. And this is what the case is. Sometimes we are optimistic. We were a little bit more optimisti c that this should come up as early as possible, but we realize that it wi ll take some more time.
Nikhil: Okay. And secondly, coming to your near -term guidance on second half, you said for the full year, we should grow at single digit. Even if I adjust for this INR8 crores, it seems we have to grow in second half by at least 15%, 20% on a year-on-year basis to get that number of 6%, 7%. Now considering the lack of visibility, which you also have, how do you build confidence that this kind of growth is achievable in the near term?
Mukund Kabra: The way I can look at it is basic ally whatever the numbers I can see is forecast at this point of time, I can see that we are not going to de -grow. We are going to grow. What will be that number, that still we need to really work out, which will be the

really realistic numbers.
Nikhil: Okay. But you don't have any direct communication from the clients in terms of -- so between the time you get an order and your delivery, what would be the time period generally? Like, is it a 1-month kind of a time period when you have to supply from the da y you get the order?
Mukund Kabra: It differs on product to product. Sometimes it's 6, 7 days, sometimes, like it's a month.
Nikhil: Okay. Fine. I'll come back in the queue.
Moderator: The next question is from the line of Shreyans Gathani from SG Securiti es. Advanced enzymesIVtiL'ful.X/YMl'lbLilt'

Shreyans Gathani: I had a couple of questions. So the first one was on the Europe business, we see like a very sharp decline. So does that indicate like we've lost any customers or lost market share over there? And even the rest of the world, we see li ke a sharp decline. Even if we adjust for the deferred revenue, even then just trying to understand that 35% drop.
Mukund Kabra: I don't see there is any customer loss as of now. Yes, there is a small one, which was like $1 million, which we realized last year, which we are knowing that this year will not be coming up because of some other reasons because the -- they changed the process in other areas. Besides that, there is no customer loss, what we can expect this year in the European business. We expect that this should pick up.
Shreyans Gathani: Okay. And a second question. So basically, are we like lacking on the product innovation side? So for -- like if I look at Novozymes, Chr. Hansen and other combined entity commentary and their guidance, they just upped their guidance and they are even more positive versus we are like losing sales. We're actually increasing guidance and we are losing. So are we like falling behind on the R&D front compared to them in terms of product , or just trying to understand t hat?
Mukund Kabra: If you ask about Novozyme and these people, they are much ahead , no if and but. But that is where we have our own niche ar eas and other areas. We are really focusing on the R&D area. We are developing our R&D capabilit ies. We have a plan to increase it by t hreefold. And this is what our overall focuses are. We will need some more time to really go on and take on the Novozymes and other people in all the different segments. At the same time, we are working really hard to go to that level.
Shreyans Gathani: Got it. So by when do we expect the R&D to pick up to 3x, 4x that you are mentioning?
Mukund Kabra: We are building up our new R&D center right now in Nasik. This should be fully operational by the end of next year. Then we will have like, slowly, slowly, we'll really ramp up on the R&D front.
Moderator: The next question is from the line of Anuj Gakhar, who is an individual investor. Please go ahead.
Anuj Gakhar: Although most of the things that have been disc ussed is something was on the top of my head also, I'm not too -- like too much knowledgeable on accounting and other thi ngs, but I'll ask very basic questions which investors would like to know. I'm invested in the company for about 2 years or something. You can easily see a panic in the share price in the last 2 days. I think it dropped 25% after the results were released.
You have explained the sales were down because of some accounting or some booking of the sales changes that have happened, which I understand. But right now, we are already 1.5 months into quarter 3. So you will have some kind of visibility in terms of how would the sales look like in quarter 3, in which we are currently, if we do a 2x of what we are as on date. So do you see we are growing from the quarter 2 results that we have already declared? Advanced enzymesIVtiL'ful.X/YMl'lbLilt'

Mukund Kabra:

Anuj ji, it's a forward kind of a guidance, but I can see that probably we should -- we should do better than quarter 2. That's all what I can say.
Anuj Gakhar: Okay. And the other one is, I can see that -- looking at the balance sheet that we are constantly going on the reserves part of it. So is there any plan of -- any kind of reward to the shareholders in terms of buyback or bonus in the future?
Mukund Kabra: Those decisions have to be taken by the Board. Like if you really look at it, we increased the dividend, and we continue to cover dividend policy. That's all what I can say. Probably, buyback is not -- not possible. But Rauka ji can give more clarity on that. Rauka ji?
Beni Prasad Rauka: No, I think buyback is not efficient. Because it is also taxable again in the hands of the recipient. So for shareholders, there will be a cash outflow. So as you rightly mentioned, I think div idend is what every year, we have been increasing. So that is what is the way forward.
Anuj Gakhar: Sure. So one small last question. I was listening on the news that there might have been some impact to this quarter because of Red Sea related issues in t erms of the deliveries along that corridor. Was an impact of the Red Sea concerns?
Mukund Kabra: The freight cost is on the higher side, Anuj ji. We have, an impact, of about INR1.5 crores in this quarter, particularly because of the freight cost.
Anuj Gakhar: Okay. And is that because...
Mukund Kabra: Certain delays in the shipments.
Anuj Gakhar: Okay. Okay. So the operating profit margin, that's the reason why it came down from the range of 30 to 35 to now 29 in this quarter. Is that the reason? Or is there something else contributing like a product mix or something else?
Mukund Kabra: It's also like the nature of growth because like when you talk about the profit and other things, your expenses are more or less fixed. And if your revenue growth is on a down side then surely like you will see that the percentage has to go down, right?
Beni Prasad Rauka: This is a major impact. As Mukund rightly mentioned, that is a major impact. If the sale is down because of your higher gross margin -- gross contribution and fixed expenses remaining at the same level, the impact is measured on EBITDA as well as on PAT.
Anuj Gakhar: Okay. So if we use that INR77 crores to INR80 crores which was not booked, then we will be at the same level, around 33…?
Beni Prasad Rauka: It's not INR77 crores to INR80 crores. It is, I think, INR83 million. That is what we have explained to you.
Anuj Gakhar: Okay. So if we account for that, then we'll be around the same margin, that 33%? Advanced enzymesIVtiL’ful.X/YMl'lbLilt‘

Beni Prasad Rauka: Yes, yes, yes.
Moderator: Thank you. The next question is from the line of Vivek, who an individual investor.
Vivek: Yes, sir. I have 2 questions, sir. How many R&D scientists do we have as of date, sir? This is my first question. And I would li ke to ask another question, sir. At what EBITDA margin we are expected to close this financial year '25?
Mukund Kabra: No, I think I don't have exact number. We will achieve -- actually, we have more than 150 scientists at this point of time. There may be more. But I don't have an exact number as of now, but should be more than 150 plus. That's what I can say. Your second question is how...
Vivek: How much EBITDA margin we can expect for this financial year, sir?
Mukund Kabra: It's a difficult question. Rauka ji can answer that.
Vivek: No, the thing is that we are on the declining trend as our revenue has decreased.
Beni Prasad Rauka: So I mean, once the revenue increases, I think the improvement will definitely be there. So we expect that the EBITDA mar gin should be in the range of anywhere over 30%. It will be in the range of 30% to 33%.
Moderator: The next question is from the line of Harini

Dedhia from Tamohara Investment Managers.
Harini Dedhia: Just 1 question on when we say R&D, where we would like to invest more? And that's one piece that's sort of we feel that we can do better on. If you can help us understand what are the kind of things that we want to do? Would it be more on hiring of new scientists? Or would it be some infrastructure or some eq uipment or some segment? I guess, you can just help us understand

what do we want to add on that side right now?
Mukund Kabra: It's a combination of all. If you really look at it, we don't have a space as of now. Because of the space, we cannot hire the pe ople. And there are a lot of new equipments which we will have to do that. We need to increase the number of products as well.
Yes. So it's a combination of all. We are working on all the different technologies as well at this point of time. We have some breakthroughs, but we will have to scale it up, basically.
Harini Dedhia: Okay. Would it be possible to just share the kind of things that if you can just help us understand. Maybe at a later stage, if you could put out something along the lin es of the kind of breakthroughs we have had or what are the new things that we are working on. Just help us understand better.
Mukund Kabra: In terms of R&D, is what you're talking about?
Harini Dedhia: Yes. Because I remember in the February call, when Mr. Rathi was also on call, he had specifically called out that he was very proud of the work that they've done in the R&D team for Advanced

the last 2, 3 years. So just wanted to know that -- what was being done and where is it that we want to go?
Mukund Kabra: So there are a lot of biosolutions which are specific, and you need to do a lot of protein engineering on that, right? And we are now getting the hands to that. We are doing and we are developing a lot of molecules. We understand how to develop it now, but we really need to scale it up. If you talk about all these biocatalyst and other areas, clearly, those are the outcome of our protein engineering, basically. It's a difficult science, but at the same time, it's possible.
You need to do many other areas, particularly, not only development of the strains, but applications, fermentation R&D, formulation R&D s. And all of these, we are trying to work at this point of time. And we will have to expand those. I wouldn't be able to give you more specific because those are going to be the -- those are going to be -- some are the IP kind of a property, and I don't want to talk on those in the public domain.
Moderator: The next question is from the line of Rohit Ohri from Progressive Shares PMS.
Rohit Ohri: Sir, 2 questions from my side. First 1 being, with the changes in the US market as well as the political scenario over there, do you think it is a boon or is it a bane for AETL?
Mukund Kabra: I don't know, honestly, time will tell. But what I can say is we have a strong base in the US, in particularly, probably it should help. But you never know what kind of like input duties and other things come -- will come up. And what will be the impact.
Rohit Ohri: Sir, because his focus was to make America great once again. And we do have quite a lot of cash and other equivalents in the US. So will you be looking at some acquisitions over there to boost the sales from the US market?
Mukund Kabra: I can't comment at this point of time. So , we'd like to see how the things pan out, Rohit ji.
Rohit Ohri: Sir, any rough work that you have done or anything that we should anticipate over the next 1, 1.5 or 2 years or something like that?
Mukund Kabra: No. In next one years, I don't expect any acquisition at least in the US, particularly.
Rohit Ohri: Okay. Sir, my second question is related to Evoxx. In the previous quarter, you did mention that yo

u were looking for some sales that were supposed to come through from there, somewhere around INR1.4 million, INR1.5 million kind of sales that was supposed to come from there. Has that passed through? Or are there some difficulties over there as well?
Mukund Kabra: No. What I said was that is fine, that is what we were expecting. We do have a PO of that, which is pan out for a whole year, and that is where we expect that the next half year will be the bett er for the US. And probably we will have higher sales than the low last year, particularly in the US. Advanced

Rohit Ohri: Sir, many of these customers' clients from the international market, they must be trying to make their own budget as the year is coming to an end. So what sort of outlook exactly are they sharing with you in terms of sales as well as the margin profile for us?
Mukund Kabra: Are you talking on the Evoxx?

Rohit Ohri: On Evoxx and other customers as well, other European, Latin American or maybe North American customers that we have.
Mukund Kabra: Can you please repeat your question, Rohit ji?
Rohit Ohri: For many of these customers, they must be making their budgets, right, for the next year. I think we are at financial year comes to an end very soon. So what is their outlook? And what sort of conversations are you having with them in terms of the growth for AETL?
Mukund Kabra: No, I won't be able to give you that number because a lot of times, these customers won't come out with their numbers or the expectations, what they do. Because our business doesn't run on the -- it runs on the PO basis, but there are not liqui date anything which is a long-term contract. So it's very difficult for me to tell how that will be really come out with what generally, we anticipate is how many customers, new customers may be added and what business they can give. So that is how generally we work rather than taking the POs for the whole year. So it's an ongoing process. So at this point of time, I don't have the exact number, honestly.
Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Ronak Saraf for closing comments.
Ronak Saraf: Thank you, everyone, for taking your valuable time for attending our earnings conference call. We will keep you posted for any further updates. I request you all to send in your questions that may remain unanswered. An audio recording and a transcript of this call will be uploaded on our website in due course. Looking forward to host you all in the next quarter. Till then, stay healthy, stay safe. Thank you.
Mukund Kabra: Thank you.
Beni Prasad Rauka: Thank you, everyone.
Moderator: On behalf of Advanced Enzyme Technologies Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Disclaimer:
This is a transcription and may contain transcription errors. The transcript has been edited for clarity, readability, etc. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.
Kindly Note, there could be unpublished price sensitive information that would have been shar ed /discussed during the call. Complying with the SEBI regulations, we have shared Audio Transcript to the Stock Exch anges and the Company website on
November 13, 2024 for information of public at large. Advanced enzymesIVfiL’U'LX/YKH /■,tilt'

Call: Feb 2025

February 17, 2025

To

Dear Sir/Madam,

Sub:

Transcript of Conference call held on February 12, 2025 for the Un-audited Financial Results for the quarter and nine months ended December 31, 2024

In furtherance to our intimation letter dated February 03, 2025, please find enclosed the Transcript of the Conference call held on Wednesday, February 12, 202

5

with Analysts and Investors for the un-audited Financial Results of the Company for the quarter and nine months ended December 31, 2024.

The aforesaid information is also being uploaded on the website of the Company.

Kindly take same on your records.

Thanking you,

Yours Faithfully,

For Advanced Enzyme Technologies Limited

____

Sanjay Basantani

Company Secretary and Head - Legal

Encl.: As above

BSE Limited

Department of Corporate Affairs

P. J. Towers, Dalal Street,

Mumbai - 400 001

Scrip ID -

540025

National Stock Exchange of India Ltd.

Exchange Plaza, Plot
No. C/1, G Block

Bandra
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Kurla Complex, Bandra (E)

Mumbai
-

400 051

Scrip Code
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ADVENZYMES

"Advanced Enzyme Technologies Limited Q3 & 9
Months FY25 Earnings Conference Call"

February 12, 2025

MANAGEMENT : MR. VASANT RATHI – CHAIRMAN AND NON-EXECUTIVE DIRECTOR – ADVANCED ENZYME TECHNOLOGIES LIMITED
MR. MUKUND KABRA – WHOLE TIME DIRECTOR – ADVANCED ENZYME TECHNOLOGIES LIMITED
MR. BENI PRASAD RAUKA – GROUP CHIEF FINANCIAL OFFICER – ADVANCED ENZYME TECHNOLOGIES LIMITED
MS. RASIKA RATHI – NON-EXECUTIVE DIRECTOR – ADVANCED ENZYME & VICE PRESIDENT – SEB USA
MR. RONAK SARAF – MANAGER INVESTOR RELATIONS – ADVANCED ENZYME TECHNOLOGIES LIMITED

Moderator : Ladies and gentlemen , good day, and welcome to Advanced Enzyme Technologies Limited Q 3 FY '25 Earnings Conference Call.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th is conference call, plea se signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Ronak Saraf – Manager Investor Relations at Advanced Enzyme Technologies Limited . Thank y ou, and over to you, Mr. Saraf .
Ronak Saraf: Good evening, everyone. Welcome to the Advanced Enzyme Technologies Q3 and 9 Months

FY '2 5 Earnings Conference Call .
We sincerely hope you all have gone through our financials , and press release and the presentation which has been posted in the Investor Relations section of our website.
We have with us Mr. Vasant Rathi, Chairman and Non -Executive Director ; Mr. Mukund Kabra, Whole -Time Director; Mr. Beni Prasad Rauka, Group CFO ; and Ms. Rasika Rathi, Non-Executive Director , Advanced Enzyme s & VP , SEB USA.
Today, the management will discuss the performance and business highlights, update s on strategies and respond to any questions that you may have. As is usual, for ease of discussion, we will look at the consolidated financials.
Before we proceed, I would like to draw your attention to the forward -lookin g statement contained in the presentation . During our call, we may make forward -looking statements regarding our expectations or predictions about the future. Because these statements are based on current assumptions an d factors that may involve risk and uncertaint y, our actual performance and res ults may differ materially from our forward -looking statements.
With this, I would like to handover this call to Mr. Vasant Rathi . Over to you, sir .
Vasant Rathi: Thank you , Ronak . Good evening , everyone. On behalf of entire Advanced Enzyme family, I would like to wish you all a very Happy New Year , even though we are in February now. I truly appreciate you taking the time to join us. And I warmly welcome you to the conference call for the 3rd Quarter and the first nine months ended 31st December 2024.
Let me start a quick review on the global economic scenario. The global economy exhibits a mix and resilience with a lot of challenges. The IMF reports that global inflation has declined indicating progress in combating high inflation . However, growth remains sluggish compared to pre-pandemic level. More over, as you know that there are U.S. elections and President Trump is elected , and that is a complete uncertainty what is going to happen in the future . Even though there are a lot of taxes are l evied , we will know pretty soon what else can unfold .

Regional disparities are evident. For instance, the United States is expected to experience a short -term economical boost while Europe and China faces significant economical headwinds. Additionally, g eopolitical tensions and potential trade war risks continue to pose challenges to economic al stability. Overall, while there are positive signs, the global economy is navigating a complex landscape with both opportunities and risks.
With this , I conclude my remarks and now hand over the call to Mr. Mukund Kabra , and he will talk to you about the performance of the company.
Mukund Kabra: Thank you , VL sir. Good evening , everyone. I will quickly take you through the commentary of this quarter. Our operating performance in Quarter 3 has steadily enhanced, showing growth and sustainability in our financial stability. We achieved a top line of Rs. 1,691 million , gr

owth of
5% on a year-on-year basis and 16% on a sequential basis in Quarter 3 .
Our EBITDA stood at Rs . 553 million , grew by 3% on a year-on-year basis and 30% on a sequential basis. EBITDA Margin stood at 33% and PAT margin stood at 23% during Quarter 3.
In the last quarter, we couldn't realize some around 8 crore of the sales because of the sales reversal. So , in this quarter, we saw an incremental revenue recognition of around Rs . 80 million , which was delayed in Quarter 2 Financial Year ‘2 5. This resulted in higher sales in the current quarter of about Rs . 80 million.
Accordingly, the revenue for this Quarter 3 Financial Year ‘2 5, after giving this effect, would have been at Rs. 1 ,610 million and for Quarter 2 Financial Year ‘2 5 would have been Rs. 1,540 million, a growth of 70 million on quarter -on-quarter basis, about 5% instead of 16 %, and the gross margin remain at 77% in the Quarter 3 Financial Year ‘2 5 equivalent to Quarter 2 Financial Year ‘2 5. Talking about the
Human Nutrition
the Human Nutrition contributed around 60% in this quarter. On year-to-date basis, Human Nutrition constituted about 68% of the revenue in 9 months of Financial Year ‘2 4, and for current financial year 9 months it is 64%.
Animal Nutrition
Our Animal Nutrition business contributed 12% to the revenue in Quarter 3 . This segment grew by 22% on year -on-year basis and 9 % on sequential basis . Year -to-date Financial Year ‘2 5, Animal Health Nutrition witnessed an increase of 12% and constitute about 12% of the revenue as compared to 11% in year -to-date Financial Year ‘2 4.
Bioprocess

Our Bioprocess business contributed 19% to the revenue in Quarter 3 . This segment outperformed during the quarter by around 36% on year -on-year basis and 91% on sequential basis.
The Food business grew by 39% on year -on-year basis and 130% on sequential basis while Non-Food business reported growth of 25% on year -on-year basis and 4% on quarter -on-quarter basis.
Year -to-date performance of Food business remained flat at Rs. 580 million , constituting about 12% of the total revenue. Year -to-date Non-Food business grew by 28% from Rs. 125 million to Rs. 160 million. This constitutes 4% of total revenue as compared to 3%.
Specialized Manufacturing
The Specialized Manufacturing business contributed 9% and grew by 49% on year -to-year basis and 28% on sequential basis and 27% of year -to-date and constitute d about 8% of our total revenue as compared to 7% during the 9 months of Financial Year ‘2 4.
Key events during this quarter, as we mentioned in our last earning call about significant challenges for our customers is the lack of familiarity with enzyme and probiotic application and testing. To facilitate this, the company has established a separate independent laboratory named Starya Labs under its U.S. Subsidiary. This lab will focus on testing enzyme and probiotic products.
We acknowledge that R&D is crucial for sustained long -term growth. We also maintain product portfolio specific strategies that focus on complexities of the geographical market field. We are proactively seeking new opportunities and advancing the development of new products and molecules within our biocatalyst and bioprocessing portfolio.
These innovations are anticipated to contribute to future revenue growth. We are optimistic about the upcoming years, anticipating growth and success. With a strong pipelin e of innovative products, we are confident in our ability to achieve our strategic goals. Our commitment to delivering exceptional value positions us well to capitalize on new opportunities and navigate any challenges. We look forward to building on our mo mentum and driving great year ahead.
With this, I conclude my remarks and now hand over the call to Mr. Rauka. He will walk you through the financial and key subsidiary numbers. Thank you. Over to you , Rauka ji.
Beni Prasad Rauka: Thank you very much , Muku nd. Good evening , everyone. I hope you all are in good health .
On the company's consolidated financials for the 3rd Quarter and nine months of fiscal year 2025 , Q-on-Q basis the revenue is grew by Rs. 230 million , 16% of growth . EBITDA is increased by Rs. 128 million . This is 30 % of our total revenue . PBT is increased by Rs. 108

million , about 26 % of growth from Rs. 422 million to Rs. 530 million. PAT is increased by Rs. 55 million , 16% of growth from Rs. 334 million , Rs. 389 million.
On YTD basis , our revenue is increased by Rs. 36 million , 1% of increase from Rs. 4,661 million to Rs. 4,697 million . EBITDA is increased by Rs. 3 million and profit before tax is slightly down . PAT is increased by Rs. 1 million . So, it is about Rs. 1,072 million as compared to Rs. 1,071 million . It's about 23% of our revenue .
I would like to give some numbers of our subsidiary companies. JC Biotech stood at Rs. 172 million of revenue and EBITDA of Rs. 22 million, PAT of Rs. 7 million as compared to Rs. 176 million and Rs. 33 million and Rs. 14 million respectively in Quarter 2 of FY '25. On YTD basis , the revenue of JC Biotech is Rs. 488 million as compared to Rs. 483 million and EBITDA of Rs. 66 million as compared to Rs. 59 million , PAT of JCB is Rs. 19 million for 9 months as compared to Rs. 16 million.
The revenue for Evoxx stood at Rs. 64 million with EBITDA of Rs. 13 million and PA T of Rs. 6 million in Q3 as compared to Rs. 49 million of sales and negative EBITDA of Rs. 8 million and a loss of Rs. 10 million. Evoxx for 9 months revenue is Rs. 160 million as compared to Rs. 166 in FY '2 4 for 9 months with EBITDA of Rs. 7 million negative as comp ared to Rs. 12 million negative and PAT of Rs. 29 million , which is, I mean , loss after tax for 9 months Rs. 29 million as compared to Rs. 26 million .
SciTech revenue stood at Rs. 154 million , EBITDA of Rs. 30 million and PAT of Rs. 20 million in Q3 as compared to Rs. 104 million of sales , EBITDA of Rs. 17 million and PAT of Rs. 4 million. So , SciTech has witnessed a revenue increase of about 27% in 9 months from Rs. 304 million to Rs. 386 million, EBITDA of Rs. 66 million as compared to Rs. 38 million and P AT of Rs. 32 million as compared to Rs. 12 million.
Sale of our largest product which is anti -inflammatory enzyme stood at Rs. 335 million for Q3 as compared to Rs. 315 in Q3 of FY '2 4. For 9 months, the sale is Rs. 890 million as compared to 1,031 million. This constitutes about 19% of our total revenue as compared to 2 2% in FY '2 4 for 9 months.
The top 10 customers constitute about 26% during this quarter as compared to 25% in the last

quarter. The B2C segment contributed about Rs. 1.23 million as compared to Rs. 1.37 million during the same period the previous year. So, total B2C sale for 9 months stood at Rs. 3.27 million as compared to Rs. 3.79 million.

We do have the detailed breakup of our Human Health Care segment, where we give the data point for the pharma business in India, the international business of human nutrition . So, I am giving those numbers for Q3.

The pharma India business is about Rs. 460 million as compared to Rs. 419 million in Quarter 2 and for nine months, Rs. 1,366 million as compared to Rs. 1,650 million . The international

business stood at Rs. 559 million as compared to Rs. 573 million in the previous quarter and for YTD, Rs. 1,656 million as compared to Rs. 1,510 million.

Our R&D spend for Quarter 3 is about Rs. 81 million as compared to Rs. 75 million in the corresponding 3rd Quarter of FY '24. So, total expenditure on AET standalone basis for R&D is Rs

. 242 million as compared to Rs. 202 million. On a consolidated basis, R&D spend is about 5% in Q3, FY '25 as compared to 5% in Q3 of FY '2 4 last year. On a consolidated basis, R&D spend is about 3% in Q3 and 3% was there in Q3 of last year.

That was from my side. Now we shall be opening the floor for question answer. But before that, I would like to mention that post the invite of earning call we have received about 10 -11 questions and since Rasika is with us , so we will be happy to use this opportunity and Rasika would like to address those questions. I will ask the question on behalf of the investor community, and we will request Rasika thereafter to answer those questions. Give me a moment. Yes.

So, first question is, what do you see the company's vision for three years and five years in qualitative and quantitative terms, not asking for guidance and outlook? Please, Rasika.

Rasika Rathi: Hello, everyone . I am Rasika. So , you are asking about guidance and outlook for three years and five years. From the U.S. perspective, we expect to deepen our footprint in nutraceutical ingredient sales. Historically, we have always had a recognized brand in enzyme and p robiotic sales in this industry, but recently we have seen significant brand expansion. There is a lot of progress here in recent years.

Our customers are buying our ingredients, but rather than hiding their source, they are actively marketing that their consumer brand contains our ingredients. This creates a lot of value for us as a company. As they market our ingredients, we create stickiness with them. They now want to continue using our ingredient in their product, but their marketing also acts as a p roxy for marketing for us, creating brand recognition in the market and more importantly for us, follow on sales as other companies copy the original brand.

The point of this is to show that we are doing excellent in our brand recognition and expect this to grow and create inbound sales opportunities for us. We are also expanding our sales force to go out and capitalize on this brand recognition. In the next five years, we expect to focus on the major market sectors of gut health, protein powders, and pet supplements where we see lots of opportunities for science -backed research products. This puts us at an advantage with our strong research team and helps create a moat around our products.

Of course, there are several headwinds. There is significant mar ket upheaval with the new political situation in the U.S. We do not yet know how tariffs and other major policy changes will change the landscape or the economy. Ultimately, there is uncertainty here. But there is a chance that we can be a big beneficiary here as well, if the rules shake out right.

Beni Prasad Rauka: Okay. Rasika, t he next question is, how do you see the U.S. panning out? In the past few quarters, you have mentioned that growth will come from this market.

Rasika Rathi: Well, as I mentioned, the political situation in the U.S. is that there will be a lot of change. What is unclear is who it will be good for and who it will be bad for. One thing that is very clear right now is that it does not look like it will benefit Chi na economically. The longer this goes on, the more potential there may be to capture some market that has gone to low -cost producers in China.

Effectively, because we are fundamentally a player with a strong presence in India and the U.S., we are better positioned to take advantage of the rules as they stand right now. And so far, it looks like the current political position also looks favorably on our place in the health, nutrition, and wellness industry. But what is not clear is what impacts the new rul es and regulations will have on the U.S. and global economy.

The long and short story here is that there i

s uncertainty. We do not know who will win in terms
of suppliers and finished products . So, our approach is to stick to our core fundamentals of
delivering excellent service to all players so we can grow with the winners.
Beni Prasad Rauka: Okay . Next question is what challenges are you facing in business since all other international players in the enzyme and probiotic phase are doing very well?
Rasika Rathi: Well, I think the competitive landscape in our industry is influenced by a variety of factors with
each company navigating its own unique challenge s and opportunities. Growth is generally
modest right now with many companies experiencing low single -digit growth rates and in some
like ADM even facing a decline as evidenced by their 9% decrease in 2024. So , I am not sure
that I agree.
Larger companies, they have the benefit of substantial resources, well -established brands,
greater market penetration and robust R&D capabilities. In contrast, companies like ours must
invest considerable effort and strategy to break through and differentiate our products in a market
dominated by these industry giants . But what I do think is going to happen is when we do, the
payoff will be significantly greater.
Beni Prasad Rauka: Okay. What strategy or steps are you taking to strengthen your global sales team a nd increase your distributor network?
Rasika Rathi: I mean, this is the continuous strategic process. It is not so simple as hiring more or signing more
contracts. It requires evaluating several factors and criteria to ensure long -term success. Our
produc t is very technical. In many of our industries, it is not so simple to simply slot in a new
salesperson or a new distributor. It requires a significant learning curve to be able to sell well.
And the quality of the salesperson or the distributor is just no t enough. We must also evaluate
the size of the network, a distributor's influence in the market, payment terms, financial stability

and the potential size for scale. But we recognize the value of this. It is an enormously important
task, and we have creat ed a key goal of improving our sales using these avenues.
Beni Prasad Rauka: The next question is, can't you go aggressive on the sales front compromising on certain margins?
Rasika Rathi: Oh, a favorite question. The answer is that it's just a balancing act. An aggressive sales strategy
can backfire. It can trigger a price war in the market where companies continuously lower their
prices to outdo competitors. While this might boost revenue in the short term by attracting
customers looking for bargains, i t can ultimately harm the company in the long run. Given the
niche market of our product, we find that service and quality are driving factors in the sale.
A price war could significantly damage the brand's reputation and devalue its position in the
mark et. As we and our competitors would race to the bottom, customer loyalty would weaken,
and the company may find itself struggling to recover both financially and strategically,
undermining its long -term growth and stability. That said, we always evaluate t he sale. We do
make judicious choices to achieve the right kind of sale, always keeping investor value in mind.
Beni Prasad Rauka: Okay. Next question is, what is the status of weight management and sugar management products which you launched in USA a fe w quarters back?
Rasika Rathi: We have received excellent initial feedback in our test marketing. But as you all know, launching
a molecule from scratch takes significant time investment. It may be several years before we
reap the full benefits. We are pu rsuing this opportunity actively because we see a good market
for this product.
Beni Prasad Rauka: Okay. You always say that you are working on new molecules or launching new products every year, but you

have never mentioned what those products are and how they are performing in the
market or how big the market size is.
Rasika Rathi: This is the balancing act. Enzymes and Probiotics are a niche sector, but they are also highly
competitive in our industry. Even though it is specialized, the competition is fierce. Companies
are constantly monitoring each other's launches and innovation. This intense rivalry poses a
significant risk for our investors if we were to speak about everything. Because competitors m ay
quickly replicate or modify our products to create something similar, diluting our investments
in R&D.
Beni Prasad Rauka: So, here I would also like to add something. As far as market size is concerned, I think in, you know , our earning calls and whate ver like presentations which we provide on a quarterly basis ,
so in the earning presentation you can see we have one particular page or slide where we give
the numbers , what is the kind of opportunity available . This is on Slide No. 27. Okay .
So, next question is you mentioned that you are more in strategic acquisition that fit your
operating segments , but it seems like your acquisition did not turn out as growth supportive.

Rasika Rathi: Now I just disagree with this. Strategic acquisitions are often more about enhancing a company's capabilities and protecting revenue than just driving immediate growth. One of our goals can be to expand revenue over time, but all of our acquisitions are driven by strategic value to the company in the form of new skills, technolo gies, intellectual property, backward integration, or market access.

If you look at our historical acquisitions, they have always brought specialized expertise in some way. For example, Evoxx is specialized in protein engineering and has a lot of intellectual property, which helps us to innovate new products. SciTech specializes in effervescent technology, which allows us to deliver an innovative delivery system in finished formulation.

Beni Prasad Rauka: Okay . Do you have a particular acquisition in mind or are you thinking about this in a broader strategy sense?

Rasika Rathi: Acquisitions are always an ongoing continuous process for us. Each potential opportunity is carefully evaluated to assess strategic value. Our broader criteria may be a rob ust customer base, geographic presence, valuable patents, a unique product portfolio, manufacturing capabilities, so on.

In recent times, however, we have noticed that companies are demanding inflated valuations that do not always reflect their true wort h, but we remain committed to constantly evaluating new targets, ensuring that any decision made aligns with our long -term growth objective and overall business strategy.

Beni Prasad Rauka: Okay . I think the last question from the investor communit y side is in what business segment are you looking to acquire?

Rasika Rathi: We are looking for investments that secure our business both upstream, meaning ingredients, R&D, that kind of thing, and downstream, closer to the final customer. To date, we have acquired both types of companies. We remain open to these types of acquisitions for future growth.

Beni Prasad Rauka: Okay . Thank you very much, Rasika. Now we open the floor for more question and answers.

Moderator: Thank you very much. We will now begi n with the question -and-answer session. Anyone who wishes to ask a question, may press "*" and "1" on their touchstone telephone. If you wish to remove yourself from the question queue, you may press "*" and " 2". Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. Participants, you may press "*" and "1" to ask a question. The first question is from the line of Viraj from SIMPL. Please go ahead.

Vir

aj: Yes. Thanks for the opportunity . Just two questions. I think in the last quarter you talked about the sales difference and if you adjust the amount which you gave in the open ing comment s, then you will see the growth in sales and this compares to the double -digit growth which we were expecting in the second half. So , how do you kind of reconcile the two comments?

Beni Prasad Rauka: I am sorry , your voice is not so clear. So , can you please repeat the question?

Viraj: Yes, am I audible now ?

Beni Prasad Rauka: Yes, you are audible, but I mean , the voice was not clear. Please repeat.

Viraj: So, the question is , you know , if you see in last quarter , we had talked about there being a sales difference from Q2 to Q3 , and if you adjust the amount which you gave in your opening comment , then the sales in Q3 has actually de -grown adjusting for that , and this compares to the double -digit growth which we were , you know , guiding for in the second half. So , how do you kind of reconcile the two?

Beni Prasad Rauka: No, I think as far as , you know , guiding two -digit growth , we already mention that we will be having only single -digit growth. Let me clarify first . And then as far as the impact of , you know , the recognition of revenue , I think Mukund has already explained that in this quarter instead of Rs. 159 Crore, if we reduce that impact , it would have been Rs. 161 crore for this quarter and last quarter where it was Rs. 146 crore , it would have been Rs. 154 crore. So , you have some 5% of growth i n that sense. But overall for 9 months , we have only 1% of growth. But I think that we already mentioned in the Q2 call.

Mukund Kabra: And if you take, even if you take into this account of this 8 crore, this is the highest quarter which we have on a sale front. So , there is no question of de -growth basically.

Viraj: Just two questions. So , going say into Q4 and then FY '2 6, how should one look at the growth profile for our business given the kind of indications you are hearing from key markets and key customers?

Mukund Kabra: So, we are in the process of budgeting right now for the next year and we will come out with the scenario at the end of the fourth quarter results . And this year we already clarified that we will have just a small single -digit grow th, and f or the next year, we will come back into the next quarter.

Viraj: Last question was, sir, you know, if you look at Serratiopeptidase space , can you give some , what we are hearing is that there has been some impact, you know, from one of competitors. So ,

can you give some perspective , you know, how do you see the competitor landscape and our play in that?
Mukund Kabra: So, as we all know, like we were the leading player, we still are the leading player, but when you are the leading player, it's always difficult to hold more than 90% of the market share . There will be some market share here and there, which will happen, but as of now, still we are the leading player. So, I won't go into more details about who is the player and what about the player and what is the impact, but I can always say that we are still the leading player into this segment.

Viraj: No, what I really meant is, do we see any material changes in comp etition intensity or us benefiting from that?
Mukund Kabra: See, time will tell you . Right now, it's very early stages, right? So , we will wait and see how the things span out.
Viraj: Okay . Thank you.
Moderator: Thank you. Next question is from the line of Bhavya N ahar from Ta mohara Investments. Please go ahead.
Bhavya N ahar: Hi, sir. I wanted to understand who will be heading the new facility in Nashik, given the departure of Dr. Anil Gupta, who I understand looked after the R&

amp;D function ? And what is our product calendar looking like? Like are we focusing on repurposing our existing library of enzymes for new use cases or are we adding like more products there?
Mukund Kabra: So, Dr. Gupta left long back. It's already like 3.5 years. And there are always the players who are there. R&D is in a good hand. There are many capable people who are handling those. In terms of Nashik R&D , when we talk about Nashik R&D , it will be 3x bigger than what we have in the first stage at present . That is our goal to begin with. There are few recruits we already did and we are in a p rocess to recruit further. In terms of the addition of products, we already mentioned during our last few calls that every year we add at least 5 to 6 molecules , and we will continue to add and we will increase this pace as we move on.
Bhavya Nahar: Okay. Sir, and regarding the vision of the company, as Rasika mentioned that the vision is to deepen footprint in nutraceutical, gut health, protein powder, and pet supplement. So, anything else? Because sir, generally, our aspirations are always on the right t rack, but something happens and we end up with anemic growth. So, for the next 5 to 7 years, exactly what's the growth plan?
Mukund Kabra: So, Rasika was talking more about U.S. and U.S. business, how it is spanning it out. As you know and as we were talking about overall, we have like over 3 different segments, and we have already explained which are going to be the different growth areas into the different areas. Okay .
Bhavya Nahar: And sir, last question . Sir, any plans to utilize the cash lik e 600 crores that we have on our books or any plans to , also any plans to bring the cash parked in the U.S. back to India?
Beni Prasad Rauka: So, as far as , you know , getting money back from U.S. is concerned , you know , we are getting a good return from that for whatever we have invested in USA. And apart from that utilization , yes, at appropriate time , you know , whenever there are like ways to utilize like we have been giving an incremental dividend to our investors and apart from that , if there will be an opportunity of acquisition , which as we have mentioned earlier this fits to our strategic planning , then that money will be utilized .

So, it is like , you know , utilized in a way which is giving us a return . Of course , in a way like , you know , if you look at the return from a business point of view , it is lower . I understand that , but apart from that , I think it's in safe hand , and we are getting a good return , and U.S. again you are getting some 3 -4% every year that , you know , rupee depreciation benef its as well .
Bhavya Nahar: Okay . Thank you.
Moderator: Thank you. Next question is from the line of Abhishek Navalgund from Centrum Broking . Please go ahead.
Abhishek Navalgund: Yes, hi, thanks for the opportunity. The first question is again on the U.S. piece . So, you mentioned that the focus is to deepen the presence in the nutraceuticals. Some of the customers are also labeling and mentioning your name and stuff and also the focus areas were discussed. What we understand is clearly U.S. has been the key market for us since a very long period of time, but like the earlier participant also mentioned somehow the growth has been flattish . We are stuck at around 180 -200 crore annual number . So, if you are actually seeing traction from the customers and , you know , higher visibility , what stops us for giving guidance from next one or two years ' perspective , at least a range that would actually help ? So, that's the first question .
Beni Prasad Rauka: So, regarding giving the guidance , definitely , you know , as such we have been talking time and again that , you know , we always aspire to give at least two digit of growth . But you k

now ,
sometimes what happens when you revisit your numbers , because last year we have seen the kind of some kind of growth is not t here. So, in a way we call it a de -growth . So, we have to revisit our numbers .
And that's the reason Muku nd was saying that let me take some more time to churn out all the numbers , look at every customer, every product and see that where we can reach in the next year. So, that's the reason the guidance was probably Mukund of the opinion that we should not give the guidance in this particular quarter. Give us some more time so we will come out with the better guidance. This will help you and everyone in th e process.
Abhishek Navalgund: But you are in a way saying that there are signs of recovery, right? So, you are indirectly saying that FY '2 6 is not going to be like '25 as far as the U.S. market is concerned.
Beni Prasad Rauka: Yes, So, Vasant sir is going to address.
Vasant Rathi: Abhishek , Rasika was telling you before also is that we see a very broad , see, market is completely changing last two , three years . What is happening is it is more , this nutraceutical market is more of a research -driven products which are well proven technically and has a data supporting it . And most of the companies now are preferring to put our labels or our names, proprietary names, registered trademark names on their product. Major brands are coming wi th it. Now their growth depends on how this product grows, also impacts us of how our growth is going to happen. But it will be broader range growth, more stable growth.

Second thing which is happening, which nobody can imagine right now, is what is goin g to be the impact of various different countries. Even in North America , for example, Canada and Mexico are going to be impacted with a straight duty or no duty or how is it going to work because these markets are also very equally coming to our sphere in U.S. markets. Okay. So, there are a lot of areas which are going to impact , and that's why we are looking at the wait and see attitude for next 2 -3 months before we can come up with our numbers or give some kind of guidance.
Overall, we see a very posit ive trend as far as our product penetration is concerned, new products development is concerned, various different research papers and products which we are coming up with. So, yes, we are looking at growth numbers will tell a little bit later.
Abhishek N avalgund: The next question is have we added any new customers , let's say , in the last 3 to 6 months and in any particular region per se?
Vasant Rathi: Actually yes, we have added a few new customers in the last 6 months and they are global also. The company, this market is becoming a global market. It is not a regional market anymore. There is an enormous impact of how these global companies are coming up with and they have muscle power of advertisements and inv estments. So, a lot of merger acquisitions are happening in this industry also.
Abhishek Navalgund: Okay. And i n the Asia segment, excluding India, are there any market share gains story or this is, I mean, w e should not read too much into it as far as this quarter number is concerned ?
Mukund Kabra: I would say that we shouldn't read too much at this point of time because we cannot like really comment on quarter -on-quarter basis . As we move on , we will have more clarity. We should look more on a 9-month 's number or a longer number.
Abhishek Navalgund: Sue. And last question, on the cash, on the balance sheet, are you reconsidering the dividend payout policy or something or that is going to be the same?
Vasant Rathi: The dividend policies, listen, for the last two years we are declaring special dividends , right? So, our Board of Directors always consider those issues from time to time and take appropriate decisions. We a

re very much committed to our investors and making sure that their investment is tak en care of.
Abhishek Navalgund: Sure. So, yes, I missed one more. So , the Nashik R&D is on track to commission by end of first half or the timeline is different?
Mukund Kabra: I think we were talking about end of this year '25.
Vasant Rathi: Not the financial year , but this year.
Abhishek Navalgund: End of, so CY, by end of CY '25 you are saying , right?

Vasant Rathi: Yes.
Abhishek Navalgund: Sure. Thank you.
Moderator: Thank you. Participant s you may "*" and "1" to ask a question. Next question is from the line of Niharika from CapGrow Capital . Please go ahead.
Niharika: Yes. So, in the last con call, you had mentioned that biocatalyst molecules commercialization was taking some time. So , I wanted to know where are we on that, and what could be the possible

impact on top line? And also, do we have any new molecules in the pipeline, or have we filed patents on any of the new molecules?
Mukund Kabra: As we were saying, this is going to be one of the growth areas and probably the growth we will see in the coming financial year. You are talking about the molecules. We always work on a lot of different molecules. We do add one or two molecules each quarter roughly at this time. That is the pace at which we are going on. Some molecules maybe we may see th e commercialization coming into the next year.
Niharika: Okay . And my next question is about the Probiotics market. So , in the investor presentation, we can see that the market size is around $70 billion. Do we have any plans in place to tap this market? Say, for example, even if we have 0.1% of this market , that would be a n increase of 500-600 crores in top line. So , I wanted to understand more about this market.
Vasant Rathi: Niharika, you are very correct. So, Probiotic market is fastly expanding and we are very much looking into key probiotics , which are already we have several papers published on various different probiotics right now. A lot of patents have been filed also on the complete enzymes and probiotics together , and we are expecting some of the products to be approved by the various different regulatory agencies in various different markets.
Niharika: Understood. So, any possible impact on top line and by when can we see the impact of probiotics on top line?
Vasant Rathi: It is going to be an integrated part of it, some of it. We are not separating that as a separate category per se, but we are integrating it in the enzymes and Probiotics because all our markets are, it's not about one or second product or one p roduct by itself, but in U.S. market we have an integrated market of enzymes and probiotics.
Niharika: Understood, understood. So , one more question. So , any specific reason why we have mentioned in the last con call that there will be no growth in India sales in FY '2 5? I mean , is it an industry trend or something specific for advanced enzymes?
Mukund Kabra: So, Niharika , depending on looking at all the numbers what we saw last year and when we were like recalcu lating, revisiting all the projections, we realized that probably this year there will not be any growth. We did add some customers, but at the same time, we did lose some of the market

share, particularly into the anti -inflammatory area and some of the ot her areas. And that is where this recalculation of all the numbers came in.
Niharika: Okay , understood . And one last question . So, we see that the asset turn is hovering around less than 1. So, wanted to understand about capacity utilization levels like what is the current level and when do we expect a sset turn to move above 1?
Mukund Kabra: We still have still like lot of capacity. Our util

ization is almost like 55 -60% still. We are at the same level. We will wait and see when we need to expand. As we were saying earlier as well, whenever we reach to 80% of the capacity levels, we will go for the expansion. The capacity is a very funny area. Sometimes you are at 55 -60% and then something good ha ppens in the R&D and that also increases your capacity. So , we are in a space where 1 plus 1 is not 2 but 11 , and that is where this capacity utilization is always an interesting phenomenon.
Niharika: Okay, understood. That's it from my end. Thank you.
Moderator: Thank you. Next question is from the line of Nitish Rege from ChrysCapital . Please go ahead.
Nitish Rege: Hi, my question is to Rasika . So, you know, how does the management plan to solve for the growth issue? You know, are we looking to add mor e people on the sales side? Because we have done good on the R&D side, so is it more of a sales issue? Just trying to understand, you know, at our side, why can't we grow faster?
Rasika Rathi: Yes, we are always looking to add on the sales side. That is t he quickest way to move us forward. And as I mentioned, it is a very key task that we are approaching very aggressively.
Nitish Rege: So, you know, because of the M&A activities which has happened in our industry Novo, Hansen, DSM -Firmenich , there will be a lot of talent available. So, do we have any plans to hire them as consultants on our sales site to expand, to grow our USA, Europe business and incentivize them on sales which will also mitigate rise, increase in fixed costs for us?
Rasika Rathi: Absolu tely we do. It's a very good opportunity right now to pick up good salespeople.
Mukund Kabra : And Nitish, we are already contacting few of the people.
Vasant Rathi: We are in the process of adding lots more , to answer your question , Nitish, you are correct , we are looking to expanding the sales force quite a bit .
Nitish Rege: And on the point of entry into new market segments , so do you map yourself against like global peers like Novo , DSM ? What are the gaps , you know , in our product portfolio where we are not present currently compared to them ? And have you identified any such products which we plan to launch in the coming years ?

Mukund Kabra: There are always few products which we do launch. We always look for our niche opportunities as well. And t hese are the strategies . The area where we can take on we always go and take on. This year also like we are adding couple of industrial area where we can take on Novozymes or other people. We are working on the trials. We got few initial successes. We will wait for the final outcomes.
Nitish Rege: And just on the competition, so, you know, today we are facing a lot of competition in Se rra. In future , there will be another product where we will face competition. So, you know, d o we have any targets of , let's say , 5 to 7% of our top line should come from new product, new initiatives, anything in that line?
Mukund Kabra: So, we are not like really focusing growth on the Se rra. And w e were talking from last few quarters that the pharma segment will have ju st a few growths. The main growth pillars which is going to come is from the biocatalysts, from the pharma area and somewhat is from human nutrition, also like from the food areas and from the animal feed areas.
Nitish Rege: So, just on this new product, so how large can these new products be?
Vasant Rathi: They will be on the all fronts like what Mukund has just mentioned and that's where you can see a somewhat positive trend right now, Nitish, you know , the percentage of ou r sales are increasing to bioprocessing, animal feed, food processing , and healthcare area which is right now we already discussed quite a bit about. So , those are the way the company will grow in this

.
Nitish Rege: Okay. And on our geographical growth, s o just wanted to understand why is the growth rate especially in the USA, has been so volatile. So , if you look at 1H , we have grown around 24% year-on-year and then Q3 we have seen a decline of around 10%. So , you know, first of all , any thoughts on why the volatility and then secondly , any way we can reduce this?
Vasant Rathi: Two answers , Nitish. Keep in mind that our company is not from quarter -to-quarter . Should not be judged on the quarter -to-quarter basis which we are telling for last so many years everybody who can listen. Second part which you mentioned, it was Mr. Rauka ji already explained that Rs. 80 million were not counted in the 2nd Quarter , which is counted in this quarter. So , you see that it was like Rs. 154 crore sale was in last quarter instead of Rs. 146 crore , if I am correct on these numbers. And this quarter is not 170 plus something , but it is 16 1 something.
Vasant Rathi: So, these numbers, see how it bala nces because sometimes with the regulatory, whatever the regulations are, you have to readjust according to whatever the rules and regulations are.
Nitish Rege: Understood. Just one suggestion from my side. If the family could be there on all calls and me et investors, that would be really helpful for us. And yes, thank you for being on call this time and we look forward to interacting with the family going ahead .
Vasant Rathi: No, a bsolutely. There is a s much as possible, we are always open and ready to discuss crystal clear ly. Everybody is here at this time and they are joining all of us.

Rasika Rathi: Absolutely. We look forward to coming more .
Moderator: Nitish, do you have any follow -up question?
Nitish Rege: No, I am done . Thank you.
Moderator: Thank you. Participants, you may press "*" and "1" to ask a question. Next question is from the line of Ravi Purohit from SIMPL . Please go ahead.
Ravi Purohit: Yes, thanks for taking my question. Most of my questions have been answered . Just specifically on this, you know, the segment -wise numbers that we put out in our presentation , there has been significant growth in, let's say, industrial bioprocessing and specialized manufacturing. Can you just throw some additional light on what these segments are? Are these growth rates sustainable? Are there any one -offs here or do you envisage significant , you know, particularly on the industrial bioprocessing side , there has been a lot of discussions about industrial bioprocessing enzymes and especially your global peers have been discussing that a lot being a very , very large opportunity . And I think we have also been doing a lot of work in this space for the last many years. So , is there anything that one should kind of look forward to over the next few years?
Mukund Kabra: The way we see is like at least I can talk about the next one- or two -years short term, long -term we are always working, but the short -term scenario what I can see is on the specialty business we are doing good, we will be doing good this year as well as next year. On the bioprocessing side, this year in the food , we will have just like somewhat more growth , not like significant one but going forward it should be a good growth . And overall if we talk about the bioprocessing industrial area, we will have better growth .
Ravi Purohit: So, what areas do we address in the industrial side ? In the non -food side , what industries do we cater to? And similarly in specialized manufacturing, what industries do we cater to? I mean, if you could quote some examples, it will be easier for us to appreciate and understand the kind of work that we are doing. And just specialized manufacturing or specialty product factory, you

know, we are not able to kin d of understand correlated to anything.
Ben

i Prasad Rauka: No, I will appreciate. So, as far as bioprocessed non -food is concerned, here we have like our enzymes for the detergent industry, textile, pulp, paper and leather industry. Detergent is negligibl e as of now, but yes, textiles and leather, we are doing good in the bioprocessing non - food segment. And specialized manufacturing is something like, you know, we can also call it as a contract manufacturing where we do a lot of contract manufacturing acti vities on P2P basis in one of our subsidiary companies is Scitech Specialt y Manufacturing. So , there we do it for human nutrition, animal nutrition, and, you know, the nutraceutical segment. So , that business is growing rapidly. That's what we could see this year.
Ravi Purohit: Okay. And s ir, you know, there has been one of our competitors who has been asked to close down their plant, Krebs Biochem, which I think is also a competitor to us for Serratio . Is this

something kind of that helps us or how is the competitive dynamic in the industry? Are you the only two players or is there anybody else in the industry which has been ? I believe in the last few calls , we mentioned that that particular segment for us has been under pressure in India.
Mukund Kabra: Yes, there will be few small manufacturers here and there. Krebs is one of the significant players, even if not directly, indirectly. We will see. Time will tell. But if that happens, then it will be a positive development on our side.
Ravi Purohit: Okay. And one question for Mr. Rat hi or Rasika, if one of you all could give a sense of, for us, when we look at the presentation that has been put out every quarter, there are segments which we are highlighting addressable market for us, right? Given our size an d the addressable market for the company, right? So , there is a big, big gap between the two, which effectively means there is significant headroom for growth for us, right? But whereas if you look at our performance over the last few years, given our size , we are relatively very, very small and the growth mostly has come from M&A. So , is there any impediment that you have faced in the last few years which has not allowed us to grow organically or if you could just share your challenges and things that we a re trying to address to get organic growth given the absolute scope is so large and our size is relatively much , much smaller ?
Vasant Rathi: Ravi, let me…
Mukund Kabra: Pradeep.
Vasant Rathi: Pradeep . Pradeep, right?
Ravi Purohit: Ravi. Ravi Purohit, yes.
Vasant Rathi: Ravi, t here are a lot of changes happening in the market and in this industry in U.S. or North America per se. Regulatory are very strong right now and lot of acquisitions, merger and acquisitions are happening. A lo t of small players or niche players have been acquired by the big companies. You know that that becomes very challenging to continue sometimes with those. Also the industry is now more technical as I mentioned before. More data is required and then that no t only data is required but it requires published data to back up the claims. Okay. So, there are a lot of these changes are happening in the industry which we are rapidly addressing. That's why I said in the beginning that we are now continuously publishing the papers, doing the research studies, and validating all those data and claims, which companies are required for the marketing. Does that make sense to you?
Ravi Purohit: Sure, sir. And just one more question, right? So , we have launched a lo t of B2C products in the Indian market, right? I think we have mentioned in the past that we have certain products in probiotic area in the U.S., but we have also launched, I think verify if I am not wrong, in the domestic market, right? Now w e have tradit ionally been a B2B company. We are not traditionally

a B2C company, especially in India. So, would it make sense for us to tie up with

actually a large pharmaceutical company in India, who can actually help us distribute these products better than having to us to kind of spend all that money ?
I mean, a n example would be someone like Orchid Pharma, right, which has kind of got a certain product developed through NC and now they have tied up with Cipla to basically distribute that product because they have traditionally been a B2B company. So, we have also been traditionally a B2B company. So , B2C is not really our strength in that sense. So , in that sense, we have good products, but you need somebody who has actually done it for 20 years, 30 years in the d omestic market to be able to kind of give you scale. So , I don't know . Is it something that that makes sense for us to do or does it not make sense? So , if you could just share your thoughts

and insights on that.
Vasant Rathi: Ravi, I appreciate your sugg estions and ideas. You are absolutely correct, we are a B2B company. B2C is a very different market segment by itself. We have a limited goal and objectives, but yes, as and when we go to B2C, which we are, it will be always a distribution we have to find with the major companies who have a good network of distribution and sales. So , yes, we are working on all of these different angles .
Ravi Purohit: Okay, thanks a lot, sir, and thank you for your feedback as the other participants. We really appreciate i f both you and Rasika can be on all the calls. Just four times in a year, not too much from a shareholder's point of view. And it gives us a lot of confidence and a lot of help to kind of hear your thoughts , right? So, w e would really appreciate it if both of you all could be there in all the calls, please.
Vasant Rathi: No, Ravi, yes, thank you. These interactions really help management in so many different ways and even sometimes we are not there on the call. Every single thought of yours and everybody is always debated, considered and we try to execute the issues in a way and manner which makes sense to all management and the investors alike. So , we appreciate your thoughts on that and we will, as Rasika said, try to be more interactive as much as possibl e.
Ravi Purohit: Thank you so much , sir, and all the best.
Vasant Rathi: Thank you.
Moderator: Thank you very much. A reminder to all the participants, you may press "*" and "1" to ask a question. A reminder to all the participants, you may press "*" an d "1" to ask a question. As there are no further questions, I will now hand the conference over to Mr. Ronak Saraf for closing comments.
Ronak Saraf: Thank you , everyone , for taking your valuable time for attending our Earnings Conference Call . We will keep you all posted for any further updates. I request you all to kindly send in your other questions or other queries that you may have or remain unanswered. An audio recording and the transcript of this call will be uploaded on our website in d ue course. Looking forward to host you all in the next quarter. Till then, stay healthy, stay safe.

Mukund Kabra: Thank you everyone.
Beni Prasad Rauka: Thank you.
Moderator: Thank you very much. On behalf of Advanced Enzyme Technologies Limited , that c oncludes the conference. Thank you for joining us , and you may now disconnect your lines . Thank you.

Call: May 2025

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with Analysts and
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The aforesaid information is also being uploaded on the website

of the Company
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Kindly take same on your records.

Thanking you,

Yours Faithfully,

For

Advanced Enzyme Technologies Limited

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Sanjay Basantani

Company
Secretary and Head
-

Legal

Encl.: As above

BSE Limited

Department of Corporate Affairs

P. J. Towers, Dalal Street,

Mumbai
-

400 001

Scrip ID
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540025

National Stock Exchange of India Ltd.

Exchange Plaza, Plot No.
C/1, G Block

Bandra
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Kurla Complex, Bandra (E)

Mumbai
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Scrip Code
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ADVENZYMES

“Advanced Enzyme Technologies Limited
Q4 FY '2 5 Earnings Conference Call”
May 14, 202 5

MANAGEMENT : MR. MUKUND KABRA – WHOLE -TIME DIRECTOR –
ADVANCED ENZYME TECHNOLOGIES LIMITED
MR. BENI RAUKA – GROUP CHIEF FINANCIAL
OFFICER – ADVANCED ENZYME TECHNOLOGIES
LIMITED
MR. RONAK SARAF – MANAGER , INVESTOR
RELATIONS – ADVANCED ENZYME TECHNOLOGIES
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Advanced Enzyme Technologies Limit ed Q4 FY '25 Earnings Con Call As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Ronak Saraf. Thank you, and over to you, sir.
Ronak Saraf: Thank you. Good evening, everyone. Welcome to Advanced Enzyme Technologies' Q4 and FY25 earnings conference call. We sincerely hope that you all have gon e through our financials, press release and the presentation , which have been posted in the Investor R elations section of our website, as well as on stock exchanges.
Today, we have with us Mr. Mukund Kabra, Whole -Time Director; and Mr. Beni Rauka, Group CFO. Today, the management will discuss the performance and business highlights, update on strategies f or the coming year and respond to any questions that you may have. As is usual for the ease of discussion, we will look at the consolidated financials.
Before we proceed, I would like to draw your attention to the forward -looking statement contained in ou r documents. During our call, we may make forward -looking statements regarding our expectations and predictions about the future. Because these statements are based on current assumptions and factors that may involve risk and uncertainty, our actual perfor mance and results may differ materially from our forward -looking statements.
So now, without any further ado, we shall commence this call. Over to you, Mukund sir.
Mukund Kabra: Thank you, Ronak. Good evening, everyone. I really appreciate you all for tak ing out your

valuable time, and I extend a heartiest welcome to everyone joining us today on the conference call for the quarter and year ended 31st March 2025.
Let me start with a quick brief on global economic scenario. The global economy is experiencin g moderate growth amid persistent challenges. The volatile growth is attributed to factors such as high debt levels, weak investment and ongoing geopolitical tensions, including trade disputes involving major economics like the U.S., China and the European Union.
Now, a brief on the key developments during the year. We are pleased to share a summary of significant milestones achieved over the past year, reflecting our continued focus on innovation, sustainability and global regulatory compliance. The compa ny has filed a food enzyme dossier to the European Food Safety Authority for approval. The enzyme is intended for application in baking and the production of r efined edible fats and oils.
In the United States, 2 GRAS Dossiers have been filed with the U.S. FDA, supporting the use of food processing enzymes in baking, brewing, starch processing and oligosaccharide production. Furthermore, the company has filed 3 patent applications related to innovative sugar

management technologies. The company has establis hed a separate independent laboratory named Starya Labs under its U.S. subsidiary for testing enzyme and probiotic products.
The company has successfully completed the installation and commissioning of an additional 350-kilowatt solar power plant, raising its total clean energy capacity to 510 kilowatts. This marks a significant step forward in the company's sustainability strategy. Going ahead, the company remains committed to expanding its reliance on renewable energy sources in the coming years.
Now, as far as the quarterly performance is concerned, we achieved a top line of INR1,672 million, growth of 6% on a year -on-year ba

sis and degrowth of 1% on a sequential basis in
quarter 4. Our EBITDA stood at INR456 million. EBITD A margin stood at 27% and PAT margin stood at 16% during the quarter 4. Lower EBITDA margin is due to change in product mix and true -up of the inventory valuations at the year -end.
During financial year '25, the total revenue grew by 2% to INR6,369 millio n. EBITDA at INR1,944 million is 31% of sales. Net profit stood at INR1,340 million.
Talking about the segment -wise performance, the Human Nutrition segment contributed 62% in revenue pie. It grew by 1% on year -on-year basis a nd on sequential basis. Annually, o n a full year basis, revenues went down by INR132 million, about 3%, mainly due to lower revenue from domestic markets, while U.S.A. and other international markets witnessed growth. H uman Nutrition constituted about 64% of the revenu e in financial year '25.
Our Animal Nutrition business contributed 12% to the revenue in quarter 4. This segment grew by 13% on year -on-year basis and 6% on sequential basis. During financial year '25, animal health nutrition witnessed a n increase of 12% and constituted about 12% of the revenue as compared to 11% in financial year '24.
Our Bio-Process ing business contributed 17% to the revenue in quarter 4. This segment grew during the quarter by around 8% on year -on-year basis , while degrew by 13% on sequential basis. Annually, our food business grew by 4% to INR809 million, constituting about 13% of the total revenue, while non -food business grew by 12% to INR208 million. This constitutes 3% of total revenue.
The specialized manufacturing business contributed 9% and grew by 39% on year -on-year basis, while remained unchanged on sequential basis, reported 30% growth for whole year and constituted about 8% of our total revenue as compared to 7% in financial year '24.
We acknowl edge that R&D is crucial for sustained long -term growth. We also maintained product portfolio -specific strategies that focus on complexities of the geographical market fit. We are proactively seeking new opportunities and advancing the development of new p roducts and molecules within our biocatalys t and bioprocessing portfolios.

These innovations are anticipated to contribute to future revenue growth. We are optimistic about the upcoming years, anticipating growth and success with a strong pipeline and pro duct

portfolio. We look forward to building on our momentum and driving great year ahead.
With this, I conclude my remarks and now hand over the call to Mr. Rauka. He will walk you through the financials and key subsidiary numbers.

Beni Rauka: Thank you v ery much, Mukund. Good evening, everyone. I hope you all are in good health. On the company's consolidated financials for the fourth quarter and fiscal year 2025, I would like to give first the Q -on-Q numbers sequential basis. The revenue has decreased by INR19 million, by 1 percent point from INR1,691 million to INR1,672 million. The EBITDA margin stood at 27% as compared to 31% in the corresponding previous quarter; profit before tax at 26% as compared to 31%; and PAT during the quarter was INR267 million as compared to INR389 million.

On year -on-year basis, the revenue is at INR1,672 million as compared to INR1,578 million, an increase of 6%. And EBITDA is at INR456 million as compared to INR554 million; profit after tax at INR267 million, which is about 16%, as compared to INR299 million.

On year -on-year basis -- this is financial year '25 versus '24 -- the revenue has increased by 2 percent point from INR6,239 million to INR6,369 million. EBITDA is at INR1,944 million, about 31% of our revenue, as compared to INR2,045 million of FY '24. Profit before tax at INR1,874 million, 29%, as compared to INR1,879 million, which is 30% of revenue in FY '24. PAT is at INR1,340 million as compared to

INR1,370 million. And the PAT in terms of the percentage of revenue is about 21% in FY '25 as compared to 22% in FY '24.

Let me give you some of our subsidiary numbers. JC Biotech's revenue stood at INR600 million during FY '25 as compared to INR626 in FY '24. And EBITDA is at INR70 million as compared to INR77 million in FY '24. PAT is at INR12 million as compared to INR18 million in FY '24.

Evoxx revenue for financial year '25 is at INR213 million as compared to INR230 million, and Evoxx has a negative EBITDA of INR12 million as compared to negative INR8 millio n in FY '24. And the loss at Evoxx is about INR39 million, up as compared to INR21 million in FY '24.

SciTech has done exceedingly well during this year. Revenue is at INR542 million as compared to INR418 millio n in FY '24, 3 0% of growth. And EBITDA is at INR76 million as compared to INR58 million in FY '24. PAT stood at INR37 million, which is same as the last year number of INR37 million.

Our largest anti -inflammatory enzyme sales stood at INR1,193 mil lion as compared to INR1,310 million, which is about 29% during the year as compared to 21% last year. Top 10 customer concentration is at about 22% as compared to 26% in FY '24. B2C segment during the year performed at, in terms of INR375 million as compa red to INR394 million, and in USD4.46 million as compared to USD4.77 million in FY '24.

R&D expenditure during the year, we have spent about INR328 million as compared to INR274 million, which is about at 9.34% of our revenue as compared to 7.5% in FY '24. On a consolidated basis, R&D spend is about 5.32% in Q4 and 4.7% in Q4 of FY '24. This is without considering the intercompany elimination. And on a consolidated basis, R&D spending with elimination is about 4.4% as compared to 3.5% in Q4 of FY '24. On consolidated basis, R&D spend for FY '25 is at 5.3% as compared to 4.53% in FY '24.

That was from my side. Now, we shall open the floor for question -and-answer session.

Moderator: Thank you very much. The first question is from the line of Nikhil from SIMPL. Please go ahead.

Nikhil: Sir, first question was on this fall in gross margin. Now, you ascribed 2 reasons. One was the product mix and inventory valuation. If I look at the revenue mix within seg ments, it largely remained the same. So can you just talk about it what actually led to this fall in gross margin? And this inventory valuation was a onetime activity? Or some sense on that.

Beni Rauka: Yes. So I mean, you rightly said as far as the number s looks like same. But within that, there are some products. So depending upon the volume of sale of that particular product and the margin, that in fact impacts the overall gross contribution.

And apart from that, the second question about the true -up of the inventory, because year -end valuation, when you do, then sometimes there are a few things which act as a balancing figure. So, that has to be taken care. So, that also impacts on overall like margins.

Nikhil: I understand, sir. But where I'm coming fr om is, if I look at our long history, this revaluation would have happened in previous years as well, but the large impact we've never seen in historical quarters. So is it like...

Beni Rauka: It's not revaluation. I'm sorry, there is no revaluation as suc h. It is like year -end exercise, which is done every year as such. So sometimes the true -up, you have some kind of miss, which has to be corrected.

Nikhil: Okay. So -- and is it because of fall in prices of the products, as a result, we've seen this like t his
-- so what led to this miss? Like -- because it never happened historically. So just -- that's why
I'm trying to understand like 5%, 6% hit which we have seen, we've never seen historically
happening. So that's why I'm just trying to understand. And go ing forward, should we con

sider
that 77%, 78% as the base margins? Or what should be the base gross margins?
Beni Rauka: I think that's what, 76%, 77% is the kind of gross contribution, which we shall be in a position
to maintain as of now.
Nikhil: Okay. A nd second question to Mukund sir. Sir, you mentioned that -- in your opening statement
that you seem to be positive for FY '26. I know this is a business where it's difficult to exactly
project how things will evolve. But if you can just talk about what ar e the underlying

assumptions and what are the underlying demand scenario you are looking at, on which basis
you believe that we can -- FY '26 should be better than '25?
Mukund Kabra: So Nikhil, there are certain global challenges as of now. The picture is a little unclear on like
U.S. front, particularly with the duties and how the things are moving. But as of what it stands,
I think it's more like a positive side . We see good flow starting from this quarter. Some of the
movements in the biocat alyst areas are going to start.
And overall basis, we see good traction in U.S. as well, in India as well. But it's all depends on
how this volatile situations, what is happening in the U.S. pan out, how the duties may come up
onto the -- even into the pharma products in India or some other areas, like how the Trump --
how the U.S. is going to put the duties on China or some other areas.
So those few are still like the hanging factors, which we don't know as of now. But when we do
this and when we look forward for this year, we see a good growth at somewhere around like
mid-double -digit number. So we see a very positive year coming forward.
Nikhil: Okay. And just last question, and then I'll come back in the queue. See, we have our facility in
U.S. and we have our facility in India. If this tariff thing does come out like at whatever
percentage, would we not be benefited because having our own facility may see a better volume
shifting towards us? Is this a right assumption? Or would you say that's not how we sho uld think?
Mukund Kabra: No, both -- I think that is what I said, like how the tariff on China and other areas move, right?
And yes, there can be some positive area. At the same time, what the facility, what we have in
U.S. is more on a blending side or the final product side rather than the fermentation side. So
most of the raw material, what is needed f or U.S. goes from India.
So right now, there is a 10% duty, which if we just go by the last year, probably, we might have
an impact of about $400,000 . But if we really look what the other business can come because of
whatever is -- instability is being created, probably that can be neglected and probably like we
can see higher growth as well. But it all depends how the thi ngs move.
But even we keep all of these factors aside right now and we just see that nothing is moving into
those directions, still we feel that we should have a good growth as o f now. If those things are
in a positive area, they may add. If tho se are in the negative, they may reduce the numbers. That's
how I look at it at this point of time.
Moderator: The next question is from the line of Umang Shah from Banyan Tree Advisors.
Umang Shah: Sir, first question was pertaining to the biggest product that we sell, which is serratiopeptidase .
Sir, in Q4, how has the competitive intensity reduced? And how do we think about it in FY '26?
And second is, if you could repeat how much did it contribute to the total revenues for FY '25
that would be great ?
Mukund Kabra: I think Raukaji will give that number.

Beni Rauka: 19%.
Mukund Kabra: 19%. But we see that there will be some challenge into this area, particular area. We see that it
will have the pressure going forward as well. And as a policy, we will

come out with some other
products, which will give us the growth. We may see that there might be another 2%, 3% to 5%

fall on the revenue on this particular area.
Umang Shah: Okay. So this 2%, 3% is 19% minus 2%, 3%?
Beni Rauka: Yes, right.
Umang Shah: Okay. And sir, one more question was, you had launched products in weight management, sugar management and protein digestion last year. What percentage of revenues do they bring in right now?
Mukund Kabra: Umang ji, I don't know the exact percentage, but s till we didn't get those kind of volumes which were expected, but a lot of growth from the U.S. is coming from other segments and other areas as of now. We are still working on those areas, but the traction what we expected didn't come out last year.
Umang Shah: Sure, sir. Sir, and one question was that 2, 3 quarters back, Raukaji mentioned that the peak margins that this business can go to is 32%, 33%. Considering our revenue growth, what you were envisaging at that time and now what we are looking at, do you still think the company can have the margin potential over next 3 to 5 years? Or do you want to have a rethink on the same?
Mukund Kabra: What I can say is right now, we expect the same margin of this year for the coming year. When the revenue grows, p robably it may grow. But for the calculations purpose, we are going with the same number of this year.
Moderator: The next question is from the line of Shubham Sehgal from Skill Ventures.
Shubham Sehgal: So my first question was on the marketing front. So previously, we have faced some difficulties like in the past few years, be it the higher costs we have faced in U.S. or Europe or the mismatch expectations between the third parties. So my question is, what are we doing actively on this front? And have we found any success at all in sorting out our marketing issues?
Mukund Kabra: Sorry, I didn't get your question, Shubhamji. Can you please repeat?
Shubham Sehgal: I'll just repeat it. So we have been facing difficulties on our marketing front, be it the high er cost or the mismatch expectations. So my question is, what are we doing actively on this front? And have we found any success at all in sorting our marketing issues?
Beni Rauka: Okay. I think to our knowledge, as such, I think only the issue we might ha ve mentioned is that we have to expand our marketing efforts in particularly overseas market. And that's where like we might have discussed that for a particular segment or a particular category of products when

we talk about animal feed business, how do w e really expand our marketing reach to overseas market where a lot of issues are there for the registration of the products, for having a distributor. And for the food business as well, we might have discussed this thing. But I don't remember that there is any kind of mismatch and any kind of issues we are facing in that sense. So the only challenges were like how to really ramp up getting your product registered with European food safety authorities, how do you register your products with various countri es?
And even there are some countries where when you want to import, so the local distributor, they have to register their products. So those were kind of challenges, which, of course, in the last couple of years, we have ramped up and we have really got some kind of breakthroughs, and we have used a lot of resources to have that kind of a thing in place. But yes, a lot more is to be done, and it will take a couple of years to have that kind of a distribution network.
Shubham Sehgal: Okay. My next question was on our solar plant that we have established. So what percentage of our total power consumption will be met through this plant? And what level of cost savings can we realistically expect?
Mukund Kabra: Which plant, sir?
Shubham Sehgal: The solar plan

t we have established.
Mukund Kabra: No. So this 510 kilowatt, what we are talking about?
Shubham Sehgal: Yes, the solar plant.
Mukund Kabra: The solar plant. No, this is not a solar plant what we put up. Right now, what we put up is like a 510-kilowatt capa city of the panels on the plant itself. That is somewhere around like -- for the last year, we generated about 315,000 units, somewhere around that. But that is almost like 5% to 10% of our total -- 10% of our total consumption as of now, what we use at Si nnar.
We are looking for some other options as well on the solar, there are certain options like making a joint venture company and buying it. But we are exploring all of that. And probably we will look into this year to establish that as well .
Shubham Sehgal: Okay. Just my last question on our Specialized Manufacturing segment. So can we expect this segment to grow like at a 30% rate sustainably? And what are the factors currently driving this growth?
Beni Rauka: Yes. I think if not 30%, at le ast this business is going to grow more than 20% in the coming year

as well. And the factors is like the capacities have been created. In FY '24, there was a challenge. I think we have mentioned earlier, there was a fire in that plant. So because of that, the manufacturing has, to some extent, impacted. So FY '25, full -fledged like the plants were in operation. And we also added some capacity in FY '25.

So now, we are getting a lot of orders and inquiries, and we are signing a lot of contracts. So that helps us to have a better visibility of the revenue in FY '26. And we -- again, we are also working on expanding more capacity of this particular plant going forward.
Shubham Sehgal: So are we seeing more demand traction from international markets or domestic markets or both of them?
Beni Rauka: So it's like both as such. But yes, this year, we could see that a lot of growth has come from the Indian market only.
Moderator: The next question is from the line of Shreyans Gathani from SG Securities.
Shreyans Gathani: So my question is on the margin. In the initial comments, you mentioned about the change in product mix impacting margins. So my understanding was that the U.S. market, typically, the products that we are selling there have a higher margin. So if I look at Q4 FY '25, there's 22% growth in the U.S. business. So just trying to understand like how should we look at margin based on geography? Or is it like we should not look at it in that way?
Beni Rauka: So I mean, of course, the U.S. has a better mar gin as whatever manufacturing -- core manufacturing is happening in India and U.S. is doing some kind of customized formulation. So they do fetch a better margin in that sense because their approach is completely -- one is solution - based approach. And over a period of time, they have created their own branding. So they fetch better margin as compared to India business.
And apart from that, we have a couple of subsidiaries. Now these subsidiaries are like -- again, 2, 3 subsidiaries are 100% subsidiari es. So they are into a different business. Their margins are different. They have a -- like if I talk about Bio -Processing non -food, so non -food business has kind of low margins. Food business is slightly better. Animal feed ha s a different kind of a margi n.
So U.S. has, of course, a better margin in that sense. So, as the U.S. business will grow, definitely, we could see better margin. But then, of course, now going forward, as a lot of challenges are there because of the tariff issues, so we have to see that -- there may be some kind of a competition which comes when you have this kind of margins in the business.
So those factors definitely we'll always take into account. And that's the reason we are saying that going forward, we shall be taking up only when you prep

are your business model for a
couple of years. So 30%, 31% of EBITDA margin is something like is sustainable in that sense.
Shreyans Gathani: Got it. So, on the U.S. market, so you mentioned that last year, the products that we launched did not see a lot of traction as you expected. So are there any other products that we are launching? Or like is that picking up now? Or how do you see them playing out this year?
Mukund Kabra: So this year, probably we will see it better growth -wise or otherwise. It's a little bit slower than what our expectations were in the beginning. But at the same time, we are working on some

other areas like the -- and which was the existing business as well, which has grown muc h better. And this year also, we see that most of the growth in the U.S. has to come -- also has to come from the existing businesses right now.
Shreyans Gathani: Okay. So the newer introductions are not going to contribute significantly?
Mukund Kabra: They will contribute, but they will take some more time than what we initially anticipated.
Shreyans Gathani: Got it. So could you just give some idea on like why we are -- like it's not picking up as fast? Is that like slower customer adoption or there's com petition more than we thought? Or could you just give some idea on why...
Mukund Kabra: It was in anticipation. The earlier expectations were based on the MLM model, and the company with whom we were working was those were all their projections. And based on that, we come out with those projections. But then slowly, slowly, we slowed down on the MLM side, and then we are working with some other more people to expand this market. So it's a process, right? So

the time consumption is a bit more right now.
Shreyans Gathani: Got it. My next question is on the R&D center update. Could you just share where we are with that? And I think we expect the Phase 1 to be started this year, if that's on track or not?
Mukund Kabra: So we expect to finish the construction work by the December of this year. And some portion will start in the last quarter of this year, particularly. And so, I mean, it's a 5 -floor building. The last slab is in process right now, and then all th e other civil work has to be done. But it is on track right now .
Shreyans Gathani: Okay. So I just saw that there's a company incorporation for this year in India. Could you just elaborate on what we are planning to do there? Or it's just some way for some other business? Are we...
Beni Rauka: I mean, we have B2C business or you can say direct sales business in Hu man Nutrition, where we are selling our nutraceutical products on Amazon. So for that, we are separating out our -- this particular business i n a subsidiary company.
Shreyans Gathani: Okay. So the WELLFA business is going to go there.
Mukund Kabra: Yes, so that more focus can come into that. We feel that now it's time to put some focus on that particular area as well.
Shreyans Gathani: Got it. Understood. And just last question on the Evoxx business. There was like an order a quarter or 2 ago. Is there any update on that? And is there any other opportunities that we are looking on that front?
Mukund Kabra: Yes. So, that order has already materialized. I guess, I already confirmed that, right, whatever we were talking on that. And we are working on that. In similar areas, we are still talking with a couple of more people. But as of now, it's in the process.

Shreyans Gathani: Got it. So tha t should be executed this year, right?
Mukund Kabra: Yes.
Shreyans Gathani: Okay. So we should see the losses reducing from Evoxx this year?
Beni Rauka: Definitely. Definitely, this year, we will see turnaround.
Moderator: The next question is from the lin e of Ambuj Chaudha

ry, and retail investor.
Ambuj Chaudhary: Yes. So globally, it's a trend that every other major chemical players and R&D companies are incorporating artificial intelligence to speed up and streamline their R&D processes like time to marke t, molecule discovery and all sort of things. So is our company doing -- implementing artificial intelligence in any way in R&D?
Mukund Kabra: Yes, we are exploring. This year, that is one of the tasks for us to go forward. We are w orking on that. Probably this year, we will implement some of them.
Ambuj Chaudhary: Okay. And the next question is, what would be the guidelines for this financial year? What would you expect like any surprises in any way possible from any geographic mark et or any product?
Mukund Kabra: There can be a lot of surprises. But what we expect is, as I already said, maybe like a mid -double - digit growth as of now. We might see better as well, depending on how the global things turn out. And also, we are looking into the -- some kind of intermediate kind of a business. And if that works out, clearly, there can be -- the top line can be much higher.
Moderator: The next question is from the line of Umang Shah from Banyan Tree Advisors.
Umang Shah: Sir, in the calls, you break out the Human Nutrition revenues between India and international. Could you please do this?
Beni Rauka: Yes, So Umang, I'm giving you for FY '25. It's INR1,764 million. And international business is INR2,289 million.
Umang Shah: Okay. Sure. Great, sir. And sir, one question was, biocatalyst business, we have been in conversation with pharma companies for quite some time. So what are the challenges here for them to adopt this solution that we have?
Mukund Kabra: So yes, there were some challen ges, like as I already talked on the -- earlier as well, for one of the molecules, the -- for example, the lead cost has gone up and all of those sort of things were there -- lithium, not lead. But then, we come out with some other ways for this year, part icularly. And this year, probably, we should see a good growth in that particular area.
Umang Shah: Right, sir. And sir, you mentioned that the India pharma business will continue to be stressed in next year also. So in that context, sir, some other segmen t will have to have a higher growth,

10% to 15% growth for us to actually grow at, say, high -single digit in the next 1 to 3 years. So which segments are you more optimistic about?
Mukund Kabra: The biocatalyst area right now.
Umang Shah: Okay, sir. And si r, animal feed, industrial processing, any color on that?
Mukund Kabra: Animal feed will do also very good this year. But the problem is a low base. So even though whenever we talk it about good, when we talk about overall growth, its contribution is on th e lower side when we -- even like -- so animal feed should also do good. Food will be, I would say, normal for this year, particularly. This year, major growth will start coming from the HN only.
Beni Rauka: Human Nutrition and biocatalysts.
Umang Shah: And sir, with the largest product that we sell, do we think that this is the new normal in terms of margins and sales growth and the competition is here to stay? Or do we think that we will revert back to our own profitability and sales composition once thes e temporary issues are done away with?
Mukund Kabra: I think it's a game we can sustain, right? So it will take some more time, maybe 2, 3 years, and then we'll see how that pans out. There will be some quarters when we will see the good growth. Some quart ers, we will be the normal ones, depending on the situation in the market. But for the calculation purposes, we are going with this as a normal right now.
Umang Shah: Right, sir. And sir, what would be the discount that the competitors offer to the product that we sell, if

you are able to talk about it?
Mukund Kabra: There will be the erosion on that front, somewhere around 5% to 7%, particularly as of now. That is what we are taking into the consideration for the next year, particularly.
Umang Shah: Sure, sir. And the demand growth will not be significant here. So you are actually looking at a volume decline more or less?
Mukund Kabra: No, we will see the volume may grow, but actual realization may be at the same level.
Moderator: The next question is from the line of Shubham Sehgal from Skill Ventures.
Shubham Sehgal: Yes. Just a follow -up on a previous question, so like about the gross margins itself. So in the last 5, 10 years, if we see our quarterly gross margins, so like never we have witnessed like su ch low gross margins of 72%. So I mean, I heard that you said that we did some inventory revaluation. But still this kind of margins, we have not seen yet. So like could you just elaborate on that? Is it possible we price our products lower to drive growth or something like that? Because these low gross margins, we haven't seen. And also from next quarter, what gross margins can we expect?

Mukund Kabra: See, on the raw material front or the other front, we will have a 1% or 2% increase going forward as well. But rest of the things, Raukaji can talk.
Beni Rauka: Shubham, I think you are looking at quarter -- so you should look at the yearly numbers, annual numbers. And I have already explained then some true -up has been done. It's not like a true -up is ha ving a very substantial impact on this overall basis. And here, the question was like the product mix, which we have mentioned to you, some of the products which might be fetching very good margins .
If the sale of those products during the quarter is low, is lower than previous quarter, then you see the overall gross margin and EBITDA margin that gets impacted. So when you look at the yearly -- annual numbers of FY '25 and FY '24, so only you see, the 77% is the gross contribution for FY '24. And FY '25, i t is 76%. And EBITDA margin was about 32% in FY '24. And this year, we are having about 31%. So only the quarter -to-quarter comparison is something which is...
Shubham Sehgal: So, on a yearly basis, then what kind of gross margins can we expect going forwa rd?
Beni Rauka: I think we are -- I already mentioned we should -- we are maintaining the kind of EBITDA margin and gross margin in the same level.
Mukund Kabra: On a yearly basis.
Shubham Sehgal: Okay. So i n the range of 76% to 77%, then?
Moderator: As th ere are no further questions, I would now like to hand the conference over to Mr. Ronak Saraf for closing comments. Please go ahead.
Ronak Saraf: Thank you, everyone, for taking your valuable time for attending our earnings conference call. We will keep you posted for any further updates. I request you all to kindly send in your questions that may remain unanswered. An audio recording and the transcript of this call will be

uploaded on our website in due course. Looking forward to host you all in the next quarter. Till then, stay healthy, stay safe.

Mukund Kabra: Thank you.

Moderator: Thank you. On behalf of Advanced Enzyme Technologies Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

August 11, 2025

To

Dear Sir/Madam,

Sub: Transcript of Conference call held on August 06, 2025 for the Un-audited Financial Results for the quarter ended June 30, 2025

In furtherance to our intimation letter dated July 31, 2025, please find enclosed the Transcript of the Conference call held on Wednesday, August 06, 2025 with Analysts and Investors

for
the
Un
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a
udited Financial Results of the Company for the
quarter
ended

June

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The aforesaid information is also being uploaded on the website

of the Company
.

Kindly take same on your records.

Thanking you,

Yours Faithfully,

For

Advanced Enzyme Technologies Limited

Sanjay Basantani

Company
Secretary and Head
-

Legal

Encl.: As above

BSE Limited

Department of Corporate Affairs

P. J. Towers, Dalal Street,

Mumbai
-

400 001

Scrip ID
-
540025

National Stock Exchange of India Ltd.

Exchange Plaza, Plot
No. C/1, G Block

Bandra
-
Kurla Complex, Bandra (E)

Mumbai
-

400 051

Scrip Code
-
ADVENZYMES

“Advanced Enzyme Technologies Limited
Q1 FY '26 Earnings Conference Call ”
August 06, 202 5

MANAGEMENT : MR. VASANT RATHI – CHAIRPERSON – ADVANCED
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MR. MUKUND KABRA – WHOLE TIME DIRECTOR –
ADVAN CED ENZYME TECHNOLOGIES LIMITED
MR. BENI RAUKA – GROUP CHIEF FINANCIAL
OFFICER – ADVANCED ENZYME TECHNOLOGIES
LIMITED
MR. RONAK SARAF – INVESTOR RELATIONS
MANAGER – ADVANCED ENZYME TECHNOLOGIES
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Advanced Enzyme Technologies Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
With this, I now hand the conference over to Mr. Ronak Saraf, Investor Relations Manager, for opening comments. Thank you, and over to you, sir.
Ronak Saraf: Thank you. Good evening, everyone. Welcome to the Adv anced Enzyme Technologies Q1 FY '26 Earnings Conference Call. We hope you have gone through our financials, press release and the presentation , which has been posted in the Investor Relations section of our website.
We have with us Mr. Vasant Rathi, Chairperson; Mr. Mukund Kabra, Whole -Time Director; and Mr. Beni Rauka, Group CFO. Today, the management will discuss the performance and business highlights, update on strategies and respond to any questions that you may have. As is usual, for the ease of discussion, we will look at the conso lidated financials.
But before we start, I would like to draw your attention to the fact that some of the information

shared during this call, particularly our plans, strategies and future outlook, may contain forward -looking statements. These statements involve inherent risks and uncertainties and are based on current expectations, forecasts and assumptions.
Actual results may differ materially from those expressed or implied in these statements, influenced by a range of factors, including, but not limit ed to, economic conditions, changing government policies, regulatory developments and other unforeseen circumstances.
Participants are cautioned not to place undue reliance on these forward -looking statements as they are not guarantees of future performan ce and should not be viewed as a substitute for independent judgment. The company undertakes no obligation to update or revise any such statements, whether as a result of new information, future events or otherwise.
So without any further ado, we shall co mmence this call. Over to you, Vasant sir.
Vasant Rathi : Good evening, everyone. I really appreciate you all for taking out your valuable time and extend a heartiest welcome to everyone joining us today on the conference call for the quarter ended 30th June 2025.
I'm happy to report that fiscal year 2026 has started on a healthy note. Despite the geopolitical tension and economical challenges, the global economy outlook is improving and inflation a lso appears to be well managed.

Coming to the performance of this company, reported an overall improvement on a year -on-year basis. Growth was witnessed across all business segments in which we operate. The improvement in the top line was primarily driven by robust performance in the Hum an Healthcare business as well as continued momentum in the Animal Healthcare segment. We also observed an improvement in our B2C revenue in U.S.A. On the operational front, the raw material prices remained stable during the quarter.
We have clocked highe st ever quarterly revenue. Our top line for the quarter stood at INR185.9 crores or INR1,859 million, reflecting a 20% year -on-year growth and an 11% increase compared to the previous quarter. EBITDA came at INR564 million, which is 10% increase year-on-year and 24% rise quarter -on-quarter. Our EBITDA margin for the quarter stood at 30%.
Moving to profitability. Our profit after tax reached INR404 million, registered a 16% growth year-on-year and impressive 51% increase quarter -on-quarter.

The PAT margin st ood at 22%
for the quarter.
Now I will take you through our segment -wise revenue performance for the first quarter of FY '26 and compare it with both year -on-year and sequentially with the quarter 4 FY '25 and quarter 1 FY '25.
Let's begin with the Human Healthcare, our largest segment. Revenue for quarter 1 FY '26 stood at INR1,221 million, marking a 21% year -on-year growth and 19% quarter -on-quarter increase.
This strong performance is on a ccount of good demand in pharma/ API sector. Human Health care re mains the core of our portfolio, contributing 65% of our total revenue.
Next, we have Animal Healthcare. Revenue rose to INR260 million, reflecting 51% increase year-on-year and 24% growth quarter -on-quarter. This improvement is due to increased traction in the domestic and Asian markets. Animal Healthcare now accounts for 14% of our total revenue.
Turning to bioprocessing. This segment recorded revenue of INR236 million, while there was a 6% decline year -on-year and a 15% sequential drop, w e believe that this is a temporary dip. The food business degrew by 11% on a year -on-year basis and 24% on Q -on-Q basis. The non -food business grew by 11% on a year -on-year b asis and 28% on a Q -on-Q basis. The segment still contributed notable 13% to the overall busines s.
Lastly, in Specialized Manufacturing, we reported INR142 million in Q1 FY revenue, up 29% year-on-year, although slightly down 8% quarter -on-quarter. This segment represents 7% of our overall revenue.
We have taken a step forward in our clean energy s ustainability initiative. One of our subsidiaries, JC Biotech, is collaborating with Raywatt Solar Power Systems. These moves aim to meet our electricity requirements through solar energy in a cost -effective and sustainable manne r with a long -term perspect ive.

Additionally, we have established a new subsidiary, Advanced Nutrazyme Private Limited, which will focus on the sales and distribution of company's nutrition and wellness product range. We anticipate this growth trajectory continues in all our segmen ts in coming times. We will bring more resilience in our business to enhance long -term sustainability value proposition for all our stakeholders going ahead.
With this, I will now hand over the call to Rauka ji, he will walk you through the financials and key subsidiary numbers.
Beni Rauka: Thank you very much sir. Good evening, everyone. I hope you all are in good health and doing well. The financial performance on a consolidated basis for the first quarter of fiscal 2026.
On year -on-year basis, our revenue increased by 20% from INR1,545 million to INR1,859 million. Our EBITDA increased by 10% from INR512 million to INR564 million, which is about 30% of our sales. Profit before tax increased by 13% from INR487 million to INR549 million. Profit after tax increased by 15% from INR350 million to INR404 million, which is about 22% of our sales. On sequential basis, Q -on-Q, revenue increased by 11% from INR1,672 million to INR1,859 million. EBITDA increased by 24% from INR456 mil lion to INR564 million. Profit before tax increased by 26% from INR435 million to INR549 million. Profit after tax increased by 51% from INR267 million to INR404 million.
Regarding our subsidiary numbers, JC Biotech revenue stood at INR211 million, EBITDA of INR33 million and PAT of INR14 million during the quarter as compared to INR159 million, INR24 million and INR7 million, respectively.
Evoxx top line stood at INR70 million with EBITDA of INR14 million and PAT of INR7 million during the quarter as com pared to INR47 million and negative EBITDA of INR7 million and PAT negative of INR15 million, respectively, during the corresponding quarter of FY '25.
SciTech Sales stood at INR145 million with EBITDA of INR4 million and negative PAT of INR8 mil

lion during the quarter as compared to the top line of INR111 million INR22 million and INR10 million, respectively, in Q1 of FY '25.
Our largest product, which is anti-inflammatory enzyme stood at -- the sales stood at INR417 million, about 22% of o ur top line during quarter 1 as compared to 18% in Q4 and Q1 of last year, also 18%. 10 customer contributed about 27% during the quarter as compared to 23% in Q1 of FY '25. For financial year '25, it was about 22%. B2C segment has contributed about INR1.28 million during the quarter as compared to INR0.95 million during Q1 of last year.
Let me also give you Human Health and Nutrition revenue breakup. So our Pharma business stood at INR593 million during the quarter as compared to INR377 million and INR375 million. Probiotic about INR10 million as compared to INR14 million and INR39 million. Biocatalysis about INR56 million as compared to INR7 million and INR74 million.

Our international business from Human Nutrition was about INR552 million as compared to INR633 million and INR523 million in Q1. So total Human Healthcare segment is about INR1,221 million as compared to INR1,031 million in Q4 and INR1,011 million in Q1 of FY '25.
Our R&D spending is about INR86 million during this quarter as compared to INR76 million in Q1 of last year. We have spent about 5% of our consolidated revenue on research and development, which excludes our intercompany elimination. And net of intercompany elimination, we have spent about 3% of our consolidated revenue on research and deve lopment.
That was from my side. Now we open the floor for question and answer session .
Moderator: Thank you very much. We will now begin the question and answer session. The first question comes fro m the line of Shubham Sehgal from SiMPL .
Shubham Sehgal: Yes. My first question was, so what led to high growth in our Animal and Human Nutrition segment?
Mukund Kabra : Yes. So it's Shubham, it's all the p roduct mixes. It's not just one or two or few, but it's overall product and some of the export as well as some of the domestic market. The projects which we are working from last 1 year or 2 years in the export market, they started getting materialized. So it's an overall growth rather than just one or two products.
Shubham Sehgal: Okay. And we see this growth sustaining?
Mukund Kabra : Well, it seems to be as we were talking about it, but the things are very -- I cannot comment on the -- how the things will pan out in the coming days. But as of now, the way we look at it, this is more or less sustainable. Did I answer your question, Shubham ji?

Shubham Sehgal: My second question was that in the previous quarter, we mentioned that the gross margins are mainly lower due to the true -up of inventory valuation th at we did. And we had stated that going forward, we will maintain our gross margins in the range of 76% to 77%. But in this quarter, if you see, we have seen lower gross margins. So what would be the reason for this? And like any outlook going forward?
Beni Rauka : I think, Shubham, you are connecting the one -off adjustment for Q1 in FY '25. That's what I think we have spoke earlier. But I think the gross margin is likely -- the gross contribution that is what we say generally remains to be about 72% to 73% in that range.
Shubham Sehgal: Okay. My next question was so on our main products. So any price impact -- are you seeing any price impact? And how is it pertaining now?
Mukund Kabra : Well, there is somewhat price impact. But what we can say is this quarter , there was a little bit on a higher side on the sales front. But overall, that is not the only one product which we are focusing right now. We are focusing on many other areas, including th e other products as well as the biocatalyst and other areas as wel l.

Shubham Sehgal: Okay. So as you mentioned the biocatalysts have we started any commercial work as of now with the API manufacturers as we see in our annual report also, we've mentioned that we are in the advanced trial phases. But have we moved to the commercial work? And in general shift in the industry from chemicals to enzymes, how far along are we? How are we seeing this shift unfold?
Mukund Kabra : So to give you the specific answer, there is some sales in this quarter on that front, but that i s still smaller -- on the lowe r side. We are working on it, but some of the commercial sales started in this quarter.
Shubham Sehgal: Okay. How are we placed to take the advantage of this shift? What the potential sale of these engagements?
Mukund Kabra : I thin k it takes another 1 or 2 quarters to really come out with the answers on this front. As of now, we are well placed. That's all what I can say.
Shubham Sehgal: The market happen around that, if you could just give some color?
Mukund Kabra : There are like a lot of factors which are still we need to evaluate how the pharma market comes up, how is the U.S. tariff on pharma and other areas moves because those are very, very importa nt factors. You cannot just decide on one or two where you stand, but you need to look into the global picture and how the things will pan out. So as of now, it's very, very murky situations. And I think we need to give some more 1 or 2 quarter time to really come out the things.
Shubham Sehgal: Okay. And mentioning tariffs like the new tariffs which were mentioned, like what kind of impact could we see because of that?
Vasant Rathi : Yes, you know that answer very well. So of course, it impacts everything. Yes. It's a global market. We are in a global market. So it is going to impact everywhere.
Shubham Sehgal: Okay. But will we see some delays as we have manufacturing in U.S.
Mukund Kabra : See the way we look at it is like I can talk only on the direct, indirect thing, how it will pan out is very difficult to predict as of now. But if you really talk about direct, probably our export is in the tune to the U.S. is about INR50 crores or so. So we might have like about INR12 crores, INR12.5 crore s impact.
And -- but again, it again depends -- that's the worst scenario to look at it. Agai n, it depends how the Europe and Japan and other countries tariffs comes up and how the players in the market plays their role, and we can come out after that with the exact impact.
Moderator: The next question comes from the line of Umang Shah from Banyan Tree Advisors.
Umang Shah: Sir, the first question was our gross margins have always been above 75% for the long time in our history. But over the last 2 quarters, they have come to around 72%, 73%. Last quarter, there

was some issue with the largest product that we had to our understanding. Sir, what has happened in this quarter? And for the full year, what are the rough margins that you're working with?
Beni Rauka : So this is like impact of some change in the product mix. And apart from that, some im pact is

also because as even in the first quarter, if you really see that some tariff has already been imposed in the U.S.A. So to some extent, I think the impact is here again on the gross contribution.
And when we talk about the Q4, I think that was My, I think we have already spoke about truing up of the valuation of the inventory. So there was kind of some impact of that also. Going forward, the gross margin could be anywhere between 73% to 75%. That's what is the ra nge, I think we can look at it.
This is -- I think gross contribution I'm talking about because of some impact will also be there from the tariff. As of now, this is what we are looking at it. But as like things will you will get some kin

d of a certainty as you move forward.
Umang Shah: Right, sir. Got it. And sir, in the Q4 call, Mukund sir was quite excited about -- quite optimistic about this year's growth. We had mentioned mid -double -digit growth for this year. Do we continue to hold on to that or has there been any change? Of course, tariff and everything is a big uncertainty, but assuming that everything remains same?
Mukund Kabra : So assuming everything remains same, so we are still like optimistic, Umang, and we still feel that we should be able to maintain our guidance.
Umang Shah: Got it, sir. And just sir, one additional question was, if you just look at Human Nutrition India business, we were able to get revenues of INR66 crores in this quarter, which is one of the highest that we've actually achieved. So one, of course, is the resurgence of the largest product that we have. Anything else that you would like to call out in terms of how -- why is India business in Human Nutrition doing so well?
Mukund Kabra : So as I said, like it's an overall product, overall customer addition s, overall, like what we were working. We were working from the last 1 year or 2 years, even into the Asian market and other areas as well. So it's an impact of overall scenario, not just one area.
Umang Shah: Right, sir. And sir, when are we estimating th e new R&D facility to be commissioned?
Mukund Kabra : We expect in the last quarter of this year.
Moderator: The next question comes from the line of Abhishek from Padmaja Investments .
Abhishek: Sir, my question is on what is the current tariff rate that we have? Is it same across all our projects or not?
Mukund Kabra : So the last quarter, it was 10%. As of now, we don't know. And the more clarity will emerge as we move on.

Abhishek: Okay. My second is, are we planning for more inventory in U.S …
Mukund Kabra : In the last quarter, we did like some additional inventory already.
Vasant Rathi : Abhishek, we already on the tariff thing, right? Now you cannot add any inventories now at a lower cost.
Abhishek: Okay. I got it. And my last question is...
Vasant Rathi : That was a question 6 months ago.
Abhishek: Sorry, sir. I didn't get it. Sorry, sir.
Mukund Kabra : Abhishek, he mean to say that, that was more -- I mean, we should have answered that question 6 months because that time there was no tariff, right? Yes, but some of like the corrections we did in th e last quarter and probably we will wait and watch for another 1 quarter and then we'll see how to move forward.
Abhishek: Okay. On the animal nutrition part, there was a big jump this quarter. Like is there anythi ng that has worked like do you want to comment on that?
Mukund Kabra : Again, the same thing, it's overall growth, what I would say, including domestic market as well as the export market, whatever the projects we are working from last 1 year or 2 years, a few of them started getting materialized.
Vasant Rathi : Some of them are prompting out giving some results now.
Abhishek: Okay. Okay. And this is my last question, sir. So how are the competitors like are the y trying to undercut us -- are they also price war kind of a scenario that might play out with the tariffs? Like are you seeing any indications for that?
Vasant Rathi : Let me answer that question. I wish -- you know that when the prices are going to go up, everybody understands that in the tariff war, right? And in the business, you got to find out where I can get a secondary source of supply at cheaper prices. So it is going to be always -- people are going to find some other -- trying to find alternatives. And naturally, industries has to accommodate and adjust accordingly. There might be some pressures on the pricing, of course, you may not -- and the margins.
Abhishek: Okay. So we are -- in summary, can we say that we are a

ctually taking up most of the tariff
rather than passing it to the consumer or the other party.
Vasant Rathi : I'm not saying anything of that nature. You have to readjust the businesses. See, we want to have a growth with the margins, right? Yes. So it is also what tariffs comes, which country is competing with you, et cetera, et ce tera. And there is not a uniform brush to everyone. There are different tariffs for different countries and different people and industries and so on and so forth.

So we are very, very mindful of it. I can tell you that, and management is very aware of how to -- we see a lot of times, this might be a good opportunities in a lot of different sectors.
Abhishek: Sir, before I can actually, I have one last question, sir. Like are any of our products come in the pharma market?
Vasant Rathi : They are neutral mark et, pharma market, both the places. It works
Abhishek: Because pharma is ex empted, right, as of now under s ection 232, so I'm asking you this question.
Vasant Rathi : We are not in the pharma sector, but we do supply to pharma. Enzymes doesn't come in the pharma.
Moderator: The next question comes from the line of Ravi Purohit from Securities Investment Management Private Limited.
Ravi Purohit: Congratulations on strong sales growth in this quarter. So just a couple of things, and I think you've already spo ken about the various segments like Human Nutrition and Animal Nutrition, which showed very strong growth this quarter. Can you just share your medium -term outlook and strategy towards sustaining growth because growth has been a bit patchy over the last fe w years for us?
So as an organization, what are the areas that we kind of are optimistic about? What are the areas where we have a reasonably good pipeline visibility from our customers, which of the segments kind of offer that opportunity? If you could j ust throw some light or some thing that we can kind of look forward to as investors, right, over the next few years?
Vasant Rathi : Ravi, this is an uncertain time at this point in time. But nothing has changed as far as we are concerned in the company. We have particularly certain segments like Health and Human Nutrition and Animal Nutrition. We see that, that will -- our focus will be to expand that as much as we can and continue growth on this one area and keep on adding the other sectors, which w e are wo rking on for some time.
So it is -- the management is continuously trying to see that we keep a double -digit growth. And improve our competitiveness in the global market and also walk through this tariff war. We'll see what happens. It will take 3 months, 6 months, who knows? Maybe tomorrow morning, our President will make up with the difference.
Mukund Kabra : To add to that, Ravi, like most of the sales this comes on an R&D basis. And we are more R&D companies. And there will be some times like when there will be no growth, and there will be some ti me there will be a high growth.
So you can't just go on like quarter -on-quarter on the segment -wise or this wise, you have to analyze it overall. But yes, over a longer run, we need to grow with those spaces, a nd that is what we plan. But sometimes there will be no growth as well, like the last year what we had.

Ravi Purohit: Right, which is why I was asking about medium term, like 2 to 3 years, not spec ific to this year or next year…
Vasant Rathi : We should kee p our momentum as we have got.
Ravi Purohit: Okay. And sir, two other questions. One is we have set up this 100% subsidiary to kind of do our consumer products, so to speak, B2C product Wellf a. So is there any thoughts that you can share? Is this JV being formed so that we can tie up with somebody else? Because we have historically been B2B company.
I think I've asked this question earlier also on the call that we have been a B2B company and not necessarily a B2C company. And some of the products that we are -- which are currently I have tried a couple of products like well, far too, True slim or something like that, right?
Now there are like a lot of these products on the quick commerce space and on Amazon and various other platforms. And all these seems like a quick commerce products, they don't seem to be like modern trade products.

So is there -- is there any strategy or thought or how do you kind of -- and I'm assuming some of the other products, you must be supplying th e raw material or maybe even helping them white label some of the products. So if you could just share your thoughts on that, it would be very helpful for us?
Vasant Rathi : Yes. This segment is very start -up segment for us, right, as you know very well. We are looking at a global platform right now. including there are B2C markets in U.S. also we do for a long time, which is club total overall sales. But we are trying to see that this segment is given different attention because it is a very different segme nt than B2B. And we have a good base. Now a lot of good strategies are there, which we wanted to expand that market. And we'll be working on that for next -- this year and to expand the market as much as we can.
Ravi Purohit: Yes. So is the idea to do it o urselves? Or let's say, we've seen a lot of companies tie up with, let's say, large pharma companies in India who have a very strong distribution network or even nutraceutical companies who have very strong B2C platform where they already have a very stron g distribution network. It's only a question of actually supplying products in that. So if this 100% subsidiary that we've created, if...
Vasant Rathi : Ravi, we are right now expanding our distribution networks gradually so that it doesn't impact - - you kn ow that B2C business is a lot of times losing business. You have to put a lot of into distribution channels. So we will do so. And then right time comes, we'll look into all other possibilities. some base needs to be developed.
Ravi Purohit: Okay. And sir, last question on Evoxx, right? So we've had this acquisition for a fairly long period of time. I think over the years on the con call, we have mentioned that we should see Evoxx as more as a cost center from the point of view of doing cuttin g-edge R&D and doing a lot of that work there.

So -- and I think a few years back, we had some tie -up with Symrise also to kind of do some co - development on some products or something. So can you share some -- like how has Evoxx evolved over the last 2, 3 years?
Are there more tie -ups that it is or are there more co -developed products that is working on? Is there more flow of products or tech IP from them? Just to people into Evoxx. We have absolutely no idea what happens in Evoxx -- be great if you could share something?
Vasant Rathi : This is -- as mentioned before and you acknowledge, this is R&D company, basically, we have a very good tractions. And going forward, see, we have an integrated approach of total research, manufacturing and then converting i nto sales. So this will continue to happen. There is -- that is a foothold a little bit in Europe and Europe is a fortress, difficult to penetrate sometimes feels like it. But our research -wise, we are very, very, very happy.
And as soon as you see our R& D centers get into the thing, a lot of contribution from this from the Evoxx right now on our research front, okay? We're doing very good research.
Mukund Kabra : In terms of contracts, there are some of the contracts, but this is an ongoing process, Ravi ji. And -- but you should always look at it as a revenue neutral or just EBITDA positive.

And we are not
really looking at it as a major sales engine.
Moderator: The next question comes from the line of Shreyans Gathani from SG Securities.
Shreyans Gathani : I had a few questions. So the first one was on the R&D expenditure. So like the last couple of years, we've been mentioning that we want to target higher R&D expenditure. But if I look at the numbers, we're not able to -- we've not gotten to what we were saying like even this quarter is like, I think, 3%. So just wanted to get some sense on that. And along with that, the kind of product pipeline that you have intended to launch this year, if you could give some color on those two.
Beni Rauka : R&D spending , Shreyans , here does not include whatever amount we are spending on new R&D setup. This is -- we are putting at Nashik. So far, those expenses, we have not included in this R&D expenditure because that's under work in progress. We have already spent about INR48 crores, but that we have not included in our R&D spending so far. And about the product lines, I think Mukund will give some flavor on that. what exactly we are doing on R&D.
Mukund Kabra : And what -- you mentioned 3%, but that doesn't include what we spend in the intercompany, for example, in Evoxx and other areas. So when we take account of that, it's more than 5%
Vasant Rathi : We are somewhere between 5% to 6%, right?
Mukund Kabra : Yes. And what we were mentioning is it might go up by another 1% or somewhere as we move on when the new center will start.
So that is how it was the number which we are coming from. Now as of the R&D is concerned, like we have all different types of R&D and different products. And it's coming into all th e

sections. It's not just like one area, but some of the products are in the human nutraceutical, some of the products are into the food area and some products are in the biocatalysts as well as animal feed areas. So that's all what I can say rather than g oing more specific on to it.
Vasant Rathi : Yes. And their you mentioned that we have some tie -ups also. They are slow taking off, but the multinationals never know how their plans.
Shreyans Gathani: Got it. And second question, I think you already touched upon that, but just trying to get like a long-term structural margin structure. So like the last 5, 7 since our listing, we've had typically -- if I just look at EBITDA as such, like it's 40 -plus percent. And now we've come to like a 30% level, and you're saying that we should be maintaining there. So structurally, what has changed in terms of our products or like has competition come up or we're not able to fetch that kind of margins as we could for the last 7, 8 years?
Beni Rauka : So I think earlier, the margins what we are talking about is, I think a couple of years was because of the accelerated sales and that was the COVID era, where like you have a lot of products for immunity building and those kind of products with probiotics and a lot of combination of it for addressing various immunity developmen t-related products.
So it was sort of like higher margin during those periods. And prior to that, what you are referring is, of course, when we get a lot of contribution from our U.S. market, we always high er margins. But over a period of time, the adjustment always happens. And there are always pressure on the pricing.
And so that in flated input cost has also to some extent or largely, I can say, has contributed in erosion of our EBITDA margin. Accelerated sales during COVID period, that has gone down drastically. So all this has put pressure on the EBITDA margin. So currently, the EBITDA margin, if you really look at FY '24-25, so we are in the range of about 30% to 33%. And that's what we are saying that we shall be in a position to maintain that margin.
Shreyans Ga

thani: Got it. So -- but would that margin reflect into higher growth as such, like -- or are we -- this is what like the margin profile has come to like in terms of like does that impact any ki nd of growth? Like should we see higher growth because we are at a lower margin as such? Or is that just like erosion of the U.S. business, which has caused this to happen?
Vasant Rathi : There is no erosion in the U.S. business.
Mukund Kabra : Well, we are talking over 21 years, like we lost one customer. It's a factor of many things. It's not just one. But yes, I would say that to summarize, it's a combination of all.
Shreyans Gathani: Okay. So this Sera your web today is, one of the competitor s that just got listed like a large company, they mentioned that they are able to get good margins on that. So just trying to get a sense on how you look at this year for that like sustain like I think this quarter might have been like INR40 crores of sale s for that product versus INR27 crores or something.

So is that something that you expect to do better? Because your commentary has been that we are not going to see much growth in that product as such, and there's also pressure on margins.
Mukund Kabra : I would still like maintain that. We will have -- we will not have a great growth into those areas, but we are working on many other areas as well, right? So I would still like to maintain that if the growth comes, that is good and good, but we'll see as w e move on.
Moderator: The next question comes from the line of Rajas Joshi from ChrysCapital .
Rajas Joshi: So my first question will be on the gross margins. You highlighted a negative impact of the change in product mix. So this would largely be related t o our largest product?
Beni Rauka : No, it's not only one. That' s what we are saying. It is various different products, which we are supplying to sometimes what happens, human nutrition, like there are probiotics, biocatalysis and several othe r products. So we generally when we see that U.S. is going good, then you have a better margin overall bas is. And if U.S. numbers are flattish or slightly down, then you immediately see the kind of impact on that.
So it is many more things. And even in animal nutrition also, there are several products. So a few products are giving very g ood margin, a few products short of kind a commodity in that sense because of the market. So this is a different profile and change in sale s mix, which really

impacts the overall gross margin.
Rajas Joshi: Understood, sir. And secondly, on the biocatalyst piece, you highlight a couple of examples probably just to understand what exactly are you trying to do here and how that plays into the larger picture, both on margins and revenue?
Mukund Kabra : So we're generally trying to replace the chemical process by enzymatic we, and we develop those specific enzymes for that particular manufacturing of either for API or any other industry. It's not ju st limited to the API, but it can be, let's say, perfume industry or any other industry for that matter. It can be for the agriculture industry as well, mostly on the organic chemistry.
Moderator: The next follow -up question comes from the line of Umang Sh ah from Banyan Tree Advisors.
Umang Shah: Sir, the first question was with respect to tariffs. So 10% tariff has been in place since April 2025. So when you are negotiating with your customers, are we able to pass on this tariff impact? And if not, to what extent are we able to?
Vasant Rathi : Not so far.
Umang Shah: Okay. So you...
Mukund Kabra : Wait and what scenario as of now.
Umang Shah: Okay. So as of now, whatever you're shipping, you are taking that 10% price in your cost structure and then passing it on rather than passing it on?

Mukund Kabra : Yes. As of now, that is what we did.
Umang Shah: Okay. Sure, sir. Sir, just one small question was the employee cost increase. Any reason for the same in this quarter?
Management: Employee cost increase. You tell me. this increase is continuously going to happen in a market like here or in U.S. market or any other market.
Mukund Kabra : It's both, like it's a normal salary r aises as well as the addition or Expan sion new additions, right.
Umang Shah: That is in India or in U.S.
Vasant Rathi : Both areas. All the areas. Want the long -term growth...
Umang Shah: Absolutely, sir.
Mukund Kabra : Umang ji, you need to look -- when you are looking for the salary increase, you need to look on the previous quarter and this quarter rather than the quarter -on-quarter.
Umang Shah: Got it, got it. Fair point, sir.
Moderator: The next question comes from the line of Ketan R. Chheda , a retail investor .
Ketan R. Chheda: Congratulations on a good set of numbers. My question is, sir, in the last call, Mr. Mukund mentioned that you are looking at some kind of an intermediate business. Could you throw some light on that? Was it something that you were trying to develop it organically or that was some kind o f an acquisition that you were looking at...
Mukund Kabra : Ketan ji , you already mentioned that we did some of the sale of that as well, but I think it's too premature because there are a lot of factors which are playing as of now. In the next 1 or 2 quarters, once the picture gets clear, we would like to put more light on that.
Ketan R. Chheda: Okay. So just for a clarification, it's a product that we hav e developed ourselves, right?
Mukund Kabra : Yes, yes.
Ketan R. Chheda: Okay. So it's nothing to do with any acquisition as such?
Mukund Kabra : Not with the acquisition.
Moderator: The next question comes from the line of Neha Kharodia from Abakkus .
Neha Kh arodia: My first question was regarding the growth. So if I look at our 3 to 5 years kind of CAGR growth, it has been in 6% to 7% kind of range. And this quarter has been about 20%. I understand that we had guided for better growth for this year. But just wanted to understand, is it FY '26 phenomena or we should over the medium term, again, should see, let's say, 15%, 20% kind of growth going forward?

Mukund Kabra : Neha, I won't say that 15%, 20%. I would say that double digit. I won't say that 20% that is too optimistic. It doesn't mean that like it's not possible. But I would always go with a double digit over a longer run.
Neha Kharodia: But sir, in that, is there any structur al change because underlying industry is growing, let's say, at about 6% kind of range and we also have been growing in line. So anything structural that is

changing from this year, which can lead to higher growth and increase in the demand also in that sense?
Vasant Rathi : Me, as we mentioned before, it always takes some time, and we are working on it for some time now. So some of them paid off right now. Some of them will paid off a little bit later. And of course, the environment changes impact whatever is we are doing at that particular time in the current time. So when you are totally integrated company, research and development is a very critical part of developing new products new services and new areas to grow.
Neha Kharodia: Yes, sir. And sir, also just one more thing on the growth aspect, if I may ask. So do we see any -- foresee any regulatory kind of changes, which can increase, let's say, uptake of the enzyme versus the chemicals, which is probably cheaper and easy to get for the end customer. So anything that pushes the demand for enzymes?
Mukund Kabra : We don't know as of now. But when we look into the well -developed countries, those norms are more towards the green chemistry, part

icularly into the biocatalysts. As we move on, like what will hap pen in India, we have to wait and watch. But if it happens, that will always be positive.
Vasant Rathi : And regulatory hurdles are going to keep on increasing.
Neha Kharodia: Okay. Got it. And also on the probiotic segment, so if I look at the probiotics, the addressable market, it is humongous. And I think the underlying market itself is growing at 17%, 18% kind of CAGR. So we last year had about 6% contribution in revenue from that. So do we foresee any more product launches and probably that can lead -- that can be a significant portion of our business in 2 to 3 years from now?
Mukund Kabra : It's -- see, when we talk about probiotic, there are a lot of blends what we sell contains probiotics as well as enzymes. And it's very difficult to segregate, separ ate and really come out with the numbers. So here, when we talk about probiotic, it's an individual one, but our focus is more with the solutions rather than just the one product. And it's very difficult to predict at this point of time, like how much is g oing to be the growth in probiotics alone because that's more like a commodity sale.
Neha Kharodia: Understood. And sir, just last two questions from my side, if I may ask. So one is on what was the volume growth in this quarter on a consol level? And seco nd thing was on the -- let's say, we have this S product, which is from the pharma part is the biggest chunk. So can we see going forward a few products which can be in 2 to 3 years or 3, 4 years down the line, which can be similar to this product?

Mukund Kabra : So we don't measure the volume growth because our -- some of the products are sold at INR40 and some of the products are sold at INR1 lakh kg as well. So we don't really count in terms of volume. Of course, there might be some more volumes, but we r eally don't count in terms of volumes. As far as the different products are concerned, we are working on many other products and probably some of them will come out. How big they will be is difficult to predict at this point of time.
Moderator: The next question comes from the line of Chandramouli Jagannathan , an Individual Investor .
Chandramouli J .: You are saying tariff impact is only for INR50 crores. You mean to say your contribution to U.S.A. is only INR50 crores from India for the whole year or for this quarter?
Mukund Kabra : For whole year. It's for the whole year, what we are talking about, it's like from India to U.S. For the last year. Roughly, it's closer to that.
Chandramouli J .: Roughly Yes, Sir, you are saying during your AGM, you r current capacity utilization is about 50%. And are you -- I mean, you are likely to touch 80% in 2 years. Is that intact ?
Mukund Kabra : It's very difficult in our areas to really come out with the percentage of the capacity utilization because there are many products and they do have different cycles, and it's very difficult to say how much exact percentage it is being utilized. But I woul d say that it's not a 50%, it's 60%, 65%, somewhere around that rate. And whenever it will come to 80%, we will go for the next capacity extension round. Will it come in 2 years? Yes, we hope so. that we will see.
Vasant Rathi : But from time to time, we wi ll keep on adding a little bit of capacity, okay?
Mukund Kabra : And at the same time, there is like -- we do a lot of research as well, right? So sometimes you empty your capacity by increasing the output as well. So it's a combination of many other factor s as well.
Moderator: The next question comes from the line of Raghavendra , an Individual Investor . As there is no response from the participant .
The next question comes from the line of Shreyans Gathani from SG Securities .
Shreyans Gathani: So just wanted to ask about the patents that we filed for and the E

FSA and the grass dossiers. If
you could highlight on which areas they are in, like the ones that we filed newly and the approvals that we got for the dossiers, if you could highlight on th at and what kind of market we see? And have we started any kind of sales on that front?
Vasant Rathi : That is from the Neutral market. Patent is filed in the various different market segments. And sales, I cannot identify whether that is -- but there is de finitely -- the market is now with the research and patents, and they will reflect on the future sales.
Mukund Kabra : And some of the filing is on the E FSA side is on the baking side as well. Yes, on the food side as well.

Shreyans Gathani: Sorry?
Vasant Rathi : That is for the E FSA in European market.
Shreyans Gathani: Okay. Okay. So just trying to understand like have we started -- because of that, have we seen any kind of increase in sales in Europe?
Vasant Rathi : Definitely a lot of interest, okay? When ever you have a patent and when you are separating and identifying in marketing place. So there is a lot of interest in that. The interest needs to be converted into real sales in the volume.
Mukund Kabra : So when we talk about E FSA, like if you don't have EFSA registration, probably you will not be able to sell going forward. So rather than saying that whether you can -- whether you've got the sales of no sales, basically even to maintain your current business, you need to go and file and to add on some of the products as we move on.
Shreyans Gathani: Okay. So that's like a compulsion now to sell in more?
Vasant Rathi : Yes, absolutely.
Shreyans Gathani: Sir, last question on the biocatalysis, like what kind of opportunity are we looking at in terms of like our enzyme sales? And like the European, like those people are -- I've read some articles that they started using that in certain production processes. So how are you looking at that? Are the sales mainly in the Indian region? Or are they like mainly focus ed towards the export markets for us and like the size that we see?
Vasant Rathi : No, I understand what you're saying. The opportunities are huge, right? Because the pharma market is huge. Now the question is whether somebody is using it. It's always a cos t and how competitive it is and what is the regulatory environment for the pharma and other products because that is where the sales are. And you just have to look at it and see wait and see. At this point in time, there is a lot of upheaval. Everybody wan ts green things, but at a chemical cost.
Shreyans Gathani: Got it. Okay. So that's basically the price point is stopping the adoption.
Vasant Rathi : Yes, that makes a big difference. Of course, the development is pretty huge.
Shreyans Gathani: So trying to gauge like what kind of price differential would be there for like an enzymatic solution versus like a chemical.
Vasant Rathi : I cannot tell you that share because everything is different, how much yield comes in, what percentages you have to use, et cete ra, et cetera. What are the process are used. So every company is different, and they have their different confidential methods they try in a different way. And we have to keep on continuously working with them.
Mukund Kabra : Different product has a differ ent structure as well. Yes. I cannot just generalize it.

Shreyans Gathani: Okay. So if you could give some feedback that we've received from the initial sales that we made, is there any feedback that we've got from the customers on the products?
Vasant Rathi : Not add anything further. We just keep on improving in those areas. Feedbacks are constant process until it is established and then register with the respective authorities, okay? Once it is established, the process

is registered with the authoritie s, then that area, how much it is growing and what distributions are there. So many factors are there.
Shreyans Gathani: Right. Sir, I meant like feedback from the customer on the product like in terms of the performance of the biocatalysts that we are pro viding.
Vasant Rathi : So far, whatever the products we've given is excellent. Those are accepted.
Mukund Kabra : Now we need to wait and watch how the other things pan out.
Moderator: The next question comes from the line of Raghavendra , an Individual Inve stor.

Raghavendra: Yes, sir. Sir, you have mentioned that we have exports of INR50 crores to U.S. from India. Am I right, sir?
Mukund Kabra : What I meant to say is last year, we have a sale of INR50 crores from India to U.S.
Raghavendra: And in that INR12.5 crores is the impact of tariff and the other INR38.5 crores is not affected by...
Mukund Kabra : No. What I meant to say that if you go with the 25% duty on INR50 crores, assuming that though nothing works out, nothing is there, then the duty will be a bout INR12.5 crores, and that can be the maximum impact. But again, then you need to really look into the -that's the gross margin impact in the worst scenario.
Vasant Rathi : This is also a very moving things. Who knows tomorrow, there is what else he can come up with the oil penalties and things like that. So please just leave those alone. don't worry about too much. Let's settle these matters when it can. And then we will see what happens.
Raghavendra: Just one question, sir. Compared to other competing n ations, how are we pricing? Are we like equally priced or we are much more competitive than them when it comes to price?
Vasant Rathi : For what -- for selling price?
Raghavendra: Yes, yes, for our products in which we are in, do we have a pricing edge over the competing nations other...
Vasant Rathi : We don't have any age for any competing. It's individual product, whatever we are -- there is always -- it's not a commodity. That's why we have margins, right?
Moderator: Ladies and gentlemen, we'll take this as the last question for today. I would now like to hand the conference over to Mr. Ronak Saraf for closing comments.

Ronak Saraf: Thank you, everyone, for taking your valuable time for attending our earnings conference call. We will keep you posted for an y further updates. I request you all to kindly send in your questions that may remain unanswered during the call . An audio recording and the transcript of this call will be uploaded on our website and on stock exchanges in due course. Looking forward to ho st you all in the next quarter. Till then, stay healthy, stay safe.
Management: Thank you, everyone. Thank you.
Moderator: Thank you. On behalf of Advanced Enzyme Technologies Limited, that concludes this conference. Thank you all for joining us, and you ma y now disconnect your lines.

Call: Nov 2025

November 17, 2025

To

Dear Sir/Madam,

Sub: Transcript of Conference call held on November 13, 2025 for the Un-audited Financial Results for the quarter and half year ended September 30, 2025.

In furtherance to our intimation letter dated November 10, 2025, please find enclosed the Transcript of the Conference call held on Thursday, November 13, 2025 with Analysts and Investors for the Un-audited Financial Results of the Company for the quarter and half year ended September 30, 2025.

The aforesaid information is also being uploaded on the website of the Company.

Kindly take same on your records.

Thanking you,
Yours Faithfully,

For Advanced Enzyme Technologies Limited

____
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Department of Corporate Affairs
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“Advanced Enzyme Technologies Limited
Q2 & H1 FY '26 Earnings Conference Call ”
November 13 , 2025

Management:
Mr. Mukund Kabra – Whole Time Director
Mr. Beni Rauka – Group Chief Financial Officer
Mr. Ronak Saraf – Investor Relations Manager

Disclaimer:

This is a transcription and may contain transcription errors. The transcript has been edited for clarity, readability, etc. T he Company
takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.
Kindly Note, there could be unpublished price sensitive information that would have been shared /discussed during the call.
Complying with the SEBI regulations, we have share d Audio Transcript to the Stock Exchanges and the Company website on
November 13, 2025 for information of public at large.

Moderator:
Good evening, ladies and gentlemen. I'm Akash, Moderator: for the conference call. Welcome to the A dvanced Enzyme Technologies
Limited Q2 and H1 FY 26 Earnings Conference Call. As a reminder, all participants will be in listen -only mode and there'll be an
opportunity for you to ask questions after the presentation concludes. Should you need assistance during the confer ence call, please
signal an operator by pressing * and then 0 on your touch -tone telephone. Please note, this conference is being recorded.

I would now like to hand over the floor to Mr. Ronak Saraf , Manager, Investor Relations. Thank you, and over to you , sir.

Ronak Saraf :
Thank you. Good evening, everyone. Welcome to the Advanced Enzyme Technologies Q2 and Half-Year FY 26 Earnings Conference
Call. We hope you all have gone through our financials, press release and the presentation, which has been posted in the Investor
Relations section of our website and on the stock exchanges.

We have with us Mr. Mukund Kabra , Whole -Time Director and Mr. Beni Rauka , Group CFO. Today, the management will discuss
the performance and the business highlights, update on st rategy and respond to any questions that you may have. As is usual, for the
ease of discussion, we will look at our consolidated financials.

I would like to draw your attention to the fact that some of the information shared during the call, particularly regarding our plans,
strategies and futu re outlook, may contain forward -looking statements. These statements involve

inherent risks and uncertainties and
are based on current expectations, forecasts and assumptions. Actual results may differ materially from those expressed or implied in
these statements, influenced by a range of factors, including but not limited to economic conditions, changes in government p olicie s,
regulatory developments and other unforeseen circumstances.

Recipients are cautioned not to place undue reliance on these forward -looking statements as they are not guarantees of future perfor-
mance and should not be viewed as a substitute for independe nt judgment. The company undertakes no obligation to update or revise
any such statement, whether as a result of new information, future events or otherwise.

So without any further ado, we shall commence this call. Over to you, Mukund sir.

Mukund Kabra:
Thank you, Ron ak. Good evening, everyone. I really appreciate you all for taking out your valuable time, and I extend a heartiest
welcome to everyone joining us today on the conference call for the quarter and half year ended September 30, 2025 . I am happy to
announce that we have reported good numbers for the Q2 fiscal 26, continuing the growth trajectory. We have witnessed growth across
all business segments of our presence.

Our top line for the quarter stood at INR 1,845 million, reflecting a 26% YoY growth and marginally decreased by 1% compared to
the previous quarter. EBITDA came in at INR 601 million, which is a 42% increase YoY and 6% higher QoQ . Our EBITDA

margin
for the quarter stood at 33%. Moving to profitability, our profit after tax reached INR 447 million, registering a 34% growth YoY and
11% increase QoQ . The PAT margins stood at 24% for the quarter.

Now , I will take you through our segment -wise revenue performance for the second quarter of FY26 and compare it both YoY and
sequentially wi th Q2 FY2 5 and Q1 FY26 . Let's begin with Human Healthcare. Our largest segment, revenues for Q2 FY26 stood at
INR 1,212 million, making a 22% YoY growth and a marginal decline of 1% QoQ . This growth was driven by higher sales in the
Pharma/ API and Nutritional business across both domestic and international markets. Human Healthcare remains the vital of our port-
folio, contributing 66% of our total revenues.

Next, we have Animal Healthcare, revenues rose to INR 193 million, delivering a 6% increase YoY and 26% decline QoQ . Animal
Healthcare accounts for 10% of our total revenues.

Turning to Bioprocessing, t his segment recorded strong growth of 52% during the quarter, reaching INR 255 million and 8% sequential
growth. This growth is primarily on account of robust performance of our food business. The food business grew by 77% on YoY basis
and 18% on QoQ basis. The Non -Food business underperformed during the quarter. It de-grew by 4% on YoY basis and 20% on QoQ
basis.

Lastly, the Specialized Manuf acturing segment delivered a strong growth of 54% on YoY basis and 30% on sequential basis, reaching
INR 185 million. This segment represents 10% of our overall revenue. We anticipate that our strong growth trajectory will continue
across all business segm ents in the foreseeable future.

With this, I will now hand over the call to Rauka Ji. He will walk you through the financials and key subsidiary numbers. Thank you.

Beni Rauka:
Thank you very much, Mukund . Good evening, everyone. I hope you all are in good health and doing well. On the company's consol-
idated financial performance for the second quarter and year -to-date of fiscal year 20 26, let me talk about YoY . Our revenue grew by
26% from INR 1,461 million to INR 1,845 million. Our EBITDA increased fr om INR 424 million to INR 601 million. Profit before
tax increased by 41% from INR 422 million to INR 595 million. Profit after tax increased by 34% from INR 334 million to INR 447
million.

On QoQ basis, our revenue slightly decreased by 1% from INR 1,859 millio

n to INR 1,845 million. EBITDA increased by 6% from
INR 564 million to INR 601 million. Profit before tax increased by INR 46 million, 8% from INR 549 million to INR 595 million.
Profit after tax increased by 11% from INR 404 million to INR 447 million.

For six -month performance for FY 26 as compared to FY 25 six months, revenue increased by INR 698 million, about 32% of increase
from INR 3,006 million to INR 3,704 million. EBITDA increased by rupees INR 229 million from INR 936 million to INR 1,165
million, and it stood at 31% of our revenue as compared to 31% during six months of FY 25. Profit before tax increased by INR 236
million, 26% increase from INR 909 million to INR 1,144 million. Profit after tax increased by INR 168 million, 25% increase from
INR 684 million to INR 852 million, and profit after tax stood at 23% of our revenue.

Now , I would like to give you numbers of our subsidiary companies. Revenue of JC Biotech stood at INR 186 million, EBITDA of
INR 37 million and PAT of INR 17 million for Q2 FY26 as compared to INR 158 million of revenue, INR 20 million of EBITDA and
INR 5 million of PAT. For six months, the revenue of JC Bio tech stood at INR 397 million as compared to INR 317 million,

25%
increase, and EBITDA of INR 70 million as compared to INR 44 million, 59% increase. PAT at INR 31 million as compared to INR
13 million.

Evoxx revenue stood at INR 74 million and EBITDA of INR 17 million, PAT of 14 million in Q2 of FY 26 as compared to INR 49
million of revenue, INR 12 million negative EBITDA and INR 19 million of negative PAT during Q2 FY25. Evoxx six -month numbers
stood at revenue INR 144 million as compared to INR 96 million and EBITDA of INR 31 million as compared to negative INR 19
million and PAT of INR 21 million as compared to INR 35 million negative during six months of last year.

SciTech revenue stood at INR 185 million, EBITDA of INR 33 million and PAT of INR 15 million in Q2 FY 26 as compared to INR
120 million of revenue, INR 14 million of EBITDA and INR 3 million of PAT. For six months, our revenue in SciTech was INR 330

million as compared to INR 232 million, 42% of increase and EBITDA of INR 38 million as compared to INR 36 million, PAT of INR
8 million as compared to INR 13 million.

The top ten cu stomer s contributed 27% percent in the total revenue in Q2 FY26 as compared to 25% in Q2 FY25 . For six months, top
ten customer s 23% as compared to 22% last year six months. B 2C segment contributed $1.29 million as compared to $1.1 million
during the same period during the previous year.

Let me also give you the breakup of our human nutrition business. So , our Q2 numbers for India sales is about INR 570 million as
compared to INR 659 million during Q1 and the Q2 of last year, INR 419 million. International sales during Q2 is INR 642 million as
compared to INR 562 million in Q1 and INR 573 million in Q2 of last year. Domestic is INR 570 million and International sale was
INR 642 million during Q2 FY26. In Q1, it was INR 659 million from the domestic market a nd international market was INR 552
million . In Q2 of FY 25, domestic was INR 419 million. International sales were INR 573 million.

Our R&D spending during Q2 is INR 78 million. Revenue expenditures and CapEx of INR 1 million, total is INR 80 million as
compared to INR 85 million in Q2 of last year. On consolidated basis, R&D spend is about 5%, INR 84 million during Q2 and 6% in
Q2 of FY 25. This is without considering intercompany elimination. On consolidated basis, R&D spend is about 3% during Q2 and 5%
in Q2 of FY 25.

That was from my side. Now , we sh all open the floor for question -and-answer session.

Moderator:
Thank you, sir. Ladies and gentlemen, we will now begin the question -and-answer session. If you have a question, please press * and
1 on your telephone keypad and wait for your turn to ask the question. If you would like to

withdraw your request, you may do so by
pressing * and 1 again.

The first question comes from Rachna K from S CIL Ventures. Please go ahead, ma'am.

Rachna K:
Thank you for the Opportunity, and congrats on a good set of numbers. I have a couple of questions. My first question would be, could
you provide color on how could we achieve YoY good growth rate across our geographies like India, Europe, and Asia? And wh at
caused a slight decline in USA? If you could please provide share on drivers of growth for this quarter across each geography individ-
ually. This is my first question.

Beni Rauka :
We will give you some numbers. Okay ? What is the next question?

Rachna K:
Similarly, for our product categories, animal healthcare, human healthcare, food processing and specialized manufacturing. An d what were the growth drivers? If you could give some color on each category separately ? And what caused a decline in industri al processing revenues to remain for that? And do we see the growth trajectory sustaining over the long term? These would be my question s.

Mukund Kabra:
So, good evening, Rachna Ji . I would say this way, when we talk about India, Europe, all the different names, numbers can be given by Rauka Ji . But in general, it's, marketing we're putting up from last so many days into the different areas, different geographies, As ia, as well as Europe. And all of this, it's a l ong-term, like, efforts. You cannot just, go and say that in one day, go , come and can go. So , I would put it this way. It's into the all the different segments which we are working.

In Europe, we were working into the baking areas . We were working into thos e different food areas. In India as well, we are working on a different food areas. In other market, Asian markets, we are working into the different pharma areas. And all of those, give you some effect.

At th e same time, we did have, some back footing be cause of the tariff issues, which is there. And what we anticipated, little more growth because of tariff issues, which are still there, and we anticipate that may continue. We don't know when it will be be cause the uncertainty is there. And, probably, tha t is the one area which has caused a little bit lower sales in the US as of now.

And also, in some of the areas where the indirect market is there. So , we are waiting how this tariff issues pan out to make further strategies, what we should do, what we sh ouldn't do. But what I would li ke to say that it's like long -term efforts, which are turning into the some sort of growth.

Beni Rauka:
Yeah. I would like to give you the numbers. So total revenue, 50% has come from India on six-month basis, YTD FY26. The 30% has come from Americas where we see a decline of 4% in our numbers as compared to last year's six months. Europe is about 6% of our revenue, and we have seen 51% of growth from this geography.

Asia is about 12% of our revenue coming from there in the six months of current year, and we have seen 4% of growth in this particular geography. The rest of the world, which constitute about 2% of our revenue, and 30% increase in six months period . Do you need absolute number or you'll get some idea from this?

Rachna K:
I'll get some idea. And on product categories, if you could give some color.

Beni Rauka:
I mean, product categories, in what sense you are saying? Anti-inflammatory product.

Rachna K:
Yeah. The drivers of growth because the growth rates this quarter are very good. So , just wanted an idea on those aspects.

Mukund Kabra:
It's all the different areas and different products , every everything is showing growth. If you really look at it, our anti -inflammatory product growth is also there. Our baking enzyme 's growth are also there. Animal feed enzymes also there.

So, all of them are growing at this point of time. There are a lot of research whic h is happen

ing. Those are also supporting into some
of the areas, and those are also going to support in the future. So , that's all what I can say as of now, Rachna Ji .

Rachna K:
Okay. Thank you. And one more question. How will we offset the impact of tariffs ? You said we have some strategies in place. So, if
you could provide some color on that as well.

Mukund Kabra:
Rachna Ji , I don't want to reveal those strategies. We will wait and see how the things pan out, and then we will take appropriate call
at a given time. How do we need to do? We are still wor king on different area. If this persists, then what we need to do?

Rachna K:
And how do you think the growth in H2 FY26 will pan out? If you could provide some color on that as well.

Mukund Kabra:
There are a lot of uncertainties out there. What I would say is that we will still stick with the numbers and the initial guidance what we
have given that we w ill have this year, like, a mid -double digit growth. And I would like to continue with that as of now, and we'll see
how the things pan out in the given t ime because I see a lot of uncertainties around the world. So , I don't want to comment too many
things as of now.

Rachna K:
Okay. Thank you so much.

Mukund Kabra:
Thank you.

Moderator:
Thank you. So , next question comes from mister Umang Shah: from Banyan Cleaver Advisors. Please go ahead, sir.

Umang Shah:
Hello. Am I audible?

Beni Rauka:
Yes, Umang Ji. You can be a little louder.

Umang Shah:
Okay. Sure. Hi, sir. Congratulations on good set of numbers, and thank you for the opportunity. Sir, I have two questions.

First one, the specialized manufacturing business. Right? Last two years, the bottom line is around INR 4 crores or so in that subsidiary.
At what scale do you think the margins will scale up? And what is the current line? And where do you think the margins will land at
for next two years?

Beni Rauka:
I mean, see, margin in that particular business is really low. And currently a lot of expansion is happening. So I think, the depreciation
expenses have gone up and capacity util ization has also gone up. But yet, the margin is low in that particular segment. And particularly,
when you have, the geography -wise, if you look at the numbers, then I think the domestic market little bit more competitive in the
sense in getting the kind of the margins.

So, I think we will go wi th the same kind of margin that is what we had in the last year. In this particular company, I think, maybe,
about 8% to 10% of the kind of the margins we are going to have.

Umang Shah:
Okay. Sure, sir. Very helpful, sir. Sir, and how is the competitive intensity for serra tiopeptidase in India?

Mukund Kabra:

Competition is always there , Umang Ji , and it will continue.

Umang Shah:
Right. No. Because last year, the competition had significantly increased after many years. So , do we continue with that intense com-
petition or now you see that the rate s are still forming up?

Mukund Kabra:
No. I would say that rates are more or less stable. And competition is going to be there, and then you need to deal with the competition
with whatever the tools which you have.

Umang Shah:
Right, sir. And, sir, in the last call, you had helpfully mentione d the total impact on our profits for the full year if the U S tariffs go to
50%. Now , they are at 50%. So, do we work with those numbers?

And right now, what are the conversations like with our customers? Are they taking some impact of the tariffs?

Mukun d Kabra:
As like last time also, like, I think, like, we mention ed that at the worst case, we will have a 2% impact on the EBITDA if we absorb
everything going forward as well.

Mukund Kabra:
The way we will work it out is some of them probably will absorb. Some of them will try to pass it on. It depends on the customer. It
depends on the str

ategies. It also depends on the volume of the customer, size of the customers, and what different actions w hich we need to take.

But still, it's absorbable if th e volume goes up. So , we are open on that as of now, and we'll see how it works out.

Umang Shah:
Got it. Thank you so much, sir. All the best.

Mukund Kabra:
Thank you, Umang Ji .

Moderator:
Thank you so much, sir. The next question comes from Mr. Raman KV from Sequ ent Investments. Please go ahead, sir.

Raman KV:
Hello. Can you hear me?

Beni Rauka:
Yes.

Mukund Kabra:
Yes, Raman Ji.

Raman KV:
Good evening, sir. Thank you for the opportunity. I'm fairly new to the company. If you don't mind, can you please explain me the
business vertical? And my second question is, what are the key growth drivers for your double -digit growth for the year? As in, are
you planning to launch more product or are you planning to scale the existing products?

Mukund Kabra:
So, Raman Ji , the business segments what we have and we have mentioned on our presentation on the website as well, but I will just
for your information , I will give you in short. So , we do have our nutraceutical business where, like, all the pharma and Nutra business

is a part of it. Second one is bioprocessing business where food and non -food business is a part of it, and the third one is animal feed
business.

And I would like to say that the g rowth is always with the existing products as well as the new products. We are more R&D -driven
company. We heavily work from the R&D s, and the new products and new launches are always into the pipelines. But all the products
don't scale up that fast or tha t quickly. There is always some time lag in our area. And we intend to increase our R&D intensity as well
going forward. We are coming up with the new R&D center as well where we would increase our R&D capacity multifold than what
we have at present.

So, the simple answer is it's a combination of both existing products as well as the new products what we are going to launch. So me of
them not maybe like individual form, maybe in the blends and formulation form.

Raman KV:
Understood, sir. Sir, while lookin g at the historical figures, I have noticed that our historical margin before COVID, it was around 44%
to 46% . Can we assume this 30% to 32% kind of margin is the new normal? Or can we go back to the 44% margin?

Mukund Kabra:
Since the last few calls also , we are saying that at this point of time, our view is this is going to be the new normal for us. If it improves,
it is good, but we will go with these numbers as of now.

Raman KV:
Okay, sir. And so my last question, it's more of a doubt. If you can give ballpark figures, which is a better margin business amongst all
the vertical?

Mukund Kabra:
It's we don't really track with the different products, different margins, different areas to that level. But I would say that all of the
segments are more or less equal. But whenever there is a sale from our US subsidiary, it adds up to the margins.

Raman KV:
Understood, sir. Thank you, sir.

Mukund Kabra:
Thank you, Raman Ji.

Moderator:
Thank you, sir. The next question comes from Mr. Lakshmi Narayan from Tunga Investments. Please go ahead, sir.

Lakshmi Narayan:
Thank you. I just want to understand our largest product sales. What has been the sales for the last six months versus the previous -year
six months?

Beni Rauka:
Yeah , Lakshmi Narayan ji , INR 829 million as compared to INR 555 million.

Lakshmi Narayan:
Okay. And if you look at it, what is our India market? This is entirely domestic, I believe. Right? Now in this , what is the total market
size for this product?

Mukund Kabra:
It's difficult, Lakshmi Narayan Ji. But I would say that we command maximum percentage of it.

Lakshmi Narayan:

Okay. I mean, when y

ou say, is it another 35% or 20% more would be that? I mean, I just want to understand what is the broad number ?
What is the range it should be?

Mukund Kabra:
See, the applicat ion can be different. It can be into the other areas as well. You can extend the applications. Right? So , it's very difficult
to put it into the actual number . So, that's a challenge Lakshmi Narayan Ji to tell you exact number.

Lakshmi Narayan:
Got it. Now , how many players are there right now? Because the market itself is around INR 200 crores or so, I mean, then it's a
different thing as well as when the market is large. So , because it needs a minimum order , minimum size for somebody to set up this
particular product. Correct? Now in your view, what is the minimum revenue somebody has to generate to actually enter into this
particular business?

Mukund Kabra:
I would put it this way, individual single product, probably, it's very difficult to survive. You need to have different batteries of the
products. You need to have different products. You need to take the capacity utilization very differently. Because just giving the one
product doesn't work out.

Lakshmi Narayan:
Got it. Thanks. Sir, and we talked about the American business and there has been tarif f impact. Now , is it that the entire product that
are being shipped to the US suffers from this tariff? Can you just tell me what is the percentage? Because there is if you add value,
then the tariff becomes different, right? So , what is the weighted avera ge thing for this? And then how do you -- what kind of mitigation
you can actually do?

I know you talked about some of the things like 2% is an impact. Just want to understand how much would get suffered with this tariff?
And then what is the weighted average? And then what are your m itigation s?

Mukund Kabra:
If I go with the last year's number, at the worst scenario, probably, like, we'll have impact of INR 7 crores , INR 8 crores.

Lakshmi Narayan:
Okay. In the EBITDA?

Beni Rauka:
Yeah.

Mukund Kabra:
Yeah. I mean, like, total whatever we can call PAT, EBITDA or Gross margin .

Lakshmi Narayan:
Sorry, sir. I didn't get a clear end.

Beni Rauka:
So, INR 10 crore to INR 11 crore is impact on EBITDA and INR 7 crore to INR 8 crore on PAT on overall basis.

Lakshmi Narayan:
And how do you intend to mitigate it? Is there a way that you can mitigate by changing the source of origination or keeping t he place
at which the value is being added. Is there something which you can mitig ate?

Beni Rauka:
Yeah. I think that's what we are working on.

Mukund Kabra:
We'll explore all of those areas.

Lakshmi Narayan:
Sir, and if you look at India, non -pharma business. Right? So can you just give me a bit of India non -pharma and how it has actually grown?

Mukund Kabra:
So, when we talk about India, non -pharma , it is basically textile and leather, and we mentioned many times that that is not our focus area, Lakshmi Narayan Ji, but we intend to be there and see how is the market moving. Maybe , like, in the future, we will like to come out with the products into those areas.

Lakshmi Narayan:
Yeah. Because I thought there is a sizable amount of animal feed business .

Mukund Kabra:
Animal feed doesn't come into the non -food areas. The non -food areas basically comprise s of textiles and leather.

Lakshmi Narayan:
I talked about -- I was looking for non -pharma, sir. Sorry. I think I wanted to know the non -pharma part of India. What is the revenue that is actually for the last six months and how it has grown, okay, excluding pharma domestic sales?

Mukund Kabra:
Rauka Ji can give the numbers of the food business, how it has grown, and basically, the other one is the an imal feed. Overall numbers, we don't have numbers, like, separately, geography -wise or others. Right? So , you can g

ive the six -month comparison, Rauka Ji .

Beni Rauka:
Okay. So , I'm just giving you a number for food segment. So for six months, it is about INR 380 million as compared to INR 312 million. And other than that, the animal health , the animal feed business, that is what we call it, is INR 453 million as compared to INR 353 million in last year's six months.

Lakshmi Narayan:
Is this India?

Beni Rauka:
No. It's not India. It's all, like, India plus international. Total number I'm giving you.

Lakshmi Narayan:
Okay. So , then moving on to Europe, which has also grown for us, can you just give me a bit of what is growing in the Europe?

Mukund Kabra:
No. I would put it, like, say, Lakshmi Narayan Ji, we shouldn't go on a QoQ or half yearly basis. Overall yearly basis, it has more relevance. I would say that the focus area is still the same. What we have into the food areas and particularly into some of the nutraceu-tical areas, which is still there into the Europe , we are registering our few products in the E FSA, and we are waiting for the novel food approval.

If that works out, then probably, the Europe business can grow much faster. Similarly, we are waiting for some of the approva ls for some of the pharma areas into the Asian areas. If those happens, probably, that should, really increase the growth into thos e areas as well, particularly. It's a long , time-consuming process. The process we started one and a half years back, and still we are waiting.

Maybe like six months to eight months down the line, we expect that, that should materialize.

Lakshmi Narayan:
Sir, one just last question. The American business has shown a little slower growth. So , is it completely related to tariffs? Or it is
something outside the tariff issue that is actually leading to this?

Mukund Kabra:
We don't know at this point of time, Lakshmi Narayan: Ji, but what we can say that into the last particularly last two, three months,
there is a lot of slowness what we have observed . The number of inquiries which used to be, let's say, about hundred in a month dropped
down to four, five, six new inquiries. So , that just shows that there is a lot of slowness which is happening into the market.

Now , is it because of the tariff or some others or because of the price rise, what is happening into the year? We still need to wa it and
watch. But wha t I would like to say that there is some slowness which we can see, and we believe that it has to do more with the tariff
and other cost increase what is happening in US.

Lakshmi Narayan:
Thank you. I will come back in queue.

Mukund Kabra:
Thank you, Lakshmi Narayan Ji .

Moderator:
Thank you, sir. The next question comes from Mr. Nitish Rege from Chr ys Capital. Please go ahead, sir.

Nitish Rege:
Hi. Thank you for the opportunity. Hope , I'm audible. Just a question on the guidance which you said you want to maintain at the mid -
teens level. So, you expect to which our revenue growth rate to decline?
We've done 23% YoY in the first half. So , if you can do mid-teens, we expect to which to be a slower growth for us?

Beni Rauka:
I think, that's what we have been telling because of a lot of uncertainties around the world. We feel like, we need to have the same
guidance for the time being.

Nitish Rege:
Got it. And just if you could share some color on margins, do you expect it to be at this 32.5% EBITDA margin levels going at ?

Beni Rauka:
I'm sorry. I did not get .

Mukund Kabra:
Margins .

Beni Rauka:
The margin, I think, we already mentioned, except, like, the impact of the tariff. Otherwise, I think we will continue to hav e the margin
of PAT about 21% to 22% , EBITDA of 30% to 32% . That's what we are still managing .

Mukund Kabra:
I would say that still, like, we will not go with the QoQ . I would still like to see more certainties as to , I mean some more clea r picture
how the whole situatio ns pan out. As of now, what we are trying, we are getting some results. We expect some more results. Some of
the results didn't come up because of tariff issues and other issues. So , we'll wait and see -- wait and watch how the things pan out.

Nitish Rege :

Got it. And, sir, we've got close to INR 600 crores of cash on our balance sheet right now. Is there any M&A we're targeting or any
such acquisitions where you have in mind you're assessing right now?

Mukund Kabra:
So, acquisitions and other things are always there in the mind. We always work. We are working on few of them, but it always depends
on the cost and what we are getting out of it. So , we don't know whether it will happen or it will not happen as of now.

Nitish Rege:
But, like, are we looking for targets which are in the human nutrition or in the industrial bioprocessing? Any anything we're favoring?

Mukund Kabra:
I mean, that's an ongoing process.

Beni Rauka:
It's more of, in a forward integration. We are looking at the animal feed business, of c ourse. In human nutrition, we are looking more
at probiotics. That's the area of our interest.

Nitish Rege:
Okay. And just lastly from my side, what tr action are we seeing on the bio -catalyst side?

Mukund Kabra:
We do have a lot of good traction which is coming up. We do see that there are a lot of products which are into the pipeline, and
probably, they should also add up to the growth going next year. Some, maybe the las t quarters. We will see, wait and watch how the
things pan out.

Nitish Rege:
Can you quantify the number?

Mukund Kabra:
I won't be able to , Rauka Ji can give the numbers, but the market work which is going on, that's all what I can say as of now. But Rauka
Ji can give the number.

Beni Rauka:
So, I think bio -catalysis total for six months stood about, INR 128 million as compared to INR 104 million last year.

Nitish Rege:
Got it. Thank you so much.

Mukund Kabra:
Thank you.

Beni Rauka:
Thank you.

Moderator:
Thank you, sir. The next question comes from Mr. Rajas Joshi from Chrys capital . Please go ahead, sir.

Rajas Joshi:
Yes. Good afternoon and thank you for the opportunity. Sir, I just wanted to get your sense on the growth that we reported bo th for
earlier quarter and this quarter. How sustainable is thi s growth? And are there any one -offs per se, so to speak, in the numbers for H1,
both with regards to revenue and /or margin?

Mukund Kabra:
I would say that there is no one -off, but there is not every quarter we get the same -- I would say, the same orders. Some quarters maybe
here and there -- few here and there. But I would say this is a little bit long -term growth rather than , we just go with a QoQ

basis. So ,
it's difficult. There is no one -off customers, but we still need to wait for how this tariff comes up because there are a lot of time, the
indirect sales are also there, which also goes to the US.

So, we need to wait and watch how the things pan out.

Rajas Joshi:
Understood, sir. And has the strategy in any sense changed, especially, I mean, with regards to, let's say, sales and marketing or,
business development? Any other kind of change in strategy that you've done over the past one year or that you would like to highlight
specifica lly?

Beni Rauka:
No comment.

Mukund Kabra:
I don't want to comment on that, Raja s Ji.

Rajas Joshi:
Okay. Understood, sir. And secondly, on the gross margin, right? So I mean, Q4 was kind of the bottom. And then last Q1 also, we
were about, I think, 73%-odd. And this quarter now, we've given about 76%-odd in terms of gross margins. And if I look at the sales
in the US, which is rightly, as you rightly said, a higher margin market for us, QoQ basis sales are down for this high -margin market,
then what is really driving this gross ma
rgin expansion per se on a QoQ basis?

Beni Rauka:
So, all operational efficiency is driving.

Mukund Kabra:
Operational efficiency as well as your some of the research is there and some of the, product mix which varies with quarter to quarter.

Rajas Joshi:
On mix, could you highlight what exactly is higher margin and what is lower margin? It should help us understand going ahead as well
how we should think of gross margin.

Mukund Kabra:
I think for you, it will be diff icult to, arrive at such things, frankly speaking because of the complex ity. We have animal nutrition,
human nutrition, biocatalyst, probiotics. So, I mean, it's very difficult to drive in that sense, those numbers.

Rajas Joshi:
Okay. Even qualitatively, not from a number perspective , if you could come in let's say, animal nutrition is high margin or some other
product is low margin. Anything of that sort?

Beni Rauka :
No, I don't think we will be able to give you that kind of guidance.

Rajas Joshi:
Okay. All right. Thanks a lot, sir.

Moderator:
Thank you, sir. The next question comes from Zakinaher Nasser: from Nasser Investments. Please go ahead.

Zakinaher Nasser:
Sir, congratulations on a very strong set of numbers. Sir, y ou've given a guidance of a mid -teens growth, which I think is on the cards.
But sir, how do you foresee the company three years from now? How do you want Advance d Enzymes to shape out as a

company in
the global scenario? So because it's a complex company where the products itself are pretty complex.

And also, I would like you to throw some light on your sector of industrial and bioprocessing. What do you foresee that because that
has had a good growth this quarter, sir?

Mukund Kabra:
So if you ask me, we alwa ys wanted to maintain the growth trajectory of mid -teen over a longer period on an average, if I would like
to say. So , that's our always a goal. In terms of bioprocessing and all of these different areas, we are coming out with different new
geographies. We are adding up new products what we are working on. Some of them are in the R&D . Some of them are into the final
stages. Some of them, we already added and marketed into the market. Right?

So to support t hat, you need to add more geographies, just not dependent on the baking. So , we are working into the different areas
into the food categories as well, and we are coming out with the new products, new R&D s. And that is how, we are working on the
bioprocessi ng, and that is how, we need to grow in each and every areas.

Zakinaher Nasser:
Sir, and would you have a broad idea of what your share in the world market would be? Or how large would Advanced Enzymes be as
a world player, sir? Would you have 10% to 15% market share or more, sir, in this area?

Mukund Kabra:
I would say that we are very small. Even though we will be among the top five or top ten players, there are very few companie s in the
world. If you just go and compare, the revenues of the biggest, li ke, Novozyme s or Novonesis right now, we are very, very small. So ,
we won't be commenting, 5% of the share in the world market. Probably, like …

Beni Rauka:
Less than 2%.

Mukund Kabra:
Less than 2%. Somewhere around that. That is what I wish is as of now.

Zakinaher Nasser:
So, there is a huge headroom, sir, if things -- if you have a good couple of years.

Mukund Kabra:
Yeah. But that has to be supported with lot of R&D . And th is is a complex business, as we always say. Right? But needs a lot of
research, and that is what , our focus is going forward as well.

Zakinaher Nasser:
Thank you, sir. Best wishes.

Mukund Kabra:
Thank you.

Moderator:
Thank you so much, sir. The next question comes from Mr. Shreyans Gathani from SG Securities. Please go ahead, sir.

Shreyans Gathani
Hi. Good afternoon, Mukund Ji and Ra uka Ji. So, I

had a couple of questions. So , the first one was that we've seen like a big pickup in
high protein foods in India, especially, like, high -protein yogurts and milk. So , are we providing an y kind of enzymes towards those,
like, specifically, like lactase or in that particular area? And what kind of growth are you looking at?

Mukund Kabra:
We are working on to those areas. As of now, we do have certain products under the trial. Yeah. Even though, our Indian

market share
is smaller into those areas . In India, there are little different challenges, but we are overcoming on those. And you need to have a lot of
different product batteries.

Like, when we talk about lactase , there are a couple o f types of lactase, particularly into this area prevailing, you need a neutral lactase.
We do have a very good acid lactase. Neutr al lactase is also under the R&D . There are a lot of different aspartic enzymes, proteases,
and all of those are also into the customer testing phases and all of that.

So, yeah, in giving the short answers, we are working into those areas. As of now, we don't have too much of the sale in Indian market,
particularly, of those, but those are the products under different stage of d evelopment.

Shreyans Gathani
Okay. So, we are in testing phase . We develop ed the product is what I can understand.

Mukund Kabra:
Sorry?

Shreyans Gathani
Is it under, like, customer testing or what favor able yet ?

Mukund Kabra:
There are lot of different products . Right? So , some of them are at the customer testing. Some of them are, like, in our lab testing. Some
of them are under the development stage as well.

Shreyans Gathani
Okay. And second question was on the B2C India business. So , how do you see that shaping up? Any kind of traction that we are
seeing ? And what's the strategy over there?

Mukund Kabra:
So we are, like, main B2B company, and that is where, we are separating that arm from Advanced Enzymes to the new company what
we just recently formed. So , we will be transferring that business. As of now, like, we do have a good growth on a smaller number.
This year, probably, we'll be hitting somewhere around INR 1 CR to INR 1.5 CR , which is lower than what we budgeted initially. But
we'll see. And there is a young dynamic team which is working behind it, and it's a different company. That's what we are try ing to aim
at it to develop it further.

Shreyans Gathani
Got it. And actually, is there any up date on how we are going with th e R&D center and what plans of hiring and all people in that?

Mukund Kabra:
So, R&D is actually at different stages. And I have to put it this way. Probably, by the end of the March, it should have some kind o f
shape should come up, and, probably , we are targeting to capitalize some of the assets during that time. It will partially become active
by the end of this fiscal year.

Shreyans Gathani
By March? Okay. Got it. And last is, the European subsidiary, we had an order, like, any kind of similar orders we're looking at? We
did see, like, a revenue jump there. So , if you could give some color on how that is doing and just some update on it.

Mukund Kabra:
European subsidiary i s more of a R&D , but we are working on some of the similar contracts out there. Some of them are on the
advanced stages. And we see a good growth if those materializes maybe in next one year down the line and two years down the line.

But we will wait and see how the things work out because some of them are under still at the development stages for that.

Shreyans Gathani
Okay. Got it. Al l right. That's all from my end. Thank you so much.

Mukund Kabra:
Thank you.

Moderator:
Thank you, si r. The next question comes from Mr. Aditya Khandelwal from Simpl. Please go ahead, sir.

Aditya Khandelwal:
Yeah. Hi, sir. Thanks for the opportunity. Sir, this question ha

s been asked before, but I'll also try my luck. So, see, the growth which
we have witnessed in the first half, more than 20%. So, if you could just provide some flavor of what is leading to such high growth?

So, is it that we have one new customer or some of our products have clicked, which is leading to the high growth ? Or is it just purely
a base effect playing out? So if you could just spend some time and help us understand what is leading to this high growth ?

Beni Rauka:
So, we are getting good growth in all four segments. In human nutrition, we are getting a good growth o f about 21%. This is our largest
business. And here, we have different products and different product mix. So , many of, products are getting good orders. And because
of that, I think the growth is good in this particular segment.

In animal health segment, again, we are getting 28% of growth. So , that is coming from India as well as from the international market.
And this is because, mainly, we have done a lot of work in last three, four years. So , I think we are getting now a lot o f orders from our
customers. And bioprocessing food is another area where we see the good growth of 22%.

So, all these segments are doing well in these two quarters, and there are several things because the efforts have gone in the pa st, and
now you are g etting those kinds of numbers from different customer s. So, it's not only one particular thing which we can say, okay , it's
only because of A, B, C, D, reason. There are several things which has gone back into getting this kind of support and numbers.

We will look at the contract manufacturing business, I mean, there, we have effervescent based technology, and we could see 42% of
growth in this particular business as well, which is run by our subsidiary company. So, all put together is given a kind of growth of
23%.

Moderator:
Thank you, sir. We'll take up the next question from Mr. Abhishek Kohli: , an Indian investor. Please go ahead, sir.

Abhishek Kohli:
Am I audible, sir?

Mukund Kabra:
Yes, Abhishek Ji.

Abhishek Kohli:
My question one is, I see high inventory in your balance sheet. Is it, like, in preparation for US tariffs that you are maintaining this high
inventory? That's my question one.

Mukund Kabra:
Abhishek Ji, in our business, the inventory is a lways there. If you look into the historically as well, you will see that the inventory is
always there because we have multiple different products, different locations. The product cycle is bigger. Let's say if you

want to
make one product today, you will at least need one month's time. That too depends on, whether the capacity is available because when
there are multiple products, there are different batch campaigning as well happens.

At the same time, we have different plant locations in India as well as out of India. So , that makes it always our -- and the delivery time
has to be as short as possible. So , we are historically as well in inventory levels.

Abhishek Kohli:
Okay. So as of now, there is a busin ess between India and US, as in you are able to do that despite these tariffs?

Mukund Kabra:
We anticipated that, and we did some movement into the first qu arter to the US, some of them, which can take care of another one
quarter or so, one and a half quarter.

Abhishek Kohli:
Okay. Yes. That was actually my question. Because I see INR 173 crores inventory, which looks big compared to your past. So I was
asking, like, were you preparing for that in the form of finished goods?

Beni Rauka:
A little bit built -up. Yes.

Mukund Kabra:
A little bit built-up.

Abhishek Kohli:
Yeah. Question two. I think two quarters back, I think I remember you mentioned about a pharma intermediate that was in pilot stage .
Any update on the commercial orders for that pharma intermediate?

Mukund Kabra:
We had few, but there are

a few challenges as well, which we are working. We are working on few of the intermediates as of no w.
We'll see how it's pan out. And probably, aft er one or two quarters, maybe, we'll be able to more highlight on that.

Abhishek Kohli:
Okay. And my question three. This is my final question. I remember, like, our C FO mentioning that there was a reduction in the number
of inquiries. Despite that, you a re guiding for mid-teens growth. Like, my main question is, will this reduction in inquiries be affecting
the H2 or next fiscal year , '27?

Mukund Kabra:
So, this is already affected, if you really look at it, our US sales is down by 7%, 8% , whatever that number is. So , it's already affecting
us to some level because we feel some of the slowness. If we really go back and when we were calculating, we were anticipating some
9%, 10% of growth in the US business this year, but this has already a ffected us.

Abhishek Kohli:
Okay. And US , this tariff -related slowdown, is it, like, affecting only your US business or is it affecting, like, the global supply chain
what is the feeling as of now?

Beni Rauka:
Right. It's mainly US business.

Mukund Kabra:
It's mainly the US business and some of the indirect US business.

Abhishek Kohli:
Okay. The reason I'm asking is, like, your business es are more counter -cyclical business, right, like, precision -proof business because

food and pharma, these product s, textiles anyway .

Mukund Kabra:
No. I will put it this way. Our enzymes go into the pharma interme diates as well. But also, most of the enzymes categorized in US as
a nutraceutical enzymes . So, when it goes to the nutraceutical, let's say, if I'm sel ling some enzymes to the tablet -manufacturing com-
pany and they are exporting to the US, that is not happening because of the 50% tariff which is there onto their final products as well.
So, that's all, indirectly also, it affects, and it did affect us into the last one or two quarter s.

Abhishek Kohli:
Then a really fantastic job actually what you guys did despite all these headwinds, a 20% growth rate. I think without that, it could
have been, like, a more than -- I think close to 30%, right, by what you're saying. Thanks a lot. Great job.

Mukund Kabra:
Thank you, Abhishek.

Moderator:
Thank you, sir. We have a follow -up question from Mr. Lakshmi Narayan from Tunga Investments. Please go ahead, sir.

Lakshmi Narayan:
Yes. Sir, just wanted to understand whether people who are taking material from us in US, have they found alternate supply sources ?
That is about one.

And second, with respect to the growth in Asia, the growth has been stupendous. Can you just help me understand what are the levers
of growth in Asia and this US question, please ? Thank you .

Mukund Kabra:
I will put it this way, Lakshmi Narayan: Ji, I don't see there is an ultimate supply or this. We haven't raised the prices or anything as of
now to a level which it shoul d be. Rig ht? And we are not we migh t take some hits as well, as we are saying, and we will wait and watch
how the things pan out.

One thing what we ca n look at it as of now is, everywhere there is going to be a price increase in the US, which will happen by the
next year. This is what our anticipation is. As of now, we'll wait and see how things pan out in the US.

What was your second question was Asia?

Lakshmi Narayan:
Yeah. Asia. What led to the growth in Asia and in which segment ?

Mukund Kabra:
See, so nothing happens in one day, Lakshmi Narayan Ji. You need to do a lot of registrations and other things, and it's efforts of last
one, two years what you put in. This starts getting materialized. Right? So , nothing is in a one -day proces s or this process. We were
working on it. We got some success. We are still working on some of the geographies, and we'll wait for those geographies to materi-
alize.

Lakshmi Narayan:
Is it anim al feed or is it human nutrition? What actually drove the growth in Asia, sir ?

Mukund Kabra:
It's all the segment, I would say. Except food, I would put it more into the animal feed and into the human nutrition business .

Lakshmi Narayan:
Got it, sir.

Beni Rauka:
Other than US, Asia business as well.

Lakshmi Narayan:
Got it, sir. Thank you so much.

Moderator:
Thank you, sir. The next we have a follow -up question from Mr. Umang Shah: from Banyan Tree Advisors. Please go ahead, sir.

Umang Shah:
Hi, sir. Thank you for the opportunity again. Sir, sometime back, Rauka Ji had mentioned on one of the calls that our market share in
US is 15%. Just wanted to confirm the number , is the understanding correct?

Beni Rauka:
A 15% of I think we must have mentioned about the nutraceutical and that too, I think, the bulk. Right?

Umang Shah:
Yes. In nutraceutical market in US. That is the right understanding. Right?

Beni Rauka:
Yeah. Right.

Umang Shah:
And in that, with that 15%, what would be our rank? Would we be first, second, third, fourth?

Mukund Kabra:
I think there are three, four players.

Beni Rauka:
Yes.

Umang Shah:
Okay. Three, four players ahead of us or three, four players in the market?

Beni Rauka:
No. They are ahead of us.

Mukund Kabra:
Major. I would say that three players. So , you will be one of them. There will be some small players.

Umang Shah:
Sure, sir.

Mukund Kabra:
Mainly three, four players.

Umang Shah:
Sure, sir. Sir and the second question was this food business revenue that we've got in this quarter, is it sustainable or is it based on a
contract or onetime? Because previously, also, we have seen some volatility in this segment.

Mukund Kabra:
I would not say that it's a onetime business. I would s ay that, some of the -- I would still go with not a QoQ . Some quarters, probably,
you will have a lower, but I would say that this is a more sustainable business.

Umang Shah:
Right, sir. Got it, sir. And just last one thing, R&D expenses, is it simply a function of higher sales due to which they have declined or

has it also ramped down?

Beni Rauka:
I think an absolute number, we have about, INR 19 crore or so.

Umang Shah:
Okay.

Beni Rauka:
This year, six months, and last year also, the similar number. We are spending lot of money. We hav e not capitalized, so we are not
taking those numbers into account when we are talking about our total R&D spend.

Umang Shah:
Sure, sir. And, sir, once the R&D center comes on stream next year, how much R&D are we budgeting from the P&L ?

Beni Rauka:
So, I think this will increase substantially in the sense, supposing we are spending, say, about INR 25 crores. So roughly, for the next
year, it is going to go about INR 10 crores to INR 12 crores higher than whatever we are going to spend in FY 26. And gradually, it
will ramp up.

Umang Shah:
Got it. Thank you so much, sir.

Moderator:
Thank you, sir. Due to time constraints, that will be the last question for the day. Now , I hand over the fl oor to Mr. Ronak Sara f for
closing comments.

Ronak Saraf
Thank you, everyone, for taking your valuable time for attending our earnings conference call. We will keep you all posted fo r any
further updates. I request you all to kindly send in your questions that may remain unanswered. An audio recording and the transcript
of this call will be uploaded on our website and on stock exchanges in due course. Looking forward to host you all in next qu arter.

Till then, stay healthy, stay safe.

Mukund Kabra:
Thank you.

Moderator:
Ladies and gentlemen, this concludes your conference for today. Thank you for your participation and for using Door Sabha's confer-
ence call services. You may disconnect your lines now. T han

k you, and have a pleasant day.

Call: Feb 2026

February 07, 2026

To

Dear Sir/Madam,

Sub: Transcript of Conference call held on February 04, 2026 for the Un-audited Financial Results for the quarter and nine months ended December 31, 2025.

In furtherance to our intimation letter dated January 28, 2026, please find enclosed the Transcript of the Conference call held on Wednesday, February 04, 2026 with Analysts and Investors for the Un-audited Financial Results of the Company for the quarter and nine months ended December 31, 2025.

The aforesaid information is also being uploaded on the website of the Company.

Kindly take same on your records.

Thanking you,
Yours Faithfully,

For Advanced Enzyme Technologies Limited

____
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Company Secretary and Head - Legal
Encl.: As above BSE Limited
Department of Corporate Affairs
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“Advanced Enzyme Technologies Limited
Q3 & 9M FY '26 Earnings Conference Call”
February 04, 2026

Management:
Mr. Vasant Rathi - Chairperson
Mr. Mukund Kabra – Whole Time Director
Mr. Beni Rauka – Group Chief Financial Officer
Mr. Ronak Saraf – Investor Relations Manager

Moderator

Good evening, ladies and gentlemen. I'm Akash, moderator for the conference call. Welcome to Advanced Enzyme Technologies
Limited Q3 & 9M FY26 Earnings Conference Call.

As a reminder, all participants will be in listen -only mode, and there'll be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * and th en 0
on your touch -tone telephone. Please note, this conference is being recorded.

I would now like to hand over the floor to Mr. Ronak Saraf, Manager, Investor Relations. Thank you, and over to you, sir.

Ronak Saraf

Thank you, Akash. Good evening, everyone. Welcome to Advanced Enzyme Technologies Q3 & 9M FY26 earnings conference
call. We sincerely hope you all have gone through our financials and all the disclosures which have been posted in the Invest or
Relations section of our website.

Today, we have with us Mr. Vasant Rathi , Chairperson, Mr. Mukund Kabra, Whole -Time Director, and Mr. Beni Rauka, Group
CFO. Today, the management will discuss the performance and business highlights, update on strategy, and respond to any questions that you may have. As is usual, for the ease o f discussion, we will look at the consolidated financials only.

Now, I would like to draw your attention to the fact that some of the information shared during the call, particularly regard ing our
plans, strategies, and the future outlook, may contain for ward -looking stat

ements. These statements involve inherent risks and
uncertainties and are based on current expectations, forecasts, and assumptions. The actual results may differ materially fro m
those expressed or implied in these statements, influenced b y a range of factors , including but not limited to economic conditions,
change in government policy, regulatory developments, and other unforeseen circumstances.

Recipients are cautioned not to place undue reliance on these forward -looking statements as they are not guarantees for future
performance and should not be viewed as substitute for independent judgment. The company undertakes no obligation to update
or revise any such statements, whether as a result of new information, future events, or otherwis e.

So, without any further ado, we shall commence this call. Over to you, Mukund sir.

Mukund Kabra

Thank you, Ronak. Good evening, everyone. I really appreciate you all for taking out your valuable time, and I extend a heart iest
welcome to everyone jo ining us today on the conference call for the quarter and 9 months ended 31 December 2025.

The global markets are experiencing considerable disruption due to the imposition of U.S. tariffs, leading to the shift in market dynamics. As the tariff situation continues to evolve, we are well positioned to evaluate its impact given the significance of The
Americas as a key export market for us. Concurrently, we remain optimistic. Based on the available news, reciprocal tariff is reduced from 25% to 18%, and the additional penal levy of 25% that had been imposed on India for buying Russian oil has also
been dropped.

The overall performance for the period was mixed. While several of our businesses delivered healthy growth, others remained flat. Despite ongoing g lobal uncertainties, our focus on operational excellence help s us maintain steady momentum towards the full year guidance. Our top line for the quarter stood at INR 1,719 million, reflecting a 2% Y-o-Y growth and decline of 7% compared to the previous quarter.

Page 3 of 23 On year -to-date basis, revenue grew by 15%. EBITDA came in at INR 494 million, which is 11% down Y-o-Y and 18% lower
Q-o-Q, while on a YTD basis, it grew by 11%. EBITDA margin for the quarter st ood at 29% and 31%, and for the nine months of financial year '26, it stood at 31% as compared to 32% in nine months of financial year '25.

Moving on to the profitability, our profit after tax reached INR 432 million registering a 11% growth Y-o-Y and 3% decline Q-o-Q. On a YTD basis, it grew by 20%. The PAT margin at 25% for the quarter and 24% for the year -to-date.

Now, I will take you through our segment -wise revenue performance for Q3 FY26 and compare it both Y-o-Y and sequentially with Q3 FY25 and Q2 FY26.

Let's begin with Human Healthcare, our largest segment. Revenue for Q3 FY26 stood at INR 962 million, making a 6% Y-o-Y decline and 21% on a sequential basis, while growth of 12% is observed in nine months year-to-date basis. This de -growth is on
account of lower sales in the Pharma, API, and Nutrition business across both domestic and international markets. Human Healthcare contributed 56% of our total revenue in the current quarter.

Next, we have Animal Healthcare. Revenue rose to INR 241 million, delivering a 22% increase Y-o-Y, 25% on a sequential basis,
and 26% on year-to-date basis. Annual healthcare accounts for 14% of the total revenue in the current quarter.

Turning to Bioprocessing, this segment recorded 13% Y-o-Y growth during the quarter, 41% sequential growth, and 15% year -
to-date growth. This growth is primarily on account of robust performance of our food business. The food business grew by 16%
on Y-o-Y basis, 51% on Q-o-Q basis, and 19% on year-to-date basis. The non -food business, de -grew by 5% on Y-o-Y basis. It
grew by 3% on Q-o-Q basis, while there is marginal increase of 1% on year-to-date basis.

Lastl

y, the Specialized Manufacturing Segment remained flat on Y-o-Y basis, while it degrew by 16% on a seque ntial basis. On a nine -month basis, it grew by 25%. This segment represents 9% of our overall revenue in the current quarter. The quarter presented its share of headwinds. Nevertheless, we remain steadfast in our strategy and confident in the opportunities ahead. We
anticipate that our strong growth trajectory will persist across all business segments in the foreseeable future. Moving forw ard,
our primary priority is to enhance the resilience throughout our operations, thereby ensuring effective adaptation to the dynamic
market conditions and emerging challenges.

With this, I will now hand over the call to Rauka Ji. He will walk you through the financial and key subsidiary numbers. Over to you, Rauka Ji.

Beni Rauka

Thank you very much, Mukund. Good eveni ng, everyone. I hope you all are in good health and doing well. On the company's consolidated financial for third quarter and year-to-date nine months of FY26, first, I would like to give comparison on Y-o-Y basis , this is Q3 FY26.

Revenue is increased by INR 28 million from INR 1,691 million to 1,719 million, a 2% increase. EBITDA is lower by about 11%
at 29% as compared to 33% in the corresponding quarter of last year. So, this is INR 494 million as compared to INR 553 million.

Profit before tax has increased by 10% from INR 530 million to INR 583 million. This is about 34% of our revenue. Profit after tax has increased by INR 43 million from INR 389 million to INR 432 million. This is about 25% of our revenue as compared to 23% i n the corresponding quarter of last year.

On Q-o-Q basis, sequential basis, revenue is down by about 7% from INR 1,845 million to INR 1,719 million. EBITDA is decreased by INR 107 million from INR 60 1 million to INR 494 million, about 29% of our revenue as compared to 33% in the last quarter.

Profit before taxes decreased by about INR 13 million from INR 595 million to INR 583 million. Profit after tax es decreased by about INR 15 million from INR 447 million to INR 432 million. This is about 25% of our revenue as mentioned here. For nine months of FY26 versus nine months of FY25, our revenue has increased by about 15% from INR 4,697 million to INR 5,424 million. This is about 15% growth. EBITDA is increased by INR 170 million, 11% increase from INR 1,488 million to 1,658 million. This is about 31% of our revenue as compared to 32% in the last year.

Profit before tax has increased by about 20% from INR 1,439 million to INR 1,727 million. Profit after tax has increased by a bout INR 212 million from INR 1, 072 million to INR 1,284 million. This is about 24% of our revenue as compared to 23% in last year nine months.

Regarding our subsidiary numbers, JC Biotech , quarterly numbers is top line of INR 159 million with EBITDA of INR 7 million and PAT of negative INR 4 million as compared to INR 172 million of top line and INR 22 million of EBITDA and INR 7 million of PAT in the corresponding last year, Q3. For nine months, JC Biotech top line is INR 556 million as compared to INR 488 million , resisting 14 % increase. EBITDA is INR 77 million as compared to INR 66 million, 17% increase, and PAT is INR 27 million as compared to INR 19 million, 39% increase.

Evoxx revenue stood at INR 87 million and EBITDA of INR 22 million, and PAT of INR 15 million for Q3 of this year as compared to INR 64 million, INR 12 million, and INR 4 million respectively of revenue, EBITDA, and PAT. The nine months Evoxx revenue stood at INR 231 million as compared to INR 160 million, resisting a 44% of increase, and EBITDA has incre ased from negative INR 8 million to INR 53 million in nine months, and PAT is INR 36 million as compared to negative INR 30 million .

Our health care bifurcation, India sales stood at INR 481 million as compared to INR 460 million in correspond

ing quarter of last year. International sales stood at INR 482 million as compared to INR 559 million. Our B2C sales stood at INR 91 million as compared to INR 103 million in the Q3 of the last year.

SciTech top line stood at INR 159 million and EBITDA of INR 28 mil lion, PAT of INR 7 million as compared to INR 154 million of top line and INR 30 million of EBITDA, and INR 20 million of profit. So nine months is INR 489 million as compared to INR 386 million. EBITDA is INR 65 million as compared to INR 66 million, PAT is INR 15 million as compared to INR 32 million for nine months.

Our largest product, which is anti -inflammatory enzyme, this is about 21% of our revenue as compared to 20% last year. For nine months it is 22% as compared to 19% last year. Top 10 custome r is about 26% for this quarter as compared to 26% in Q3 of last year. And for nine months, it is 23% as compared to 36% last year. B2C sales numbers stood at INR 104 million as compared to INR 123 million in the last year corresponding quarter.

R&D expe nditure on stand alone basis for Q3 , revenue is INR 77 million and CapEx is INR 3 million. So total is about INR 80 million. This is comparable to the earlier quarters. Total INR 246 million we have spent so far in nine months. R&D expenditure as a percentage of our revenue on consolidated basis, it is about 4.7% as compared to 4.9%. Here, this is without considering the interco mpany elimination.

And on a consolidated basis, R&D spend after considering the elimination, it is about 3.2% as compared to 3.3% in Q3 of FY25. For nine months, it is 3.2% as compared to 3.7% in nine months of last year.

That was from my side. Now, we shall open the floor for question -and-answer session.

Moderator

Thank you, sir. Ladies and gentlemen, we will now begin the question -and-answer session. If you have a question, please press * and 1 on your telephone keypad and wait for your turn to ask the question. If you would like to withdraw your request, you may do so by pressing * and 1 again. Ladies and gentlemen, if you have any questions, please press * and 1 on your telephone keypad. Let us wait for a moment until the question queue assembles.

The first question comes from Mr. Umang Shah from Banyan Tree Advisors. Please go ahead, sir.

Umang Shah

Hi, sir. Am I audible?

Moderator

Yes, you are audible.

Umang Shah

Hi. Thank you for the opportunity. Sir, first question was , if you could break down the human nutrition revenue between India and international?

Beni Rauka

Yes. So, I'm giving you for nine months number , okay?

Umang Shah

Okay.

Beni Rauka

India is INR 1,710 million and for the international market, INR 1,686 million. So total is INR 3 ,396 million for nine months.

Umang Shah

Got it. Sir, and the second question was if you could speak about the decline in human nutrition segment. You alluded to the fact
that it was between both pharma and nutraceuticals and even the numbers represent that . So, can you just help us understand,
especially in nutraceutical business in the U .S., what led to the decline?

Vasant Rathi

Mr. Shah?

Beni Rauka

Umang Shah.

Vasant Rathi

Umang?

Umang Shah

Yeah, tell me sir.

Vasant Rathi

 You know what is going on . Overall, the market is very uncertain in U .S. and when there is a complete uncertainty in nutritional
market, everybody is paying a heavy duty no matter where the product is coming from in the nutritional market, human nutritio n
market. And long -term strategies, short -term strategies are difficult to d evelop during this kind of uncertain markets.

Second part is the cost , which is coming out from the China on all the raw materials for packaging, shipping, etc. It is going up,
and the industry is trying to pass on that cost a little bit at a time. And y ou can see that there is a sl

owing down , not because only
on the nutritional side also, but the market -wise, it is affecting the consumers very , very heavily in the food segment, in pharma
segment everywhere. So overall, there is a tremendous uncertainty i n the marketplace. And in that particular place, people

try to
hold on to placing any new orders. Does that make sense to you?

Umang Shah

Yes. Got it, sir. Very useful. Sir, and second question was what is the competitive intensity in our largest product in India? Is it normalizing compared to last year or is it still quite high?

Mukund Kabra

Umang Ji, you can see the numbers , and if you see the numbers, slowly we are growing, right? So I don't see there is any problem
for competencies or any other area into that particular.

Umang Shah

Got it, sir. Got it. Sir, and last question was, at the end of the last year, you had mentioned that we want to have a busine ss in intermediates also. It's been -- I mean, it's been -- nine months of this year has been done. Any headway in this business?

Mukund Kabra

We are still working on that. And probably when the ri ght time will come, we'll come out of it, okay.

Umang Shah

Okay. Got it. Sure, sir.

Vasant Rathi

But the plan i s going well. Hopefully the market conditions will help us establish the foothold.

Umang Shah

Okay. Great, sir. Thank you so much, sir. I'll get back in the queue.

Mukund Kabra

Thank you.

Vasant Rathi

Thank you.

Moderator

Thank you, sir. The next question comes from Mr. Sajal Kapoor from Antifragile Thinking. Please go ahead, sir.

Sajal Kapoor

Yeah, thank you. My questions are not about this quarter or nine months, but slightly medium to long term. And so first one i s,
how are you monitoring pote ntial disruptive technologies or new entrants in the enzyme space, and what steps are you taking to
ensure that once enzyme is not kind of blindsided by them?

Vasant Rathi

Very, very interesting question, and thank you for asking that. Listen, there is t echnologies which are coming in or the new entrants
coming into the marketplace. There are certain segments in the human nutrition where people are more concerned with , and we
are addressing that through our lot of research of new products, new areas. It t akes little time to develop these new enzymes per
se, because it has to go through lot of regulatory approvals, etc.

But we are already , as you will see , that we are very much, very much on top of it publishing our papers . We are also trying to

get techni cal backgrounds and support systems , because people nowadays don't like just an ingredient per se. They want a research
data supporting it, and which too also with the peer review papers. And that's how we are trying to attack that market , to make
sure tha t we keep our lead continuously into this market.

Sajal Kapoor

Yeah. That's helpful. And yes, I agree it takes time to commercialize the new discovery taking on you know -- it's time consuming .
Nothing works over overnight in this industry, so I complete ly appreciate that.

And my second question is, how do you decide when to invest in incremental improvements and to existing products versus pioneering entirely new enzyme solutions that might initially serve only a smaller or a less profitable market, bu t you know, that
may potentially lead into longer term opportunities. So basically, the question is, how do you decide when to sort of become more
cost efficient because of competitive pressures or otherwise in your existing products versus what R&D dollar or how to invest that incremental money into something novel, discovering it and then commercializing it. What is this sort of mindset?

Vasant Rathi

Mindset is , basically you go to the marketplace where you have better profit margins to begin with , and then expanding to the
markets where there is margin pres

sure, but the volume gives us a cost competitive advantage into our manufacture because of
the volume .

Sajal Kapoor

Do you keep separate teams for novel innovation, something which is getting discovered and versus incremental improvemen ts?
Or are these the same teams ?

Vasant Rathi

No. The teams, you had to separate them and get most of the efficiencies, cost efficiencies , because nowadays travel is very expensive as you know , okay. Besides, A I is coming into picture, so a lot of people are ‘self-educated ’ per se, you know.

So, it is always a very interesting market dynamics where people throw the questions from AI, wanted to know all the answers kind of thing. And this is a technical field a little bit, so you have to explain it in the marketplace to make them understand why it
is different. It is not the same thing.

 Sajal Kapoor

Yes, sure. But my question was, is it a single R&D center , because we have got multiple R&D centers. So, how do we position
them for new innovation versus improvement?

Vasant Rathi :

No. There is single , R&D center .

Mukund Kabra

R&D center is single, but they are subdivided into different departments, function ality wise, okay. So, there are different people
taking care of different areas.

Sajal Kapoor

Understood. Okay , that's helpful. Thank you so much for all the responses. Thank you, and all the very best.

Vasant Rathi

You're welcome. Thank you.

Moderator

Thank you so much, sir. The next question comes from Mr. Shreyans Gathani from SG Securities. Please go ahead, sir.

Shreyans Gathani

Hi, good afternoon. I had just had one question. So, from my understanding, the sales in the Evoxx subsidiary just go to Europe.
Would that be the right understanding?

Vasant Rathi

Yes, it the right understanding.

Mukund Kabra

Yes.

Shreyans Gathani

Okay. So, based on that, so if I look at excluding the Evoxx, pretty much our sales have dropped. I'm just loo king at the last quarter like we were doing around INR 4 crores. If I just subtract the Europe sale -- the Evoxx sales from the Europe sales, so besides the Evoxx, we've pretty much not done anything in this quarter. So could you comment on what happened? Like, why we've lost sales over there, in Europe?

Mukund Kabra

So Shreyans, I think quarterly comparison, as we have already been mentioning , it is not possible in our case.

 Vasant Rathi

People don't buy quarter -to-quarter and month -to-month.

Beni Rauka

Yeah , it all depends on customers, their own procurement schedules.

Shreyans Gathani

Okay. Because I see like pretty much we are averaging . Like last four quarters you're doing like INR 4 crores, and now it's less
than INR 1 crore, like INR 90 lakhs, besides the U .S. sales, so .

Beni Rauka

We will give you an exact number. I don’t know how you have subtracted.

Shreyans Gathani

Okay. I will take that offline. That's okay. Thank you. That's all from my end.

Vasant Rathi :

Thank you.

Beni Rauka

We will talk soon.

Moderator

Thank you, sir. The next question comes from Mr. Rohan from Blue River Capital. Please go ahead, sir.

Rohan

Am I audible?

Mukund Kabra

Yes, Rohan ji.

Rohan

I look at your sales for the U .S. here.

Mukund Kabra

I'm sorry. A little bit louder Rohan .

 Moderator

Roha n sir, I would request you to speak a little louder , because your voice is so feeble.

Rohan

Yeah. Am I audible now? Is this better?

Moderator

Better, sir.

Rohan

Yeah. I was talking about the U .S. sales. There has been some weakness in the U .S. sales of recent. I think in one of the earlier calls you had alluded to the fact that this is relating to the tariffs. Now, given the current favorable kind of trade deal that we have, it was announce

d a co uple of days back. What is the outlook for the sales in the U .S. given it is the largest market, both in terms of, I mean, recovering sales and then from year on going henceforth forward . If you can help us with how you plan to go ahead there with regards to new products, new customers, new segments, anything on that, please?

Vasant Rathi

Well, tariff is the tariff , 18%, 25% or 50%. Do you think anybody is willing to pay you 50% higher prices in the retail marketplace? Today, i t's impossible. You will los e lot of -- entire sale or your entire sales. So it’s various strategies which we had to do , so that we don't lose customers , at the same time impact on the margins are not heavily affected. So , most of the things if you will see , that U .S. companies will pass on some of the cost increases to the customers during this 2026.

There is a competition also which you have to keep in mind , whether competitors are ready to increase the prices or not. And you have to be competitive in the marketplace where others -- what others are doing. So , there are several factors that comes into picture. This is something -- the only thing it makes sense right now is yesterday's news will help us a little bit better in sense of how to normalize and be reasonable. So, we need to keep the customers comfortable.

Rohan

There is a point about that, yes, but people what last see for us actually. If you look at our numbers for FY25, those are also weak.

And now after that, FY26, as you said, tariff is understandable. But, I mean, g oing forward, after the fact that the tariff has come
down to 18% now . How do you see U .S. as a market going ahead for us?

Vasant Rathi

Yeah that, i t will not have much of a difference for the market sales. We will see how the market is going -- overall market is taking the tariff, whether it is 15%, 20%, 18%. They will reflect in the marketplace and overall economy of the U .S. So if the U .S.
economy remains strong with the employment, market will be good, and we see reasonably it should grow.

Rohan

Okay. And do you think any efforts are needed with respect to setting up a local base or getting person nel -- sales and marketing
personnel there to further push for better growth there?

Vasant Rathi

We always are looking for a better growth, right . We always do our best.

Rohan

It is not reflecting in the numbers hence, the little bit of pushback on that, sir.

Vasant Rathi

Sorry?

Rohan

It has not been really reflecting in the numbers, and hence, as investor s, I think there was slight bit of pus hback on this matter.

Vasant Rathi

No. I understand.

Rohan

In future, I think, going ahead things will be better as you actually said.

Vasant Rathi

Yeah. No , no. We see a much better outlook. I mean, what we are looking at is a lot more inquiries, lot more interest that will reflect in next years.

Rohan

Okay. Because sir, I mean, given U .S. has such a large impact on our margins, if sales from there were to go down as they have
been in the past, it would again affect the margins going ahead. So, I think given all of this, it holds a pretty much high importance,
especially this large market for us.

Vasant Rathi

Absolutely , absolutely. We are very mindful of that.

Rohan

All right. Thank you, sir.

Moderator

Thank you so much, sir. Ladies and gentlemen, if you have any questions, please press * and 1 on your telephone keypad. I

repeat,
if you have any questions, please press * and 1 on your telephone keypad.

The next question comes from Mr. Abhishek Navalgun d from Centrum Broking. Please go ahead, sir.

Abhishek Navalgund

Yeah. Hi. Thanks for the opportunity. A couple of questions from my side. First, on the upcoming R&D Center , that is supposed
to come in Nashik, I think, somewhere during this particular year . Is it possible to sh

are, I mean, what area you will be targeting
 to begin with? Because it was mentioned that it will be a far bigger setup as compared to what we have rig ht now. So, any
particular area and where you'll see the benefits coming in, maybe not immediately, but over the next couple of years from that
perspective?

Mukund Kabra

So, Abhishek Ji, to begin with, we'll be targeting mostly on the strain development , protein engineering and on the fermentation
side. That will be the first phase.

Abhishek Navalgund

Sure. But, I mean, the reason why I'm asking this question is , we have Serratiopeptidase as our largest product, but you get this
question a lot , that whi ch product can become like a next Serratiopeptidase for us. So, something similar can happen out of this
R&D effort that you are intending to do?

Mukund Kabra

Yes, Abhishek Ji. We are wor king to do on -- there are many other products which we are working out there. And probably, the
space will fasten up once this becomes live.

Abhishek Navalgund

Okay. And this will be largely targeted again for the exports only, right, abroad? I'm sorry, the timing of this commissionin g of this facility is when? Sorry, I missed out on that part.

Mukund Kabra

Somewhere around the end of the second quarter of this coming year.

Abhishek Navalgund

End of second quarter, perfect. And next question on CapEx. I mean, we have maintained the capacity utilization at around 55 %,
60%. I'm sure that considering since we have not done a large CapEx over the last few years, I mean, the CapEx, the capacity
utilization must have been stopped. Any plans of CapEx being greenfield or brownfield expansion in the next one or two years?

Mukund Kabra

As we all always mention, whenever we feel like it will be necessar y, we'll do it. Of course, the cost will be very low. Maybe, I guess, in the FY28 -29, probably. Sorry, FY26 -27, FY27 -28 -- yeah, FY28 -29 mostly and the cost will be about INR 50 crore at
that point.

Abhishek Navalgund

Okay. So , nothing on this particular year, right?

Mukund Kabra

Not this year, except for the R&D, CapEx, whatever we will need for the R&D Center.

 Abhishek Navalgund

Okay. And the Serratio peptidase capacity, because this quarter was maybe kind of muted, but in nine months, the growth has been
very strong. So, how are we placed in terms of capacity utilization for Serratiopeptidase? So, the JC Biotech plus our capacity is
sufficient for, let's say, a couple of more years or?

Mukund Kabra

I think , our capacities are good enough as of now. We are well placed.

Abhishek Navalgund

Sure. Done, sir. That's it from my side. Thank you and all the best !

Mukund Kabra

Thank you, Abhishek Ji.

Moderator

Thank you, sir. The next question comes from Mr. Ketan Chheda, an individual investor. Please go ahead, sir.

Ketan Chheda

Hi. Thank you for the opportunity. My query is with respect to the EU region. You know, in the last few years, if I take from 2021
onwards, we've had approvals wherein initially we had some four product approvals and now we are standing at nine product approvals for the EU region. But in these years from '21 to '25, our revenue has not increased significantly. It's about INR 32 crores to INR 33 crores in that zone. So could you tell us like what are we selling essentially in European Union, and why in spite
of having so many product approvals our revenues are not growing in that region?

Mukund Kabra

So, our original target is the food segment in the European region, and that is what we are doing it. If you ask me, if you don't have these regulations, clearly our sales would have been zero , because you can't sell without this product being registered. So
assuming that since it gets regi stered, you will have a significant revenue, it's not true. We are doing our best. We

are trying to
expand the market wherever it is possible. And I guess, we are still growing. This year also we grew into the European area. It's
not like what de -grew or something of that.

Ketan Chheda

No. Sorry. I mean, I was referring to from -- I mentioned that 2021 till 2025, not just this nine months or last one year or so. I was
talking about the last four odd years, four, five years. Because if you see the like, 32, we had it.

Beni Rauka

So, I think in Europe, we have seen slightly the business model of our European company. So, they were having some contract
research, external contract research, then internal for us, and then some product sale. So because of that realignment also, I think
now the product sale was slightly down in couple of years. And now we are looking into that aspect and seeing that some kind of
revenue we are going to get from that product sale business as well, which has been developed in India and then European company

will take care of that. So that process is on, yes. And slightly -- the numbers that you rightly said is the kind of you know, is out of range bound so far.

 Ketan Chheda

Okay. I appreciate that response. The other question that I have is, I believe the one novel ingredient application that we have in
Europe is again related to Serratiopeptidase. Now, once we have that approval , and assuming that probably it takes maybe a couple
of years for us to kind of ramp up the sale of this novel ingredient in the European region. Is it likely that this product will continue
to be the top revenue generator for us?

Vasant Rathi

Listen. If you know very well, you're aw are, most of the issues, health care issues are inflammatory related , right. And we have to
make sure that awarenes s is there. People find that these products are working very well for them , and it's a marketing effort,
product establishment, brand establishment, etc. But we're sure that it will grow.

Ketan Chheda

Okay. Th ank you so much. Yes, that's all. There are no questions. Thank you so much, and wish you all the best.

Vasant Rathi

Thank you.

Moderator

Thank you so much, sir. The next question comes from Mr. Ravi Purohit from Securities Investment Management Private Limited.
Please go ahead, sir.

Ravi Purohit

Yeah. Hi. Thanks for taking my question. So, a couple of things. One is I think, over the last few years there has been a lot of discussion on U .S. business and your business. But outside of these two, the other geographies have actually done relatively better,
and we see sustained growth from these geographies. So, can you just spend some time and help us understand what are the area s
which are helping us with this growth and also whether these are sustainable numbers and whether we can build upon this over a
period of time. So, if you would just share some insights on this, that was question number one.

And second question was, we had created a 100% loan subsidiary to transfer our B2C business, and we had some thoughts on
how to kind of get into or expand that B2C business significantly in India. So, if you could just share some update on that?

Mukund Kabra

So, when we talk about it, like we did a lot of registration in Asia and other countries. And if you really look into the rest of the world and Asia, those are the two markets which are giving us some results. The work which we did in the last two, three, fou r
years, they are yielding some results right now, and we can see that there is certain gro wth in the Asia , as well as in the rest of the
world area.

Coming to your next question on the Nutrazyme we did like separate this entirety, and now the team is there, which is a focused
team, which is working onto this area particularly. As of now, with the way we see it, this year it will be a small sale from around
INR 1 crore to INR 1.5 crore for the end of the year

. But we are constantly focusing on that. The team is young and dynamic, and
we'll see the results in coming two to three years.

 Ravi Purohit

But do we have a significant product pipeline which we can, kind of you know -- which you could probably share with investors as to what kind of products are we looking at? And historically --

Mukund Kabra

You may visit its website . If you want to , we do have somewhere around a basket of 10 to 12 products out there, and you can loo k
at those products at the Wellfa .

Vasant Rathi

Yes, w e have a brand, Wel lfa brand. You can go and take a look at it and not only take a look at the brand. I suggest you buy
some and try it yourself.

Ravi Purohit

Yes. We'll do mo st certainly, sir. And I think you had mentioned in the past that we historically have been a B2B company and
not necessarily B2C company. So any idea, just because B2C is a very different animal altogether, right, in terms of marketing,
ad spend, and getting -- so is there any, like, plan to kind of do some JV with some other company or do it ourselves or , because
if the products are there and if they are good and they are doing it for other people for white labeling point of view, there could be an opportunity for us to kind of scale that business.

Vasant Rathi

Thank you for suggesting and confirming what we think in the same manner. So, both of them are thinking alike on that matter.
We will do all of that, whatever you said, is grow our brands, align with few others, we have to see company people, and integrate
and expand. That is a totally different biz than B2B. So, we have to think in a different way, and we will take all the exper tise necessary in that particular market. That's why we are separating the company under Nutr azyme.

Ravi Purohit

Okay. And sir , in the past we have kind of briefly touched upon industrial enzymes. But if you could, kind of spare some time and help us understand, in the sense, what areas in industrial enzymes do we actually do or we intend to kin d of add to our portfolio? Because that seems to be a very interesting space where given all the investments that are happening in India, either
from green ammonia point of view or rare earth minerals point of view or a , well, whole variety of other things that are getting manufactured. And each time we kind of read some literature, what we come across is there are a lot of industrial enzymes which
get used. So, is there anything that we do in any of these spaces or intend to get into any of these spaces? J ust a broad -brush idea
if you could give?

Vasant Rathi

Yeah. We are intended to get into those spaces on the growing marketplace. Our new R&D Center will really help us into that ,
because ultimately in all industrial segment, there is a performance which really counts right the n and there. So , they don't wait.
There are two areas which we have to show immediately of our performance and cost effectiveness, and it requires lot of work
and proving that our enzymes are better than what they are using or not using at this point in time.

Ravi Purohit

Do we have products or?

 Vasant Rathi

We have products. The thing is you need lot of R&D also to support this , okay, and that is what our new center will give us, space
and area to develop new applications.

Ravi Purohit

All right. I'll get back in the queue. Thank you.

Mode rator

Thank you so much, sir. The next is a follow -up question from Mr. Umang Shah from Banyan Tree Advisors PMS. Please go ahead, sir.

Umang Shah

Hi, sir. Thank you for taking my questions again. Sir, since Vasant Ji is also on the call, I just wanted to hear from him in terms of over the next two to three years, in which areas of enzymes that we see the most opportunity and will Advance d Enzymes be
able to take part in it?

Vasant Rathi

Umang, th

ank you for calling. See, we had to stick with lot of these areas which we are already servicing, but we will also expand
it to few other market areas . In the same market see, there are two , geographical marketplace and different application marketplace ,
and still our healthcare will be always a top area for us. But we are also going into biochemical processing and various other areas
where the margins are not necessarily very high, but at the same time opportunities are enormous.

So we are looking at both , different areas where we can expand and utilize our capacities very efficiently, at the same time grow
our marketplace , and that's where the whole concentration of the management is at this time.

Umang Shah

Great, sir. Thank you so much. And sir, now in the budget buybacks have become better in terms of the tax implications. So would
really suggest if , now where the stock price are, if you can consider a buyback of equity shares, that also helps in increasing the
promoter holding and also helps long term shareholders increase the stake without any frictio n. So just if that's something you
could consider. And the last thing was, if I heard it right, there was a loss in JC Biotech. Is that the right understanding?

Mukund Kabra

That is right.

Beni Rauka

This quarter, yes.

Mukund Kabra

This quarter, yes . But you don't look at it Q-o-Q.

Umang Shah

Okay. Was there an operational loss or a one -time loss? Because it was EBITDA margin positive, but --

Mukund Kabra

There was some major, what you can call it, like a repair -- not repair . Stores and spare consumption for this quarter, which

comes
annually sometimes.

Umang Shah

Okay. Is it one -time, or does it happen once every year?

Beni Rauka

Once in a year.

Mukund Kabra

Once in a year or twice in a year -- in two years once or that kind of thing. An d this quarter, like again, there was some lower sale.
But again, we don't get it Q-o-Q.

Umang Shah

Okay , great. Thank you so much, sir.

Moderator

Thank you, sir. The next question comes from Mr. Shubham Sehgal from SIMPL. Please go ahead, sir.

Shubha m Sehgal

Hello. Am I audible?

Moderator

Yes, sir.

Shubham Sehgal

Yeah. I just had one question. So, in the earlier response, you mentioned that going forward you're seeing a much better outl ook
and a lot more inquiries on interest. Could you specify in which segment are we seeing all of these inquiries coming in?

Vasant Rathi

We are only in the two places , no, enzymes and probiotics. So , most of it is -- for example, our marketplace is a very different
and dynamic marketplace. You know, in U .S. -- you are talking about U .S. market, right?

Shubham Sehgal

So, in general, you specified that we're seeing a better outlook going forward. So our case inquiry is more of – yes.

Vasant Rathi

Yeah , more inquiries into U .S. marketplaces, okay?

Shubham Sehgal

Okay. So emphasis are specifically to U.S. market , right?

Vasant Rathi

Correct. You are correct.

Shubham Sehgal

Okay.

Mukund Kabra

He was referring to the more of U.S. market, but there are always inquiries in Indian market as well or this area , exactly, right?

Vasant Rathi

Yeah. Overall, it is a bigger market.

Shubham Sehgal

Okay. Got it. Thank you. And just next question was on the specialized manufacturing segmen t. So, we saw good growth in the
last four to five quarters, and this quarter was relatively flat. So like, just going forward, how do we see this segment tur ning out?

Mukund Kabra

Again, don't look at it Q-o-Q. There are always sometimes the payment iss ues or other issues, and sometimes the sales rework
that are there. So don't look at it Q-o-Q. Look at it just nine months, and it's good , and I think it's continued to grow.

Shubham Sehgal

Yes. So going forwar

d, are we adding new products in this segment? I mean, as we had acquired this earlier. So, like, how is it
going on? Can we just get some color on it? Like, are we adding new products? Are we getting good traction?

Beni Rauka

So this is basically an effervescent based technology company. So they do work for various clients. So, they are doing for, say,
nutraceutical segment and of course for animal -- I mean , division also . We are doing a lot of work for overseas company as well
as now we are expanding our footprint in India. So basically it is like tablet or sachet. This is effervescent based.

So, we are now looking into, like now how do we market this product into -- whether we can go for even in textile segment . Can
we have some product like that which can be used? You know even disinfect ants can be used and cosmetic also there is a scope.
So we are working on various things. But yes, I mean it is a process which is taking its own time , and we are working with a
couple of good clients or companies on different areas in this particular comp any.

Shubham Sehgal

Okay. Actually, just one clarification. So currently as you mentioned, so this business is not yet present and we don't have a lot of
clients in India as of now, right? So is it really more of concentrated in U .S. or like it's spread out geographically?

 Mukund Kabra

So, it's a combination of both, and there are a lot of different projects which are going on with different companies in Indi a as well
as in abroad , okay.

Shubham Sehgal

Okay , got it. Thank you.

Moderator

Thank you so much, sir. The next question comes from Mr. Rohit O hri from Progressive Shares. Please go ahead, sir.

Rohit O hri

Hi, team. Two questions and two parts to them , the first one being on the U .S. subsidiary. So, by when do you anticipate that the
volume will start picking up from there? Because as you mentioned, the inquiries have already started flowing, and we also se

e
that World Nutrition Inc. versus Advanced Supplementary, that case is also so lved. So, by when do you expect that higher sales?
Because if I read well, the margins tend to increase if sales are higher from U .S.

Vasant Rathi

It's a good question. I think it should reflect things trending into this year , okay.

Rohit O hri

And sir, on the R&D side, there were some products which were just about to be launched in March. So, are we on track for that
or will we see some delay or maybe spilling over into June or September?

Vasant Rathi

Do you have a specific on the product which you're talking about?

Rohit O hri

No, sir. It was not -- it wa s mentioned in the previous con call, but then there were no specific as such, but it was said that it will
be launched in March probably.

Mukund Kabra

So, it's a constant process, Rohit Ji. S o, I don't know which product we are referring to at this point of time.

Vasant Rathi

We have several products in the pipelines.

Mukund Kabra

So, it's again dependent on the market. Once you go into the market, you come back. You again do some kind of thing if we 'd
require it. If it is good, then it is good. So it's constant process, Rohit Ji.

 Vasant Rathi

In short, listen , there is not like simple thing to concent rate on one product. We have multiple products in pipeline, which we are
working on , and let me tell you that not every quarter we are going to review and see what happens on that particular one. But
several products are there, and there are some products get hit very quickly. Some products take a little longer time. Some will
have delays because you have to go into pilot scale, then people are just not going to jump on it. They go a slow process. Sometimes
somebody is very fast. It depends on the market po ol.

So, believe me , all of these are under continuous review and push is very big and try

ing to get some products which are hit , get
more bigger hit , so that our revenue generations can be there ASAP.

Rohit O hri

Sir, the union budget, it was speaking quite a lot about fillip to the toll manufacturing while the FM was also trying to attract some
global businesses and some investments, thereof , while she also mentioned about some impetus for biopharma Shakti or maybe
biologic mediums. Do you think that these developments can get some volumes as well as value for us?

Vasant Rathi

The chances are very high , provided if we get some kind of a relief from this government regulations and bureaucratic

message,
you know? Gove rnment talks very big, and they respect you. But as we all know, there is so many rules and regulations, but a lot
of companies are greatly interested, and we are very much interested in working with them.

Mukund Kabra

I was just saying this, there's sti ll a lot more to understand. It's very easy to say. There are like lot of things which we are coming
with like new institutes and other things is what I understand, but we need to go through the fine lines and understand it more deeply.

Rohit O hri

Because Kabra ji, in one of the con calls recently, we mentioned that we were working on some contract manufacturing and some
developments thereof. And even if you look slightly into the fine print, they are giving some tax benefits, which Rathi just mentio ned about. So it's any different off sense is the only thing that I'm asking.

Mukund Kabra

We still need to evaluate the impact of it on the budget and other things, right . So we are working on some of the areas, but let's
see. And we still need to under stand the budget, honestly.

Rohit O hri

Okay, Kabra ji. That makes a lot of sense. Thank you for answering my question. Thanks a lot.

Mukund Kabra

Thank you, Rohit.

Moderator

Thank you, sir. Next, we have a follow -up question from Mr. Rohan from Blue River Capital. Please go ahead, sir.

 Rohan

This is for Mr. Rathi. Thank you for being on the call today, sir. From a three to five year perspective, so if you say a medium to
long term perspective, where do you see a company progressing towards? And what do you think is really needed to get there? I
mean R&D, obviously, is a huge and strong pillar for us. But apart from R&D, I think from what else do you think is requ ired for
us to take us to that position there in three to five years?

Vasant Rathi

Well, as we said before also same thing. I don't think we are changing our tune anywhere. We'll grow 13 % to 15% double digit,
more than double digit growth overall on a continuous basis in three to five years. There are a lot of hurdles will come in t he places, and there will be some sellings. But overall, we're very comfortable with our thinking, and accordingl y sometimes we can
hit a very big way. The growth may increase rapidly, but overal l we are 13 % to 15% is very comfortable for us.

Rohan

That's good, sir. Because from a historical perspective, last couple of years have been slightly weak. This year nine months obviously we have credit where we have done well. But as I said, the last few years, the last two, three, four years all have been
weak. So, given that context, I'm asking, do we require any changes, any particular functions per se, be it sales, mar keting, manufacturing, operations, anywhere else? Does anything have to change? And if yes, what would that be?

Vasant Rathi

We are addressing to those , that is what you are looking at overall for nine months performance also , and we'll see that we'll continue to meet your expectations.

Mukund Kabra

The only thing what I would like to add out here, the ride will be roller coaster. It will not be the straightforward graph of like this. Some years we w ill grow faster, and some years we might grow a little slower.

Rohan

That is und

erstandable, sir. And a small bookkeeping question. So , on margins, what was earlier communicated was that tariffs would have a 200 bps odd impact on margins. Now with tariffs kind of moderating, how is margins trend going out from here?

Beni Rauka

So almost nine months is gone. So I think another three months we have to see the impact, but it is most likely instead of 2% on
EBITDA, I think it will be around 1% or so.

Mukund Kabra

Yeah. But it's a worst -case scenario. We a re also trying to pass on, as Vasant Sir had mentioned, some of the cost to the customers
in U.S. So , we'll see what will be the last impact, but this is the worst case scenario.

Rohan

Understood, sir. Thanks a lot, and wishing you all the very best.

 Vasant Rathi

Thank you.

Moderator

Thank you so much, sir. The next question comes from Mr. Chandramouli Jaganathan, an individual investor. Please go ahead,
sir.

Chandramouli Jaganathan

Sir, the previous participant was talking to you about the buybac k, which you did not answer. We also feel that the current market
cap of your company kind is at a lower level. Maybe you can think of if there is any view on that?

Mukund Kabra

Sorry, your question is not clear. Can you please repeat?

Chandramouli Ja ganathan

No, I'm talking about the buyback. Even there is a previous participant also asked you about that , you did not answer. Since the
valuation is so attractive, maybe do you have any plans and the taxation of the buyback also the recent budget become little attractive?

Beni Rauka

No. We appreciate your question and your guidance. But there are many things which you know very well. This is the probability
with the board , right? So, it cannot be answered as such.

Chandramouli Jaganathan

Okay. Thank you, sir.

Moderator

Thank you so much, sir. We have one final question, which is a follow -up question from Mr. Ketan Chheda, an individual investor.
Please go ahead, sir.

Ketan Chheda

Thank you for the opportunity again. Sir, my question is with regard s to slide number 25 of your presentation. There is one segment within Human Nutrition, biocatalysis. And if I see the revenues in FY24 and FY25, we've kind of gone down from $3 .3
million to $2.1 million. Now my question is with respect to the biocat alysis , could you explain what are we doing right now? And
maybe in the next three to four years or five years, where do we go ourselves going ahead in that -- in this segment of biocatalysis?

Mukund Kabra

We are working on the Biocatalyst area. Like, that's w hat I can say. A lot of things are there on the pipeline. There might be something here and there, and we still need to understand that , but the growth prospects are very good into this area, Ketan Ji.

 Ketan Chheda

Okay. Because even in some of the previous calls, you mentioned that there are some products under trial with some customers.
So, is there any update of those trials of those products , or if there is some kind of outlook in terms of time -line, like how long there will be some outcome of th ose trials, be it one year, two year, something like that?

Mukund Kabra

Maybe I would like to say that, probably we will have to wait till the first quarter of the next financial year.

Ketan Chheda

Okay. Thank you so much. Wish you all the best.

Beni Rauka

Thank you. I think, Shreyans Gathani has asked one question. Shreyas, probably you were reducing the Evoxx number directly
from the European top line, European numbers, whatever we have shared with you. So, I mean it is -- you know, the number which we have shared is net of our intercompany transaction. So you have to look from that angle. So our Europe, I think reve nue
number was about INR 96 million during this quarter as compared to INR 105 million in Q3 of last year and INR 116 million for Q2 of this
year.

Moderator

Thank you, sir. There are no further questions. Now I hand over the floor to Mr. Ronak Saraf for closing comments.

Ronak Saraf

Thank you, everyone, for taking your valuable time for attending our earnings conference call. We will keep you all posted for any further update. I request you all to kindly send in your questions that may remain unanswered. An audio recording and the
transcript of this call will be uploaded on our website and on the stock exchanges in due course. Loo king forward to host you all
in the next quarter. Till then, stay healthy, stay safe.

Mukund Kabra

Thank you. Bye everyone.

Moderator

Ladies and gentlemen, this concludes your conference for today. Thank you for your participation and for using Door Sabha's conference call services. You may disconnect your lines now. Thank you, and have a pleasant evening.

Call: May 2026

May 15, 2026

To

Dear Sir/Madam,

Sub: Transcript of Conference call held on May 12, 2026 for the Audited Financial Results for the quarter and year ended March 31, 2026.

In furtherance to our intimation letter dated May 05, 2026, please find enclosed the Transcript of the Conference call held on Tuesday, May 12, 2026 with Analysts and Investors for the Audited Financial Results of the Company for the quarter and year ended March 31, 2026.

The aforesaid information is also being uploaded on the website of the Company.

Kindly take same on your records.

Thanking you,
Yours Faithfully,

For Advanced Enzyme Technologies Limited

____
Sanjay Basantani
Company Secretary and Head - Legal
Encl.: As above BSE Limited
Department of Corporate Affairs
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“Advanced Enzyme Technologies Limited
Q4 & FY '26 Earnings Conference Call”
May 12, 2026

Management:
Mr. Vasant Rathi - Chairperson
Mr. Mukund Kabra – Whole Time Director
Mr. Beni Rauka – Group Chief Financial Officer
Mr. Ronak Saraf – Investor Rela tions Manager

Disclaimer:

This is a transcription and may contain transcription errors. The transcript has been edited for clarity , readability, etc. The Company takes no responsibility of such errors, although an effort has been made to ensure high leve l of accuracy.

Kindly Note, there could be unpublished price sensitive information that would have been shared /discussed during the call. Complying with the SEBI regulations, we have shared Audio Transcript to the Stock Exchanges and the Company website on May 12, 2026 for information of public at large.

Moderator

Good morning, ladies and gentlemen. I am Akash, moderator for the conference call. Welcome to Advanced Enzyme Technologies Limited Q4 and FY26 Earnings Conference Call. As a reminder, all participants will be in listen -only mode , and there'll be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing, * and then 0, on your touch -tone phone. Please note, this conference is being recorded. I would now like to hand over the floor to Mr. Ro nak Sa raf. Thank you, and over to you, sir.

Ronak Saraf

Good morning, everyone. Welcome to Advanced Enzyme Technologies Q4 and FY26 Earnings Conference Call. We hope you all have gone through our financials, press release , and presentation, which has been posted in the Investor Relations section of our website. We have with us Mr. Vasant Rathi, Chairperson; Mr. Mukund Kabra, Whole-time Director ; and Mr. B eni Prasa d Rauka, Group CFO. Today, the management will discuss the performance and business highlights, updates on strategies , and respond to any questions that you may have. As usual, for ease of discussion, we will look at the consolidated financials.

Now , I would like to draw your attention to the fact that some of the information shared during this call, particularly regarding our plans , strategies , and future outlook, may contain forward -looking statements. These statements involve inherent risks and uncertainties and are based on current expectations, forecasts , and as

sumptions. Actual results may differ materially from those expressed or implied in these statements, influenced by a range of factors, including but not limited to economic conditions, changes in government policies, regulatory developments and other unforeseen circumstances.

Recipients are cautioned not to place und ue reliance on these forward -looking statements , as they are not guarantees of future performance and should not be viewed as substitute for independent judgment. The company undertakes no obligation to update or revise any such statements, whether as a result of new information, future events, or otherwise. Now , without any further ado, we shall commence this call. Over to you, Vasant sir.

Vasant Rathi

Thank you, Rona k. Good morning, everyone. I know this is the first time we are changing the call time from 4PM to 9AM. So, thank you for taking your time early in the morning during the working day. I sincerely appreciate you all taking your valuable time. I extend my heartiest welcome to everyone joining us today on the conference call to discuss the financial results for the quarter and fiscal year ended 31st March 2026 .

The global economy has faced severe disruption, as yo u all know, in recent years due to a compounding mix of conflicts, geopolitical tensions, and inherently fragile supply chain. Conflicts between nations have interrupted the steady flow of ene rgy, food, and crucial raw materials, thereby injecting substant ial uncertainty across international market. Concurrently, supply chain disruption worsened the transportation bottleneck , and stringent trade restrictions have slowed down production cycles and delayed the delivery of essential goods worldwide. These cascading challeng es have significantly contributed to rising inflation , as business es face higher manufacturing and shipping costs that are ultimately passed on to the consumers. Consequently, the prices of everything necessities are soared globally, p lacing heavy financial pressure on households and weakening purchase power in this uncertain global environment.

Despite th ese daunting global supply chain challenges, we have maintained a highly consistent supply track record. However, we
remain vigilant , as increasing geopolitical disruption will escalate the pr ices of input essentials such as fuel, salt, solvent, packaging,
vis-à-vis also logistics, potentially creating near -term margin pressures across the industry.

Turning in our financial performance, I' m delighted to announce that Advanced Enzyme has reported its highest -ever quarterly and
annual revenue for the fiscal year ended March 2026. For the fourth quarter, we reported revenue from operation at INR 2,034
million, reflecting the robust YoY growth of 22% and sequential growth of 18%. For the full year, our annual revenues stood at INR 7,458 million , representing a solid growth of 17%.

Our operating profitability also demonstrated excellent momentum. EBITDA for the quarter stood at INR 632 million , registering
a 39% YoY growth and 28% sequential growth on a full -year basis . EBITDA grew by 18%. EBITDA margin for both the quarter
and the year remain s strong at 31%. Profit after tax stood at INR 453 million for the quarter, showcasing a staggering growt h of
69% on a YoY basis and 5% sequential ly. On an annual basis, PAT grew by 30%. Consequently, our PAT margin stood at 22%
for the quarter and 23% for the full fiscal year , as compared to 2 1% in FY25. Our overall financial performance is firmly in line

with the earlier guidance. All of our business divisions delivered healthy growth, and we are confident that this steady moment um
will continue into the coming year.

Looking at the broader industry landscape, global pharmaceutical, nutraceutical and biotech nology sectors are increasingly shifting
towards wider adoption of enzyme across various region. This macro trend is d

riving substantial market demand for a player li ke
us, who can offer integrated end -to-end capabilities and customized solutions across th ese platforms.

Over the course of the year, we have taken several strategic steps to fortify our mid -to-long-term market position. We have continued to invest in enhancing our R &D capabilities, which will accelerate our innovation pipeline, while parallell y exploring expansion into newer high -potential geographies.

On the regulatory and compliance front, during this year, we filed two food enzyme dossiers with the European Food Safety Authority, EFSA, and three dossiers with the US FDA. As mentioned in our previous interaction, our new R &D center in Nas hik
is expected to become fully operational in the lat ter half of this fiscal year, significantly boosting our product development bandwidth. Additionally, we are anticipating approval of our anti-inflammato ry products , that we filed two years back in European
region , during this year.

Now , I will take you through our segment -wise revenue performance for the fourth quarter of FY2 6, as well as full fiscal year 2026.
Let's begin with the Human Healthcare. Our largest and most critical segment revenue for Q4 FY26 stood at INR 1,281 million ,
marking a 24% YoY growth and 33% sequential increase. For the full year , year-to-date basis, we observed a solid growth of 15%.
This growth was primarily driven by higher sal es volumes in pharma API, biocatalysis , and nutritional business. Human Healthcare
continues to be our flagship division, contributing 63% of our total revenue.

Animal Healthcare revenue in this segment rose to INR 250 million, delivering a 19% increase YoY, 2% sequential , and 25% on
year-to-date basis. An imal Healthcare account for 13% of our total revenue. The growth is mainly driven by increased sales in
Asia.

Turning to bioprocessing , this segment recorded 17% YoY growth during the quarter despite a 1 0% sequential contraction, finishing the year with 16% year -to-date growth. The annual growth was predominantly fueled by healthy performance of our food

business, which grew by 20 % YoY and 19% on the year -to-date basis. Conversely, the non -food business contracted by 1% YoY
and 7% sequentially, remaining flat on the year -to-date basis.

Lastly, the specialized manufacturing segment registered a 17% growth YoY and a 16% sequential growth. On a year -to-date basis,
it grew by an impressive 23%. This segment c urrently repres ents 9% of our overall revenue.

Our strategic product mix within each business division and operating leverage has continued to perform exceedingly well, supporting our healthy overall margins. We anticipate that our entire portfolio spanni ng human nutrition, animal nutrition , and bioprocessing will perform even better and grow stronger as we move right into the new fiscal year.

That said, our business outlook remains extremely steady. We'll continue to focus on optimize capacity allocation , improving supply chain efficiencies, ramping up new product launches and expanding our operational footprints across both developed and
emerging market. With this, I will now hand over this call to Ra uka ji . He will walk you through the financials and ke y subsidiary
numbers. Beni?

Beni Prasad Rauka
Thank you very much, sir. Good morning, everyone. I hope you all are in good health and doing well .

On the company's consolidated financials for the fourth quarter and year -end of fiscal year 2026, YoY basis , our revenue is increased by INR 362 million , 22% from INR 1,672 million to INR 2,034 million.

Our EBITDA increased by INR 176 million , a 39% of increase from INR 456 million to INR 632 million , and it stood at 31%.

Profit before tax after exceptional ite m increased by INR 163 million , a 38% increase from INR 430 million to INR 598 million .
PAT increased by INR 186 million from INR 260 million

to INR 453 million . So PAT is 22% of our revenue in this particular

quarter. QoQ basis, this is sequential, revenu e increased by INR 315 million , 18% increase from INR 1,719 million to INR 2,034
million. EBITDA increased by INR 138 million , 28% increase from INR 494 million to INR 632 million .

Profit before tax after exceptional item increased by INR 15 million from INR 583 million to INR 598 million . Profit after tax increased by INR 21 million from INR 432 million to INR 532 million . Financial year performance, YTD FY26 versus FY25 annual basis, our revenue increased by INR 1,089 million, 17% increase from INR 6,369 million to INR 7,458 million. Our EBITDA increased by INR 347 million , which is 18% increase from INR 1,944 million to INR 2,291 million , and it is 31% of our
revenue. Even FY25, it was 31%.

Profit before tax increased by INR 451 million , a 24% of incr ease fr om INR 1,874 million to INR 2,325 million. So , this is 31% as
compared to 29%. Profit after tax increased by INR 396 million , a 30% increase from INR 1,340 million to INR 1,736 million. Our
PAT stood at 23% of our revenue as compared to 21% in FY25 .

JC Biotech revenue for last quarter Q4 was INR 172 million , EBITDA INR 15 million , PAT of INR 3 million as compared to INR
112 million of revenue, INR 4 million of EBITDA, and PAT was negative in that particular quarter, INR 7 million . So, the JCB on
annual basis, sale is increased from INR 600 million to INR 728 million . EBITDA increased from INR 70 million to INR 92 million, and PBT increased from INR 12 million to INR 29 million .

Evoxx for the quarter revenue stood at INR 88 million , EBITDA of INR 19 million and PAT of INR 14 million as compared to revenue of INR 43 million and the negative EBITDA of INR 4 million and negative PAT of INR 9 million in the Q4 of FY25. On annual basis, revenue of Evo xx stood at INR 319 million as compared to INR 2 13 million, a 50% increase. And EBITDA has increased negative INR 12 million to INR 72 million . PAT is increased to INR 50 million as compared to INR 39 million negative
in FY25.

Scitech has performed excellent, and Q4 numbers stood at revenue INR 179 million , EBITDA of INR 38 million , and PAT of INR
29 million as compared to revenue of INR 156 million and EBITDA of INR 10 million and PAT of INR 5 million , respectively.

Annual basis , Scitech top line stood at INR 668 million as compared to INR 542 million , a 23% increase. And EBITDA stood at
INR 104 million as compared to INR 76 million , a 37% increase. And P AT is INR 45 million as compared to INR 37 million , so
22% of increase.

On an annual basis, our top product, which is anti-inflammatory enzyme sales , stood at 23%, and top 10 customers contributed
23% as compared to 22% in FY25 . B2C segment is about INR 0. 9 million as compared to INR 1.19 million in FY20 , and the complete total number is INR 4.37 million for FY26 as compared to INR 4.46 million in FY25.
Our R&D expenditure total on standalone basis is INR 356 million in FY 26 as compared to INR 328 million in FY25 . On consolidated basis, our R&D spend is about 5.6% during Q4 and 5.3% in the corresponding quarter of F Y25. So, this is all from
my side. We shall open the floor for question answer .

Moderator
Thank you, sir. Ladies and gentlemen, we will now begin the question -and-answer session. If you have a question, please press *
and 1 on your telephone keypad and wait for your turn to ask question. If you w ould like to withdraw your request, you may do so
by pressing * and 1 again. Ladies and gentlemen, if you have a ny questions, please press * and 1 on your telephone keypad.
The first question comes from the line of Mr. Abhishek Navalgu nd. Please go ahead, sir.

Abhishek Navalgund
Yeah. Hi, sir. Good morning, and congratulations on a good set of numbers. My first question is on , I mean, you

just explained the
segment -wise details also. So , this clearly reflects that the quarter is all about growth that we have witnessed in Serratiopeptidase ,
the anti-inflammatory enzyme.
But I'm just curious that while our sequential margin is also kind of in stock, it is mainly because of the operating leverag e maybe,
but why the gross margin has kind of moderated on a sequential basis, especially when we see the U .S. share is also more or less
similar ? And our Human Nutrition, which is like the highest -margin segment, has also maintained or rather gained some share in
terms of revenue. So this first q uestion on the gross margin.

Mukund Kabra
Can you repeat, Abhishek? What is exactly what you want to know about the gross margin, Abhishek?

Abhishek Navalgund
I just wanted to know the movement that we have seen on sequential basis, the gross margin. W hile our Human Nutrition portfolio
has done well, we have not lost share in terms of our U.S. exposure also. So , what could be the reason why our gross margin has
moderated on QoQ basis this quarter?

Beni Prasad Rauka
So, this is mainly what happens is b ecause of the variable cost and fixed cost issue , right? If you have incremental sale, then definitely your gross margin s are going to go up because your fixed expenses remain s fixed, and you have that operating leverage.

Mukund Kabra
At the same time, we tried to improve the productivity, and there are certain products which we could increase the productivity as
well in this quarter. And that's a continuous process with the R&D which comes up. So , it's a combination of both which helps us ,
even though the cost s are written on the higher side because of all of this . Inflations and other thing which is happening with the
war, still we could do it because of all the other factors , because there is a constant improvement on the output side as well .

Abhishek Navalgund
Sorry, sir. Actually, what I was trying to ask you is while our EBITDA margin has increased, I think if you see our gross margin number, it has kind of dropped as compared to Q3.

Beni Pras ad Rauka
So, you are talking about our gross contribution, r ight?

Mukund Kabra
Probably you can take last quarter , we had some extraordinary items on the front .

Beni Prasad Rauka
No. I think, A bhishek , can you again come back with your question, please ? You are talking about gross margin.

Abhishek Navalgund
No, w e can take this offline. That ’s fine. My question was on gross margin. I'll connect with you later on this.

Beni Prasad Rauka
Yes. That's fine.

Abhishek Navalgund
Yeah. So , I'm saying, on t he Serratiopeptidase side, the increase that we have seen, this could be a function of some market share
gain in the domestic market. So , is it fair to assume that this quarterly run rate will continue going ahead?

Beni Prasad Rauka
I think , Mukund will give you the answer.

Mukund Kabra
I won't comment on that, Abhishek. There are always quarter and quarter variability, particularly, but I would say that we'll retain
most of it. And it's not only inflammatory products, which we are working on , many othe r products as well, and those are also contributing.

Abhishek Navalgund
Sure. And you mentioned about the EU approval for the same product. So possible to share, I mean, how big would be the EU
market for this product?

Mukund Kabra

It's a novel food wh ich we submitted two years back, and we expect this year it should be approved. If it gets approved, then we
will be the only person who can supply that product for next five years or ten years. I need to see exactly what is the time frame
which we get, an d that should be really interesting for us. I won't be able to give you the numbers, but the interest can be very big.

Abhishek Navalgund
Sure. I'm not asking for any specific guidance, but an

y aspiration number that you can talk about, let's say, five-year down the line,
how do you see this product growing? Whenever we'll get the approval, I mean, post that.

Vasant Rathi
We cannot .

Mukund Kabra
I can't comment on the particular product, but overall, what we expect to grow is in t he double -digit and maybe double -digit, and
that's, like, what we are aiming for, and that is where all the efforts are there. We won't be able to say about the single p roduct or
two product s. There are multiple things which we want.

Abhishek Navalgund
Absolutely. My next question is on the current environment , wherein we are seeing inflation and everything. So , I think you talked
about fuel, salt, solvents, packaging and logistics. So just would like to know in terms of raw material increase, I guess we are relatively sorted because we procure largely from India. But when it comes to these items like fuel, s alt, solvents, packaging, logistics, so how is the pass -through structure like in this quarter? And do you expect some margin pressure because of the full
effect getting flowed through in Q 1?

Mukund Kabra
There is always going pressure because if you're really looking to the -- you want to take, Vasant Sir? Go ahead. Hello? Vasant ,
sir, y ou want to take it ?

Vasant Rathi
Yeah. No. Abhi shek, there's alway s going to be margin pressure. These are all uncertain times with what is going to happen tomorrow with your energy. The i ndustry is very much based upon a lot of energy and other costs, s o.

Abhishek Navalgund
Sure. My only point was, basically, is there will be a one quarter, two quarter lag? Is it possible to comment on that, whether we
are passing it on or partly passing it on to the customers?

Vasant Rathi
No. Abhishek, it is difficult to pass on very competitive world, global climate. But you try to increase the productivity, increase the
efficiencies and try to reduce the cost. There a re a lot of mitigating -- a lot of things which we had to work in. Management is very
aware of it, trying to compete in the global marketplace. We had to be very efficient.

Abhishek Navalgund
Right. My last question, sir, in terms of guidance, what do you expect in revenue and margins in FY27 and a specific color on U .S.
business in particular?

Vasant Rathi
Well, margin and thing s, as I mentioned before, it's going to be steady , same idea what we are talking about. We wanted to keep
this momentum and hopefully build upon it, okay . As far as the U.S. market is concerned, your second part of the question, there
is enormous pressure of the inflat ionary pressures here in the U.S. economy due to energy. Nobody knows what's going to happen
in 15 days from now or two months from now. But, overall, cost is dramatically increasing. And, as I mentioned in my comments
before, the spending or what you call it, people's discretionary expenses is going to be a lot of pressure on that. So , we'll see how
that plays out , okay. This is going to be a very challenging year no matter what , okay.

Abhishek Navalgund
Awesome. This is very helpful. Thank you, and all the best.

Vasant Rathi
You're welcome. Thank you.

Moderator
Thank you so much, sir. The next question comes from the line of Mr. Kunal T hanvi from Banyan Tree Advi sors. Please go ahead,
sir.

Kunal Thanvi
Hi. Thanks for the opportunity. I had two questions. One was if you can throw some light on, you know, India business growth in
terms of pricing and volume. Like, was there an element of price increases because, like, three, four quarters, like, we saw significant price erosion in our la rgest product?
Second question was to Mr. Rathi about your thoughts on buyback of shares. We've seen you know, been buying from open market,
and there's a change in the taxation law in India , post which buyback becomes good for the retail investors. Any t ho

ughts if you
can share about capital allocation? Because, like, you've also not announced interim d ividend this time around . I was curious to
know how we are thinking about the cash that we have on the balance sheet?

Vasant Rathi

Well, I will try to an swer your second question first. You guys are more professionals knowing about the market and prices, but we will be looking at all the necessary options of what is in the best interest of our shareholders and how we increase the v alue of our shareholders , okay. Regarding the pressure on the --

Kunal Thanvi
So sir, is it fair to assume that buyback is also something that you , is like the board is considering?

Vasant Rathi
Yeah. It's a board's priority to look into various different areas, and I'm sure th at on the right time board will take a decision , okay. To see whatever, they feel is best interest of the company shareholders. And regarding your first part, Muku nd can probably answer this.

Mukund Kabra
Kunal, do you want to know if there is a margin p ressure or what?

Kunal Thanvi
No. My question, S erratiopeptidase , like, is the growth that we have seen in the Indian business side, is it entirely volume -driven , or there was some price increase that also we saw during the quarter? Because , like, four qu arters back or three quarters back, when there was competition in this segment, we had talked about pricing pressure. Is this a reversal of that pricing pressure now coming through , leading to this kind of growth , or it was purely a volume growth that we h ave seen?

Mukund Kabra
So, let's not look into the quarter -and-quarter basis. I w ould say some quarters, you will have a higher growth on the particular products , some quarters some other products will have it. In terms of pricing, the pricing is more or less constant. It's more driven by the volume , but at the same time, going forward, we are looking how do we increase the cost and pass on some of the cost, and which we are trying to do from the New Year.

Kunal Thanvi
Sure, fair. Got it. And last questi on was, we talked about the U.S. market, is that possible slowdown will continue for FY 2010, given the geopolitical situation. And then , like at the other end, you've spoken about our aspiration to do a double -digit growth in FY27. Like if you can break do wn these counters into what are the markets that you believe will kind of support the growth , or to make sure that a flat or a negative U.S. market for FY27 and still we kind of do a double -digit growth. And like, if that happens, what is the second order impact on the margins? Because U.S ., I would assume, is a higher -margin business, right? So, if you can talk about these two aspects it will be really helpful

Mukund Kabra
So going forward, the next year, we expect little growth coming from the U .S., and not like the negative growth. We are working on many different fronts. At the same time, when we go into the Indian areas, we are working on , different avenues, different markets we are opening. The last year, we work on many different areas, and probably all the growth will come from all the three segments, including, like, human nutra ceutical, food, and like animal feed. So we expect a healthy growth this year from Indian space as well.

Kunal Thanvi
Sure, and is it fair to assume that you w ould be able to hold on to the margins or, you know, as we've seen in FY26 , or because of some pressures and -- the cost pressures in the U.S., there could be an impact on margin s?

Mukund Kabra
I wouldn't say that too much of impact. 1% or 2% is always p ossible, and that's a variability what we have. And I wouldn't like to
get into the nit ty-gritty of it, maybe, like a Rauka, you can explain. But if you ask me more or less, we will go with the same margins, and that's what our assumption is. But Rauka, yo u can put give more focus

on the margins exactly, what are the numbers saying.

Kunal Thanvi
Okay, perfect. Thank you so much.

Mukund Kabra
Thank you. You're welcome.

Moderator
Thank you so much, sir. The next question comes from the line of Mr. Raj as Joshi from Chr ys Capital. Please go ahead, sir.

Rajas Joshi
Yeah. Thank you for your opportunity . So, my first question is on the U.S. business. So, if I look at the revenue for this quarter, it
is down some 11% in INR terms. Now , given the precision of the INR, in dollar terms, the decline must have been a lot more sharper, so to speak. So just wanted to get a sense on what exactly is happening there. Because I think now , with the tariffs behind
as well , we were expecting a recovery in this business. And that is somehow not shown up in the numbers. So, just wanted to get
a sense of what exactly is going on, and is it time for us to rethink our strategy in U .S. and probably change the way we are working
there?

Vasant Rathi
Rajas, the market is changing in U .S. quite a bit. There is more concentration on the deliverable registration, the studies, et c. And
U.S. strategy, changing accordingly. So , market is, as we said before, also very challenging, but we are making very good inroads
with the registration in the regulatory areas , as well as in the market segments , okay. So, it is going to be, as I said before, very
challenging year, but we are expecting to grow in U .S. market also.

Rajas Joshi
Thank you for the ans wer, sir. My second question would be on our India business. This quarter has seen a significant increase in
sales of about 50%, and they are also been good for us in India. So Sera, obviously, I think there was an earlier mention of Sera
volume going up. But outside of Sera, any other products that you would like to call out or any other segment that you would like
to possibly call out that is done well for us in India , both in this quarter and for the year as well ? Even and then , if you could please
also call out your biocatalysis revenue for Q4 and for the full year as well, please.

Mukund Kabra
The revenue, Ra ukaji, can tell you what exactly the revenue is. But going forward, we do expect, like, a good growth to come from
the biocatalys is as well in Indi an market. I would like to mention that, not only, the pharma, but this year we grew very well in the
food area , as well as in the animal feed area. And even our specialty business gr ew very well, and we expect that this moment um
to continue goi ng forward as well. But if you want a specific bio catalyst number , probably, Rauka ji can give you. Yeah , but going
forward, we do expect a good growth coming from those areas as well.

Rajas Joshi
Understood, sir. And Sir, I --

Beni Prasad Rauka
Biocatal ysis, I think you wanted the numbers , right?

Rajas Joshi
Yes, please.

Beni Prasad Rauka
INR 247 million for the FY26 . And last year, it was INR 174 million .

Rajas Joshi
Understood, sir. Thanks a lot. My next question will be on our R &D pipe line. So outside of Sema, which – sorry, Sera which you've already spoken about, the European filing , any other products that are there in pipeline for us, which is still gaining more traction or we are expected to launch soon in this year and then year after that, which you would like to highlight?

Mukund Kabra
This is a continuous process. We are working on many projects as we were talking. C omin g this year, probably, in the second half, our R&D new facility should be operational. And after that, we should be able to work on more different products. And because of the competition of the nature, I don't want to now going forward , specify the individual products because that just creates the pressure of the products. So going forward, I will not be l ike to mention the exact product, but we are working on many different products. That's what I would like to say.

Rajas Joshi
Understood, sir. And, I mean, it seems like the company has turned around in FY 26 after a difficult FY25. So, I mean, apart from the revenue outlook which you shared, as the nature of our revenue in some sense also, you know, kind of become more long -term or recurring than it was earlier , is the quality of revenue increased, so to speak?

Vasant Rathi
Quality of revenue is extremel y well and very stable.

Rajas Joshi
Understood. Got it. And last question on capital allocation. I think one of the earlier participants also had a question on t his. So, I mean, looking at our balance sheet, they were around INR 700 crores of cash. And d espite that, we have canceled the interim dividend. So just wanted to get some thoughts on your thought process regarding that.

Vasant Rathi
That's again, I will say that is the board decisions, which board always evaluate from time to time on how to enh ance our shareholder 's value by different modes and methods, as you guys know very well. So we are al ways, as a company board member , are always looking to see how and where we can do , how we can benefit from this to our shareholders.

Rajas Joshi
Underst ood, sir. And so , when I bro ught a question on the fermentation space, so to speak , this would be my last question. You know, there are couple of peers, who actually have now entered, let's say, emerging areas like animal – nope, sorry, non-meat-based prot eins, which are also manufactured in the fermentation itself. And those segments also have good growth potential and healthy margin profile as well. So we just want to get a sense on how we are looking at some of these adjacent areas, and are we considerin g these areas for future expansion as well?

Vasant Rathi
So, I just it is a protein overall category is a growth category, as you all know very well , okay. Non-meat protein is taking some traction as we understand it, and we are continuously working on v arious different areas to see how we can take the advantage of

it, you know, in the whole segment, not only non-meat protein area, but all the entire protein area, so to speak. But, yes, it is a

very
interesting area, and, obviously, we are always looking into all these growth areas.

Rajas Joshi
All right. Thanks a lot, sir, and wishing you all the very best.

Vasant Rathi
Thank you so much, Raj as.

Moderator
Thank you so much, sir. The next question comes from the line of Mr. Nikhil Upadhyay from Securi ties Investments Management.
Please go ahead, sir.

Nikhil Upadhyay
Hello. Good morning. Am I audible?

Vasant Rathi
Yeah. Thank you. Good morning.

Nikhil Upadhyay
Congrats on a good set of numbers for the quarter and the year as a whole. Now , my broade r question is, sir, if we look at our
growth trajectory in the past since listing, there have been periods when we had very strong growth, then there was a period when
the growth would come down to single digit. This time, it seems you are more confident o n the sustain.
And so what are the factors or what we have done differently from the past which gives you confidence that this growth momentum
can sustain? And in a similar spirit, if we look at it in, this time the growth, even for the year, has been mor e broad -based , like,
human nutrition has grown. Animal nutrition has grown. So if you can just talk about what at a company level we have done
differently or what changes we have done over the last two years where we are seeing this broader growth versus s egmental growth,
which used to happen earlier?

Vasant Rathi
Sure, Nikhil. It's a very good question, and thank you for asking that. As you can see, the growth is broader. And what it wa s is we
have to focus on the areas which we want to grow. And initial ly, also from the beginning, we are telling that we have changed the
focus on not running after every sin

gle thing, but focused on the areas which we are very good at, and we wanted to grow.

And it has to become supplemented with lot of research and not necessarily just a commodity product or need to products. So we
made a lot of changes in that particular segment. Our outlook is more broad -based and long -term rather than the short -term margins.
And what you see is that reserves cu mulative efforts for som e years now that it is paying off this year, in spite of lot of challenges
in the global marketplace , okay. And our outlook is a global now. It is not a segmented outlook only. We look at the entire region.
World is very fast. It's now coming to the AI wor ld very shortly.
And as you can see, we need to be very rapid and very broad -based and deeper rather than a commodity. So those are the kind of
changes we are making -- we made actually, and continue to make. As I mentioned that also in my opening remarks , that within
next six months, this fiscal year, will be operational into our R&D center, which is one of the largest research -based center in our
area so far that I know of.
So we are going for innovations, as our PM says, you know, rather than just serv ice industry. And that is what you can see , a lot of
registration, a lot of papers, a lot of research, and we are spending substantial -- and we are committed to spend substantial amount
of our earnings into the R &D sector. Does that give you answers to yo ur question?

Nikhil Upadhyay
Yes, sir. It gives a comprehensive view. I would just want to understand one more point because when we go for a more

comprehensive, and in -depth entrance with the customer or entrenchment and more innovation, but there are tw o aspects which probably can throw light. One is with our existing customers, say, which were present three years back, today, what quantum of business we would have increased with them? And secondly, if we look at the growth beyond our top 10 customers, h ow would that be?

Vasant Rathi

Well, you will find that our top 10 customers will be very much evolving and expanding, okay . And that is because of what we have , what I said before. And we are very keen on increasing our share of revenues from the existin g customers also, which they have already established for so many years. So , there is a lot of changes globally happening right now as you are very well aware, Nikhil. And, obviously, a lot of companies are looking at us also into the different angle, diff erent perspective. So it is an exciting, even though challenging time. And we feel very confident that this really , with a lot of work which we have done in last several years is taking a deep root into it.

Nikhil Upadhyay

Sure, sir. Thanks. Just two ques tions. One is, sir, see, today, we are almost INR 750, 800 crore kind of a top line company. When we today go to a new customer, the kind of discussion which they are having with us versus when we were a smaller company, say, five or seven years back, today, the kind of projects which we are getting, are they more innovation -driven, or is it more of a, like, second supplier source kind of a replacement which we are doing? So how would you define the kind of work on the R&D we are doing? Is it more newer p roduct and the even the companies are open to give them to us, or is there still some skepticism?

Vasant Rathi

Okay. That's again you're asking very good questions. Well, both. Again, I guess, I will answer you both because new companie s, quite a few new companies are approaching us. Old companies are all those companies which are established are checking us out , kind of thing , you know . So, yes, we are working on bo th. One is we need to continue on getting the revenues from the existing or these new sour ces, which are just cos tly one . At the same time, we have to establish the new markets, which without innovations, which is a little deep rooted

. So the strategies are combination of both.

Nikhil Upadhyay

Okay. And last question. See, two or three years back, if we go back to our call, one of the idea which we had was that this is a business which is driven by volumes, and volumes will provide us operating leverage. Now even from -- and I'm taking a base post-COVID when we were at INR 530 crores , today, w e are at INR 750 crores. It seems we have, like, sacrificed some weight on the gross margin because gross margins have come down from 75%. It may not be a sacrifice. But the operating leverage has not played out the way we had thought or we had investo rs had thought that then volumes will come, operating leverage will play out. So is there something wrong with the understanding of the business, or i s it just sacrifice this year and then we are okay doing business at 30% margins, but let's focus on getti ng more customer traction. So what have we chosen between the two?

Vasant Rathi

More customer tractions.

Nikhil Upadhyay

Sure. So this means that margins should remain in this level, and operating leverage would probably provide it for more volume growt h, we w ill look at.

Vasant Rathi
Yeah, yes.

Nikhil Upadhyay
Okay. Thanks a lot, sir. I'll come back.

Vasant Rathi
Thank you.

Moderator
Thank you so much, sir. The next question comes from the line of Mr. Lakshmi Narayana n from T unga Investments. Plea se go
ahead, sir.

Lakshmi Narayanan
Yeah. Thank you. Hope I'm au dible , sir.

Moderator
Yes, sir.

Vasant Rathi
Yes. You are , Lakshmi Narayana n.

Lakshmi Narayanan
Sir, two questions. Sir, I noticed that Mr. Roda is moving on, and he has been a big part of our management. I just want to understand, how the organization is maintaining stability and how the organization is actually moving forward , and whether any
next person has actually taken a lead in that area.

Vasant Rathi
Mukun d, I cannot hear for your questions properly. Maybe you're a little too low sound.

Lakshmi Narayanan
Sir, I understand that Mr. Deepa k Roda, who has been part of our team for a long time, had decided to move on. And I just wanted
to just understand how that r ole has been mostly transitioned and if any other person has been replaced, how he has been replaced
also?

Vasant Rathi
Well, in an organization, of course, when somebody leaves, such as Mr. Roda, who works for a long time with the company as a
part a nd becomes a part of the company, that hurt overall. But, there is always a management, second -level management, and third -
level management, which take care of it.

Lakshmi Narayanan
Okay. Has anyone been appointed , and is the same capacity of having a key role he was in?

Mukund Kabra
So, Lakshmi Narayanan ji , what we did is, like, Mr. Roda was handling some part of Indian business and some part of U.S. business.
So, we manage with two different heads at this point of time who are, equally c apable and the second line -up, and that's how we
are going right now. And I guess, we should be able to do good. We will not be having too much of difficulty going forward as well.

Lakshmi Narayanan
And Mr. Rathi, you are al ways urged us to think the company on a longer term, not look at quarter,
not look at year. But if I just look at our U .S. business from March 22 end to March 26 end, I see that there is a significant divergence
from the performance, which is down around 6% on Indian rupee terms , while the currency has actually also depreciated by

22%.
So how does the management view this? Is it something which you anticipated or you're happy about? How do you like to measure
the -- or how do you like us to look at your U. S. business over a lo nger period, not necessarily a year or two, but slightly longer?

Vasant Rathi
Overall, we always told you that it is a balanced business, a global business. It is export -driven

business as well as local business.
So, look, you have to keep and look at it in the same way. Nothing had changed. One year, as I said, various things takes little time
to deep root, and that is what we are doing right now, you know, globally, not only in the U .S. market, but global markets all over.
So, it is just like somebody s aid, when one door closes, second, some other door opens.

Lakshmi Narayanan
If I just engage on that further, sir, how do you like us to look at the U .S. business process? Because that's a business where it's
really dear to you, and you are putting all y our efforts to expand that business. And how do you think you look at it , I mean, how
do you think we should look at it, how you are looking at it over a longer period? I'm not looking at a year, but slightly longer.

Vasant Rathi
Yes. It's going to be a g rowth business as usual. Our business is a growth business. And U .S. business, you should be looking at
long-term steady growth business , okay.

Lakshmi Narayanan
Got it. And the third question is that , from the Serratio business, right, I mean, how much that did contribute for the full year , and
what has been the YoY growth? And as a follow -up on that business, I see that the competition is little muted, if I can understand.
So can you just tell me how are you thinking about competitive intensity in the S erratio business? So I think two parts of the question. One is what has been the contribution of Ser ratio for the full year and especially the last year? And how is the competitive
intensity? Because I understand that one of the competitors is not selling the product.

Vasant Rathi
Beni, you want to answer on that one and Mukun d?

Beni Prasad Rauka
Yeah. So as Mukun d was mentioning, I think this is the last time we will be sharing this number. This is Serratio , I think we have
on YTD growth about 45 %, and QoQ is about 54% growth. So I think you will all appreciate this information is always being asked
and creates of a lot of pressure on the product by the competitor s. So maybe we will restrict and have a limitation of sharing of this.

Lakshmi Narayanan
Okay. Thank you so much.

Moderator
Thank you so much, sir. The next question comes from the line of Mr. Sh reyans Gathani from SG Securities. Please go ahead, sir.

Shreyans Gathani
Hi, good morning, sir. I had a couple of questions. The first one is on the biocatalysis. You know, a few calls ago, you had mentioned
that there are some trials going on. So just wanted to get a sense of the overall business and any updates on that.

Vasant Rathi
Mukund?

Mukund Kabra
At this point of time, I would like to say that we are working on few of the products. Trial are going well, but won't be able to comment on the exact number right now. And next year, what we are looking at it is some moderate growth coming from this

area .

Shreyans Gathani
Got it. So any estimate on when these would c omplete? Because they've been going on, like, as far as I know, like, six to nine
months already.

Mukund Kabra
There are not one or two products. We are working on many different products. In some of the products, you get some challenge s.
But I would sti ll say that this year, we expect some growth coming from this area. Whenever that will happen, that will be the quarter. We are going to put it up as a different category, and we would like to comment on that. As of now, I would say that this
year, we expect some growth coming from this area.

Shreyans Gathani
Got it. That's it.

Vasant Rathi
Keep in mind that this is very, again, challenging area, I would say, because it also depends a lot on
the government bod y's regulations and global competition, you know, so changes of processes. There are a lot of things, lot of
factors into this. But we still , irrespective , because of the several different product lines and trial

s going on, we expect, as Mukund
says, moderate growth in this continuous growth on this market.

Shreyans Gathani
Got it. That's helpful. The second question was on the gross margin. I think you alluded there's some extraordinary item this quarter.
If you could just expand on that, just trying to understand a littl e more.

Mukund Kabra
Rauka ji?

Beni Prasad Rauka
So the gross margin is particularly driven by product mix which the company ha s and the group ha s, so if you see the domestic
sales is kind of higher as compared to total consolidated sales, which in t urn sometimes gives us lesser margin. But on an overall
basis, if you see on a full year basis, the gross margin is kind of one percentage down because of product mix only.

Mukund Kabra
No. He was asking about some extraordinary item , I think that something was there in the last quarter, which is not here right now.

Beni Prasad Rauka
That w as there in FY Q3, r ight? Q3, we had some exceptional item . That was , I thin k, one was related to reversal of some provision ,
which we were carrying in our books for some litigation matter. So that has come in our favo ur. So about, I think, INR 16 crore
was the reversal. And in addition to that, we have provided for the impact of the labo ur laws because in India, you have seen that
new labor laws have been enacted. So , impact of those labo ur laws on our payroll cost, so that we have taken into account. So this
is, I think, pertaining to Q3 of this year.

Shreyans Gathani
Got it. So my last question pertains to the R&D cente r, like, maybe expected to operationalize in the second half of the year. So
what kind of incremental expenses are we looking at in terms of percentage of R&D spends, in terms of percentage and rupee
spend ? Then al so, like, have you already started hiring for that ? Like, what is it going to be the capacity for that? How many people
are we looking to hire over there?

Mukund Kabra

Of course, the expenses are going to go up, but not like we will try to maintain betwee n the whatever the current percentage what we are going up because it also depends on the function of the sales. In terms of persons, some persons we already hired, som e persons we are planning to shi ft from our existing R &D center, and some persons we are in a process to hire. In terms of capacity, the capacity in a given time, it will take some more time to really come to the fullest utilization, but we intend to increas e in the first phase by the threefold of what current capacity what we have.

Shreyan s Gathani
Okay.

Vasant Rathi
It's a phase d manner. You know, expansion will be in a phase d-out manner.

Shreyans Gathani
Got it. That's helpful. So , are we looking to close down the other R&D centers , because you said we are moving people ?

Vasant Rath i
No. We will not be closing.

Mukund Kabra
Those will continue. But at the same time, some people will move from here. We will be going with lot of modern machineries o ut there so that the people requirement will be lesser, but we can get more higher out put out there.

Shreyans Gathani
Okay. Got it.

Beni Prasad Rauka
In absolute terms, the R&D revenue expend iture is likely to go up by INR 50 million . Okay. And CapEx is definitely going on. So that will be, again, additional, I think, INR 50 crores w e will be spending this year. So I think overall CapEx on R&D will be about INR 130 crores.

Shreyans Gathani
Got it.

Beni Prasad Rauka
And maybe 50 we are going to spend during this year.

Shreyans Gathani
Got it. Okay. And what would be our current utilization? Are we looking to do any kind of capacity expansion , in term s like, I know we just do incremental and we find efficiencies , but anything as we are increasing sales, are we going to need more capacities, or are we okay wit

h this?

Mukund Kabra
In the main company, we will be taking that call after September. As of now, we do have a preparation on the on the ground , so that whenever we want to go, we can go very quickly, rapidly. The infrastructure buildup is done. We may look into some capacity increment in the one of the subsidiary company this year. So those are the plans as of now.

Shreyans Gathani
Got it. That's very helpful. That's all from my end. Thank you, and good luck.

Vasant Rathi
Thank you.

Mukund Kabra
Thank you.

Moderator
Thank you so much, sir. The next question comes from the line of Mr. Rohit O hri from Progressive S hares . Please go ahead, sir.

Rohit Ohri
Hi, team. Good to see the company evolve from domestic enzyme manufacturer t o an integrated specialty bio solution platform. I
think this is where the alpha lies, and many congrats on this, one of the strongest quarter that you all have delivered.

Vasant Rathi
Thank you.

Rohit Ohri
Yes, sir. So I have a few questions. While yo u're becoming a global innovator in this bio -manufacturing platform with certain modes that you have, and we also see this small CWIP or some sort of expansion that is happening, if you can take us through that,
this fermentation capacity that we have of a round 500 kind of metric cube -- sorry, meter cube capacity. But when do you think
that the next round of expansion should come through?

Mukund Kabra
That's w hat I said. Like, we might look some capacity expansion into the one of our subsidiary company, a nd we will take the call
in the month of September when we should really increase. So as of now, currently stand , we do have infrastructure to increase the
capacity increment by 50% right away. Okay, so we'll take the call as we move forward in this year.

Rohit Ohri
Kabra ji, what would be the peak revenue that we get from this capacity currently?

Mukund Kabra
It's very difficult to say because, Rohit, it's like always the product mix, how it's moving, what are the different areas wh ich are moving. And a s I was saying, like, there is a constant improvement in the productivity. So , it's a lot of blending games , even, like,
I mentioned earlier as well, like, this year, we could increase some of the products output to maintain the pressure on the pricing.
So these are all the blended , I mean, like, it's very difficult to say exact ly revenue.

Rohit Ohri
Okay. Sir, on the working capital, we see some stress over there in the inventory. Is it because of the demand, or, is it som e new
client that you all are onb oarding , or maybe just talking because of the pricing in the industry?

Mukund Kabra
It's not only the pricing, but it's because of the uncertainties of supply chain and other things that
you never know what will happen tomorrow. So , you don't want to get stock -out for the raw materials and other area. And you
should be able to deliver because it's a game of, like, logistic delivery. So sometimes you need to build up the capacity, build up
the inventories to manage all the changing global environments.

Rohit Ohri
And on the receivables side, is it because of stronger sales, or are we giving some higher credit to some of the clients or c ustomers?

Mukund Kabra
The things are more or less same. But, Ra uka, you can put some more lights on the number. I don' t feel like there is a much of
difference, on the strategy front.

Rohit Ohri
Okay. Sir, on the competitive positioning, while Ra thi ji also mentioned that this year could be a little bit of a challenging on the
international front, how do you see -- or what are the things that generally the customer looks at while they are trying to choose

AETL over Novo nesis and or Hans en? What are the cost advantages that we generally see? And why would they prefer us while
we might compare with some of the Euro pean players or maybe some other players i

n China who could be having better margins
or maybe defensive margins as compared to us?

Mukund Kabra
It's like, the time is always challenging. It's a very good question. The time is always challenging, and the challenging time always
create some opportunities. I always feel that the company like us gets more opportunity when the time is more challenging bec ause
that's the time when every everyone is in panic. That's the only time the people start looking for the alternatives as well. If you are,
like, comfortable, pr obably, you don't look into it.

Vasant Rathi
And also, one more thing you have to remember that we are not a company which is just came up in the last few years. It has a
tremen dous track record of last 30-40 years , right? So that all counts. That is because, ultimately, people should trust you deliver.
That you can deliver.

Rohit Ohri
Okay. Makes sense, Rat hi ji. My last two questions is if you can take us through what are the developments which are happening
with Sta ria, which was recently having some corporate developments happening over there.

Vasant Rathi
Well, it has been just being established completely independently. And I think the will be coming year will be the firs t year for the
Staria as you see independent company. The response is pretty good.

Rohit Ohri
Anything on the numbers that you would like to share on the top line?

Vasant Rathi

No. There is nothing another . It is just a starting, so there is not much of a numbers came right now.

Mukund Kabra
Rohit, I would say that we are not, like, really looking for the numbers, but it's more like a strategical fit as well to expand the U .S.
market as well , right? So , it's more like a strategy rather than the exactly number, and we are not really looking for two big numbers
to come up in just near terms.

Rohit Ohri
Okay. Last one. If you have the number handy, maybe an approximate number to the revenue which could be coming from the
products which are launched in the last three years or so.

Mukund Kabra
Good question. We will have to calculate, R ohit ji. But yeah, there will be some good review as well. Because we don't, like,
separate it out that way , yeah.

Vasant Rathi
Yeah. It is not like , as you know, we have do a lot of combination products, lot of very proprietary products, and it's not possible,
at least sometimes, to just say this is more or this is less kind of thing. We have a broad range of enzymes, and they have t heir own
function. And it is just create a very unique formulation for the industry.

Rohit Ohri
Rathi ji, ballpark number, maybe, like, 10% or maybe 15%. That is what I was looking at.

Vasant Rathi

Well, the growth you can see whenever you take out one individual product, which you all know, and rest of them is all like that.

Rohit Ohri
Okay.

Vasant Rathi
We are very much as a , what you call it, proprietary en zyme product kind of company.

Rohit Ohri
Okay, Rat hi ji, Kabr a ji, thanks for answering my question. Thanks a lot.

Vasant Rathi
Oh, p leasure. Thank you , Rohit . Anytime.

Moderator
Thank you so much, sir. The next question comes from the line of Mr. Ashish T havkar from UT I.

Ashish Thavkar
Yeah. Thanks for the opportunity. Is there a ny update on where we are in terms of the U.S. tariffs , discussion with the customers?
Are they still on the back foot? What's the scene there?

Vasant Rathi
Ashish, thank you for asking th is question. You know, every day there's a new drama . We initiated , the customers are always asking
when t hey can get the refund back , and we are asking the government when we can get the refund back , and so on and so forth. So
let's play the tune and see what happens, you know, whether the Congress in U .S. Congress acts on it or don't act on it.
But there is a lot of drama going on in the court , and politicians , an

d the business. The people more or less understood that there is
a reality of this, and prices in the marketplace is going up. Inflation is really hitting up here also in the U .S., not only in energy , but
all the sector, food sectors, supplemental sector s, supplies, all supply lines , okay. We just have a challenge how we can pass on this
cost to the customers.

Ashish Thavkar
So as of now, we are still absorbing, 10 -odd percentage cost, right, from th e tariff?

Vasant Rathi
Yeah , to a certain extent, yes. And it is a gradual process to pass it on and to explain. So that's a process, but you cannot just p ass
on everything to the customer and lose the market share.

Ashish Thavkar
But at 18% tariff, we would not be very uncompetitive, right, versus the competition?

Vasant Rathi
No, it's a competitive market. It is , you know, when you get into ingredients and when their cost goes up, and the market is very
different , you know, how many times they had to increase that to make their sales , and then that becomes whether the consumer
can afford it or not is another issue which they have to face , and what will impact for them because it's a B2B market , no, so?

Ashish Thavkar
Yeah, great. So lastly, on this chemistr ies, since we are also on the peptide enzymes , and peptide is in, you know, finding lot of
relevance globally, what are the opportunities that we are seeing in these chemistries? And if you could help us highlight what are
the new chemistries that you guys are targeting?

Vasant Rathi
It's a very interesting opportunity. So , we will try to explore it also. Since we are in a protein area, and enzymes, proteins go

hand
in hand , and peptides are also part of it. So very interesting areas, and we are ex ploring all various different possibilities.

Ashish Thavkar
Great. Thanks, and all the best.

Vasant Rathi
Thank you.

Moderator
Thank you so much, sir. The next question comes from the line of Mr. Umang Shah from Banyan Tree Advisors. Please go ahead,
sir.

Umang Shah
Hi, sir. Congrats on the great performance. Am I audible?

Vasant Rathi
Yes, sir.

Umang Shah
Yeah , great. Sir, I have two questions. Sir, first one is , if you could give the breakup between India and international business in
the B2B division segment.

Vasant Rathi
What is the question ?

Umang Shah
The breakup of the Indian and international business.

Mukund Kabra
Yes. Rauka ji?

Vasant Rathi
Beni?

Beni Prasad Rauka
Yes. I'm giving the information.

Umang Shah
Sir, meanwhile, the second question was, if you can help me understand, was there any one -time component in the India revenues
of Q4? Any sort of pre -booking or pre -buying by customer or something?

Mukund Kabra
No, there is no that kind of revenue. It's not a one -time reve nue.

Umang Shah
Okay. Sure, sir. And, sir, one last question was that with our India R&D coming in, would we be freeing up some capacity in Evoxx
to make it more customer -facing , or would Evoxx continue doing R&D for us?

Vasant Rathi
Evoxx will continue doing R&D , which -- yeah.

Umang Shah
Okay. Sure, sir.

Beni Prasad Rauka
Umang?

Umang Shah
Yes, sir.

Beni Prasad Rauka

32% of our business has come from India. I'm talking about human nutrition business , and of our total revenue. 32% from India
domestic market, and 30% has come from international market. So the total is 63% contribution of human nutrition business in our
total revenue for FY26.

Vasant Rathi
It's a balanc e. Basically .

Umang Shah
Absolutely, sir. So, it's 32% time , yeah. Got it. Yeah. Thank you so much, sir. Have a great ye ar.

Beni Prasad Rauka
Thank you.

Vasant Rathi
Thank you so much .

Moderator
Thank you so much, sir. The next question comes from the line of Mr. Ketan Ch heda, an Indi vidual inve

stor. Please go ahead, sir.

Ketan Chheda
Yeah, t hank you so much for the opportunity. And sir, congratulations on a good performance for
the whole year. Indeed, a good growth that you've achieved. Sir, my first question is with respect to the patents, the number s that

you publish every quarter in your presentation. I saw that the number has gone down from 17 to 15. Could you just throw some
light on that, sir? Like, why is the number of patent s reduced?

Mukund Kabra
So, some of the patents, which were not givi ng the revenue, we thought that is not significant. We are cut down from the list, but
we filed two or three. I need to see the exact numbers which we got granted this year as well. But few of the old patents whi ch we
thought are not, making contribu tion to the revenue, we are not focusing on them.

Ketan Chheda
Understood. Thank you so much for that. And my other question is, when I look at your segmental performance, of course, it's a
very good growth on all segments, human nutrition, animal nutrition, so and so forth. But when we look at the geographic the thing
and of course, the U.S. market has been much discussion we called earlier. But my question is, with respect to a bit long-term going
in the past, even if I see four or five years, right, f rom starting 2021 onwards, our U.S. business has not kind of
grown significantly.
So if you could help us understand what kind of business are we doing there? And you, of course, mentioned about the competit ive
landscape being a bit tougher there. So , if you could throw some more light, I don't know, what kind of business it is and what kind
of challenges that we face, that would help us understand the U .S. business better?

Vasant Rathi
Yeah. Most of our U .S. business is in nutraceutical market. We do va rious different industrial segments in food area and so on, but
most of the business is in the nutrac eutical market , okay. And the nutra ceutical market is under tremendous churn right now in last
few years, changing the face of it and changing the habits o f the people.
So as you can see, last few years, now probiotics is one of the major market segment. So, U.S. market s is always changing with the
new habits, and then rest of the global catch -up is there. And this is always going to be like that. But marke t is growing in various
different segments, and we need to catch -up that rising trend, and that's what we're doing.

Ketan Chheda

Right. So , then my next question was also we can speak with respect to probiotics view, which you just touched upon. If I look at the presentation, you've given a segmental revenue also for the probiotics, which has significantly reduced from last year. So, again, if you could help us understand why we see probiotics as a growth segment for us, and our revenue contribution in th at segment is a very small one, and the addressable market is a significant one.

Mukund Kabra
So, Ketanji, what happened there is, what we are reporting the revenues are the -- what we used to or what we are currently as well reporting the revenue s are the individual, which was, kind of what I would say is a commodity market. Now , the approach has changed, and we are making lot of different solutions using the probiotics, which are not really reflecting into the exact numbers because it is very difficult to segregate them because it's always been not utilized as a n individual product. So , the probiotics is, like, used very widely in a lot of, like, U .S. formulations, but you won't be able to separate it out. Exactly. The numbers what you are looking at, it is going down or going up. It's the individual probiotics which you are selling, and those are, like, more like a commodity segments.

Vasant Rathi
But I can assure you that our probiotic business is very strong.

Ketan Chheda
Sure. Th ank you for a nswering all questions, and wish you all the

best. Thank you so much.

Vasant Rathi
Thank you.

Moderator
Thank you, sir. There are no further questions. Now , I hand over the floor to Mr. Ronak S araf for closing comments.

Ronak Saraf
Thank you, everyone, for taking your valuable time for attending our earnings conference call. We will keep you all posted for any further updates. I request you all to kindly send in your further questions that may remain unanswered. Audio recording and the transcr ipts of this call will be uploaded on our website in the due course. Looking forward to host you all in the next quarter. Till then, stay healthy, stay safe.

Beni Prasad Rauka
Thank y ou.

Vasant Rathi
Thank you , everyone.

Mukund Kabra
Thank you, everyb ody.

Moderator
Thank you, sir. Ladies and gentlemen, this concludes your conference for today. Thank you for your participation and for using Door Sa bha's conference call service. You may disconnect your lines now. Thank you, and have a pleasant day.